

Tata Elxsi Ltd. (TATAELXSI)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, Plot No. C-1, Block G July 21, 2023
DGM – Corporate Relations
BSE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI
Dear Sir / Madam,

Sub.: Transcripts of the earnings conference call for the quarter ended June 30, 2023
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2023 held on Monday, July 17, 2023.
The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: <https://www.tataelxsi.com/investors>.
This is for your information and records.

Yours faithfully,
For Tata Elxsi Limited
Cauveri Sriram
Company Secretary & Compliance Officer
Encl.: As above
Page 1 of 17
"Tata Elxsi Limited
Q1 FY '24 Earnings Conference Call"
July 17, 2023

MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED
MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG
Tata Elxsi Limited
July 17, 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Tata Elxsi Limited Q1 FY2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference over to Mr. Shashank Ganesh from EY. Thank you and over to you Mr. Ganesh.
Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them if time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to everyone. Thank you all for joining us this evening for the earnings call. We are happy to report a healthy operating revenue growth of 17.1% year-on-year in the current macroeconomic environment, while delivering an EBITDA margin of 29.6%. In constant currency terms, our revenue grew by 1.2% quarter-on-quarter and 11.9% year-on-year.

During the quarter, our Healthcare and Life Sciences business reported a healthy quarter-on-quarter growth of 3.2% in constant currency terms, which is a significant improvement over the performance during the ea

rior 2 quarters. This vertical also reported new product

development deal wins for medical diagnostics and smart hospital equipment. In the Transportation business, we continue to see good traction and a strong deal pipeline, especially in software-defined vehicles and electric vehicles.

The transportation business grew by 1.8% quarter-on-quarter and 17% year-on-year in constant currency terms. While some deal closures were delayed in this quarter, we won new deals, including a strategic multiyear multimillion dollar SDV deal with a leading Asian OEM for SDV platform and software development. We also won a multicurrency licensing and deployment of our Connected Vehicle Platform deal with a global top 5 OEM.

Our Media and Communication business performed creditably to retain and grow market share even though absolute revenue growth was muted. The quarter-on-quarter revenue growth was

Tata Elxsi Limited

July 17, 2023

Page 3 of 17

at 0.2% in constant currency terms. We won our first multiyear deal for our 5G network orchestration and automation suite with the leading telecom operator. This is an important milestone for the renewed portfolio we are building for this industry vertical. However, the media telecom and technology sector is still soft globally, and we remain cautious on the short-term growth in the sector while staying close to our key customers and focusing on intelligent AI-powered solutions and technologies, that will drive the next wave of transformation in this industry.

I am delighted by the all-round customer excellence demonstrated by Elxsians that has allowed us to grow strongly with our key customers and position us well for competitive differentiation and new project considerations around our customer base. Our successes in growing our business with our large accounts resulted in a share of revenue from our top 5 accounts increasing from 39.8% in the previous quarter to 42% in the first quarter of FY '24. Similarly, our revenue share from top 10 accounts grew from 49.4% in Q4 of the previous financial year to 51.9% in Q1 of this financial year.

On the people front, we continue to invest in our talent base with a net add of 422 Elxsians in this quarter. The Elxsi family is now 12,000-plus strong with attrition dropping further to 15.6%. We have driven strong operational excellence across the organization and protected our EBITDA margins despite wage hikes and strong employee additions in the quarter.

Our effective tax rate in this quarter has increased on account of lower tax exemption due to the completion of 5 years for a couple of SEZ units, impacting our PAT margins. Our PAT margin for the quarter stood at 21.6%. It's a matter of great pride for all of us at Tata Elxsi to partner with ISRO and play a role in the Gaganyaan project. This collaboration will help push the boundaries of technology and provide us a unique opportunity to advance our capabilities while strengthening India's space mission. We wish ISRO the very best as it progresses further in the ambitious Human Space Flight mission.

As we step into the second quarter of this financial year, the confidence of our customers in our differentiated Design Digital proportion and delivery excellence and a strong deal pipeline, especially in automotive, health care and design businesses, provide us the confidence and foundation for accelerating our growth throughout the year. With this, I will hand over the floor to Shashank for the Q&A session.

Nitin Pai: Shashank, before you go, this is Nitin Pai here. I have a brief update for the entire audience who's joining us today. We moved to a new fact sheet format and my apologies because I think we missed reporting the constant currency growth for the overall company. So, the intent, of course, was to move to a new format to make it more readable, more user-friendly, but I believe that we had a lapse on that front, that will be corrected. So,

you will continue to see a constant currency report at the company level too. So, my bad on that. Thanks.

Moderator: Thank you very much. The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Tata Elxsi Limited

July 17, 2023

Page 4 of 17

Bhavik Mehta: Thank you. A couple of questions. Firstly, one was on the Transportation vertical. Obviously,

you mentioned that the deal closures are delayed, but have you also seen deal conversion getting pushed out because of the macro and clients being a bit cautious? Because the growth has been a bit soft over the last 2 quarters in a row now. So, what's the outlook over there going forward?

And secondly, to Gaurav, if you can give us the margin walk for this quarter and are the wage hikes completely done in 1Q? Or can we expect some part of the wage hikes to come into 2Q as well. Thank you.

Manoj Raghavan: Sure. Regarding the Transportation business, yes, you're right. I think some of the deals closure is taking time but I think the deal pipeline is still pretty strong. There are large opportunities that we are chasing. And we are really hopeful that we will have those closures in Q2 and the subsequent quarters.

To that extent, I think that lack of conversion is really reflecting in the soft revenue growth. But I think we are pretty confident that come Q2 and Q3, we will see accelerated pipeline closures.

Gaurav Bajaj: On the margin, our EBITDA is 20 basis points lower compared to the last quarter in spite of the wage hike that has been rolled out during the quarter for the significant amount of the Tata Elxsi employees. In terms of the brief margin walk, we have an impact of 140 basis points from the salary hikes plus the ESOP cost that we have taken for a month in this quarter because, as we mentioned in the last quarter, that we went ahead and we got an approval for the employee stock option plan. So that has been rolled out and communicated to the employees in this quarter. The cost for 1 month has come in. So, including both wage hike and the ESOP, the impact is about 140 basis points. We continue to reduce our contractors since we have better bench strength and the training on campus is available to us. So that provides us a leverage of about 40 to 50 basis points to do that reduction and rollover from the TPC contractors to our own employees. We have exchange movement gain of about 20-odd basis points on to the margin walk. Another 50 basis points coming from the other operating leverage in terms of the pyramid rationalizations and improvement in the utilization with the volume growth and the scale. So that makes a total of 20 basis point impact on a quarter-to-quarter sequential basis on our operating margins.

Moderator: Thank you. Next question is from the line of Vimal Gohil from Alchemy Capital. Please go ahead.

Vimal Gohil: My question is again on automotive. Sir, how should we see the performance in the last 2 quarters versus what we are experiencing and reading about in the overall automotive industry, given the fact that most of the OEMs and Tier 1, Tier 2 suppliers are also talking of areas

Tata Elxsi Limited
July 17, 2023

Page 5 of 17

where we are heavily invested in. These are high-growth areas and there is an urgency of investments over there being spoken about by our potential and existing customers.

So how should we reconcile our relatively softer performance there? And what gives us the confidence that Q2 should be much better? Is it all related to macro because macro clearly tells us that, things are moving probably faster than what we expected in the automotive space, especially. Thanks.

Manoj Raghavan: Yes. I think I've answered that question. So, the deal pipeline is pretty strong. We still have pretty large opportunities that we have placed bids on and what was supposed to be closed in early part of Q1 is still open. So, customers are definitely taking

their time, especially on large bids and so on. So, I think it is natural during the current macroeconomic situation. Customers are being careful before they roll out, especially the large deals and so on. So, I think the fact is that we have a good pipeline, and we see closures happening in Q2. That's the discussion we've had with a number of our customers. We really hope that additional revenues will kick in during Q2. So that's the confidence that we have.

Vimal Gohil: Understood. And sir, within Broadcast and Comms, have we essentially bottomed out will things continue to remain soft for the entire year? And lastly, just one point on Transportation as well. Given our last 2 quarters of performance, do we expect FY '24 growth rates in transportation to be lower than what we had in, let's say, '23. Would that be a fair assessment? Thanks, that's all from my side.

Manoj Raghavan: No, we wouldn't want to call out anything at this point in time given that we are only in the Q1 of the financial year. I think we would definitely want to wait and see at least a quarter or more, right, to make that sort of a conclusion. But we still remain pretty confident that we are in a good wicket as far as our transportation or automotive business goes.

Regarding the Media and Communications business, it's not just us, it's the entire industry. You see multiple of our competition has also shown either degrowth or significant degrowth in that business. Thankfully for us, we have held our ground. Even though we have not grown

significantly, but I think we have done a very good creditable effort to maintain our business directives. And especially if you look at our top 5, top 10 customers, I think we've actually won deals and improved our market share as compared to our competition. Having said that, Media and Communication industry is still pretty soft. I wouldn't want to call it a washout for the full financial year, I think we would want to wait watch and see how the deal closures happen in Q2 and then take a call on how the industry is.

Moderator: Thank you. The next question is from the line of Anika Mittal from Nvest Analytics. Please go ahead.

Anika Mittal: Sir, my question is from the Healthcare segment side. So, what is your near-term outlook on this particular segment for FY 2024?

Tata Elxsi Limited
July 17, 2023

Page 6 of 17

Manoj Raghavan: I think over the last 2 quarters, I think the Healthcare and Life Sciences business did not show the growth that we were expecting, and I think that is also because of the transition in the Euro MDR activities and that has taken us a couple of quarters to get over that. But I think this quarter, we have demonstrated good new deals and good product wins there. So that has really helped us to show a good growth.

We are pretty optimistic that we will be able to show this continued growth in the subsequent quarters also. But I will not be able to give you a number for the financial year. We don't give that projections. But I think we are on the recovery path, and we hope to grow back to our earlier growth rates in this business pretty soon.

Moderator: Thank you. Next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you once again. Just on the margin bit, is wage hikes done for a large part of the employees or should we expect some wage hikes to come in 2Q as well?

And secondly, your net employee addition has seen an uptick this quarter. So how should we read that? I mean, is there a sign of improving demand do you see going forward? Or is this a way to optimize the cost by reducing the dependence on subcontractor where you want your own employees to be utilized more on the projects.

Manoj Raghavan: So, I'll answer that. So, I think we have given wage hikes in Q1 for all our junior staff. I think almost 70% of the headcount, we have given the wage hikes. For the senior staff, the wage hikes would

come in this quarter from July 1 onwards, right.

So, the new hires that we have been doing, I think it's something that we continue to do, we're not looking at a quarter-on-quarter basis to really squeeze the hiring. These are offers that we have made, and we continue to honor all the offers that we have made. We strongly believe that we need to build our resource pipeline for the future quarters. And I think this is an ongoing..., we're not really diluting that focus of stopping hiring and so on, we continue to hire at our normal rate. That's also because of our confidence that the industry will recover and the bench that we build today will be useful for us moving forward.

So, we are not taking a very short term-ish approach here. And I think since we have maintained our EBITDA margins and we are doing reasonably well, that also gives us a cushion to really go ahead and not take those knee-jerk reactions.

Bhavik Mehta: Okay. Got it. And just lastly, on generative AI, how should we look at the impact of generative AI on the engineering services business? Any color over there will be very helpful.

Nitin Pai: Absolutely. This is Nitin here, Bhavik, maybe I'll take that. The way we see it, is twofold. On one hand, in products per se, especially because of the fact that we deal with physical products, whether it's a car, whether it's network equipment, boxes and services on medical equipment, the direct impact of generative AI on such products is very limited. Why? Because they all deal with, if I may use the word specific AI.

Tata Elxsi Limited
July 17, 2023

Page 7 of 17

So therefore, the kind of training that you do, the kind of models that you build, the kind of algorithms that power an autonomous car, or medical diagnosis, or recommendation engine are quite different from what would classically use ChatGPT or generative AI for. So, to that extent, AI becomes more and more relevant. AI becomes more and more predominant within the portfolio of customers, but it's not coming from generative AI per se.

In our view, generative AI has some impact on product development to the extent that we are working on how can you aid coding, especially as a starting point rather than starting from scratch, how we can improve testing using generative AI, especially where you had to spend time on creating test cases,

describing use case scenarios, there are certain benefits to using generative AI, which are already in the works for us in each of our segments. But the overarching comment would be that in the product engineering business, it has lesser impact. It has far greater impact when you talk of areas like marketing, customer experience, customer care and so on. These are typical BPO/KPO activities. You can straight away imagine that the impact there is far, far higher, and we have no play in those.

Moderator: Thank you. Next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: Could you talk a little bit about the demand trends that you're seeing across North America and Europe? I see a decline in the revenue mix coming from the U.S. and an increase in Europe. So, can you give some color on the differential demand that you see?

Manoj Raghavan: Yes. I think just based on 1 quarter's data, it's very difficult to make any very clear reasons as to why demand is lower in 1 region or another. If you look at it, maybe a couple of quarters ago, I think our demand from North America was fairly strong and so on. So that keeps happening. But in general, let me tell you, a lot of our Europe revenue is transportation-led, whereas a lot of our North America is Media and Communication-led. So, to that extent, the relative slowing down in Media and Communication vertical can be directly correlated to the North America market. Having said that, the medical business is also pretty strong in North America. So, we're really hopeful that that piece will pick

up. So, we look at it, both North America and Europe as very, very key strategic geographies for us. And we continue to invest in those geographies. You would have seen the press releases and we talked about opening a new office in Troy. So, we continue to invest in these geographies. And we are hopeful that growth will return eventually.

Moderator: Thank you. Next question is from line of Arun from Subh Labh Research. Please go ahead.

Arun: First of all, congratulations to the management team for continuing with the steady good set of numbers in a tough economic environment...

Moderator: Arun, your voice is not coming clearly.

Tata Elxsi Limited
July 17, 2023

Page 8 of 17

Arun: First of all, congratulations to the management team for continuing with a steady operating performance in the tough macro-economic situation. My question is to Mr. Gaurav. In the current quarter's financials, we can see in both the segments, especially in software development segment, our absolute profit has increased much more than the revenue. But some unallocated expenses have impacted our overall profitability. So, if you can share some more detail on the increase in unallocated expenses that will be quite helpful.

And the second question is, this quarter our effective tax rate has increased due to tax already paid completed in two of SEZ. So, can you guide for this financial year as a whole, whether this will be the benchmark rate? Or do you see any further changes in the effective tax rate?

Gaurav Bajaj: On your first question on the segment results. I think you are bringing it from the segment results. Under segments, since we embarked on the digital transformation, we did a little bit of reclassification with internal changes in the methodology of the allocated and non-allocated expenses. To that extent, you see that there is a difference from quarter-to-quarter. But what we have published in Q1 would be the basis going forward in the future. So, you should do the benchmarking and compare it on the quarter 1 basis going forward.

On your second question on the effective tax rate, I think we have been highlighting in the last couple of quarters that we will be coming out of couple of undertakings in the SEZ where our tax bracket exemption will move from 100% to 50% and you will see the impact of the same coming in this financial year. So, whatever is the ETR for the current quarter would be the threshold and the range for the tax rate going forward in this financial year.

Moderator: Thank you. Next question is from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Congratulations on a decent set of numbers. I don't have a lot of finance-related questions, but a bit more on the macro side. So, the first question maybe is on the Transportation vertical per se. The question is really around software-defined vehicles because I see a lot of Tier 1, Tier 2 OEMs going from a product to a solution side. A lot of them are now trying to sell SaaS solutions.

So, my question really was how do you guys see all of this integration in to the global market going ahead? Because it seems to me that the market is just not having a lot of standardization. And then if you have a brake supplier, if you have a battery supplier, if you have an engine component for you or they are doing their own solutions, how easy or difficult is it to integrate all of these in the digital stack and then give this out as a package, if you will, to an OEM client?

Nitin Pai: Hi Satadru. This is Nitin Pai here. Maybe I'll take that. On one hand, if you look at software-defined vehicles, I think it's fundamentally driven by OEMs, and it has been driven precisely

with that point in mind, which is that ultimately, the car is an amalgamation of software, hardware and mechanical elements coming from thousands of suppliers. And a lot of these are black boxes.

Tata Elxsi Limited

July 17, 2023

Page 9 of 17

And therefore, if you're trying to drive performance out of all of those, if you're trying to speed it up or create agility out of how you update functionality and features in the car, you not only have to work with the same thousands of suppliers, but each of those changes cost you money and each of the changes require you to go through a full validation and certification cycle.

So, to that extent, I think the premise of SDV is exactly that, there are 2 opportunities. One, the opportunity to create agility in the features and functionality of the vehicle, both what is going to be delivered and produced newly, but also what is available already in the field through software updates. So that's part one.

And I think part 2, which is more interesting, is equally the monetization opportunity. Now you have a connection to the consumer directly, which was otherwise not available to OEMs, they were only connected through dealers. It's only dealers who had a relationship. So that relationship now create opportunities to monetize. And that monetization can take completely different paths, right, from subscription-based features to over-the-top services that you can deliver and so on so forth.

So, I think the point remains that software-defined vehicles are here to stay. The level of software defined is always a question. I'll just call it software-centric because different OEMs will require and can afford different levels of ownership. In some cases, it may not even be necessary to try and own everything. You may just choose to take a selective view on what software you own, what software you run. But I think the premise is very clear, agility and monetization. So that's, I think, a one-way street. You will see that change. So, I hope I kind of addressed what you want to do understand.

Satadru Chakraborty: Yes, absolutely. That's very helpful. Similar sort of question on the healthcare and life sciences space. I was sort of trying to read up on balance sheets of a few global medical device companies. For some reason, the last 2, 3 quarters have been very choppy for them. I mean the

pharma companies are struggling, but the med devices are struggling even more. I just had a very generic question on how do you guys see the creativeness of this space going ahead? Because I know that gross profit margins are high. And I know that there are a lot of software definition happening in the med devices space, a lot of connected devices, IoT and then running analytics on top. So just give me a sense of how do you see the overall market getting better or worse? And how are you guys planning to play in this market, basically setting up and yourself for the future?

Nitin Pai: Sure Satadru. This is Nitin again. So, I'll take that. If you look at the premise on which we, in fact, even built a focus around the medical devices and the health care industry, it was based on the fundamental presumption that in general, the health care industry has been fairly conservative. Product life cycles are very, very long. In fact, there are devices that were designed 15, 20, 25 years back that continue to run.

And the advent of cloud, AI connected devices essentially means that you can actually afford to deliver a far more superior customer experience, far more data-led insights that directly affect patient outcomes and health. And therefore, it is essential that all products actually pivot

Tata Elxsi Limited

July 17, 2023

Page 10 of 17

to, in some sense, equivalent of the car. You need to be connected, you need to be automated, I'll not call it autonomous, and you definitely need to look at electrification because a lot of the previous generation medical devices were electromechanical rather than electronic. So that's the premise on which we've built the business, and you'll see that over the last 5 years, from the time we started, we have moved from 0 revenue to

about 15%, right? And that's been

a business that's grown almost 10% quarter-on-quarter for a few years. So to that extent, I think there is confidence that the industry is actually behind the automotive industry in terms of the transition that it needs to make, even though there are no regulations that are driving it, unlike in the automotive industry, where you have sustainability, you have ESG concerns that put stakes in the ground as far as countries are concerned.

This is really an opportunity to change because that is what will sell in the future. That is what will create monetization in the future. So, to that extent, I think there is great confidence that, that pivot has to continue. Software, cloud, IoT, connected devices, intelligence. That is an inexorable path for medical devices. All of them have to get there.

The pharma industry has to adopt it to some extent, too, in the sense that as pharma industry moves from prescription-based billing to outcome-based billing, you will need to then monitor patient vitals, you will need to provide for patient tracking and so on. All these are devices that will do it, because the drugs will be then decided based on the markers and that will be personalized based on the actual patient profile. So, in our view, I think the fundamentals of electronics and software becoming the dominant part of what medical devices company you need to do, is a given.

The rate that we'll do it at is not driven at the same rate as automotive because automotive has priorities coming from regulatory and regional or country-based decisions that have been made on when they will stop or turn off eyes and so on. The medical device industry does not have that trigger but has a trigger of 'how do I make money in the future'. So that is what creates absolute confidence. And I think this is just the start of that.

We know it's the conservative industry. It's difficult to get in. There are barriers of entry, but we have a marquee set of logos that we work with, we are quite confident of our ability to stay incredibly relevant to these companies.

Satadru Chakraborty: Maybe just 1 last question from my side. This is let's say, mix of talent management/key factor that you guys train. It always fascinates me how a company can play in these 3 diverse EPD verticals and still be successful. I know the broad-based argument that if 1 sector doesn't go good, then you can diversify and so on and so forth. But if I look at a company -- if I look at the big, big outsourcing firms such as the Accentures, the Capgeminis or even a big brother like TCS. So, for them, that makes sense.

But I'm always curious how you guys think of talent because these are 3 are so diverse verticals where the domain knowledge is very different. The software standards are so different. So apart from the fact that, of course, you can have some basic level of integration, how do you guys just manage talent and just see these 3 very diverse vertical sustaining?

Tata Elxsi Limited
July 17, 2023

Page 11 of 17

Because I'll be very frank, I haven't seen another company like Tata Elxsi doing so diverse verticals and still having so great returns over so many years. So how do you guys look at talent management and these 3 diverse verticals in general?

Nitin Pai: So, Nitin, again. Again, just like Coke or KFC, I'm not going to reveal all our secrets. But having said that, maybe I'll start with the fundamental point, right, that when you have been doing this for 25 years and more, and this is the only business that you do, believe me, there's a whole lot of ingrained company knowledge that reflects in its processes and its quality systems in the way we both hire and manage talent. So that's the first fundamental building block that we build on.

Equally, we also acknowledge the fact that these 3 industries are so different that the domain knowledge, especially as we move quickly up the seniority and e

xperience levels, demands

that you have training programs, you have training methodologies, you have quality systems, you have everything that is different for each of these verticals. And to our advantage, I think

that's also a core competency. That's also what makes it very difficult for a generic IT player who depend on fungibility, who depend on training that is industrialized. I mean you would have trainings that people take us for 15 days, 1 month and they are ready for billing. For us, it's nowhere close to that. For us, it's multiples of that timelines to get people ready. But I think that's the way we do business. And hopefully, that's the secret sauce that we bring.

Moderator: Thank you. Next question is from the line of Chirag from as Ashika Institutional Equities. Please go ahead.

Chirag: Sir, I want to understand the development that is happening in the India across the sector like the EMS, defense, automotive and rail. Order bidding is going to the global players, some of them are our clients. So, I want to understand our relationship with them - how are we going to benefit by taking orders from the global OEMs, which are fueling the growth of the Indian economy for the diverse sectors?

Nitin Pai: Yes. Maybe I could take that. Very quick view is we definitely have this for multiple sectors, whether it's automotive or whether it is rail and adjacencies, where there are programs that are won by suppliers to supply to OEMs or to programs in India, including rail. We find that we are supporting those programs. And our relevance becomes even higher, especially if you're competing with regional- or overseas-based competition.

So, to that extent, the fact that we are in India, within proximity, understanding of those customers, ease of communication, ease of coordination, I think only adds to our attractiveness. But please note, having said that, any program in India obviously comes from past equations that are quite different from, let's say, doing the same project for a deal in Spain or a deal in the U.S. and so on. So, you also have to live with that challenge, which is that you will have that much more of a pressure on the pricing and the deal value. So, it's a conscious balance that we have to strike in terms of what is right for us, what is relevant and despite the fact that we can win almost anything that we bid for.

Tata Elxsi Limited
July 17, 2023

Page 12 of 17

Chirag: And how is the supply side scenario situation in Europe and the U.S.A. for manpower and other related sir?

Manoj Raghavan: Yes. I think as you know, 90% of our resources are based in India. It's only 10% that are based overseas. So, to that extent, I think we are less dependent on resources in the overseas market. Having said that, I think the resource situation definitely has become a lot easier. We are able to hire resources on need basis. But in general, as Gaurav said, we are reducing the dependency on third-party contractors and filling positions using our own internal resources for better margins. So that will continue that approach.

Moderator: Thank you. Next question is from Akshay Ramnani from Axis Capital. Please go ahead.

Akshay Ramnani: So, first question for Manoj. So, you said that the deal pipeline gives you the confidence of growth acceleration going through FY '24. Now this is despite another comment of soft Media and Communications at least in the near term. So, I just want to understand - is the strength of transportation and medical enough to power that growth acceleration going forward? And while you're talking about demand, if you can also talk about how do you see the IDV business going forward?

Manoj Raghavan: Sure. So, I think, yes, as I said, growth has come back in our medical business, and we definitely hope that we will see some acceleration in our transportation business moving forward. Media and Communication, yes, we are still hopeful though

it is very difficult to give a comment in terms of how much of recovery will happen. But definitely, as compared to a lot of our peers and other global players, we still continue to deliver value to our customers and at least not degrow in that Media and Communication business. So that's something that we will constantly keep a watch on.

Regarding the Industrial Design business, as I said, it's a smaller business. It's a very, very critical business for us. As compared to last financial year, it has grown significantly. But however, on a quarter-to-quarter basis, we see some amount of flatness and some amount of ups and downs. It's still in the early stages to see how we can have a steady quarter-on-quarter growth there, but that's something that we are working on. We definitely are hopeful that the Industrial Design business will also continue to grow significantly over the next 3 quarters for the financial year.

So, I think all of that gives us the confidence that despite the Media and Communication business being a little soft, the other businesses that we have should definitely be able to continue the growth path and essentially help us to show a decent growth in the financial year.

Akshay Ramnani: Right. So, on IDV business, over the past 2 quarters we have seen a flattish performance. So, is this more to do with stand-alone IDV customers? Or is it some EPD vertical-specific customers where we have seen some softness on the IDV side?

Manoj Raghavan: It is a combination of both. IDV also does a lot of work for the Media and Communication business. So that part of the business is a little slow, similar to our EPD business. But however,

Tata Elxsi Limited
July 17, 2023

Page 13 of 17

IDV also has their own independent customers. And we are really focusing on that to see how we can grow that business.

Akshay Ramnani: Got it. Next question is for Gaurav. You talked about 1 month of ESOP cost impacting this quarter. When I look at the release, the release shows that about INR40 lakh of ESOP cost was recognized in Q1. So even for 1 month, that number appears quite low. So, if you can please help me understand this quarter's ESOP expenses and how do you see the sustainable cost which we should think about going forward?

Gaurav Bajaj: The first month, the cost is low. It depends upon the number of the grant units that has been communicated to the employees. There is still some communication, which is left to be done, which will be done in quarter 2. Hence, what we talked about in the previous quarter earning

call also, that going forward, the impact for the PSOP grants once done completely to all the employees would be about 0.4% to 0.5%.

Akshay Ramnani: Got it. And since we have also rolled out the wage hikes for the next 30% employees, so, what kind of margin impact would that have in Q2?

Gaurav Bajaj: So, we are still in the process of working out rate hikes and the impact for the remaining employees, which will happen effective quarter 2. But I think with the scale and the growth that we expect to have in the next quarter also, we don't see any significant impact. There will be some wage hike impact. But at the same time, we feel that can be compensated with the other operating leverage and the growth in the total volumes.

Akshay Ramnani: Got it. And then coming to the utilization part. Sir if you can just touch upon what level of utilization are we operating at? And what's the sustainable level which you think is good for the company.

Manoj Raghavan: I think currently, we are operating at 72%, 72.5% utilization. I think that is also because of the fact that a number of fresh engineers that we have hired have come out of their training period and now they are on the bench. So, the good part for us is we have pretty good bench strength now. As the business picks up, all the training investments and all the hiring investments that we have put in, we will be able to use

them and grow our revenues.

So, for us, we would be really comfortable to see how we can push this utilization from 72% to 72.5% over a period of time to somewhat closer to 80% or so, right? So that will be something we are aiming for. And so, as you see, we have enough headroom and leeway to utilize these trained resources. And that's something that we will focus on in the next few quarters.

Moderator: Thank you. The next question is from the line of Nitin Gupta, Individual Investor. Please go ahead.

Nitin Gupta: Yes. My question is with respect to hiring - what are the plans for the complete financial year?

Manoj Raghavan: So, for the complete financial year, if you look at hiring of freshers, we would be hiring around anywhere between 1,800 to 2,000 engineers, of course, depending on the joining ratios and so

Tata Elxsi Limited

July 17, 2023

Page 14 of 17

on. Lateral hiring will be always need-based, based on specific projects or engagements, but given the fact that we have enough bench strength, I think we will first focus on utilizing the bench strength before going out and hiring laterals.

Nitin Gupta: And the last question would be - can we expect these kind of margins going ahead for the full financial year?

Manoj Raghavan: We don't give margin guidelines. You must look at our track record over the last 8 to 12 quarters. You will get the answers for your question.

Moderator: Thank you. Next question is from the line of Rajak Kumar, individual investor. Please go ahead.

Rajak Kumar: Just 2, 3 macro questions. The first one is on the ADAS technology. So, I just want to know, given that we are part of the Tata Group, how do you make insights with other vendors given our exposure with JLR and others, with competition like Samsung who are better placed compared to Tata Elxsi. So how do we overcome this?

Nitin Pai: Yes. So maybe I'll take that. Technically, we don't compete with Samsung. We are a potential supplier to Samsung. And when you say Samsung, I presume you mean it in the context of HARMAN. So, to that extent, HARMAN is a customer rather than a competitor.

So, in that sense, there is no conflict of interest here. And it's not to do with whether we work with Tata Motors or JLR or not. The question is, do we have capabilities on the software side that add to what they are trying to do in terms of product engineering and product development. And to that extent, we're incredibly relevant.

Rajak Kumar: Okay. Got it. And second thing, are we developing any robots linked to the Da Vinci, over on the medical side? Because I've seen your website, it talks about the industrial robotics. So, I just want to know what work we are doing on the medical side?

Nitin Pai: Yes. So there is automation - I'm not call it fully robotized surgery or fully automated surgery, but there is a fair amount of work that we're doing, both with AI as well as robotics that has to do with automating and bringing in precision surgery. But at this time, that is all that I can tell you.

Rajak Kumar: Currently, that is the only US FDA approved robotic system, right?

Nitin Pai: That's right. So, to that extent, that's why I'm hesitant to say that we are working with fully robotized systems. But there is some level of automation and precision surgery that happens in multiple other spaces. Think about eye care, for example. You will see that there are laser-guided surgeries that work on cataracts and so on so. It's not that there is no robotic surgery in other areas.

If you look at cancer there are equally guided robotic treatments that happen for chemo, radiation and so on. So, I would encourage you to look at is the fact that robotics and automation applies in many levels, just like in cars, from Level 1 to Level 5.

Tata Elxsi Limited
July 17, 2023

Page 15 of 17

Rajak Kumar: Okay. No, my question is more from a strategic standpoint. So, like on a 3-5-year standpoint, will we be challenging Da Vinci systems?

Nitin Pai: No, no. So please note, again, like we made the comment on Samsung and so on. We would hope that we work with Da Vinci and create many more Da Vincis by supporting them.

Rajak Kumar: And lastly, how is the opportunity from the in-flight entertainment, given that Air India is now part of the Tata Group? And there's a lot of things happening on the aviation sphere. So, are we going to leverage any of this and get more work in this space?

Manoj Raghavan: In-flight entertainment is a very niche area, and I think there is just a couple of companies that work on it. So, the opportunity is not very big in that sense. But however, as you rightly said, Air India definitely is a group company and there are a lot of other opportunities that we are working with Air India and supporting them, not necessarily on the in-flight entertainment. But yes, if there is an opportunity, we would definitely get involved because we bring in enough competencies on audio, video, the play out, the entire video capabilities that we have in the Media and Communication business is fully relevant to this use case.

But then there are definitely a lot of regulations, safety and a number of standards that you need to understand. So, to that extent, yes, the opportunity is not as big to really focus and go after that. And the number of players are also very, very limited. But we are in discussions with Air India for a lot of other opportunities. And yes, we will leverage Air India to see what we can do in the avionics or airline industry.

Moderator: Thank you. Next question is from the line of Rohan Nagpal from Helios Capital. Please go ahead.

Rohan Nagpal: You break out your vertical exposure for the Embedded Product Design segment. And you briefly touched on the vertical exposure to the IDV segment. Could you flesh out the vertical exposure in the IDV and SI segments as well?

Manoj Raghavan: I think about 3 to 4 years ago, IDV had its own set of customers and they used to go around. But we consciously took a decision to focus IDV capabilities around the same 3 verticals that we have, which is Transportation, Media & Communication and Healthcare. So today, if you ask me a majority of our revenues in the IDV space come from these 3 verticals. Of course, there are a number of other verticals that we go after that EPD doesn't service. So yes, so there is a lot of effort and focus that we have brought in, including from a sales perspective, to really cross-sell IDV into all our EPD customers. So that's something that we continue.

SI is a totally different business. SI is primarily based out of India. It provides system integration services to a different set of customers, not necessarily the 3 verticals. And that's something I think would be a little more opportunistic. And of course, even in SI, what we're trying to do is to see how we can leverage SI capabilities to address the 3 verticals in EPD. It's at an early stage. IDV has progressed a lot, but SI is still at a very early stage.

Tata Elxsi Limited
July 17, 2023

Page 16 of 17

As we look at building our own products and so on, SI place a very, very key role on the run management part, especially on the cloud and data center and so on. That is where we intend to use their capabilities. But again, as I said, it is still pretty early stage there.

Nitin Pai: I'll just add one comment. At this time, the fact is IDV is a little volatile, it's not exactly a constant number quarter-on-quarter and does not allow us to publish a mix because you cannot read very much from it. I think if you give us a few quarters, and that's something that we're consciously deciding, we'll be able to draw a clear signature to say, okay, this much percentage you can trust to come from automotive. This much you can trust to come from media. And we have a certain amount of sustainability or rather lack of volatility that

at makes it meaningful to
publish the breakdown.

Moderator: Thank you very much. Ladies and gentlemen, we'll take the last question from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Just 1 final follow-up question. And maybe feel free to answer it as you see fit or not. This is really around the IPO of Tata Technologies, which is coming out. So maybe my preliminary observation is very bad. But I do see there are a lot of similarities. I mean, from the very quantitative stuff, I have seen that our related-party transactions happened in '21 and '22. Just help me understand why should we treat it as 2 different companies? And what is really the strategic differentiation within the Tata organization that we have to really differentiate between the two. And I know the history on the corporate structure and Tata Motors wants to spin this off. But just what is your two cents on this? What does an external investor look at?

Manoj Raghavan: Yes. So, as you rightly pointed out, Tata Technologies is a subsidiary of Tata Motors. And they also have a significant portion of their revenues coming in from group companies, which is Tata Motors and JLR and so on. And they primarily play in the mechanical engineering space. They do work on ERP, which is SAP and so on. And recently, they have built capabilities in the avionics industry with Airbus and so on. So that is what Tata Technologies stands for.

Tata Elxsi, on the other hand, is a full-fledged product engineering business. Majority of our business comes on electronics and embedded software domain. And we work across 3 different verticals, right, Automotive, Health care and Media & Communications. So, to that extent, if you look at it, if you look at the automotive industry, it might seem as if there is a clash or a conflict situation. But actually, we are pretty orthogonal, the service offering is pretty orthogonal. So, there are customer places where we work together and provide services and solutions to the customer. So, to that extent, I would say, we definitely can continue to co-exist as 2 different companies.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you all for taking the time out for this Q1 conference call. We definitely hope to see you again in the Q2 conference. And definitely, there is a lot of commitment from our side, from our employees, to ensure that we deliver good results in the coming quarters. So that's

Tata Elxsi Limited

Page 17 of 17

Moderator: July 17, 2023

something that we are very much aware of, and we continue to pursue these large strategic deals that will really help to show consistent quarter-on-quarter growth. And that's something that definitely we will stay focused on. Thank you so much once again and look forward to seeing you again next quarter.

Thank you very much. On behalf of Tata Elxsi Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines. Thank you.

Audio recording of Q1 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2023

October 20, 2023

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the earnings conference call for the quarter and half-year ended September 30, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter and half-year ended September 30, 2023, held on October 17, 2023.

The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: <https://www.tataelxsi.com/investors> .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
Page 1 of 19

"Tata Elxsi Limited
Q2 FY '24 Earnings Conference Call "
October 17, 2023

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.

Shashank Ganesh : Thank you very much, Tom . Good evening to all the participants on the call. Good morning if you're logging in from the Western side . Before we proceed to the call, I let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties, and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we'll be happy to respond to them if time permits.

Having said that, I will hand the call over to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan : Thank you, Shashank. Good evening, everyone, and thank you for joining us for the second quarter earnings call. Today, I'm happy to report that our revenue from operations in the second quarter stood at INR 881.7 crores, which corresponds to growth of 3.5% quarter-on-quarter and 10.1% year-on-year in constant currency terms. Our EBITDA margin for the quarter was just shy of 30% at 29.9%.

Our Transportation business unit

it grew at 6.9% quarter-on-quarter in constant currency terms.

During the last quarter, we won a landmark, multiyear large deal in the SDV space, which places us as a strategic development partner for one of the global automotive OEMs.

In the Media and Communication business, we continue to see challenges in both the key geographies of U.S. and Europe. And in such a challenging environment, our performance has been quite satisfactory. Our revenue from the business has declined marginally by 0.4% quarter-on-quarter in constant currency terms. We continue to engage with our key customers in helping them drive efficiencies in current operations and also help them create new revenue streams for their businesses.

Our Healthcare and Life Sciences business performed well, registering a 3.2% quarter-on-quarter growth on a constant currency basis. During the quarter, we won a multiyear innovation and reengineering project of a critical care device platform for emerging markets. I'm happy to share that in the last quarter, our industrial design unit crossed revenue of INR100 crores for the first time. The Industrial Design & Visualization business grew 4% Q-o-Q in constant currency terms.

From an HR perspective, talking about our net additions, we continue to invest in building a talent pipeline with a net add of 585 Elxsians in the quarter. So, we continue to invest in onboarding key resources. Also, our employee engagement and talent retention strategies have contributed to attrition further going down to 13.7%.

So, as we move into the third quarter, we carry the confidence of a healthy pipeline and some great conversations going on with our key customers. And I'll now hand over the floor to Shashank for the Q&A session. Over to you, Shashank.

Moderator: Thank you very much, sir. We have the first question from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited.

Vimal Gohil : Thank you for the opportunity. Congratulations on a very strong comeback, especially in the automotive vertical. I'm also pleasantly surprised by the growth rates reported in health care.

On the comms side, particularly, there have been some initial signs of revival in the semiconductor space globally. Semiconductor sales have picked up. Does that have any sort of positive impact on our comms vertical as a whole? Do we have some exposure there if you can just give us some sense? And I have one more follow-up after that.

Manoj Raghavan : We have a very small exposure to the semiconductor side of the comms vertical. A lot of our communications business is driven through either operators or telecommunication providers or the folks who make devices that go into the telecom market. So, these are the main focus areas for us. Yes, usually, there is a lag between semiconductor sales and general market pickup. So, I'm really hoping that what you say is true and maybe in a couple of quarters from now, we will really see the impact of that.

As of now, I think we don't see a great uptick, but we are having all those conversations with some of our key customers, a lot of deals that we are pursuing - we can't predict the closure. So that is why we're not able to give you a very firm update that, look, next quarter, things will really look up.

Vimal Gohil: Yes. So, sir, I just wanted some sense on the strong deals that we've had in auto. What would be the size over there? Any sense that we can get? And lastly, a question for Gaurav, could you give us the margin walk for the quarter? What was the impact of wage hike or what were the other tailwinds that we had during the quarter?

Manoj Raghavan: Sure. This was a pretty significant win for us. It's a new customer that we have been pursuing for, I think, 18 to 24 months. It's been a long pursuit, and we're very happy to inform that we

T

ata Elxsi Limited
October 17, 2023

Page 4 of 19

have been able to close the deal in our favor. And it's a multiyear deal and a multimillion-dollar deal, a large deal in our perspective, which will definitely add to our automotive revenues in the subsequent quarters.

And more importantly, it's in a software-defined vehicle area, which is where we have also been investing significantly. So, it's a validation of all the activities that we are doing in that area. And this will also be a landmark deal for us to really take it to other customers in the auto OEM space.

Gaurav Bajaj: Vimal, this is Gaurav. I'm happy to share that our operating profit for the quarter increased by 4.8% on an EBITDA level and on a profit before tax level of 6.3% and on a year-to-year basis, it is 16.3% and 20.4%. I think we're able to drive overall optimization in terms of the cost and efficiency through various levers during the quarter. And this is in spite of the wage increase - Last quarter, we did only till the lower and the middle level. This quarter, we completed our wage hike cycle for the year, where we covered all the senior management and the executives of the company.

So, salary increase for the remaining management people for the quarter has a cost impact of 160 bps. If you also recall, last quarter, there was a partial cost towards the RSU, which was launched by the company last quarter. This quarter, we have a full quarter impact of about 50 bps compared to the last quarter. So, salary increase plus the ESOP has an impact of 210 basis points. The net adds that we have done in this quarter, including the tailwinds of the net add done in the last quarter, was largely offset by the utilization increase in the scale of the volume revenue growth plus the pyramid optimization.

So there, it can kind of optimize and offset against each other. So, 210 basis points from the salary increases plus the ESOP impact was largely offset by the other improvisations in the lever that we disposed of in this quarter, which includes the other expenses. So, we continue to optimize, rationalize our other expenses, be it travel cost, visa costs, sales promotions.

And we also significantly reduced our third-party contractors, because we now have good strength in our bench, which we have put to the billable projects. At one point at the last year, it was a bit of worry, because the attrition was high. Now attrition is also well under control.

So that gives us a lever in terms of rotating people third-party contractors with our own people. So, including a reduction in the third-party and other discretionary expense optimization, we have a saving of around 120 bps. And also, there is a large cost increase in the last quarter towards various hardware tools, because there were certain deals, which we kicked off in the last quarter - at the end of the last quarter - where we need to significantly invest as part of the lab setups, other cost towards the tool, hardware and software.

Those get more or less normalized in this quarter, which gave us another 120 bps. So, this 240 bps of improvisation against 210 cost inflation kind of gives you 30 basis points of improvement over the last quarter. And then - that is at the EBITDA level.

And then if you come to the EBIT level, there is an increase in the depreciation, because we added to our facility capacity that we are having since we are adding people, we are growing. So, we added a couple of facilities as required by the company to accommodate increase in the headcount since all the people have also started to come back to office. So, at EBIT level that almost knocks off all the pluses and minuses and we continue to operate at the same 27.1% of EBIT, what we operated in the last quarter. So, with the revenue growth, that gave you almost 3.7% kind of quarter-on-quarter growth.

This quarter, on other income, we have a significant gain due to exchange gain, which came positive. Our hedging strategy worked well in terms of protecting us not only from the downside, but also provided some kind of exchange gain. Also interest yield on our investment also helped us in terms of increasing our other income.

So overall, with the other income better from the last quarter at the profit before tax level, we're able to increase our profitability by 6.3% on a quarter-to-quarter basis and on a year-to-year basis by 20.4%. So, in spite of all the cost intake, including the wage hikes, including the RSU impact, we have other levers at our disposal, which help us to maintain our profitability and improve in terms of the absolute terms.

Moderator: Thank you. The next question is from the line of Ruchi Burde Mukhija from Elara Capital. Please go ahead.

Ruchi Mukhija: I have a couple of questions. Our industrial design revenue has crossed INR100 crores milestone, but how does this change your market position and does this open new scale opportunity for you?

Manoj Raghavan: Your line was not clear. So, the question was about industrial design, crossing INR100 crores. And if this is going to help us grow our revenues and what is the question?

Ruchi Mukhija: Yes, I'll repeat the question. Hope my voice is a bit better. So, with this INR100 crores milestone, how does our market positioning change? And does this help us being eligible for new scale opportunities?

Manoj Raghavan: Sure. Okay. So, I would say just about 3 or 4 years ago, the Industrial Design business was a very small business. Our run rate would have been INR30 crores, INR40 crores per quarter. And so today, I think we have invested significantly in the Industrial Design business. And happy to say that, look, that business has really scaled up. So hopefully, on a yearly basis, if you take it, we will soon reach about INR500 crores of revenues annually. So that's the first target that we have.

More importantly, design is such a critical differentiator for us from a margin lever perspective, from a positioning perspective and any large deal that we usually bid for, there is a significant component of design, and that capability definitely helps us position the company very differently as compared to competition.

So, I'm very happy that stand-alone that business is scaling. More important, the combination of design and EPD business is what will help us scale rapidly moving forward. And that is the focus of the company.

Ruchi Mukhija: Understood. In media vertical, you have mentioned that you are working in collaboration with clients to develop new offerings and partnerships. Could you please elaborate on this? What we mean by new offerings and partnership?

Nitin Pai: Yes. Ruchi, this is Nitin here. Maybe I'll take that question. Some of the partnerships are explicit. So, you'll find that we announced two significant partnerships just leading into IBC, which is the global broadcasting trade show. We announced a partnership with INVIDI, which is the world leader in targeted advertising. What they do is essentially provide technology for targeting very specific subscribers, especially in the video, OTT as well as digital video ecosystem to deliver ads.

So, the idea here is really that we are seeing the shift in OTT from subscriber-driven to advertising driven. And we believe that this will be the new revenue opportunity and the monetization opportunity for both broadcasters, who are running D2C businesses as well as operators, who are running an aggregation service for video.

So, what we're looking at essentially is saying, look, there are two tracks that you can work

with operators and broadcasters for. One is efficiency driven, which is to look at what are you spending money on now, how much of that

is engineering driven, how do we help you through a combination of talent, capability products and offshoring, help you get to be even more efficient.

I think the second strategy that we're deploying is growth and customer experience. The customer experience part will be driven by design and the growth part or revenue part for customers will be driven by how you monetize the services better - can you look at ad deliveries, can you look at things like FAST, which is the free ad-supported television? So essentially, those are the partnerships that we're crafting especially in the Media and Communications vertical. Of course, what we have not declared to the market is the partnerships that we're crafting, especially with semiconductor vendors as well as hyperscalers that fuels some of the digital engineering that we're doing for SDV, for connected medical devices and so on.

Ruchi Mukhija: Understood. So, will there be a growth mover, let's say in 12 months or shorter time or you see this scaling up very gradually and will take its own time?

Nitin Pai: Yes. So Ruchi, the partnerships are not meant to deliver immediate deals. I think they are a fundamental positioning tool. Because what you're trying to do is trying to make sure that you're relevant in the context that is changing for our customers. So, what's happening in the telecom industry is fundamentally you're being challenged for revenue, you're being challenged for growth.

Tata Elxsi Limited
October 17, 2023

Page 7 of 19

And therefore, you either had to focus on efficiency or on new revenue streams. And I think we are doing both in different measures. On the revenue streams, we are partnering. On the efficiency, I think we are the best in the business.

Ruchi Mukhija: Understood. Now coming to the large deal in the auto segment. As my understanding, in your view, incremental work was the way to go and scale the customer. But this deal sounds like an exception to this trend. So, do you see these kinds of deals being more in the market compared to past trend? Or this was a one-off unique situation where you could break through with a large deal in a new client?

Manoj Raghavan: I think there's no one answer there. We do a mix of both types of deals. There are such large deals that sometimes when we go for a new customer, there is a pursuit that goes on and we close such deals. We also have deals wherein there are consolidation opportunities where it's more about how you can bring value proportions to customers based on the capabilities that you have, right, especially from an offshoring perspective.

And how can you take a larger pie of the current outsourcing from the customer. So, you have both type of deals that are available. And the good part is, yes, there is a portfolio of such deals that we are going after. And then as I said, this deal took a long time. So, some of these large deals are not closing like earlier where it used to get closed in 6 months or 8 months.

Sometimes it takes 12 months to 18 months also for closure. But yes, but we have to be patient and to be focused on our objectives and especially when it is critical for us and an important customer to have, I think we have a very good track record in such deals.

Nitin Pai: So Ruchi, maybe I'll just add to what Manoj said. I just want to call out an important difference. You can think of in the IT context, renewal deals, where the contract given out to one vendor and when the contract period is getting over, you call out for a whole set of new vendors and look at who can do better.

But typically, who can do better is in terms of cost. The kind of entries that we are talking of are strategic entries where we are not replacing somebody else. We're getting all new because the customer is moving to an all new.

So, in that sense, there is a critical difference between the kind of entries we talk of vis-a-vis a

classical IT situation of a renewal deal where you may come in cold and win simply because you're delivering the best cost on the table. And I just wanted to leave that with you.

Ruchi Mukhija: Got it. That's helpful. The last one, we just heard your...

Moderator: May we request you to please rejoin the queue for follow-up questions. We have the next question from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP.

Garvit Goyal: Congratulations on a good set of numbers. I have two questions. One on the media side, you mentioned we are closely engaged with key customers. So, can you give some color like for

Tata Elxsi Limited

October 17, 2023

Page 8 of 19

how many quarters this slowdown is likely to continue, based on whatever communication we do have with those customers?

Manoj Raghavan: It's very difficult to tell you how many quarters and so on. But I would say, there are fairly positive signs in some of our customer discussions. There are deals in the pipeline. And we hope that we'll be able to show some kind of growth over the next half year, I would say. But again, it's very, very early times. And so, I would be a little conservative on the Media and Communication side in H2, but we are closely working with some of our key customers. There are opportunities that we are going after. And definitely as compared to, say, the beginning of Q2, I would say, beginning of Q3, we are in definitely a better shape as far as deal pipeline and the opportunities that we are chasing. So that gives me a little bit of confidence that look, yes, things could be better for us in the H2 from a Media and Communication perspective.

Garvit Goyal: Understood. And sir, secondly, on the overall business perspective, so considering this lower growth in other two segments. So, is it fair to assume this financial year is likely to end with lower double-digit kind of growth in top line? Or do we expect something good as compared to first half to improve our annual growth?

Manoj Raghavan: So, every attempt will be made to continue the growth and improve on what we've shown in H1, right? So, though we don't give projections and so on, the focus for us as a management team is to see how we can better our H1 performance.

Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Can I just ask the cost relating to ESOP? Is it already provided for, or is there something more to come?

Gaurav Bajaj: It has already provided for. I mean, the way the accounting happens for the ESOP, basically the cost expected out of the grant option gets amortized over the vesting period. Last quarter since grant was only rolled out in the month of June, it was a partial quarter impact. Since this quarter, we have had a full quarter impact, but that is already part of the financials for the quarter.

Sanjaya Satapathy: Okay. So, this kind of a quarterly expense will continue for next quarters as well?

Gaurav Bajaj: Yes.

Sanjaya Satapathy: Okay. And sir, the other question that I wanted to ask you is now that you have come out of this SEZ and you're full tax paying now, is there any kind of such investment opportunity available to you to kind of plan for tax going forward?

Gaurav Bajaj: No. We continue to explore and evaluate what are the possibilities and opportunities available. But please remember that government is not approving any new exemption for the IT purpose for the SEZ. So, we have to wait and watch if there are any new schemes and the policy of the

Tata Elxsi Limited

October 17, 2023

Page 9 of 19

government comes out. But otherwise, we expect our ETR to continue at the rate what we have delivered in the last two quarters for the rest of the year.

Sanjaya Satapathy: Yes. And sir, last question is considering the new kind of deals that you are signing, and

do you

are also starting to have centres outside of India, will your mix of offshore to on-site change meaningfully from here or it will stay around this level?

Manoj Raghavan: No, I think for Tata Elxsi, we are known for our offshore execution and our entire processes and systems are built around delivering value from best cost countries, and our business model is also not about manpower, augmentation, on-site and so on. Over a period of time, we have really been able to move more work offshore and do a lot more development activities from our centers in best-cost countries. So, I think that will continue. I don't see it moving back in a hurry to the pre-COVID times. There could be minor variations here and there, but our main business model is around our offshore execution. So that will continue.

Sanjaya Satapathy: And your deal pipeline macro areas are looking pretty good because you are one of the few companies that has added employees again in this quarter.

Manoj Raghavan: Yes. So that continues, that shows the confidence that we can't take any shortcuts in our business, right? Because our business is all about people - even if in certain areas, you don't have full confirmed visibility, you need to go ahead and invest based on your business plan and what you have. So, we are sticking to our business plans. We're sticking to what we have laid out at the beginning of the financial year. There will be all these quarterly pluses and

minuses from a revenue perspective, but from a resourcing perspective, we continue to go ahead with our original plan, because we're confident that, look, we are on the right path and the investments that we're making in our people will definitely yield us results in multiple ways once the economy picks up and so on.

So that's been our focus. And we are one of the few companies who are already going out and we are talking to colleges and we are rolling out offers for the next year. So, we continue to be focused on all of those activities.

Moderator: We will proceed with the next question, which is from the line of Ajaya Jain from Astute Investments. Please go ahead.

Ajaya Jain: TCS has recently signed a \$1 billion deal with Tata Motor JLR. How is it affecting us? Or is it coming into our area of operations?

Manoj Raghavan: No. To the best of my knowledge, it's not in our area of operation. It's primarily on the IT and the manufacturing support side. So, I think it's a great deal, but it doesn't affect us.

Moderator: Thank you. The next question is from the line of Ruchi Burde Mukhija from Elara Capital. Please go ahead.

Ruchi Mukhija: So, we've heard from one of your larger peers about likely possibility of volatility in the coming quarters given the geopolitical situation developing in Israel. Do you see any effect in

Tata Elxsi Limited
October 17, 2023

Page 10 of 19

your early experience of this through a client going slow on conversation, decision-making? Is this something that worries you in the near term?

Manoj Raghavan: We don't have an exposure to Israel or any country there. Of course, we have a small exposure to Dubai and Middle East. Having said that, it is pretty early. So far, we have not heard anything negative from our customers based on this. But if this spreads right, if the situation becomes volatile and if this war spreads, and there is a spike in fuel rates and all of that, associated foreign currency fluctuations, all of that could impact our business in some way. From an end customer's point of view, it's too early. We've not heard anything so far. But I mean, if this spreads, I'm sure that there will be an impact, and it's hard to quantify that at this point in time.

Moderator: Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.

Garvit Goyal: I just want your opinion on healthcare segment, like

it shows some sign of recovery in this quarter. So how do you see the segment for upcoming quarters?

Manoj Raghavan: Again, I think some good deal wins and some positive news, especially after a couple of quarters of relatively flat performance, I think we have been able to grow our healthcare business. That is definitely positive. So, all the initiatives around our digital space and connected health and so on, that's really helped us win new customers. Having said that, yes, there are a number of deals that currently we are talking to customers and so on.

And as I said, the medical space divisions, it takes time, especially those large engagements and projects. The decision-making process is pretty long. And that continues. There is definitely a number of deals that are under discussion, but it's very difficult for me to comment at this point in time whether that will all close in the coming quarters. We are pretty hopeful, but I would still be cautious, I would say, next two quarters, and we will see the trajectory. We will see how those deals move forward. And then accordingly, we will act.

Moderator: Thank you. The next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta: Manoj, can you talk about how the decision making by clients has evolved, last time, when we spoke in July versus now? Has there been an improvement or as a status quo, or have you seen some more deterioration given the macro across few verticals?

And secondly, any impact of this strike in the US by UAW, the auto union, on your clients and your projects? Because this has come up only a couple of weeks back, so any impact we could see for your clients in the auto vertical in the US? Thank you.

Manoj Raghavan: Yes. Thanks, Bhavik. So, I think if you look at it segment wise and so on definitely in the automotive business, we see continued traction. We definitely continue to see closures. We

Tata Elxsi Limited
October 17, 2023

Page 11 of 19

continue to see large deals, pipelines. So yes, some of these decisions are taking longer. There

is a lot more commercial scrutiny. There's a lot more due diligence that is being done. But at the same time, customers are taking decisions. It's not as if decisions are getting postponed indefinitely. They are taking decisions. There could be occasional deals where it slips by a quarter or so. But in general, I think deal pipeline, the conversions are happening at a healthy pace in the automotive segment.

In the media and communications space, I don't know whether to call it green shoots or not, but we do see slowly some confidence in our customer discussions and so on. But again, I would want to wait for a quarter or so to really see whether this impacts the growth. I've already answered the healthcare piece in the last question.

So, I would say, overall, especially given all the macroeconomic uncertainties plus the war and all this happening, I think we've done well to be where we are, given all these uncertainties, and we continue to invest in our people.

We continue to invest in providing solutions that is of interest for our customers, right, especially what Nitin talked about in the AdTech space in the Media and Communication vertical and so on. We continue to see, what is relevant for the customers and proactively make those investments so that we are always in the line of sight for our customers. So that's been our focus. And there's enough moving parts that are available for us to continue to be optimistic about H2.

Bhavik Mehta: Okay. Got it. And second question of any impact of the UAW strike in the US, any conversations with clients regarding that, which could have led to some project pauses or deferrals?

Manoj Raghavan: There have been some delays in closure of projects and so on. But I'm not sure if that is because of UAW or because of anything else. No customer

has talked specifically about UAW

and its impact. But it's an evolving situation. We'll have to wait and watch. This quarter, we will know exactly the impact.

Nitin Pai: Bhavik, this is Nitin here. I would call out a parallel to the semiconductor shortage. So, if I look at semiconductor shortage leading to the delays in supply of vehicles to the market, union strike would have the same impact, which is to delay production and therefore, supply of vehicles. I'm just drawing a parallel that the semiconductor shortage did not stop us.

Bhavik Mehta: Got it. And lastly, any early signs in terms of what are you hearing from clients on furloughs for the December quarter? Are they expected to be higher or lower? Or as of now, it seems like it would be similar to last year?

Manoj Raghavan: It could be similar to last year. There could be some impact on Media and Communication vertical. But otherwise, nothing unusual that we will have an extended furlough and so on.

We've not heard anything of that sort from our customers. So, fingers crossed because we know it is a short quarter. It's also a difficult quarter, especially from furloughs and a number

Tata Elxsi Limited

October 17, 2023

Page 12 of 19

of working days and so on. But we have done our internal planning. So hopefully, we'll be able to mitigate that exposure that we have.

Bhavik Mehta: Thank you and congratulation on a good execution.

Manoj Raghavan: Thank you.

Moderator: Thank you. We have the next question from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

Nilesh Jethani: Yes, hi. Thanks for the opportunity. Sir, my question was on the strike itself. Just wanted to understand, is it client specific in Europe where a couple of clients or a couple of players, who are facing this, and we were not present there, is that a scenario? Or in general, you don't see impact of strike on our business, which is more of ER&D media?

Manoj Raghavan: The strike is in the US, not Europe.

Nitin Pai: And I think like you said, because we are leading, which is the fact that, what we're doing is helping design vehicles for one year, two years, three years, four years, five years down. So, to that extent, sales and production, unless it has a direct impact on long-term, it does not have a big relevance; if it goes on for long and therefore starts to affect revenue significantly and therefore starts to look at discretionary spend and so on, we believe at this time, it is not relevant.

Nilesh Jethani: Okay. Got it. And second question was on deal wins to revenue conversion. So, a lot of peers, of course, not in the ER&D side, but mainstream IT services have commented that deal wins may have a laggard or a lag impact on the revenue going forward. So given our strong deal wins, I see many of read-throughs in the presentation for automotive segment, are we of the same camp where we believe revenue recognition would be delayed? Or do you believe normal course of business action?

Manoj Raghavan: A chunk of this quarter's growth has happened from the deal closures that we have closed in last quarter and the previous quarter. To that extent, each deal is different, and I don't think that we will have a trajectory like what you've seen with IT companies. It will be a normal trajectory. And typically, what happens is, while you win deals and you close and you move forward, certain projects that come to a close. So, are you really covering up for all those revenues that go away, because you have completed certain projects? So that is a critical point of planning that we do internally to ensure that even while projects/deals come to a conclusion, there are enough items in the funnel and enough deal closures that can really take up that the engineering resources that were occupied in those deals who can be moved to these new deals, and that's how we operate.

Nilesh Jethani

: Got it. And then last question from the margin perspective. Just wanted to understand the little softness in the media space, etcetera. Do we expect margins to remain in the similar trajectory? I'm not asking for an exact number, but color on the same or the other businesses have capability to drive margins from here on also?

Tata Elxsi Limited
October 17, 2023

Page 13 of 19

Manoj Raghavan: Margins, if you have seen, right, as compared to last quarter, in spite of all the employee costs due to salary hikes and ESOP costs, number of costs that have come in, we have been able to mitigate all of that, right, in spite of Media and Communication being pretty flat. So, we've modelled our business around that. And so, we are pretty comfortable where we are.

Nilesh Jethani: So, during COVID times, we saw margins in the range of 30% odd. So, 27%, 26.5% is the new normal now, that is the understanding?

Manoj Raghavan: Yes. During COVID, it was a different situation as all of us know. A lot of costs were not there, including travel and business expenses and even facility costs and so on. So that was unusual. We are doing pretty well where we are today. And we have taken into account all the salary expenses and all of that. And as we grow our revenues and as we look at the utilization levers, we have enough levers still available for us to mitigate any impacts that come up.

Gaurav Bajaj: We are reasonably placed, Nilesh, in terms of the margin profile. We can continue to make the right investment that is required for the people, technologies and developing new offerings. At the same time, there is a lever in hand in terms of the pyramid rationalization, utilization expansions and all.

And the last two quarters has been a testimony to that in spite of all the salary increases, as Manoj alluded to, and all other costs, we're able to still mitigate and maintain our margin profile. That's the beauty of our operating model and connecting back to the verticals, some quarters, some verticals will fire. That's how we have de-risked and diversified our portfolio in terms of having enough immunity in terms of all such kinds of ups and downs.

Nilesh Jethani: Okay. That's really commendable and thank you so much for replying for each question.

Gaurav Bajaj: Thank you.

Moderator: Thank you. The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: Hi, good evening. My question was on the client concentration mainly. We are at almost 44% in the top five, how would you see this shaping up going forward maybe in the next two years, three years? Is there any conscious attempt to either increase it or to reduce it?

Manoj Raghavan: No. So, our focus would be to definitely look at growing the top 10 and the top 20 customers, right? So, we are not necessarily only focus on the top 5 customers. Top five customers are important, because they bring us volume, scale and we have a far stronger management connect with those customers. So, we'll continue that, because a lot of the growth of the organization comes from these top 5 and top 10 customers.

So, moving forward, two years to three years down the line, it's very difficult at this point in time to say that, look, we have to maintain this and so on. But as we grow, definitely, the top five and top 10 percentages will come down relatively. That will be the focus for us.

Salil Desai: But no deliberate attempts to work on this?

Tata Elxsi Limited
October 17, 2023

Page 14 of 19

Manoj Raghavan: No deliberate attempts.

Salil Desai: Great. Thank you very much.

Moderator: Thank you. We have the next question from the line of Akshay Ramnani from Axis Capital.

Please go ahead.

Akshay Ramnani: So, this was about scale of customers in the auto vertical. We've seen tremendous success with JLR. If you were to take a look at your clients fr

om a scale perspective, how many strategic customers would you think you have in your current portfolio for OEMs or Tier 1 suppliers to get to the similar scale or higher what JLR is currently at?

And what would be the service areas be like for them to drive scale in those accounts? So, is it going to be more from SDV side, connected side or electrification side? So, if you can help us under stand that arithmetic there.

Manoj Raghavan: If I understand your question right, you're asking, how will we scale ?

Nitin Pai: So maybe I'll take that, and maybe Manoj, you can add on top. If you look at the portfolio of customers that we have in auto, we have enough customers, who represent the scale and size of JLR, because how you have to think about JLR is, here is a customer, here is an OEM. This is the kind of work that they do. This is the kind of technology that they deploy to the market.

And in terms of market share and size, this is where we are.

So do we have customers, who are bigger than them, who represent much more scale, definitely, yes. Do you have an intent to grow some of them and hopefully all of them to sizes equal to JLR and more, yes. And that's the path we are on. So, I can be very frank about that. There is a whole set of customers, who have the same capab ility to scale as JLR ca n. But of course, it takes time. You need to build that strategic relationships and intent.

In terms of service areas, the way I see it, SDV is an overarching concept. But ultimately, if you break it down within, you will still hav e connected, you still have autonomous, you still have electric, because these are foundation pillars for what SDV will be built on. SDV will then further add an architectural layer, hardware aggregation layer and off -car data layer. So, in our view, every thing that we do is absolutely aligned to where the industry is going.

Akshay Ramnani: Got that. And Nitin, maybe if you can also add some flavor of timeline . So, for your customers - what is the time horizon to complete all of the SDV programs, the autono mous program, the reimagining of architecture inside the car? What are the customers' average duration timelines for completion of such projects in their models?

Nitin Pai: Yes. So, Akshay, that's the interesting part, right? I think we are set for a fairl y long -term transformation path for automotive . There is no one right answer, first of all . Everybody will experiment. And part two, there is no one right answer that will last forever. So, there's no one architecture that will be valid, let's say, five years down.

Tata Elxsi Limited
October 17, 2023

Page 15 of 19

So that is why you will find generations of architectures that will come up , each of them being fuelled by what is the state of technology at that time, what is the state of compute and hardware at that time and what is the state of connectivity and what you can offload to the cloud, what we can do at the edge.

So, in my belief, we are in for a cycle where there are going to be three pivots, four pivots of the architectures for cars as you talk of SDV. So, there is no one single ideal architecture and the question only is about how fast do you get there ? And that is what makes automo tive so interesting.

Akshay Ramnani: Why I ask this is because auto industry is used to reusing and recycling the platforms they build, so that was the intention of that question, but I get your point.

Nitin Pai: Right and I think, I'll add one more item t o that, just to clarify. The other big difference that's happening with SDV is the fact that the car is connected means that you don't want to reuse to the extent that, okay, I've done this now. I don't need to do anymore. I think the whole point of SDV is , now that you have software, everything is software controlled , how do you drive innovation week by week ? So automotive customers are now going to think like an App

le and

Google, which is what features do I deliver this week, what features do I deliver ne xt week.

Akshay Ramnani: That's very helpful. And the next question is for Gaurav. So, Gaurav, other expenses declined sharply this quarter and you explained it very well at the start of the call. But the question is more that this line item has been decli ning for three straight quarters and continues to be very volatile. So, from a sustainable basis, how should one think about this particular item?

Gaurav Bajaj: So, this has been declining. I think it has been a conscious effort from the company perspectiv e in terms of optimizing some of the costs. There was a sharp increase immediately after the COVID related closures was open and all those things. But I think we have made all the effort in terms of variabilizing all the cost in tune to the scale of the bu siness and wherever possible, optimize those costs.

This also includes the third-party contractor cost, which was heightened during the time of the COVID, and entire supply chain disruption was happening. So now with the bench strength that has been built by the company over the last few quarters with the trained people available, we are gradually declining our dependence on the contractor and rotating with our own people, which helps in terms of managing our people cost also and reducing some of the other costs, other expenses as well.

And also, I think this quarter, we have some collections and provision for doubtful debt reversals, which is a small amount, but I think, we would be able to sustain as a percentage to the other expenses as a percentage of revenue for the coming quarter. I think especially with the growth and the scale that we see in the coming quarters. So, I think we believe it is quite comfortable, and we are confident that we'll be able to deliver it at this level.

Akshay Ramnani: Got it. Can you please quantify that provision reversal, if possible?

Tata Elxsi Limited
October 17, 2023

Page 16 of 19

Gaurav Bajaj: It's a small amount, but yes, it adds up. It's maybe 0.2%, 0.3%.

Akshay Ramnani: Got that. Thank you and best of luck.

Gaurav Bajaj: Thank you.

Moderator: We have the next question from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Yes. Good evening. Thanks for taking my question. I have a question for Nitin. Nitin, you referred to the two tracks earlier in the Media and Communication vertical. So just wanted a sense on between the efficiency driven track that you referred to versus the second track of customer experience and monetization, do you see any change in either of those segments, say, from how the pipe was looking at the beginning of the quarter versus now?

Nitin Pai: I think it will be a little too early to say, Apurva. In the sense that if you look at it, on one hand, there is a big play of digital and AI in both tracks, because you can drive efficiencies through use of AI and digital. Also, all the new revenue streams that you're talking about are also predominantly technology and AI driven. I think the point that Manoj made, I think I'll use the same words. I think we are seeing green shoots of a lot more conversations and a lot more relevant conversations that promise to be deals. Now I think it will be still too early to say whether this will have an impact in Q3 or we have to wait a little longer.

Apurva Prasad: All right. Got that. And just finally, the headcount addition, Manoj, how should we expect that for the next two quarters and run rate as this quarter?

Manoj Raghavan: We're not stopping our hiring engine. So that continues to go along. So that will be, of course, plus, or minus, but we will continue to add people.

Moderator: Thank you. The next question is from the line of Tushar Bohra from MK Ventures. Please go ahead.

Tushar Bohra: Thanks for the opportunity and congratulations to the m

anagement for an excellent set of

numbers. Sir, in terms of the diversity, in terms of domains, can you highlight work being done in, say, space side in offshore and aerospace and things like that, which are still not yet categorized separately, but management is highlighting that at some point, we will do so.

Nitin Pai: Yes. Maybe I can take that, Tushar. I think if you look at it, our hands are full at this time with automotive. So, if you look at four years back, even before COVID hit us, we were starting to see certain signs of stress in the automotive sector, because everybody was pouring money into areas and things that they should not logically be doing, including shared mobility and so on. So, we believed that there was going to be stress and we needed to de-risk. And the de-risking at that time was taken very clearly with the view of rail and off-road vehicles being the more stable, mature, if not as large, industries to go into. I think we have done very well in ramping up there. But the problem that we have now is that the demand in automotive is so much that it

Tata Elxsi Limited
October 17, 2023

Page 17 of 19

is consuming everything that we can add. So, to that extent, we are actually starving some of the areas we already are in, just to be able to fuel the growth that we need in automotive.

Aerospace, I think we bring all the right capabilities, because if you look at ingredients of what is needed in terms of software, in terms of machine critical capabilities, in terms of fail safe systems, we bring everything that is right. If you look at the kind of work that we've done for ISRO or HAL and so on, you will actually find a demonstrator. But is it worth getting our feet

and jumping in deep into the aerospace pool, we are not so sure as yet. So right now, I think it will be a little bit of a dipstick model in aero, because we need to be very clear that we'll not only be able to get in, we'll be able to scale and differentiate. I think we are always very careful about qualifying those two parts. So, I think it will be a little bit of a skunkworks for a while.

Tushar Bohra: Second, sir, in terms of the disruptive components or I will say that technologies, which have the ability to accelerate like using meta, for example, virtual and augmented reality or the generative AI piece of it, if you can highlight anything meaningful qualitatively or quantitatively in terms of number of conversations or nature of conversations? Or how are you able to come up with some differentiated assignments, something that gives a view as to the next two, three years, how things could be for the company?

Nitin Pai: Yes, I just don't want to generate auto text on the subject. I think I'll simply put it this way. As Tata Elxsi, I think we're very, very focused on identifying trends that we believe will pick up. If not one year, maybe two years, three years, four years. So, we look at it in horizons. And in that sense, AR and VR is something that we've been doing from 2016. And you'll find press releases as old as that in terms of a tie-up with Unity to transform what will happen with verticals in AR/VR outside of gaming. Because we said, look, we don't want to go into the mainstream piece. We want to look at what we'll do for everything else. If you take AI, you will find that we announced our own autonomous car technologies right from 2014. We won large programs in 2017.

So, the point I'm trying to make is that you can take any technology line, AR, VR, metaverse, you can take cybersecurity, you can take AI. AI is now taking the form of GenAI. You'll find that our investments actually date back to at the least three years, most likely, more like five, six, seven years. GenAI, I think it's just the latest piece on the bandwagon.

I think the interesting part about GenAI is that it's all-pervasive, because it seems to have an impact on almost every

thing that is being done, especially if it's related to text image and voice, primary impact on customer experience and marketing, but then further into operations and product development. So, we have POCs going on. We have pilots going on. We have conversations going on.

Manoj Raghavan: We have projects also going on.

Nitin Pai: But to start projecting that as the future, I think I would hesitate.

Moderator: Thank you. We will now take the last question from the line of Santosh Kesari from Kesari Finance.

Tata Elxsi Limited
October 17, 2023

Page 18 of 19

Santosh Kesari: Sir, I just had one question, and that was whether Tata Technologies is coming up with an IPO.

Manoj Raghavan: Yes, they are.

Santosh Kesari: So, basically I wanted to understand what's the difference between the line of business you're in and the Tata technologies?

Manoj Raghavan: Your question is about how Tata Technologies is different from Tata Elxsi?

Santosh Kesari: Yes. I mean that.

Manoj Raghavan: Tata Technologies has always been there for many years. It's just that they are showing their IPO hopefully in this quarter. I think Tata Elxsi is very clearly a design-led embedded engineering organization, focusing on product designs. Tata Technologies does a lot of work, including mechanical, PLM, ERP and so on and so forth.

So yes, there are some complementary skills within both the companies. We have common customers and also occasions where we bid together on some projects. So, to that extent, I think they are a great company. However, their areas of operations are very different from what Tata Elxsi does.

Santosh Kesari: So, I can say that you are in high-tech engineering and they are into exclusively automotive customers, into ERP and production and factory-led engineering.

Manoj Raghavan: Yes, PLM and so on and so forth. Yes.

Santosh Kesari: Okay. Thank you so much, that was my only question.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Manoj Raghavan: Thank you, everybody. Q2 has been, I think, an incredible performance given all the macroeconomic uncertainties and the challenges that we've had. And definitely, I would like to thank all the Tata Elxsians, who have contributed to bring this growth. As a management team, we are focused and to see that we continue this performance and the growth trajectory. So, our laser sharp focus will be on to see how we can grow H2 over H1. We are confident on the strategies that we have and we're confident on the direction that the company is moving. So, with that, I would like to conclude here and would look forward to interacting with you again

at the end of Q3 results.

Nitin Pai: And we'll, of course, wish everybody a very, very happy Navratri.

Manoj Raghavan: Yes, I wish everybody a happy Navratri, Dasara and enjoy all the holiday season. Thank you so much.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Tata Elxsi Limited

October 17, 2023

Page 19 of 19

Audio recording of Q2 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2024

January 29, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the earnings conference call for the quarter and nine-month period ended December 31, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2023, held on January 23, 2024.

The audio recording and transcript of the earnings conference call can be accessed on the Company's website at: <https://www.tataelxsi.com/investors>.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
Page 1 of 17

"Tata Elxsi Limited
Q3 FY '24 Earnings Conference Call"
January 23, 2024

MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
M R. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
M R. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
M S. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
January 23, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q3 FY '24 Earnings Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning, if you are logging in from the Western side.

Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors, therefore, must be viewed in conjunction with the business risk that could cause further results performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.

With that, I would like to hand the call over to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank, and good evening, everyone. At the outset, let me wish you all a happy, healthy and prosperous New Year. Thank you for joining us for the third quarter earnings call.

I'm happy to report that our revenue from operations in the third quarter stood at INR914.2 crores, which corresponds to a 3% quarter-on-quarter and 9.4% year-on-year in constant currency terms. We continue to maintain our EBITDA margin well above 29% and for

this

quarter, it was reported at 29.5%.

I'm also happy to report growth across our entire portfolio of customers, including, and beyond the top 5 and top 10, which reflects the differentiated proposition that we bring to customers. If you look at our -- the split of -- split between different businesses, EPD came in at about 84.7%, IDV at 12.3%, and the system integration business at 3%.

In terms of regions, Europe grew well at about 5% quarter-on-quarter. We also saw smart growth in Japan and rest of the world, including some large deals and new customer wins,

Tata Elxsi Limited
January 23, 2024

especially in automotive sector. If you look at our various businesses within the EPD, our transportation business grew at 1.9% quarter-on-quarter in constant currency terms. We had some delays in the ramp-ups in this quarter due to the shorter quarter and year-end holidays. We are in a good position to capture growth opportunities in the continued transformation of the automotive industry and the software-defined vehicle space with a strong deal pipeline. In the Media and Communications vertical, where business environment for the media, telecom and technology industry is challenging, our performance has been quite satisfactory overall.

Our revenue from this business has declined marginally by 0.1% quarter-on-quarter in constant currency terms. We continue to engage with our key customers in helping them drive efficiencies in current operations and also help them create new revenue streams for their businesses. You will note that we have significant contribution from the U.S. for this vertical and the media and technology sector was the most impacted in this region.

Healthcare and Life Sciences business performed strongly, registered a 3.9% quarter-on-quarter growth on a constant currency basis. During this quarter, we won some large deals, both in regulatory and new product engineering services.

Our Design Digital strategy is continuing to drive differentiation and growth for us. The Industrial Design & Visualization business grew by 11.7% quarter-on-quarter in constant currency terms. And during this quarter, our design teams have executed some landmark projects that spans user research, design and implementation and leading the way for our

customers to transform consumer experiences across industries.

I'd like to highlight the recognition of our Design Digital capabilities with the German Design Award 2024 for Excellence in Design. This award for the Gen 3 next-gen automotive HMI that we won along with Tata Motors truly showcases the power of design when aligned seamlessly with technology to elevate driving experiences for future cars and electric mobility.

I'll now briefly discuss about our investments in people and capacity. We continue to invest in building a talent pipeline with a net add of 350 Elxsians in the quarter. This brings the total net addition to over 1,350 in the first 3 quarters of the financial year.

Our employee engagement and talent retention strategies have contributed to attrition further improving to 12.9%. We're also investing in building solutions offerings in capacity for AI.

We are working with customers and executing some exciting internal projects to harness the power of AI and Gen AI, targeting to solve problems, drive efficiencies and drive and deliver completely new value for our target industries.

We expect to ramp up investments further in the coming quarters as we expand the purview of applications and offerings across industries, product life cycles and domains. As we move into the fourth quarter, we carry the confidence of a strong pipeline across our businesses and some great conversations going on with our key customers.

Tata Elxsi Limited
January 23, 2024

Page 4 of 17

I would now hand over the floor to Shashank from E&Y for the Q&A session. Over to you, Shashank.

Shashank Ganesh: Tha

nk you very much. The first question is from the line of Vimal Goel from Alchemy Capital. Please go ahead.

Vimal Goel: Thank you for the opportunity. I hope I'm audible.

Shashank Ganesh: You are audible, sir.

Vimal Goel: Thank you. Sir, my question is around Transportation. We have been highlighting a strong deal pipeline fairly consistently despite whatever macro-related uncertainties that are ongoing.

However, the strong deal pipeline doesn't seem to be sort of [inaudible 0:07:41] for us, barring 2-2, we've seen soft revenue growth as compared to this year. So, what explains that? That is point number one. The second point is if you can just help us break, what led to - how much of our softness was led by shorter quarter and how much was led by delay in the closure of projects?

Manoj Raghavan: So, we continue to be very, very bullish about the deals that we're chasing in TBU. And in fact, in our Transportation business, we have closed some significant deals in Q2 as well. But however, some of the ramp-ups are taking some time, which was expected to ramp up in Q3. Part of that ramp-up has been pushed out to Q4. So, I think that's what we are seeing in the industry. I don't think it's something that is really bothering us at this point in time. We continue to invest in our talent and get ready to execute those programs as seen in the sort of strong hiring that is still ongoing.

So, it's a question of some of these deals, the start of these deals or some of the ramp-ups of these deals getting pushed a little bit here and there, again, due to customer-related issues and we've had some union problems and so on with our customers and so on.

So, some of those issues are getting sorted out. And hopefully, in Q4 and subsequently in Q1 and so on, we will see a strong ramp-up in these deals. So, we're not worried so much about that. However, the fact is that we continue to invest in talent, invest in our - building up the sales pipeline, and we are still very, very confident about the transportation industry.

The second question, I think, a lot of it, especially in the Media and Communications industry, what we are seeing is because of the shorter quarter that we have. And also, we've seen an increased furloughs in that particular industry, especially in the U.S. geography. That has also contributed to our Media and Communications, that business being pretty flat. We are taking steps to see how we can build up the funnel and pipeline there. But I think definitely that industry is stressed, and it will take, I would say, a couple of quarters more before we get a clarity on it. And there's a lot of changes happening.

There are M&As happening. There are cost takeouts happening. So, our focus is a lot more on consolidation opportunity and trying to increase our wallet share within our customers. And because we are a lot more offshore-driven execution and so on. We are bringing that efficiency

Tata Elxsi Limited
January 23, 2024

Page 5 of 17

to customers and saying that, hey, given the situation you are in, doesn't it make a lot more sense for you to move a lot more work offshore and let us execute it and then really take a lot more pie from our competition. So that's something that we are working on. So, we will have a lot of consolidation and cost takeout deals where we are focused on. So that's something that we will focus on especially on the Media and Communications business.

Vimal Goel: Manoj, one follow-up there. In the transportation business, do you think that there has been a higher contribution of short cycle deals leading to a lot of volatility in the quarterly performance?

Manoj Raghavan: No, no. Absolutely not. There is - I mean, a lot of the deals are pretty long term, significant large - significant deals not so much. Three years ago, 4 years ago, we used to have many of these short cycle deals 2 months - I mean, sorry, 2 quarters, 3 quarters sort of

a deal. Now, we

have got out of that scenario, it's - most of the deals are long-term deals.

Shashank Ganesh: Thank you. The next question is from the line of Karan Danthi from Jetha Global. Please go ahead.

Karan Danthi: Two questions. The first is a little more high level. As we are primarily an offshore driven business, will the advent of AI allow us to effectively move up the value chain and are we seeing evidence of that, i.e., the quality of work that you can do offshore with some of these AI tools should be significantly enhanced. And I'm wondering if you're seeing augmentation for your existing deals or perhaps even new deals where you're clearly doing higher value work.

And if you could just speak to some of the AI deal sizes or examples of AI work that would be great.

The second question would be on healthcare. You've shown a little bit of an acceleration, which was nice versus the previous quarter. Can you keep going? Can this vertical continue to accelerate as there are numerous other examples of AI applications, both within medical devices, drug discovery and other areas. It seems like it's an area that's ripe for AI to be used to bend the cost curve. So, I'm just curious whether that vertical can perhaps make up for some of the weakness of media and comm.

Manoj Raghavan: Yes. Let me take the healthcare question, first. Yes, healthcare has seen a good uptick in this quarter. And that's very satisfying for us because a lot of effort has been put in both from new deal wins and really going after new logos and so on, right? That is definitely there. Plus, we strategically really focused on a few top customers in our healthcare business and really deep dive in terms of farming deeper into those accounts and so on, taking new value propositions. You - rightly, you talked about AI-led value propositions and so on. So, we've been successful to, I would say, enhance our overall market share even in our existing customers as well as win some new logos there. We hope to continue this momentum that we have. However, it's pretty early. I mean the sense that we've had a situation last financial year with the overall MDR business falling off the cliff. And I think we've done a significant piece of derisking there and our ability to withstand that sort of a business situation and come out of it and really generate new revenue stream.

Tata Elxsi Limited
January 23, 2024

Page 6 of 17

I think I would like to give credit to the team who have done a fantastic job, both sales and the delivery organization to really retarget our offerings and embrace some of these new paradigms, including AI and bring in new opportunities for us. So - but again, it is a start, we would definitely want to look at a few more quarters to really be confident that, look, this is a secular sort of growth that we can expect. In general, on the AI, maybe I will request Nitin to address that.

Nitin Pai: Thank, Manoj. So, Karan, first of all, I don't think AI has particular inclination toward offshore or onshore. I would rather align it to the nature of the work that you do and the ability for AI to bring in value there, whether it's of efficiency or of completely new KPIs and value. To that extent, I'll just state that AI has been part and parcel of what we do for many years now, right? So, in AdTech and OTT, whether it's recommendation engines, dynamic pricing engines, all these are fundamentally AI based.

If you look at automotive, AI has been part and parcel of everything that we do in autonomous cars and ADAS features and so on. So, to that extent, there is progression even in that part of AI. We continue to work on that. Gen AI, I think, is the new paradigm where you're now able to capture learning, capture organizational learning and knowledge and then reflect it back into either faster time to market, better code or hopefully also discovering completely new applications.

I think for us,

AI is and continues to be part of parcel of what we do. Gen AI and how to use that to drive efficiency or to create completely new revenue streams, I think, it's a new journey that we are on. And you will see that we're actually starting to make fairly significant investments both in terms of new people, ramping up and training and retraining existing people as well as infrastructure and related investments that we are making in-house. To that extent, I think, in our deal announcements, you will actually see AI reflected in 2 slightly different contexts. In one context, it's about not only delivering consolidation in the media and telecom industry with a particular customer, but doing it on the back of offshoring, ownership and AI. While in the second deal, where it is to do with healthcare, we're actually making AI part of the process of automation and speed in order to bring that value to customers. So, we're actually seeing that already reflect in the nature of the deals that we are winning, and we are building. So that's where I would put it, Karan. Gen AI is still early, but we're already seeing some use cases we're able to leverage it. But for us, AI is well beyond Gen AI.

Shashank Ganesh: Thank you. The next question is from the line of Akshay Ramnani from Axis Capital.

Akshay Ramnani: So, first question is a follow-up to the question which a previous participant asked on the transportation segment. So, if I look at the transportation growth on a Y-o-Y basis, it has moderated substantially what we were growing in, say, FY'22 and '23. So, on a 9-month basis - leaving this quarter aside, even on a 9-month basis, we would be at closer to about 16% growth versus what you are delivering at about 30% growth in FY'22 and '23.

Tata Elxsi Limited
January 23, 2024

Page 7 of 17

Now this is compared to other peers who have either seen a steady or an increase in growth rate in automotive R&D. So, I wanted to understand what is leading to us seeing a slowdown or deceleration despite us having strong capabilities and conducive market conditions. So, if you can touch upon that aspect of how we are seeing a different trend versus other peers?

Manoj Raghavan: I'm not sure about other peers, but I can only talk about Tata Elxsi. I think year-on-year, 16% growth in this market is it's pretty creditable, I would say. And as I said, right, we have accelerated this growth a lot more because there are deals that are there in the bag. We have not been able to turn on the tap fully on resourcing because of certain constraints at our customers' end. And it's a matter of time that those constraints are removed. And if those situations at the customers' end open up, we will be able to accelerate. And that's what we are looking at both in Q4 and subsequently in Q1.

And we're pretty confident, and that's why we are also investing in the resources and ramp-ups that are happening, we are having all those conversations with our customers. I want to also emphasize that yes, one part of the business is we are winning a lot of OEM opportunities, right? And that's a good part of our business. The other large part of our business is also the work that we do for Tier 1s. And unfortunately, you know that the Tier 1 situation, you have a lot of consolidation happening.

And Tier 1s are also - their business is also getting affected because OEMs are taking more and more ownership and more and more responsibility. At the same time, the Tier 1s are also setting a lot of captive centers in India and so on. So, there is some amount of, I would say, attrition in our Tier 1 business that gives you an impression that they are slowing down. But in reality, our push and focus toward the OEMs is still pretty strong, and that is really propelling our business forward.

The relative slowness, I would say, is attributed to the part of the Tier 1 business coming under stress, either due to Tier 1s

themselves losing business from the OEMs and so on because of what the OEMs are going through as well as the Tier 1s deciding to set up their own captives in India, and that's moving business away in some sense from us. But however, we have a long tier of customers, and our focus is to really focus on some of the large Tier 1s who have been our customers for the last 10 years, 15 years and go back to them with the consolidation proposals and features.

And our focus is not to really focus on the entire landscape, given the fact that market is going to be very difficult going forward. We are putting all our energies on some of our top customers there and consolidating business and winning market share. And that's something that we're working on. I hope that addresses your question.

Akshay Ramnani: Yes, yes, yes. But extending that discussion forward to the geographies part. So, if I again look at the incremental growth, majority or most of it has come from Europe over the past 9 months, like Americas is flat and I understand Media and Communications is - has a role to play. But even if I try to adjust for that, America even looks weak on an adjusted basis. So, if

Tata Elxsi Limited

January 23, 2024

Page 8 of 17

you can help us understand, is there some particular weakness on the transportation side as well on North America, which may be impacting growth there. How should one read this?

Manoj Raghavan: So exactly the same answer that I told you, right? A lot of our North American business has been driven by our Tier 1 supplier business. The OEMs there have been very, very competitive from a pricing perspective as well as for some of the terms and conditions of doing business has been very difficult, right? It's very difficult for us to accept some of those terms and conditions.

And so, we have been generally very careful with some of the North American OEMs, including unlimited liabilities and so on, which we know some of our competition has accepted. But these are things that we are very careful about and so our focus has been a lot more on the supplier side of the business.

And given the fact that we are having those situations with the suppliers, that's why you would see some amount of slowness in our North America business also. Having said that, yes, there are a set of OEM customers that we are engaged with in North America as well, especially on the new age OEMs and so on. Plus, we've also been shortlisted by one of large OEMs for SDV program there. So, I think we are - it's not as if everything is going down there. We are carefully managing our business without adding risk to our overall portfolio without really decelerating too much. But at the same time, focusing our energies on where we see maximum growth happening and where we see maximum returns for the investments that we're making.

At this point in time, both Europe and APAC in general, right, including Japan, we're seeing very, very good traction, especially I'm happy to report the APAC region recovering very significantly for us in automotive side.

And I think that gives us great confidence. We will be cautious on the U.S. business, but it's not as if that we are giving up on that. We have strategies in place to address that particular business. But yes, it is a tough business, and we need to navigate that very carefully.

Akshay Ramnani: That's very clear, Manoj. Just one for Gaurav, which is can you share the margin for the quarter, please?

Gaurav Bajaj: Yes. So, Akshay, I think our EBIT margin, operating margin came 30 basis points lower compared to the last quarter. I think most of those investments and the cost that has been done is well calibrated and has been made keeping the long-term view of the organization in terms of the capability, building development of the infrastructure and other talent management.

Most of the expenses has increased in the other expense bucket. 70 to 75 basis points

increase

toward the travel and the visa expenses in the quarter because there was a lot of sales pursuit, sales promotion activities and other events that has happened during the quarter, which was well known in terms of the investment that has to be done in this quarter for us. And it also

Tata Elxsi Limited

January 23, 2024

Page 9 of 17

includes some of the training that we do for the campus batch that we have been taking over the last few quarters. So that is one.

Second, I think we have talked about in some of the earlier questions that we are making a little bit of green shoots and early shoots into the AI kind of investment, involving capability, building infrastructure development and training and retraining of available talent in the organization. So, we have started to make a well-educated investment into those - AI-related investment into the offering that is more relatable to the sectors and industry where we operate, which add another 40 basis points.

So that both put together is about 115 basis points. People cost was mainly in line with the volume increase and the revenue growth that we have registered on a quarter-to-quarter basis. So, it's hardly 10 basis points, I would say, on a quarter-to-quarter kind of an impact from

quarter 2 to quarter 3. So overall, people plus other costs increased by 125 basis points. At the same time, you will see that our cost of sales has gone down by 55 basis points. It is, again, completely related to the project and the cost undertaken under those projects.

Last quarter, we had significant cost toward the - some of the product-based revenue, including tools, hardware and software. This time, I think, the revenue has been more from the people-related effort and less on the hardware and the software. So that gave you a 55-basis point kind of a dip if you have to do a comparative analysis from a quarter-to-quarter basis point. And overall cost increased by 80 basis points.

And with the exchange benefit of 50 basis points, the EBIT has been down by 30 basis points.

And I think it has been within our range that we have narrative over the last few quarters that we like to operate in a range of 30 to 40 basis points in and around 27% on an EBIT basis. But if you see on a PBT basis, we have a slightly better other income due to the interest on our investments and the funds surplus available to us and also on the exchange side, and we're able to recoup some of the lost basis on the EBIT side. But at the PBT side, if you see, we are similar and at the same level of 28.9% compared to the last quarter.

Shashank Ganesh: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta: So, a couple of questions. Firstly, on the Transportation business, you highlighted the U.S.

OEMs are being quite competitive on pricing, and we have been cautious over there. So, can you just explain to us what is driving this price competitiveness from the OEMs in the U.S.?

The second question is, I understand that 3Q was impacted by delay in deal ramp-ups in the transportation vertical. But going ahead, should we see ramp-ups normalized? Or it will be more of a gradual recovery over 4Q and 1Q? And lastly, on Media and Communications, I understand it's been quite weak over the past few quarters. What are you hearing from clients? Is the worst behind? Are we seeing any green shoots at all? Or do we still have to wait for a few more months before some clarity emerges?

Tata Elxsi Limited
January 23, 2024

Page 10 of 17

Manoj Raghavan: I'll go the easiest question first. Yes, the Media and Communications vertical is still pretty weak. I think we don't have full clarity yet in terms of how next financial year is going to look like. We are having discussions with our customers. And again, we - at this point in time, it's very difficult to say that, look, we are seeing some green shoots and so on. So, I t

hink we will

wait for one more quarter to see how some of the moves in the industry, right, including M&As and including the cost pressures that are there on some of our customers due to their own revenue situation - revenue growth situation and so on, right?

So, I would say still that industry is under a lot of stress and - so the only option for us is to really stay relevant and see how we can gain market share and in a situation where the overall pie could remain stationary or even could decrease, right, could come down. How do we stay relevant? And how do we - what is the value that we can contribute so that we can take a larger pie of that business, right?

So that's where we're looking at from Media and Communications business. Transportation business, I think I discussed that detail where we are and so on. We are hoping that in Q4, some of those deals - ramp-ups would pick up, and we can definitely look at the end of this quarter, Q4, the situation and then assess further, right, what we need to do. What was the first question?

Management: I think, it was about the ramp ups in Transportation.

Manoj Raghavan: Okay. I hope I've answered...

Bhavik Mehta: Yes. So, the first question was what is driving the price competitiveness in the U.S. OEMs where we are being cautious and not participating to the extent we would have liked?

Manoj Raghavan: Yes, some of the deals are - you have 4, 5 vendors bidding together, and prices driven down drastically and also terms, right, terms. One is price alone in commercials. Other is the terms that come with those commercials, right, including legal terms, including payment terms and so on. If you put all of that together and when we are getting better deals in other parts of the world, right. So somewhere subconsciously, the teams tend to really move in those directions.

But for us, the focus of U.S. is a large market, and we cannot ignore it and so on.

So, we are being very selective in the type of deals that we are picking up. We are playing to our strength and really not going after all the deals that are there, which could be the margin dilutive, or which could create issues for us at a future point in time. So, some amount of discretion, some amount of caution we are looking at there.

Shashank Ganesh: Thank you. The next question is from the line of Omkar Sawant from Marcellus Investment Managers.

Omkar Sawant: Manoj, I had a question on the Design Digital strategy. So, one of the key deals that you have mentioned on infotainment and in- cockpit that looks to be similar to what the deals you have won so far. So, can you elaborate more on the Design Digital strategy? And how exactly is it different from the business that we have won so forth, maybe some other examples?

Tata Elxsi Limited
January 23, 2024

Page 11 of 17

Nitin Pai: Yes. So, this is Nitin here. Maybe I can take that, Omkar. I think for us Design Digital is where - while design stays constant, what we're looking at is a part of digital, which is ever changing. So, if you look at 4, 5 years back, you would - and I'm just taking automotive itself. The only interface available was really about touch. And that is the only thing that was digital about the infotainment system.

You look at what is happening now, you have touch, you have haptics where you have certain surfaces that vibrate or so on and so forth. So that you can better inform and better engage with the drivers and make sure that there's no driver distraction. And most importantly, there's also the interface voice, where voice is now taking over certain functionality.

So, when you think of design and digital, remember the design has to now adapt continuously to what digital can offer. So, if you now have voice interfaces, how does your design incorporate voice interface as one mechanism of interacting with the e-car. If you now have haptics, where is haptics best delivered?

And at the same time, you

also have to make sure that you're not ballooning up costs. Because

remember, each of these interfaces are very expensive. The in-cockpit lenses, whether it's of camera, whether it's of touch or of haptics, is a very expensive proposition.

So how do you drive the right balance of sensors that will deliver you the additional sensory inputs or output? How do you balance that with the design, which has to guarantee that the driver is not distracted? It is something that is intuitive enough for him to use. I think that is the moving target, and that is the holy grail for all designers. And I think that is where we really truly excel because we bring that deep understanding of how technology works, our absolutely fantastic knowledge of embedded technologies, coupled with design.

Omkar Sawant: And how exactly are we capturing downstream value here?

Nitin Pai: Yes. So, the downstream value was really the implementation of the HMI itself. The hardware and systems that now have to change in order to bring in these kind of sensory inputs or outputs. Two, the embedded software that has to implement the HMI on the infotainment systems. And if it is a connected car, how do you reflect some of this back in the app that the consumer uses too? So, in some sense, there is a downstream chain that is affected by, what design proposes first as the method of interaction.

So, what you would see as a new screen is not just a new screen. And it's very simple to think of it as here is a new web page. But remember, it's not a static web page, it is an interaction screen that has now been - behind it, there's a lot of codes that is now actually implementing what you want to do with it.

Omkar Sawant: And would we also take over the support of such systems?

Nitin Pai: That's correct. So, for us, I think the longer product life cycle opportunity is that, especially with connected cars, HMIs are not going to be constant. You will see updates every once in a quarter, if not more often in terms of sprint cycles of agile design. So, the intent is to support

Tata Elxsi Limited
January 23, 2024

Page 12 of 17

two parts. One, the maintaining of the code in terms of DevOps cycle, CI/CD and so on. The second is in terms of the actual incremental implementation that happens quarter-on-quarter, sprint cycle by sprint cycle. So, I think that is where we are starting to see that sustainability and stability of design and system integration business, which is coming from the fact that there is a tale of revenues that follows any project, and is no longer a project all by itself.

Omkar Sawant: Okay. Okay. And this is primarily in automotive, right?

Nitin Pai: No. So, this is true for media and telecom. Why? Because all our - work that we do in OTT, again, you'll find that whatever you're talking about in automotive is true in OTT because if you think about your search that's happening in your smart TVs or your OTT apps, you're using voice as much as you're using touch.

Shashank Ganesh: Thank you. The next question is from the line of Kireet from Jetha Global.

Kireet: So, the first question is regarding the transportation vertical. You've kind of alluded to how you plan to increase wallet share among existing clients. Can you maybe give us a sense of what the incremental opportunities are in terms of scope of work? It'd be good to understand what incremental, I guess, what this scope of work would be? And how much further and deeper you could go, for example, in the SDV vertical?

And the second question is relating to healthcare. So, you talked about retargeting new opportunities and how the sales team has done a commendable job there. So, can you share some color on what these opportunities essentially entail and what the margin profile for these projects would be?

Nitin Pai: Kireet, this is Nitin here. Maybe I'll take the first one. I just want to clarify that Manoj's point about the consolidation etcete

ra, was predominantly in the Tier 1 or the supplier business. I think suppliers are starting to see some amount of consolidation within themselves. You'll also see that some suppliers are shedding parts of their business, which are not attractive anymore and you have a lot of the Asian suppliers who are now buying out those businesses, which are more commodity while they retain only the very high-value, high-end electronics and software business.

So, his comment was in response to the point that we are seeing a significant shift of our revenues and very strategic to us intentionally from what was supplier dominated earlier to more OEM dominated now. So, the OEMs, it's a pure growth story and participation in SDV and all the deals that we are getting into our strategy because we don't want to be tactical or marginal to any of the OEMs that we work with, right. And that's why you'll find a lot of the commentary in the U.S. is about that, that is possible to win deals, but there's no interest in being marginal or tactical. It has to be strategic, and that's why the quality of revenues matters. The consolidation part is where we are saying, look, instead of working with many, many suppliers, which, for us, the universe is open because of our capabilities. We are taking selective bets on a few. And

Tata Elxsi Limited
January 23, 2024

Page 13 of 17

what we want to do is to make sure that we grow very well and very sustainably with those few.

Manoj Raghavan: Right. On the healthcare vertical, as stated, we had a huge exposure on the MDR piece - regulatory piece. So, we have successfully retargeted all of those skills into other regulatory aspects of the business. So, our overall MDR dependencies on the regulatory business, we are hoping to bring it to less than 25%. It was at one point in time about 70%, 80% of our regulatory business used to come from MDR, and we have been able to successfully retarget to other areas, and that's been done pretty successfully.

We've - I mean we've also focused a lot on new product development, and that cycle has started. I think during COVID, some of the new product development businesses was sort of put on hold and we see that cycle coming back. So that's something that we are focusing on.

And of course, digital is now a focus area for us, including in the medical space, and we are spending a lot of - we are winning deals on the digital domains there. And that's another area for us that we would focus on.

So yes, I think that's - from a margin profile, I think healthcare does provide, I would say, reasonable margin for us. We don't give out the details, but I think it's pretty satisfactory margins as far as we are concerned and we definitely want healthcare growth to lead the organization, especially in the next financial year and so on.

A lot of investments that we are making in that business, yes. So pretty bullish in terms of how that business will span over the next 4 to 6 quarters. And I think we have talked about that - this business to achieve about 20% of the overall revenues of the company by 2026. I think we are on track there.

Shashank Ganesh: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Sir, I am listening to your call. You are giving answer of all questions. Can you give what is our order book?

Manoj Raghavan: No, we don't give out those details, right, at this point in time. We don't talk about the order book. So sorry will not be able to share the details with you.

Ravi Naredi: Okay. Can you give how many quarters order book we are having like this in soft way?

Nitin Pai: Not really, Ravi. I'm so sorry. But...

Ravi Naredi: No need of sorry. It is our system, and you should not break for me. Second, our employee costs are higher in this quarter than year-to-year last year quarter. I think it was 50.5%, and it is now 54.5%.

Manoj Raghavan: Yes, I think the investments that we have

made and so on, right? So, I think it's a temporary scenario. And if you look at it - if you look at all the companies, they have only been decreasing the headcount, right? I think we are one of the few companies that are adding headcount at this point in time. So, I think we will be a little cautious this quarter and the next

Tata Elxsi Limited
January 23, 2024

Page 14 of 17

quarter in terms of - and we have a healthy bench, right? So, there is no need to keep adding resources.

I think we've reached a point; we have focused, or we have planned for all the orders that we have won, and I think they're in a healthy position to be able to extinguish that bench as the

utilization picks up. I think as the business volumes grow back; I think we'll get back to our older ratios of employee cost. It's a temporary situation. And we will keep a close watch on this in Q4 as well as in Q1 to see that we don't add too many resources because we have – already have a pretty healthy bench.

Gaurav Bajaj: The way things were, I think, during the COVID, on-site profile also went down a little bit. Now it has come back to the more stable level of 25%. So that's also another factor that adds to it. But I think we have been managing this at a very stable level for the last few quarters now, 6 to 8 quarters.

Shashank Ganesh: The next question is from the line of Sulabh Govila from Morgan Stanley.

Sulabh Govila: My first question is more of a clarification on the comments made earlier. So, on the healthcare piece, if I heard it correctly, you mentioned that it might take a few more quarters for us to be able to say whether this growth is secular in nature. If that is correct understanding, so I just wanted to understand whether the growth visibility for the next 1, 2 quarters, how is that?

Manoj Raghavan: So, let me clarify that, right? Yes, we've seen pretty good growth. That is deal pipeline that is available. So, we are hoping to continue this growth path, right, given the deal pipeline that we see. But however, since we've had a few tough quarters earlier, and we've sort of broken out of that tough quarters, and we're able to show some decent growth, I just want to be cautious that look, give us one more quarter, whether we can confidently say whether this will move forward in the right direction or not. We are confident that we are on a growth path. I'm just being extra cautious here. I hope that's understood.

Sulabh Govila: Yes. Okay. Understood. Very clear. And second bit is, on the last call, we had sort of indicated that we will try to do better in H2 versus H1. And given that now at least on a Y-o-Y basis, we are tracking below in the third quarter versus 1H. Does that aspiration still hold? Because the ask rate for 4Q then becomes a little high.

Manoj Raghavan: Yes. I think we were really hoping for a revival of our Media and Communications business.

And unfortunately, that - we are hoping that at least in Q4, which is for most customers, it's a Q1, right? Many customers in the Media and Communications have a Jan to December cycle. And we were hoping budgets to be opened up in the Jan to December cycle.

Unfortunately, that clarity is still not there. And that's why we are being a little cautious about that business. So having said that, we're still focusing on our transportation business, healthcare business. If you have seen that we have significantly grown our industrial design business.

Tata Elxsi Limited
January 23, 2024

Page 15 of 17

So, a lot of these businesses are actually helping to show the growth, even though our Media and Communications business is muted. So yes, so I think that is the real situation that we have. I don't have that data immediately with me to say over H1, whether - how much we will grow and so on. But it's our focus to really see how we can grow the overall portfolio over H1. So, we have some setback – I would not call it a s

etback in terms of from our Media and

Communications vertical. We're not seeing that green shoots yet. If we had seen those green shoots, we would have been a lot more confident. But having said that, all other businesses are tracking reasonable growth.

Sulabh Govila: Understood, sir. One last bit, if I may. Just wanted to extend that discussion on the headcount addition. Given that we are sitting at healthy levels today, I just wanted to understand how much room or leeway we have on the utilization bit to inch up in the next couple of quarters?

Manoj Raghavan: Yes. I think from a utilization perspective, definitely, we can move. I think we are - I mean, okay, let me answer it in this way. We talked about all the deal wins that we have won over the last quarter and the previous quarter. So, we have provided for all of the expansion, for all of those deal wins that we have. If the ramp-up happens as per our expectation, without adding additional headcount, we'll will be able to increase our revenues because all of those we have planned for, resourcing is already planned for. I'm not giving you a number out there. But yes, from a perspective of addressing all the deals that we have won, we are ready. We have trained people. We are ready. We should be able to pick it up.

Shashank Ganesh: The next question is from the line of Amit Ashok Thawani from Clear Blue Capital Advisors.

Amit Ashok Thawani: My first question is, it seems to me at least from top Media and Communications are underinvesting in technology or they are like behind the curve. Is that a fair comment? Or are they doing the technology investment in-house?

Nitin Pai: Yes. So, Amit, maybe I'll take that. This is Nitin here. There are 2 parts here. So, there is capex investments that have been significantly done over the last 2, 3 years, especially in 5G when you look at operators across the world. There are certain operators who continue to do it. So, if you look at India, we are in the middle of the cycle, right? So, there is capex investments.

These are fairly large and fairly long term.

I think the bigger problem that telcos are facing is, where is the money that is coming back to them in terms of subscriber increase, ARPU increases, premium value? So that, I think, is the problem. There is a gap between capex and expected returns and the actual uptick in terms of subscribers or per subscriber revenue.

Two, there has been a global slowdown in terms of OTT uptake. So, all through COVID, not only were consumers subscribing to 3 or 4 services, but it looked like they would be happy to consume more and more, both in terms of time and cost. I think, one, the fact that a lot of people have now returned back to offices, life is getting back to normal and not so much

Tata Elxsi Limited
January 23, 2024

Page 16 of 17

COVID. There is inflation across multiple regions. Part of it, quite severe, especially in Europe. I think it's all leading to consumer spend, especially discretionary, impacting the amount of subscription and the money that they spend on entertainment.

So, you'll see that there are noises being made right from the likes of Netflix to others who are saying, no, look, maybe we should be thinking of ad-based revenues because subscription is not good enough. So fundamentally, Amit, the point I'm trying to make is, it's not that there's no capex spend, it's not there's no investments. There are investments that are committed investments. The big question is, are they bringing back money?

And therefore, a large part of what we are doing actually is driving two tracks and you would have heard this on previous calls, efficiency parts, which are - look, if you're going to be pressured on bottom line and how do you improve your own margins, then definitely on the engineering side, we represent a fantastic value proposition of offshore and responsibility and ownership. If you're looking at growth, we are

building very specific offerings around growth alone, right, from AdTech to others.

The question is, how much money are telcos and media operators and so on willing to spend at this time? Because you have to also remember like Manoj mentioned, there's a lot of M&A and consolidation that's been happening there.

In certain cases, M&A and consolidation that is unraveling too, as you would see in India and what is happening with Sony and Zee. But you're also seeing that industry being pressured into all of this, too. So that is why I think we are being cautious. We would like to say many things, but I think at this time, I think it's best to exercise caution in terms of outlook.

Amit Ashok Thawani: Understood. The other question I had is that traditionally, we've had a tailwind of currency - U.S. dollar appreciation, but we may now be in a different era of maybe lesser depreciation of the rupee, how do we plan to kind of - how do we plan to address that?

Gaurav Bajaj: Amit, there is nothing that we can do about the currency movement. I mean I think, the only thing we can do is that we can focus to remain strong on our business and do the execution and the delivery of the projects, what we undertake. I think for the currency management, we have a very robust hedging policy internally in the company, and we continue to monitor the

currency on a daily basis and take the right hedge in terms of the exposure that is there in the organization. So that is how we are well managing within the SOPs and the policy governance under the Board of the company. And I think we have been doing fairly well in terms of stabilizing any impact or the negative adverse impact from the currency movement for the last few quarters.

Amit Ashok Thawani: My last question is, Manoj mentioned that some of our customers are getting acquired by AUM - OEM. And then the OEMs are doing the ER&D in-house. Can you maybe elaborate on that? And is that something to be concerned about as a broader trend?

Tata Elxsi Limited
January 23, 2024

Page 17 of 17

Nitin Pai: Yes, Amit, maybe -- this is Nitin again. Maybe I'll explain a little more clearly. I think the reference that Manoj made was to suppliers. And what we are seeing is that suppliers who otherwise were tasked with and delivered full systems and subsystems to OEMs. And OEMs are very light on engineering. They typically focused on specifications making sure that suppliers understood their specifications, find the right supplier, ring the right price out of them and make sure there is supply and integrating everything that came back from suppliers into the vehicle to make sure that the vehicle works, and they meet all the required safety and regulatory requirements.

This was predominantly the domain of OEMs barring a few areas that they would directly

invest into, including powertrain and engines and so on. I think with software-defined vehicles, we are seeing OEMs taking a little more central role in the software that goes into cars, not necessarily hardware. They still depend on Tier 1s for hardware, but there is less dependency on full systems. And I think that is the part we were talking of.

Shashank Ganesh: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Manoj Raghavan: Thank you, Shashank, and thank you to all the investors for patiently hearing us out and hearing our answers. We will definitely look forward to a good Q4 and another session of a really good conversation. Business is so dynamic, and I really hope whatever we talked about today, we'll be able to talk with a lot more confidence in the next quarter. Yes, so look forward to talking to you over this period and all of you take care and hope this New Year is good for all of us. Thank you so much.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes this conference.

Thank you all for joining
us. You may now disconnect your lines.

Audio recording of Q3 Earnings Conference Call

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2024

April 29, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir ,

Sub.: Transcripts of the Investors ' Conference Call for the quarter and financial year ended
March 31, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors ' Conference Call for the quarter and financial year ended
March 31, 2024, held on April 23, 2024.

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors> .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
Page 1 of 22

"Tata Elxsi Limited
Q4 and Annual Audited Financial Results for FY '24
Earnings Conference Call "
April 23, 2024

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
April 23, 2024

Page 2 of 22

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi's Q4 and Annual Audited Financial Results for FY '24 Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, sir.

Shashank Ganesh : Thank you very much. Good evening to all the participants in the call. Good morning for joining in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan,

Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We appreciate your cooperation restricting yourself to 2 questions to allow participants and opportunity to interact. If you have any further questions, you may join the queue, and we'll be happy to respond to them as time permits.

With that, I'd like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan : Thank you, Shashank. Good day to all of you joining us for the Earnings Call for the Fourth Quarter and for the full financial year '23- '24. FY '24 has been a year of consistent operational performance with a revenue growth of 13% despite the global macroeconomic uncertainties and volatility in the media and communication industry over the last few quarters. We have done well to main

tain industry-leading EBITDA margins at 29.5% for the year, even while we continue to invest in expanding our talent base through all the 4 quarters with a net addition of 1,535 Elxsians through the year.

Now I come to a summary of the financial performance in FY '24, our revenue from operations were at INR 3,552 crores, a year-on-year growth of 13%, EBITDA margin at 29.5%, PBT margin at 28.5%, profit before tax

Tata Elxsi Limited
April 23, 2024

Page 3 of 22

grew 11.9% to INR 1,048.7 crores. And actually, this is the first time our full year PBT crossed INR 1,000 crores.

Coming to the summary of the financial performance in Q4 of FY '24, our revenue from operations came in at INR 905.9 crores, a degrowth of 0.9% quarter-on-quarter and a growth of 8.1% Y-o-Y. And the operating revenue growth actually on a constant currency basis had a degrowth of 0.6% quarter-on-quarter and 7.2% growth Y-o-Y. EBITDA margin came in at 28.8% and the PBT margin at 27.9%.

The Board of Directors have recommended a final dividend of 700% that is INR70 per equity share of par value of INR 10 each for the financial year

ending March 31, 2024, subject to the approval by the shareholders of the company at the AGM. We had laid down a strategy of integrating our design business deeply with our key industry verticals, complementing our software and digital business with a design-led proposition. This is now complete with

a seamless end-to-end proposition from ideation to market introductions.

This is enhancing our competitive differentiation, providing early visibility into customer product roadmaps, and creating larger downstream development deals. Over 90% of our industrial design and utilization revenues are now directed to customers in our 3 main verticals, while the remaining comprises of innovation and design-led projects in other

industries, including consumer packaged goods, retail, energy and utilities, manufacturing, adding diversity to the application of digital design and feeding possibility for future verticals for the company. This has been classified as others in the segment report.

Starting with this quarter, we are reporting this integrated view of our industrial design and visualization business in all 3 verticals and not stand-alone. So our software development services, SDS, combines the erstwhile EPD revenues and ID V revenues into the respective verticals as 1 segment with a system integration and support constituting the other segment.

Now let me provide a summary of the key industry verticals and segments for the company. If you look at our transportation business during the financial year, our transportation business grew strongly at 20.5% year -on-year in constant currency terms and now accounts for almost 50% of our overall SDS revenues. A lot of this work that we do for OEMs constitute s over 56% of our overall transportation business and we are now embedded into the SDV programs of 5 global OEMs. This business grew at 1.2% quarter -on-quarter in constant currency terms, despite delays in the planned scaling of SDV large deal that we have been awarded previously. I'm especially delighted with the German Design Award 2024 for our work on automotive HMI, which underscores the design- led proportion that we are now delive ring to customers globally.

Tata Elxsi Limited
April 23, 2024

Page 4 of 22

We were selected into the SDV program of another global OEM and are ramping up teams to support infotainment, ADAS and EV software track over the next few quarters. The quarter also saw a digital technology -led deal in the rail segment, for development of an advanced collision detection and warning system for a rail operator in North America. This leverages advanced sensor technologies and AI to provide an early warning system. Coming to our Healthcare and Life Sciences business. This business registered a growth of 7.6% Y

-o-Y in constant curren cy terms in the financial year. We have established a strong foundation for continued growth with the addition of 5 marquee customer logos in the year, and expanded capabilities and platforms in new growth areas such as digital therapeutics and connected health. The offshore development center for innovation and R&D we announced in March 2024 for Dräger Medical, the German- headquartered leader in critical care and safety equipment, demonstrates the relevance of our technology and design expertise and deep domain capabilities for next - generation health care.

We are investing and winning deals with Gen AI -led solutions for the health care industry, including identification and elimination of toxic materials from the medical device supply chain. We are building platforms and winning deals for digital therapeutics, an emerging and strongly growing team for healthcare of tomorrow.

Coming to the Media & Communications business. This business declined 2.6% in constant currency terms during the financial year. This quarter saw a merger led impact of a deal ramp down with 1 customer. However, considering the severity of challenges in the media and telecom industry, we have done well throughout the year to protect business, add marquee customers and increase wallet share with key customers. We are seeing growth in operator revenues and our overall customer base. Even as customers continue to tighten budgets and optimize spends, we believe that there are opportunities in contributing to the revenues through advertising technologies or adtech and enabling opex reductions through automation and transformation of network operations. We are actively investing in offering platforms and partnerships for both areas. Both leverage AI and Gen AI to deliver speed and autonomous operations.

We are delighted with NEURON, Tata Elxsi 's network transformation and automation suite being declared the platinum winner of the Juniper Awards for telco transformation. It was also the center stage of a showcase at the Mobile World Conference in Barcelona in February.

The power of our design- led proposition is best underscored with a

multimillion U.S. dollar program we won late in this quarter for the customer experience transformation of video services of a leading Africa plus Middle East operator operating in over 25 countries. This also demonstrates new

Tata Elxsi Limited

April 23, 2024

Page 5 of 22

opportunities for us in new markets, such as LATAM, Middle East and Africa.

Coming to our system integration and support business, we continue to pivot to value-added services, innovation-led projects such as experience centers and supporting downstream deployment and run management of our products and platforms.

Q4 revenues and growth was impacted by hardware shipment delays due to the Red Sea shipping crisis, which did not allow us to deliver and build some revenues. Despite this, it grew credibly by 18.6% in the financial year '24 in constant currency terms, getting close to INR100 crores business in this financial year.

From a customer standpoint, we are transforming our customer base across industries with a significant shift towards OEMs in the automotive industry and operators in the media and telecom industry. While we continue to invest in deepening our key customer relationships, this is reflected in the strong growth in our top 10 and top 25 customers across the company.

From a talent perspective, we continue to invest ahead of time in building our talent pipeline. We are expanding our presence across locations in India and

overseas. Our employee retention continues to be the best among our peers and industry at large, at 12.4%. We added 178 Elxsians, net-additions in the fourth quarter and 1,535 Elxsians in the full year, and we have a planned intake of fresh engineers and laterals through FY'25.

On the AI and Gen AI

front, we continue to invest strongly in solutions, POCs and projects, and ramp-up of talent across the company. We have created and deployed specialized programs to be able to get 25% of our engineers AI ready by Q3 of FY'25. We are working on experimenting and innovating using Gen AI across design and software.

We are targeting areas that may be impacted by Gen AI and disrupt our business such as coding, automated testing that we proactively take to customers. Equally, we are applying Gen AI to workflows and processes, regulatory work, automation of network operations as a new service framework and solutions we can take to customers.

The large deal that we announced in the healthcare regulatory space already uses automation and AI to deliver efficiency, speed and higher quality to workflows for our customers. We are also enriching our reserves platforms such as NEURON, iCX, TEcare, with Gen AI to enable new use cases and

customer experiences for our customers. In the quarter, we also hosted a Gen AI hackathon internally for our employees with over five to six teams participating across all industry segments.

Tata Elxsi Limited

April 23, 2024

Page 6 of 22

Even as we step into the new financial year, we are pleased to announce two new members to the Board.

Mr. Soumitra Bhattacharya has had an illustrious corporate career, especially in automotive industry, with over 28 years at Bosch Group. He serves as the Chairman of Bosch Limited and is a Director for IFQM, an industry-led initiative focused on quality excellence and innovation.

Ms. Ashu Suyash is a highly respected leader and served as the MD and CEO of CRISIL, among leadership roles across many leading institutions. She has recently set up Colossa Ventures, an investment ecosystem for women entrepreneurs and is an independent director on a few boards, including Hindustan Unilever. We look forward to leveraging the rich experience in network, industry knowledge and strategic inputs from our new directors.

In summary, I'm pleased with our overall performance and resilience in revenues, margins and customer additions throughout the year in a volatile macroeconomic environment. We are entering the new financial year with a commitment for growth and the continued confidence in our differentiated and integrated design digital capabilities.

This is backed by strategic relationships we have built over years with key customers, the qualitative change in revenues towards OEMs and SDV programs, entries into new operators and marquee healthcare logos, investments in talents and hiring that we have made and continue to make, investments in strategic technology areas in AI and a strong deal pipeline we carry into the new financial year.

Thank you and we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question- and-answer session.

The first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. Two questions from my side. Firstly on the media client, can you just give more color in terms of whether it was in the media vertical or in the telecom space? And if you can quantify the ramp down as well for the quarter and is this something which is completely done, or should we expect some further ramp downs in the coming quarters as well?

Second question is on margins. We saw margins decline by more than 100 basis points this year. So how should we think about margins for next year, given that the demand environment has not changed? Are you targeting to maintain margins or do you still have levers where you can see margin expansions? Thank you.

Manoj Raghavan: Yes. So I think the dip that we had with one account was in the media operator segment, it impacted almost 3%, that one single degrowth that we've

Tata Elxsi Limited

April 23, 2024

Page 7 of 22

had with one customer. Coming to the margins, I think

we are pretty

confident with the sort of pipeline that we have and the levers that we have to manage our margins. So we are definitely looking to come back to the margins for the full year that we delivered in the last financial year. So I think that is what we would focus on.

Nitin Pai: Just to add, Bhavik, we are done with the ramp down. So that doesn't continue or decline further.

Bhavik Mehta: Okay. Just a clarification, this 3% impact is for the quarter at overall level, right?

Manoj Raghavan: No, at the MCV level.

Nitin Pai: So Media and communications degrowth just a little more than 4% for the quarter, out of which about 3% was attributable to the single customer and the single ramp down. We are done with that this quarter. So when you start the next quarter, we have no further impact from that customer.

Bhavik Mehta: Okay, got it. Thank you.

Nitin Pai: Otherwise, we would have ended up just about neutral. So that's the point.

Bhavik Mehta: Okay. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Hi. Thanks for the opportunity. So my first question is on the transportation business. So I just wanted to understand that there are multiple moving parts in the sense that, on the one hand we have OEM-related business where we see SDV projects coming in. And then at the same time, there is a delay in the form of ramp-up of some of these projects? And also ex of OEMs, some of the Tier 1 business could be coming off. So just wanted to understand right now, the sort of growth that we have posted, which is 1.2% Q-on-Q, when can we think about this accelerating given that there are multiple moving parts there?

Manoj Raghavan: Yes, it is as we rightly talked about, currently 56% of our business comes from OEMs. So if you look at it in the previous financial year, I think our Tier 1 business was more like 50% and OEM business was more like 40%. I think we've done exceedingly well to transition this into a lot more focused on the OEM business and the sort of deals that we have been winning. Yes, there have been some delays in one deal that we have won, but we definitely see that ramp-up picking up towards the latter half of this quarter. So I think our focus is to continue to exploit the opportunities that we see in the OEM business. We used to have a large portfolio of Tier 1, so what we're

really focusing is to really focus on select key Tier 1s that we believe will continue to grow strongly.

And in these Tier 1 businesses, we are looking at consolidation opportunities. So we are not abandoning the Tier 1 business, because we still believe that there are opportunities there and there are a lot of consolidation opportunities that we are bidding for at this point in time. So that is something we will strongly focus on.

We hope that the delays and the issues that we are seeing in the industry over this quarter, we will see that coming to a close, and we'll hopefully be able to ramp up on all the deals, because we have done all the necessary work that is

needed for preparation, we have the pipeline available. So it's a question of ensuring that we ramp up and the customer decisions are taken, and we move forward.

Sulabh Govila: Okay, understood. And my second question was on the media vertical. So I just wanted to understand that while you mentioned that this particular ramp down is now over and you also see some of the opportunities in other parts of this vertical. So just wanted to understand that from an overall outlook for this vertical in the coming quarters versus what we've seen overall in the last year, which is sort of a decline for the full year. So should we expect in the coming quarters an improvement in the outlook for this vertical, given what you see today?

Manoj Ragh

avan: We believe that we have bottomed out in Q4 for this vertical. Internally, we have done some amount of restructuring in the way we go to market in this particular vertical. We made some strategic choices. I'm pretty confident that we will see growth coming back into this vertical as we move into Q1 and Q2 of this financial year. So the pipeline is building up, and I'm pretty bullish that we will see a recovery.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Yes, thanks for the opportunity. Sir, two questions on auto. Firstly, on the deal ramp up last quarter, we had roughly 2% growth. We would have expected that with the deals that we had won in Q2, they would have contributed in Q4. And so this 1.2% growth includes those ramp-ups or this 1.2% has come without that, because we're talking about the delays in the deals that we won in Q2 as well, right? So how should we think about that match?

Manoj Raghavan: So we have ramped up a very small team. So the full ramp-up has still not happened. So you can practically say that 1.2% doesn't include any ramp-up from that deal. So we're expecting that ramp up to happen in the later half of Q1.

Vimal Gohil: Right but has that ramp-up already started?

Manoj Raghavan: Very pretty small ramp-up has started. The actual deal is a multimillion, multiyear deal, but we have not been able to ramp up to the initial expectations, because we had certain customer-related issues. And we are hoping that will get over towards the end of this quarter.

Vimal Gohil: And how much has our OEM business grown as compared to FY '23 in FY '24, if you can give me the number?

Manoj Raghavan: The OEM business was about 40% in the last financial year. FY '23 was 40%, FY '24 was 56%.

Vimal Gohil: Okay. So this 56% is for the entire FY '24, not for Q4?

Manoj Raghavan: Correct. Entire.

Nitin Pai: So Vimal, maybe I can just add. The OEM business grew by about 40% year-on-year.

Vimal Gohil: Okay. So, which implies that there is a significant decline in the Tier 1?

Nitin Pai: That's correct. That's correct.

Vimal Gohil: And we've bottomed out there is what we're saying?

Nitin Pai: That's right.

Manoj Raghavan: Yes.

Vimal Gohil: Okay. And next question is for Gaurav. Maybe if you can help us understand the puts and takes for the margin performance for this quarter?

Gaurav Bajaj: Sure, Vimal. So margin came down by 100 basis points, 30 basis points came from the cost currency headwinds. While we continue to invest and expand our talent base to capture the capability and capacity building and also keep investing into the talent pool in terms of the AI capabilities. So 80 basis points came from that cost towards talent building, which got added during the quarter.

We also done with the last batch that we on boarded for 2023 campus in this quarter, that together was 30 basis points from exchange and 80 basis points from people rate investment capability building, give you total 110 basis point dip. At the same time, we have some benefit from the cost of sales that we got to optimize that gave us a benefit of 10 basis points, and hence, the total EBIT drops from the quarter -to-quarter basis came at 100 basis points. But if you see at the overall company level P&L, the cost has not significantly changed, just in the quarter, there was a certain headwind in a

Tata Elxsi Limited
April 23, 2024

Page 10 of 22

few of the verticals hence the revenue got a dip, which has an impact on the margin. But at the same time, we see there enough levers available, capacity available to tap those levers available for us to get back to the margins where we operated for the full year in FY '24.

Vimal Gohil: And last clarification is the erstwhile ID

V business, which we have now merged with the software business that gets reported between Media and Comm's and the other verticals, right? Nothing gets added to auto?

Manoj Raghavan: It adds to all the three verticals. Just to explain why we had to do this - we have been talking about our integrated design digital offering and taking a design-led solutions to our customers. So we have been winning a number of integrated deals, and depending on which division was really leading it, the revenues are occurring to that particular division. So in some cases, IDV used to get that revenues. It is not only the design revenues, it also included the software revenues. In some cases, the transportation or the Media and Communication verticals, they were getting the complete revenues. So it was sort of a little misleading in terms of how to segregate what is designed and what is the EPD offerings.

It was getting very difficult to go on a case-to-case basis and make this differentiation. So we've decided that, look, let us have an integrated EPD plus IDV offering because it no longer made sense to really differentiate what is EPD and what is IDV.

And this value proposition also resonated very well with our customers. And it only makes sense when we look at it, when we give an industry breakup for all our revenues, we were only giving the EPD revenues. And that was sort of misleading because 12-13% of our revenues, which used to come from IDV were not represented in this breakup.

So for apple-to-apple comparison, if you want to compare peers or if you want to compare us with any other organization, it made sense for us to give an integrated idea, what is the total market share of all the revenues that we are generating, how much is for automotive, how much for Media and Communication, and how much for Healthcare. So that was the reasoning why we decided that it is better to give a full view to the investors.

Moderator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Manoj, I basically just wanted to get your thoughts on two, three aspects. Number one thing was that we've seen some of your traditional IT service companies acquire ER&D companies with deep customer relationships in some of the large OEMs. So how do you think that, coupled with the fact that, as customer spending moves towards middleware aspect, how do those

Tata Elxsi Limited
April 23, 2024

two aspects impact competition for pure-play ER&D companies like us?

That's question number one.

The second question was with regards to just understanding your prospects in terms of FY '25 in terms of growth across different industry segments, like this year, growth was led by automotive in a very significant manner, while we had some challenges on the media side, while Healthcare started to pick up towards the later part of the year. So how should we be thinking about the growth dynamics across the three industry segments going into FY '25?

Manoj Raghavan: So I think, yes, it is a fact that we have seen large IT services companies trying to get into the ER&D space, especially the automotive space, by acquisitions. And that is a challenge that we need to face. I don't have a specific view on it. We would treat it as any other competition. However, we

are pretty confident on our design digital offerings.

And we have built the capability organically over many years, right, almost 30 years, we have been in this business. So we clearly know what ticks in this industry. We have built the processes that we need to deliver value on a sustained basis to our customers. And many of the relationships that we have with our customers are more than 10 years, 15 years, 20 years sort of relationships that we have.

So yes, we are looking at some of the news that we read in terms of acquisitions and so on -- and we will take it on

a case-to-case basis. From our

side, we are deeply focused on our existing customer base. We are really deeply focused on building our executive connect and deepening our relationship with our existing customers and ensure that we grow with those customers.

Coming to FY '25 growth, we don't usually give our guidance. But I believe that I'm very happy with the sort of growth that we are seeing in the automotive industry in the last financial year. And the push for us is to really repeat that sort of performance.

At the same time, I talked about bottoming out of the MCV business. We are really hoping that MCV business will start contributing to the growth of the organization. I'm pretty excited with the HLS business. You know that we've had an issue with MDR and as a result of which, our growth rates slowed down in the last financial year. I think we have put all of that behind us, and we really hope that we will be able to accelerate that in the financial year.

So overall, I strongly believe that we should be able to put up a better performance from a growth perspective as compared to last financial year.

Nitin Pai: Just to add a little bit from my side. And this is Nitin here, especially because I'm a little closer to some of these M&A's that we see and read about, my comment would be as follows, right? I think one, we're in the right space in

Tata Elxsi Limited

April 23, 2024

terms of the industries that we work in; the fact that we have a presence in automotive, healthcare and so on. I think these are the segments that are growing.

Two, I think we have always been in the right service lines, very, very important. Software and electronics is where all the growth is. And I think we are absolutely in the right place for where growth is going to be. Three, I think we are winning the right deals. If you look at the pivot that we've made over the last few quarters, I think you're seeing not just the significant growth

that we're driving from OEMs, but from the right kind of deals, including SDV. And lastly, I think we are in the right country because your scale, your capacity, your ability to deliver will all come from India.

In my view, I think some of the acquisitions that we're seeing is endorsing the fact that we have the right ingredients and the right ticks in the right boxes and many of the acquisitions are just an attempt to get into the same space with possibly companies that have relationships, legacy capabilities, and now they have a lot of lift and ship to do. That is the way I would read it.

Manik Taneja: If I can prod you on one more question. So you mentioned that we certainly expect FY '25 to be better for potentially bottoming out of Media and Communications vertical and while Transportation is expected to do well,

given some of these ramp -up challenges on the Transportation side in near term, should one probably be expecting this growth improvement to be more back -ended with possibly near term being as subdued as what we've seen in the more recent past?

Manoj Raghavan: We will grow out of it, right? I mean we've had an issue in our Media and Communication business in the quarter. We definitely will grow out of it in the quarter. Similarly, from the Transportation business also, if you look at it, we will grow out of where we exited last quarter, right? So in my perspective, we definitely will do better, including in Q1, and that momentum will carry forward through the financial year.

Manik Taneja: Sure. Thank you. All the best for your future.

Manoj Raghavan: Thank you.

Moderator: Thank you. The next question is from Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Good evening. Thanks for taking my question. So Manoj, I wanted your thoughts on how should we look at a trade -off between growth and margins. So what I'm trying to get at is, would you rather be okay with growth at the

current levels and 30% margins, which is what you have maintained in the past? Or do you think there is a business case for reinvesting some of these higher margins to chase better growth?

Tata Elxsi Limited
April 23, 2024

Page 13 of 22

Manoj Raghavan: So the mandate from our Board is very clear Apurva, and I've maintained this repeatedly - we can't chase growth at the cost of margins. So we definitely need to maintain our margins as well as look at growing at a faster rate. The focus from our point of view, from management point of view and the strategies that we have in the organization, the sort of investments that we are making is all towards accelerated growth without reduction in margins.

Nitin Pai: I think what we're also saying is that we have enough levers to make sure that we can support the strong growth that we want and we are looking to without sacrificing margins. So I think the point we're making is that kind of net hiring that we have done over the last 8 to 12 quarters. In fact, you have to step back to look at the fact that we've absolutely been consistently hiring in large numbers, all through the last 8 to 12 quarters. Not all of it is consumed for sure. So we've been building capacity. So to that extent, I think there are enough levers.

Apurva Prasad: Okay. And to the earlier point that you were making, which are the subsegments that could be doing much better? So you mentioned, I think OEMs, which grew 40% for the year. So would you expect a similar run rate in the OEM subsegment and which would be some of the other pieces within the business that you expect to grow faster?

Nitin Pai: Yes, we won't comment on the growth rates. But definitely, what we can call out is to say that we expect the OEM part of the business to continue to grow strongly, partly because of the fact that we already won deals and have a path to ramping up. The other is we continue to focus on more, right? So to that extent, I would definitely call out that piece as one of superior growth overall, and nothing to do with last year, so I'm not doing a comparison.

The second is in the Media and Communication industry. I think we still have a lot of faith in the relationships and the capabilities that we bring to operators. So we definitely see stress in suppliers and device vendors and so

on, just as much as we have seen the same in retail and suppliers in the automotive industry. I think the operative pivot that you made and the continued growth that we see there, because of our relevant services - not because they have a lot more to spend, not because they are increasing budgets - simply because we are more relevant. I think that will be the other piece.

In healthcare, in general, I think we are in the right place. So we are winning the right logos in terms of device vendors and the whole medical industry. I think digital therapeutics and connected health, are the two interesting areas that I think we will also see somewhat accelerated growth, obviously, on a very small base because industry service is just about picking that up now.

Apurva Prasad: Thanks for that, Nitin. Then just finally, you referred to the 3% Q -on-Q impact from the dip in media operator. I'm just trying to reconcile this with

Tata Elxsi Limited
April 23, 2024

very strong growth in top 10. So would this be outside top 10? Or is there a change in the top 10 classifications?

Manoj Raghavan: No. This particular customer is outside top 10.

Apurva Prasad: Got it, got it. Thank you so much and all the best.

Manoj Raghavan: Thank you.

Moderator: Thank you. The next question is from Bharat Sheth from Quest Investment.

Please go ahead.

Bharat Sheth: Good evening, Manoj and Nitin. Thanks for the opportunity. Manoj, in your opening remarks, you talked about the transformation on the customer side, particularly on Transportation segment and Media on working

directly with

operator? And so can you give a little deeper insight into what exactly in OEM has grown? So how it will play out in coming quarters or coming years and is there any kind of leverage that we can have in EBITDA also directly dealing with OEM vis-a-vis Middleware people?

Manoj Raghavan: Sure. So I will maybe request Nitin to take that question.

Nitin Pai: Thanks, Mr. Sheth. A quick one. If you look at what we are saying, essentially we're saying that in two industries, the value is now accruing to the top of the value chain because typically, OEMs sit at the top of the value chain in the automotive industry. But traditionally, R&D, product engineering, delivery of systems and software has been done by suppliers who then work with the OEMs against their specifications.

OEMs traditionally have taken the role of saying look, we are integrators. We are assemblers and we are going to run the brand and the service for customers. Product and technology will come from our suppliers. And I think that is changing. And that is now accruing to the OEMs who are saying, look, there is economies of scale, there is greater innovation agility if we bring back the software to us, and we can also optimize on the hardware architectures and so on, which are all evolving; where instead of having 50 boxes that do different things in the car, I can maybe have just one or two large computers, which now run all the software, with enough safety, redundancy and so on.

So the swing of software development to OEMs, it's not going to be 100%, but there is more and more spend that is happening from OEMs at this time and will happen for the next few years, simply because of this appropriation of software and development and value from the suppliers. And that is a trend that we are now following and reflecting in our results. And we expect this will continue for a period of time.

The same is happening with operators, where operators traditionally have taken equipment from typically the likes of Cisco, Ericsson, Nokia and so on.

Tata Elxsi Limited

April 23, 2024

I think there is a strong move to open-source software, to software that runs on the core, you dump down and make hardware more commoditized at the edge and so on and forth. And I think that is exactly the trend that we are tracking in terms of who do we work with? Do we work with suppliers? Or

do we work with operators?

In addition, I think OTT was a completely different one, where that opened up additional opportunities to work with customers we never worked with before, like broadcasters, content studios and so on. Otherwise, we have

nothing to do for them. We suddenly found that we could actually help them go direct-to-consumer with OTT platforms and so on. So I think that is the trend that we are following. So I think both are consistent long-term trends for these two industries. And I think that is what we are really tracking and reporting.

Now this does not have a direct bearing on EBITDA. So to the extent, EBITDA is still a function of where do you deliver from, what services you deliver and the quality of your delivery. I think that is where we excel in general, and that is why our margins are superior, not because of the kind of customers who we work with, but because of the work we do. So that

continues. It's just that who you go to for is changing. In fact, sometimes

larger deals can also mean that you may have to give a little more in terms of the pricing that you offer. But we are confident that we will have enough levers to manage margins while we pursue growth. Sorry, it's a long answer, but I thought it's important to answer. Bharat Sheth: No, no, it's fair. I sincerely appreciate that but with that, I mean, earlier we were doing short-term project and small size. So now the project size is increasing substantially and kind of a continuity, it is a little longer vis-a-

vis

what earlier you had in both those places?

Nitin Pai: That's correct. In fact, I would say that this is a trend that we've been both reporting and sharing with analysts and investors at large. We are slowly seeing the shift of product R&D and ER&D to more strategic and less discretionary and less project based, partly because for a life cycle of the product, especially with software where you're going into continuous mode of improvement and updates, it doesn't stop with the launch of the product into the market, it continues post the launch and the updates happen through the air, updates happen over cable, over connected. So I think that is a trend that we are seeing in product engineering itself.

Bharat Sheth: And last question on healthcare. So what are the underlying changes that we are seeing where we can have a sustainable longer-term growth? Earlier on a small base we were growing at very rapid pace, but there is now the pace has become negative. So when do we expect those kind of a pace again coming back on a larger base?

Tata Elxsi Limited
April 23, 2024

Page 16 of 22

Nitin Pai: So I think on the healthcare side, you have to remember that about three quarters back or four quarters back, we had one impact of a particular medical device regulation for which we were, at that time, doing a lot of work that was suddenly extended and relaxed, which allowed customers to

pull the plug on what they were doing with us.

And we had an actual significant hole in our revenue streams in a single quarter. I think the business unit has done very, very well to plug that, grow and show results despite that big hole in revenue that we saw on a very, very

short-term basis. So I think you have to reflect the growth of the (BU) in the context of the hole that we were in rather than as year-on-year it was so much growth previous year and what is your growth now. Part two, I think we've added some very, very good customers over the year.

So I think the journey continues. I think they are in the right place. The medical and healthcare industry, obviously, because of the criticality, the nature of that industry, the regulatory environment, is much, much slower to change. I think they are in a place where they have to change. And I think we are in the right place.

Bharat Sheth: And can I go for one more with your permission?

Nitin Pai: Yes, please.

Bharat Sheth: Manoj, we have integrated our designing with the respective segments. So do we see anywhere, I mean, with design-related manufacturing opportunity in the future?

Manoj Raghavan: If you're asking about manufacturing, if Tata Elxsi is going to manufacture products and so on...

Bharat Sheth: Or getting manufactured by a third-party with our design and the whole software built in?

Manoj Raghavan: So typically, what we have been doing is we have been working with our customers, helping them in their design as well as when they take it to the factory to enable the products to be manufactured effectively. So, that is something that we have been doing.

We have been building, for example, samples for a customer, 50 units, 100 units and so on. We have not gone into mass manufacturing so far, but

however, from a manufacturing perspective, it's also an interesting opportunity for us because manufacturing in India will definitely continue to grow.

So we have services from an IoT perspective and industry 4.0 perspective that we are incubating and we are building. And we believe that the manufacturing sector itself could also be a new opportunity area for us that we are incubating at this point in time. However, if your question was about

will we get into manufacturing of the products for customers and so on, we may partner, but I don't think we will go and manufacture ourselves.
Bharat Sheth: Okay. Thanks and all

the best.

Manoj Raghavan: Thank you.

Moderator: Thank you. The next question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta: Just one question on Media Telecom, I think you said that you bottomed out and you should start seeing growth from here on. So what has changed over the last 3 months which gives you that confidence? And secondly, within Media-com, if you can throw some color on what are the sub-verticals where you are more optimistic from a demand perspective?

Manoj Raghavan: With key customers and prospects, we sort of have a better visibility on the spend from a customer perspective, especially the key customers, the top customers that we have in that business, we continue to grow strongly with those customers.

As I've also said, we have made some changes in the way that business unit is structured. We've brought in certain new leadership. We have restructured the sales organization also. So there's a focused, I would say, campaign that we have run in the last quarter and we are definitely hopeful of seeing those results in the subsequent quarters.

Bhavik Mehta: Okay. And within Media-com, like any color on whether it's the operators or....

Manoj Raghavan: It's primarily the operators, so I think as Nitin has mentioned earlier, last year we have seen that we have moved from the devices and the product space to

the operator space. So almost 70% of our revenues come from operators.

And I think that is a way to move forward and we will increasingly see a lot more of our revenues coming in from operators. Operators are also thinking of digital, Cloud, AI, Gen AI and so on. So all the capabilities that we are building are focused for the operator market.

Bhavik Mehta: Okay. Thank you very much.

Moderator: Thank you. The next question is from Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: Hi Manoj, I just wanted to kind of reconfirm my understanding this -- the SDS reporting that you're now doing, is that just a reclassification or is there like an organizational change also that has happened in terms of reporting structures or business heads and so on?

Manoj Raghavan: At this point in time, Salil, it's a reclassification. We have not done a change in the structure internally for the organization. But however, we have put in certain processes to define what is the design revenues and how we will account them and so on from an individual business unit perspective and so on.

Nitin Pai: Yes. So maybe, Salil, I can just add a little more. This is the organic change that we have made over 8 quarters or so because the intent was that, look, if we had to really be able to co-sell, if you have to be able to package, integrate

offerings and then take it to market, if we're able to be very seamless in how

we can start with design, but then take all the views that we get, the inputs

that we get, the conversations and the executive connects that we have and

we're able to translate it in downstream, then the integration has to happen at multiple levels.

Manoj Raghavan: Okay. Let me correct myself when I answered that. We have integrated the sales organization. The selling happens seamlessly.

Nitin Pai: But the design plus digital is an organic integration that had done over 8

quarters. So in that sense, there are teams that are now fully aligned to each vertical. So you don't see it as two different business units now wanting to talk to each other, they're actually one team that are working with each other.

Salil Desai: And the second bit, I wanted to again reconfirm was you mentioned somewhere that the hiring is in a way that

you've done through the year is in a way an indication of kind of hope for a better FY '25. These are what profiles ? You've hired largely freshers, experienced people, middle management ? Could you give

some color on what profile that we've been generally having?

Manoj Raghavan: A lot of the hiring we do from the colleges and universities ; for fresher hirings almost about 75% of the hirings that we would have done would be from campuses. Of course, we do take in laterals as well depending on the specific customer need and so on. But when we plan for a bench and when we plan for building capabilities and skills, a lot of it is based on freshers that we would then train and keep them ready for project engagements.

Salil Desai: Great. Thank you so much.

Moderator: Thank you. Next question is from Karan Uppal from Phillip Capital India. Please go ahead.

Karan Uppal: Thanks for the opportunity. I just have one question for Nitin sir regarding the comment which you made on automotive business. So Nitin sir, you mentioned about the shift of software development work from Tier 1s to OEMs. Now how much of the work is being done in- house R&D with OEMs versus outsourcing to vendors like us?

Tata Elxsi Limited
April 23, 2024

Page 19 of 22

Nitin Pai: That would be a tough one to answer. Why? Because I think the journeys of different OEMs are different in the sense that if you look at couple of OEMs they've all been about we don't want to give it to anybody. Everything will be done in our homeland and will be done by our nationality and so on. And I

think they also turned around and said, look, that it's not possible, not feasible, it doesn't work and it's too expensive. They have been significantly delayed in their own deliverables and their time lines. And they're now pivoted to saying, no, we need to work with vendors. We also need to work

with organizations that understand how this is done, because we are trying to both learn and run an engine together and that doesn't work.

There are certain other organizations that have started working with a very good small set of strategic vendors and then also doing a captive in India or

wherever else, and therefore, running a dual view of what do I get done in my home country? How do I use my own captives for certain work that I think they are best for? And how do I use vendors where they are best for. So I think there is no one single answer that I can tell you, and this is also evolving over time. Remember, all this is just about 2, 3 years old in many ways.

Karan Uppal: Okay. Thanks a lot.

Moderator: Thank you. Next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.

Chirag Kachhadiya: Hello, thanks for this opportunity. I have one important question. Some of the global...

Moderator: Chirag, I am really sorry to interrupt but your voice is not very clear. If you're on a hands free, request you to use the handset.

Chirag Kachhadiya: Now it's better?

Moderator: Yes.

Chirag Kachhadiya: I have one broad question to Manoj. Some of global OEMs ' software plan with respect to EV mobility and those are the known ones . So what's your thought on the revolving EV landscape like the growth which we are witnessed in the past 2 years in the Transportation vertical will continue due to those cuts? Or do you think that this will change as more and more people are now talking about this hydrogen mobility and hybrid stock instead of electric vehicle also?

Nitin Pai: Yes. So Chirag, maybe I'll take that. So what I understood from your question is with respect to electric mobility, do you see the fact that electric mobility may not be the only and single part that everybody pursues, but there are options emerging. What does that mean for us? Is that correct?

Chirag Kachhadiya: Yes.

Tata Elxsi Limited
April 23, 2024

Page 20 of 22

Nitin Pai : Absolutely. So I think there are 2 parts here. One is that while you look at electric mobility, whether there is enough sales, no sales is a different matter, but you have to have our portfolio of electric vehicles. So I d

on't think new OEM has an option to say, I will not do electric at all. It's only a question of saying how much of electric and how much of others, right? So to that extent, there is a path for EV with every OEM in the world. That's part one.

Part two is the opportunities that come out from any alternate that you try, including fuel cells, hydrogen and so on, only means that there are other areas and other opportunities that we can also target from a software perspective. But I think the biggest point that I would make is the software -defined vehicle is not solely dependent on electric. Electric is one constituent of what goes into a software defined vehicle. But ultimately, everything that the car delivers, mobility, convenience, comfort, infotainment, connectivity, ADAS, everything is going to be driven by software. So to that extent, electric just represents one part of what we do.

Chirag Kachhadiya: Thank you so much and all the very best.

Moderator: Thank you. Next question is from Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Hello. Thanks for taking my question again. So my question was on the head count and the hiring in the coming year. Given that in FY '24, we have added head count, which is to the tune of 13% growth, and it is stronger than the revenue growth. So you had some capacity, as you mentioned. So how should we think about the hiring trends going into FY '25 including the fresher issues?

Manoj Raghavan: Yes. So I think we would continue to add people from a fresher perspective because that is the source of talent for us. But we will be a little careful in the numbers that we add. We'll definitely also meter this a little bit, again, based on how deals shape up and how the revenue picks up. So from a fresher addition perspective, we are looking anywhere between 1,500 to 2,000 engineers. And whether we will be at 1,500 or 2,000 would depend on the business situation and how the revenues are growing. Lateral hiring would be again on- need basis, and that we would continue to do again based on business.

Sulabh Govila: Okay, understood. And with respect to the type of contracts, so if I look at the on-site, offshore mix as well as the fixed and time material contracts then we had strong offshoring. But in the past 3, 4 quarters, that's something that has sort of come off. And then same is with respect to fixed price projects coming off. So I just wanted to understand what's the incremental nature of change in these contracts? If you could highlight that?

Tata Elxsi Limited
April 23, 2024

Page 21 of 22

Manoj Raghavan: So those are just marginal changes. I don't think it is very significant, it is not as if that suddenly we are going from 25% on site to 40% or 50% -- it's marginal plus or minus shift to 1% or 2%. I think...

Nitin Pai: Sulabh, don't read much into it. I think there's no fundamental change in trend.

Sulabh Govila: Understood. Thanks for taking my question.

Moderator: Thank you. The next question is from Rajesh Chaudhary from Zenith . Please go ahead.

Rajesh Chaudhary: Good evening. My question is, do we have any opportunity or do we foresee any opportunity in the semiconductor exchange? Because India and Tata Group is making a lot of investments in the semiconductor industry in India?

Manoj Raghavan: Semiconductor industry is something that we have been involved in quite a few years ago . About 7 -8 years ago, we actually exited the design space , however we continued to work with semiconductor customers in the software, embedded and the firmware area. So definitely, we have capabilities, especially relating to the vertical markets that we address, right, whether it's automotive, whether it's media , telecom or healthcare. We build solutions on the chips for these particular industry verticals. So as far as anything to do with these 3 industry verticals, we have a play. But at this poi

nt in time, we really are not getting into the chip design aspects at this point in time.

Rajesh Chaudhary: Okay. So we would only be involved in the testing phase or?

Manoj Raghavan: Application development - all of that.

Rajesh Chaudhary: But that would only be related to the software part and not to any of the hardware part?

Manoj Raghavan: Yes, not into the chip design space.

Rajesh Chaudhary: Okay. Got it. Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Manoj Raghavan: Thank you, investors. It was an eventful FY '24. A lot of changes happening in our market. But I believe we, as a team, Elxsians, we have come out exceedingly well, shown a strong growth of 13% year-on-year. When I stand here looking at the new financial year, we're really confident that on the pipeline and the conversations that we're having with customers. And we really hope for another strong performance this financial year. Thank you so much.

Tata Elxsi Limited

April 23, 2024

Page 22 of 22

Moderator: Thank you very much. On behalf of Tata Elxsi that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2024

July 15, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C-1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir,

Sub.: Transcripts of the Investors' Conference Call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter ended June 30, 2024, held on July 10, 2024.

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
Page 1 of 15

"Tata Elxsi Limited
Q1 FY '24-25' Earnings Conference Call"
July 10, 2024

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
M R. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
M R. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
M S. CAUVERI SRIRAM – COMPANY SECRETARY &
COMPLIANCE OFFICER – TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
July 10, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Tata Elxsi Q1 FY'24-25' Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you and over to you, sir.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning for logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to all of you, and thanks for joining us today for the Q1 FY '25 Earnings Call. I hope that you and everybody in your family are safe and healthy. I'm happy to report that we have delivered a steady quarter of growth. It was a good quarter for us, especially with our transportation business unit picking up growth momentum. Our revenues from operations during the first quarter was INR926.5 crores, growing 2.4% quarter-on-quarter and 8.4% year-on-year in constant

currency terms.

Our EBITDA for the quarter was INR252.3 crores, staying flat at 0.3% growth year-on-year. Our PBT for the quarter was INR252.4 crores as against INR262.4 crores in the previous quarter. We executed very well on operational excellence and fiscal discipline in this quarter towards bottom line performance despite the impact of an exceptional one-off expense in this quarter.

The company made a contribution to the Progressive Electoral Trust of INR19.78 crores for the quarter ended June 30, 2024, which is included in the other expenses. If not for this onetime expense, our EBITDA margin would have been 29.4% and our PBT margin would have been 28.4%. In terms of verticals, I'm happy to share with you that the transportation business reported a strong growth of 5.3% quarter-on-quarter and 20.3% year-on-year in constant currency terms. Our deep domain knowledge and strong focus on engaging with

Tata Elxsi Limited
July 10, 2024

leading OEMs and suppliers across the globe, positions us well to capture the growth opportunities in the coming quarters.

Given the current challenging environment for the media and communication industry, I believe we have done well by protecting our business and increasing our wallet share among our key customers, which has resulted in 0.5% quarter-on-quarter revenue growth in constant currency terms. Our commitment to strengthening client partnerships continues as we introduce new solutions aimed at enhancing growth and efficiency within the sector.

The acquisition of a strategic network transformation project from our top telecom operator in North America, facilitated by our NEURON platform is particularly gratifying. Our Healthcare & Life Sciences business reported a decline in top line by 4.3% quarter-on-quarter in constant currency terms, while a significant delay in the renewal of certain projects with a major client in the U.S. is primarily responsible for this revenue decline.

On the people front, we are doing well with our attrition rates declining further during the quarter. Since we normally do not add any freshers in the first quarter, the net employee numbers at the exit of Q1 FY '25 is a result of usual attrition plus some lateral hiring that was done on a need basis. We will add fresh engineers through the next 2 quarters as they graduate and become available.

We continue to invest in digital, AI and Gen AI technologies across our verticals, targeting efficiency and quality in product engineering as well as novel applications of Gen AI combined with domain and design expertise to solve complex business, product and engineering problems.

We are aiming to have 25% of our talent pool to be AI ready by December this year as we step into the second quarter of the financial year, with confidence of a healthy deal pipeline, continued growth in our transportation business and new customer wins and expansion of business with strategic customers across verticals. Thank you.

And with this, we would let the floor open, and we'll take questions from our investors.

Moderator: Thank you very much. Our first question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: So, my first question is on the growth piece. So, I just wanted to understand on the health care customer, the moderation that we've seen in this particular quarter, is there something which is over in 1Q, and 2Q should normalize going forward? Or this will see some effects in the coming quarter as well?

Manoj Raghavan: Maybe this will have an effect in H1, and we hope to normalize that in H2.

Sulabh Govila: Okay. Okay. Understood. So the related question to that is that last quarter, we had called out that we are sort of aiming to deliver revenue growth in FY '25 better than FY '24. So, given the

Tata Elxsi Limited
July 10, 2024

Page 4 of 15

performance in 1Q as well as this health care custom

er moderation continuing in 2Q as well,

does that outlook change? Or that sustains from here on as well?

Manoj Raghavan: No, we continue to stick with our guideline that we've talked about in the last quarter. We definitely want to exit this financial year with a better growth rate as compared to last financial year.

Sulabh Govila: Understood. And then with respect to the transportation vertical, just wanted to understand the strong growth that we've seen in this particular quarter. Is this broad-based? Or it's driven by the top client? In FY '24, we saw a strong contribution from the top client. So is that a trend that is continuing in 1Q as well? Or is there a change there?

Manoj Raghavan: No, it's a broad-based growth across multiple customers. Some of the deals that we had closed, their ramp-ups have actually started happening and all of those contributed to this performance.

Sulabh Govila: Okay. And the last bit is on the tax rate front. I just wanted to understand whatever we reported this quarter, is the tax rate we should assume going forward as well? And for how long will that continue?

Gaurav Bajaj: Sulabh, this is Gaurav. Yes, I think we indicated during the last couple of quarters that in this financial year, our tax rate will go up because we are coming out of the tax holiday in few of our SEZ unit. One more SEZ unit came out of 100% bracket to 50% bracket. So going forward in this financial year, it would be likely in this range only.

I think it will be very difficult to put any number beyond one year, because it also depends upon the various other regulations and disclosures or upcoming budget, we will see how to position it better for the company.

Moderator: The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Manoj, just wanted to understand your thoughts on wage hike cycles for FY '25 and also the hiring plans because last quarter when you spoke, you said we'll have much more measured hiring in FY '25?

Manoj Raghavan: Yes. So the wage hikes will -- we are dividing the wage hikes into the junior staff and the senior staff. So the junior staff would get their wage hikes effective Q2 from July and the senior staff would get their wage hikes from Q3, that is October.

Manik Taneja: Sure. If I understand correctly, this is different compared to the usual policy. And if you could also give us some sense on the quantum of wage hikes and the likely impact on the margin that we should expect on a go-forward basis?

Manoj Raghavan: The average wage hikes would be in the range of 5% to 6%. But I think we are well covered with respect to margins and so on. We have enough levers to address that. So, I don't see too much of an impact on the wage hikes or on our margins.

Tata Elxsi Limited
July 10, 2024

Page 5 of 15

Manik Taneja: Sure. And if I can prod you further, if you could talk about how the center that you've put up in Michigan last year, how is that playing out in terms of improving our positioning with global auto OEMs, it'd be great to get your perspective on that, Manoj?

Manoj Raghavan: Yes. So, all these proximity centers are important for us basically from a view of being closer to the customer, right? So, it also shows our intent and our commitment to those markets. So from that point of view, it is very important that we take some of these initiatives. It's not just in Michigan, it's across the globe. We have opened centers specifically focused on certain specific customers and so on. So I think all those investments are definitely helping us in playing a role in revival of some of the large engagements that they're seeing.

Manik Taneja: Okay. The last one, if I may, you've been talking about FY '25 being a better growth year than '24, but last year, transportation was a vertical which led growth while we saw challenges in media and communication as well as to some extent, even on the healthcare side. Ho

w should

we be thinking about the growth mix across verticals from an FY '25 standpoint?

Manoj Raghavan: The same. I think from an FY '25 perspective, definitely, again, growth will be led by transportation. Our industrial design business is also showing accelerated growth. And actually, the initiative that we started in terms of design, digital and combining design with our embedded offerings is really, really resonating with the industry and we're seeing good traction. We are seeing green shoots in the media and communication space, a lot more discussion is happening, a lot more customer traction is there. There are significant consolidation opportunities that we are bidding for. So we are hopeful that we will see a turnaround in that particular business.

Health care, as you know, is a relatively smaller business. We have to really work through this one particular engagement. And unfortunately for us, in the healthcare business, the number of customers is also not too many. So we have some pretty good logos, good customer base.

Unfortunately, even if there are some issues in one or two of those customers also, we will get hit, right?

So our aim is also to broad base our customer engagements in the healthcare space. And I think we will get there. And I'm not too worried about the situation because this is the ER&D business. We will always have one or two of these challenges. But I think it is very much contained and we should be able to recover and grow.

Manik Taneja: Manoj, if I can prod you a little bit further on this one, because you spoke about the focus on broadening our talent across some of these verticals. If I'm looking at your longer-term performance over the course of last couple of years' time, concentration has only gone up on account of the exposure to group companies, top two customer concentration has gone up. What will we have to do to essentially reduce the concentration at our end?

Manoj Raghavan: No. See, if you look at it from the size of our company, it is definitely going to be the top 10, top 20 customers will drive a lot of our revenues. There's no escaping that. There's no point to focus on a broad set of 100 customers and each of them not being significant enough.

Tata Elxsi Limited
July 10, 2024

Page 6 of 15

So from our perspective, from the size of business that we have, we will continue to have a lot more focus on our top 20 customers because that is what will drive our growth. So we want to be a lot more relevant to these customers, build strategic relationships with these customers and grow with these customers. So that would be the focus. And I'm not overly concerned with that sort of a client concentration.

Moderator: The next question is from the line of Aayush Rastogi from B&K Securities. Please go ahead.

Aayush Rastogi: So just wanted to understand on the health care vertical side. So we are aiming to go ahead with 20% of the SDS revenue. How are we planning on that? ? Because if we see in the last 2 quarters, we are reporting a degrowth in this vertical. So can you just let us know what's the strategy behind that?

Nitin Pai: This is Nitin here. Maybe I'll take that question. I just want to clarify that the whole call out for a 40-40-20 mix was a strategy call, right, which is to do with how do you see ourselves in the long term? How do you see ourselves derisking?

The fact is that fundamentally in the ER&D business, you have industry cycles. Every industry will go through a cycle. Equally, you have geopolitical risk. You will have currency mix risk and so on. So the question was, how do you manage your portfolio well? But having said that, as much as all of you are fantastic portfolio managers, you would also appreciate the fact that you would leverage an opportunity when it presents itself. To that extent, automotive and transportation is the largest growth opportunity at this time and therefore we are not worr

ied

about it becoming 50% for example even as the percentage contribution of the other two shrink.

But having said that if I were to step back about 8, 10 quarters back all through COVID and a little beyond, automotive was the one that was delivering negative/flat growth, and it was media and communications and healthcare that were driving all the top line growth that we needed.

So to that extent, think of this as a larger broad guideline for the fact that we want derisking of industries, we want a little better mix of industries rather than overly concentrated industry presence. But having said that, the actual percentage of revenue contributions of any given industry at a given time would actually be dependent on the market opportunity. So please treat it as a guideline.

Aayush Rastogi: Thanks for the detailed answer. Just a second question on transportation. So transportation is doing phenomenally well. So is it totally driven by the top 20 clients and what kind of visibility are we gauging for the next set of, let's assume post-20 clients?

Nitin Pai: Yes. So maybe I'll take that question again. So if you look at the automotive industry you have to remember that we have a very large base of customers there. The base of customers comprises of OEMs, Tier 1 suppliers as well as some select tool software and Tier 2 suppliers within the same industry. So it's a broad-based portfolio. In fact, we have significant depth there.

Tata Elxsi Limited
July 10, 2024

Page 7 of 15

Some of the challenges that we've had was also that not all segments of that particular industry are doing well. The OEMs are doing very well in terms of spend. Remember when I say I'm doing well, I mean it from a perspective of outsourcing and engineering. So we are in a process of also carefully pruning and curtailing the portfolio and looking at how do we consolidate and grow around the set rather than it being a question of whether you can derive revenues from a very large number.

So again this is a strategic call where the number of customers that we have is significantly higher in automotive and it's a choice for us to kind of figure out where we want the growth to come from.

Aayush Rastogi: Thank you so much.

Moderator: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. So a couple of questions. Firstly on the transportation vertical, the strong growth we saw this time was maybe driven by the ramp-up of some of the deals we had won earlier. But how should we think about the trajectory from a sequential growth momentum perspective going ahead? Do we expect a moderation to happen given that this was something which was bunched up this time around, but maybe we see some moderation going ahead. So any thoughts over there?

Manoj Raghavan: I think we see a good deal pipeline and a good momentum that is there. I mean if you ask me, I would assume that we will be able to show similar growth. I'm not sure that we will better the growth or it will be around the same growth. So I know it's coming off a quarter where we've shown very slow growth. So I think it's good that we bounced back immediately, and we were able to deliver this satisfying performance.

We hope to continue this growth. So we have that visibility. It's now up to us to convert that visibility into revenues and deliver that growth. So there are opportunities and there is that visibility that we have.

Bhavik Mehta: Okay. Got it. And secondly on the margin side any reason for pushing out the wage hike because typically, it happens over 1Q and 2Q, but this time we are doing it over 2Q and 3Q. So any particular reason and related question is how should we think about margins from a full year perspective? Are we looking at flattish or is there a scope for some expansion as well?

Manoj Raghavan: I think we will continue to be within the stated margin range...

Gaurav Bajaj

: 28% to 29%.

Manoj Raghavan: Yes around 28%. Essentially the way to look at it is if you look at the entire financial year perspective, we hope to maintain last year's performance, maybe beat it a little bit and all of that depends on our revenue growth in the subsequent quarters and so on.

Tata Elxsi Limited
July 10, 2024

Page 8 of 15

Yes, there are enough levers for us to manage that. I think in the previous year or the year before we've done exactly the same - July and October. So again we take a call depending on our wage budget perspective. We look at it and we model it, and we take a call. We typically want the people cost to be anywhere between 56% to 57% of our revenues. So we do a lot of modelling and then we take a call in terms of what is the right thing to do.

Bhavik Mehta: Okay. Got it. Just lastly outlook on media and telecom, are we seeing any green shoots?

Manoj Raghavan: We see some green shoots definitely. There are some large consolidation opportunities that we are bidding for and at the same time let me tell you that the industry is still under a lot of stress.

There is a lot of M&As happening. There is a lot of pressure to bring down the overall budgets and move work from high-cost countries to best-cost countries like India. So there are a lot of things happening in that industry, but we are on top of many of these and there are deals in the pipeline. So we feel a little bit more confident now.

Bhavik Mehta: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Urmil Shah from Ageas Federal Life Insurance. Please go ahead.

Urmil Shah: So my question was on the transportation verticals. In Q4 earning call we had said that the rampup of the large deal would be done in Q1. So when we are talking about similar sort of growth in the near term, are there more such deals or there are smaller deals which are expected to drive the growth and also in Q4 we had spoken about the OEM share now being 56%. So is that part of the pie expected by the growth in the vertical?

Manoj Raghavan: Answering the latter part of the question, yes, definitely, we see a lot more traction in the OEM space. And yes, when you look at our pipeline, it's a bucket of opportunities, right? Not everything is large opportunity, not everything is small opportunity. There's a bucket of opportunities that we are chasing. And I can tell you it's a pretty healthy bucket that we are chasing. And yes, I think we are confident that we will be able to show good growth again next quarter.

Urmil Shah: And in the last few quarters, the transportation vertical growth has relatively been inconsistent versus what we have done earlier. So this time, you are more confident that the growth should be more consistent at least over the next couple of quarters, right?

Manoj Raghavan: At this point in time, sitting today, that's the visibility that we have.

Moderator: The next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar: Thanks for the opportunity and congrats on a good quarter. Sir, two questions. This quarter, we saw an increase in the on-site mix presumably maybe because of the ramp-up. But any color in terms of what could the mix be or what is a sustainable level? And the second is on the

Tata Elxsi Limited
July 10, 2024

Page 9 of 15

headcount, anything that you want to add in terms of the numbers of headcount that we have seen for the quarter? Is this a one-off or the mix could keep on changing as you highlighted as you hire the freshers?

Manoj Raghavan: Yes, I think this quarter, we had a slight uptick in our on-site percentage, which is pretty normal, I would say, especially when you start up new engagements and so on. Customers would definitely want the initial phase typically to be on site. A sustainable level, I mean, from our perspective, it's definitely 25-75. And we will hover around

that range only.

From a headcount perspective, so over the past four quarters, we have very, very diligently ramped up our resource pool in expectation of some of the large deals picking up. We see that some of these deals are really picking up now. So from that perspective, I think we are well placed. Further hiring would exactly be based on improving our utilization and utilizing the resources that we have already hired and so on.

When you look at a lateral hiring, it will be muted. However, it will be on a need basis. As and when we definitely need certain skills we'll go out and hire. But we won't be hiring in bulk, especially from a lateral perspective because we already have built a sizable bench, and we're pretty confident on the capabilities and skills that we have.

Fresher hiring, again, will be spread out over the next two or three quarters. And again, we will take a call based on the project ramp-ups and revenue uptick. So we will be a little cautious in adding costs, especially engineering headcount because we want to get back to our preferred margin, given that we had this one-time expense and so on. So we'll be a little cautious as compared to the last financial year. But having said that, we will keep our commitments in terms of the resources we have onboarded.

Abhishek Shindadkar: So just to clarify, the net reduction in the employee was more about prudence rather than an uptick in attrition. I mean I know the attrition number is flat quarter-on-quarter. But there is no change in the quarterly annualized attrition for us, right?

Manoj Raghavan: Annualized attrition, actually, has come down. But yes, so typically what we do is, even though we have attrition every quarter, the number of resources we had is far higher. But in this quarter, we have not added any freshers because Q1, typically, we don't add too many freshers. Even if we add freshers, it's usually in the last week of the quarter and so on that people join. But this quarter, we have not added. So that is why I think net addition has come down. Having said that, again, I say, we will be cautious moving forward.

Abhishek Shindadkar: Okay, sir. Thank you and that was very helpful. Best wishes for the year.

Moderator: The next question is from the line of Rajesh from Zenith. Please go ahead.

Rajesh: Yes. Good evening. My question is like you mentioned about one-time expense. I didn't get that. Can you please elaborate on that, please?

Tata Elxsi Limited

July 10, 2024

Page 10 of 15

Manoj Raghavan: Yes. So the company made a contribution to the Progressive Electoral Trust of INR19.78 crores in the last quarter. So that is a one-time expense that we talked about.

Rajesh: Okay. And secondly, our revenue has grown but our profitability has been very constant for the last few quarters. So what can be done to increase the profitability in the company?

Manoj Raghavan: I'm not sure when you say that our profitability is down or...

Rajesh: No, I'm not saying it's down, just being very stagnant.

Manoj Raghavan: Yes. I mean we have peaked our efficiency right, EBITDA of 28% plus. Not too many companies in the industry have such EBITDA.

Gaurav Bajaj: And if you add that one-time expense, I think you can draw a better conclusion in terms of the absolute margin that we would have grown compared to the previous quarter.

Rajesh: And can we also expect some kind of a bonus in time to come or...?

Manoj Raghavan: Yes. I mean that is -- we've been discussing at the Board level as well. And we will inform the investors in market once we have an approval from our Board. These are items that we clearly discuss. At this point in time, we have nothing to share.

Rajesh: Thank you and all the best.

Moderator: The next question is from the line of Ashish Shriram Thavkar from JM Mutual Fund. Please go ahead.

Ashish Shriram Thavkar: Thanks for the opportunity. My question was related more so from the GCC angle. So given tha

t every day we are seeing a lot of setups happening in India and the narrative that they want to do more and more innovation work by themselves, would you like to comment on how that event is going to pan out for a company like us? Is it something which is coming into play, or do you feel in the near term, there could be some hiccups?

Manoj Raghavan: GCCs are both an opportunity as well as a threat. It's not that every company would move all the work to their GCCs. Most of our customers have a balance between what they give to their own centers GCCs and what they outsource or work with strategic partners like us. So we have not seen a case where 100% they only work with their own centers, and they don't want to work with anybody else. GCC is in the same market. They also struggle to get resources, to train resources, to upskill them and keep them ready and so on.

I think in most of our customer places even though they have GCCs, they also work with us. So we definitely bring in a certain set of capabilities built over 30-plus years of history that we have in doing ER&D business. There's not too many companies that have such a strong domain knowledge and deep history in this domain.

What is a GCC? GCC is just built by hiring people. So GCCs take time. You need to build that culture. You need to build that bonding. You need to build a talent base. And so it's very easy

Tata Elxsi Limited

July 10, 2024

Page 11 of 15

to look at GCCs and say they have set up a center and all the work will go there. Practically, that doesn't happen.

Nitin Pai: Yes. Maybe I can just add a little bit. This is Nitin. The risks are much higher when you're talking about typical back offices because what you're doing is you're outsourcing very classical IT work, BPO work and so on, where the risk of GCC is taking over what was otherwise done by IT companies is quite high. Engineering is a lot more difficult and a lot

more involved. At the same time, I'll also say there was a positive here, which is the fact that GCCs also break down barriers within the organization that we are working with about moving work to India.

So in that sense, we also see a positive halo around the fact that look, the very fact that the leadership is endorsing a GCC also means that there is that much lesser barriers to outsourcing and offshoring.

Ashish Shriram Thavkar: And just to take that point forward you also said that in terms of the feedback that is available, you'll be cautious on adding the talent. So whatever we had on our bench and we feel that is sufficient to take care of the growth for the next year?

Manoj Raghavan: No, I won't say that. And it's not that we are choking off or stopping hiring. We will still continue to hire on a need basis. It's not that we have all the capabilities ready for a large deal that comes up or ramp up and so on. At any point in time, if any deal comes up - 70%, 80%, 90% we will have the capability. We may still need to go out and add a few people depending on the technology areas and so on. But we will be cautious is the thing. It's not that I'll go out and add 1,000 people without that visibility. I'm not going to do that because I already have that bench.

Ashish Shriram Thavkar: Yes. That's helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhinav Ganeshan from SBI Pension Funds. Please go ahead.

Abhinav Ganeshan: I had just 2 questions. If I look at your client concentration in top 5 and top 10 versus Q1 FY '24. In top 5, we have seen a concentration go up by almost 500 basis points and top 10 by 600-plus basis points. So would this be explained by the larger clients growing faster? Or how does this add up if you could give some color?

Manoj Raghavan: We can't say that it is only due to one customer growing or it's a mix - Top 10 customers also have a mix of customers not just only from the automotive industry, from the media indu

stry

as well as the healthcare industry. So there's a mix of customer base in the top 10. And I would say we have seen broad-based growth.

Our strategy has been to really mine these accounts deeper go for new buying centers, build strategic relationships, build deeper relationships with these customers so that we can have a longer-term business with them. I think that is a strategy that we laid out not just for the top 10

Tata Elxsi Limited
July 10, 2024

Page 12 of 15

customers but for the top 20 customers also. And that is where we are seeing this positive business growth and positive outcomes. I think we are comfortable with that situation.

Abhinav Ganeshan: Fair enough, sir. Just a follow-up on that. When I'm looking at your geo mix also, when I look at it same time last year, America's contribution was around 40%, which has dropped down to 33% and Europe has gone up from 37% to 42%. I'm just trying to understand whether European OEM & transportation businesses have been doing better for us compared to say the U.S. telecom and U.S. health care. Is the understanding is correct?

Manoj Raghavan: Yes. So the transportation business for us is largely driven through Europe, whereas our media and telecom and health care both are largely dependent on the U.S. market. And if you look at it both those segments have not been growing aggressively. And that is how our US share is also dipping slightly.

Abhinav Ganeshan: Fair enough, sir. Thank you for the great understanding. All the best to you, sir.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Manoj, just wanted to get your sense with regards to what we've seen in the recent months or quarters is that the number of traditional IT companies have made substantial acquisitions on the automotive ER&D space, how does that change the competitive intensity for you? If you could share your thoughts on that.

Manoj Raghavan: True, yes. We have seen the likes of HCL, Infosys and so on make large acquisitions. So far, we have not seen an immediate impact in any of our customer base. Also, we understand that a lot of the companies that they've acquired are a lot more in the traditional mechanical engineering space - not too much of focus of capabilities in new age; whether it is digital space or the connected car space or the electrification space. We don't see any of them. So we are watching the space carefully. But at this point of time, we don't see too much of an impact on our current customers.

Manik Taneja: Sure. Thank you.

Moderator: The next question is from the line of Ashwini Kumar Singh from Statpro Fintech Pvt. Ltd. Please go ahead.

Ashwini Kumar Singh: Sir, my question is that in the previous con call, we said that almost 25% of the workforce will

be AI-ready by quarter 2 or quarter 3 of the current financial year. So I would like to understand, are we on that path or not? And which particular sectors are you looking at in the AI segment? And how it can add to the top line of the company?

Manoj Raghavan: Yes. So we are aggressively working on that, Ashwini. And the target is to have about 25% of our staff trained in these technologies by December. And we have more than 100 POCs across segments, right, automotive, media and communication, healthcare as well as there's some

Tata Elxsi Limited
July 10, 2024

Page 13 of 15

very interesting design POCs as well. So it's broad-based across the organization that we are going ahead.

We are having some very interesting conversations with customers. So it's early days. And it's not just us, but even for our customers, it's early days. So, we're trying to really together figure out the impact of these technologies and what benefits we can bring. So, we are pretty excited on this, and that's something that we'll continue to focus on.

Ashwini Kumar Singh: And are we doing something in t

he semiconductor space?

Manoj Raghavan: We don't directly do the semiconductor chip design. But however, in each of our industry verticals, because we are in an embedded space, we definitely need to partner with the major chip companies to build solutions on top of the chips, right? So, whether it's on the firmware layer or the application layer. So, in each vertical, we have partnerships with the semiconductor companies. So, I think that's our focus and that's our strategy.

Ashwini Kumar Singh: So, the revenue for these should be flowing from the next financial years?

Manoj Raghavan: I mean, revenues are already there. We have revenues coming in from semiconductor companies as we speak.

Moderator: The next question is from the line of Moez Chandani from Ambit. Please go ahead.

Moez Chandani: I wanted to understand your outlook on utilization. Given that headcount has declined, do you see the utilization levels right now have peaked? Or do you think that there's still more leeway for increasing your utilization? And could that have an impact on margins as well?

Manoj Raghavan: Absolutely. I mean, utilization has not peaked at all, right? We have a long way to go. And that is where we are confident that we have enough levers to manage the margins. So yes, so that will be the focus in the coming 3 quarters in the years, right? We really need to ramp up our utilization. So, as the deals pick up, definitely, utilization will also increase.

Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: Sir, I have one question on media and communication vertical. So, what's the behaviour of clients who experience for this vertical during the quarter? And what's the outlook going forward? Because in previous one of the calls, we mentioned that by end of the years, we were expecting that this vertical to bottom out. So, is it still intact? Or any behavioural change you witnessed even in the 1Q as well?

Manoj Raghavan: I explained about it in a few questions before. I believe that, look, we have bottomed out and there are some green shoots, some good opportunities that we are chasing. Yes, it's still a tough market. There are still a lot of M&As going on, a lot of focus on cost reduction. There are a lot of layoffs happening at our customer places.

Tata Elxsi Limited
July 10, 2024

Page 14 of 15

There's a lot of push towards best cost locations and offshoring and so on and so forth, right? So, having said that, there are some good large consolidation opportunities and large deals that we are seeing. Of course, it will take 1 quarters or 2 quarters to fructify and move forward. But I think we are seeing some positive revivals.

Plus there are some good deal wins, especially with the NEURON platform that we have launched. So, we are really looking at opportunities in 5G and 6G space as well as we speak. So, these are all opportunities for us that can really help this vertical to grow in this financial years.

Chirag Kachhadiya: Okay, all the very best.

Manoj Raghavan: Thank you.

Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Manoj, could you give out how much would be the OEM mix with the Transportation in the

current quarter?

Manoj Raghavan: 66%.

Apurva Prasad: 66%. Got that. And on the Healthcare & Life Sciences segment, this delay in renewal, what would you attribute that to by the large customer that you mentioned earlier?

Nitin Pai: Yes, Apurva, I'll take that. In this particular case, I think it's simply business challenges at the customer side. They have had some growth challenges on their own top line and so on. So, there are very specific, I think, CFO-led initiatives to calm down on cost, which is affecting our R&D programs. So, we expect that to be short term. But having said that, we are keeping a

close watch.

Apurva Prasad: And would you expect a similar decline next quarter? I'm asking this because I believe last years, you added some marquee names in the vertical. And I think that goes along with the ODC setup. So, would that sort of offset the impact that you're seeing from this? Or this could likely continue for a quarter more?

Nitin Pai: To that extent, ramp-ups that we do in other deals, we cannot fully make up for what we have here. There is an expectation that some, if not all of the renewals should come through. And I think that is what we're aiming for. It cannot be 100% pullback of everything, which is okay. As long as we have partial, we should be able to fill up with what we're doing with other customers, some of the great logos that you won because there's a growth path there, even though typically, healthcare is a little bit of a conservative industry, it doesn't kick in too early too quickly but there's a good pipeline there.

Tata Elxsi Limited

July 10, 2024

Page 15 of 15

There's a good visibility there. But it is important that, yes, we recover some of the renewals and get them going, even if not all. So, that is the only place where there's some dependency, Apurva, to that extent.

Apurva Prasad: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you, everybody, for attending the investor conference. We really look forward to talking to you again the next quarter. And as a management team, we're really focused and keen to continue this growth path and continue on the recovery at least in some of the verticals like Media and Communication. We are fairly confident that we have a good sort of pipeline and fairly confident that we'll end the financial years positively. So, that's something that as a management team, we're really focused and committed. So, thank you again, and look forward to talking to you again next quarter. Bye.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

October 14, 2024

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s,

Sub.: Transcripts of the Investors' Conference Call for the quarter and six months ended September 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and six months ended September 30, 2024, held on October 10, 2024.

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors> .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q2 FY '24-'25 Earnings Conference Call "
October 10, 2024

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
October 10, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q2 FY '24/'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning for joining us from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that would cause further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements .

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session.

We would appreciate your cooperation in restricting yourself to two questions to allow participants a chance to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them if time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Ma noj.

Manoj Raghavan : Thank you, Shashank. Good evening, everyone. Thank you for joining us today for our quarter 2 FY '25 Investor Call. Before we start discussing about the quarter 2 performance of the company, I'd like to take a moment to share the profound loss that the Tata Elxsi family feels in our hearts on losing Mr. Ratan Tata. He played a pivotal role in the founding of this company and had always encourage d the technology, innovation and d

esign-led business

approach that Tata Elxsi is now well known for. This memory will forever remain in our hearts, and his vision and legacy will continue to shape our future.

Coming to our second quarter performance, we are pleased to report a steady quarter with revenues from operations growing to INR955.1 crores, registering a quarter -on-quarter growth of 3.1%. In constant currency terms, the operating revenues stayed flat, registering a modest growth of 0.2% quarter -on-quarter.

Our Transportation business continues to power the growth for the company, registering a healthy revenue growth of 4.4% quarter -on-quarter in constant currency terms. Our strong ADAS , connected, electric and soft ware-defined vehicle capabilities are helping us win large deals with global OEMs across the world, positioning us well for the continued transformation of the automotive industry. We won a landmark US \$50 million multiyear deal from a global

Tata Elxsi Limited
October 10, 202 4

Page 3 of 13

OEM headquartered in Europe, with encompasses SDV and multiple domains of automotive engineering. This strategic engagement will enable SDV platform development and the next generation of mobility for this world-leading brand.

During the quarter, we also announced a strategic engagement with Nidec Corporation, Japan, to support their g roup technology initiatives, especially for automotive market. We also launched a global next -gen mobility innovation center in Bangalore in partnerships with Emerson.

Our Media and Communication business declined by 2.2% quarter -on-quarter in constant currency terms, largely because of pending customer decisions and some large deals that we have been pitching for, and also natural completion of some of the projects that we have been working over the last several quarters. That said, we see green shoots for growth led by our network transformation offerings and the digital Gen AI -led innovation for the future of media.

I'm especially delighted with our world's first RDK broadband implementation for Qualcomm, which allows global telecom operators to adopt to this first of its kind solution to deliver high-

speed home and enterprise broadband services with a 5G network. We also won a strategic AI Center of Excellence deal with a leading Middle East operator, which will support their company -wide transformation initiatives, including reimagining products, customer experience, operations, customer support and software development.

Healthcare and Life Sciences business reported a decline in top line by 11.2% quarter -on-quarter in constant currency terms. This is due to delay in renewal and start -up of new programs with our leading US -based customer. We have added some new customers,

including a global renal care leader and a US headquartered healthtech AI leader , which should scale over the next few quarters.

Skandray, a leading global MedTech R&D and Manufacturing company specialising in diagnostic imaging, critical care and surgery/OT solutions, has chosen Tata Elxsi as a strategic partner for advanced surgical imaging core technology and software platform development. This underscores our unique ability to bring together design, cloud and AI to re-imagine healthcare diagnostics and patient care.

Also, we launched a state-of-the-art robotics innovation lab in Frankfurt in partnership with Denso Robotics and AATech , designed to revolutionize automation and robotics for various sectors, including precision surgery and health care. We are witnessing an unprecedented convergence of design, software and digital technologies such as AI in how enterprises are reimagining their product services and customer experience.

With our strong AI capabilities and design digital capabilities, we are well positioned to demonstrate and create value, win new customers and engage deeper with our global customer base. Our operational and also delivery ex

cellence, fiscal discipline and differentiated offerings have contributed to our EBITDA margins expanding by 70 basis points to 27.9% for the quarter.

Tata Elxsi Limited
October 10, 2024

Page 4 of 13

Our PAT grew by 24.6% quarter -on-quarter to INR229.4 crores, with a superior bottom line performance further aided by R&D incentives and tax credits from previous years. Our strategic focus on expanding our business in Japan, emerging markets and capitalizing on the India opportunity is now starting to significantly contribute to our growth.

During the quarter, our revenues from India grew by 31.2% year -on-year, while Japan and emerging markets grew smartly at 81.9% year -on-year. On the people front, at 12.5%, our attrition remains under control as we prepare to onboard the next batch of freshers. We step into the third quarter of the financial year with the confidence of a healthy deal pipeline, continued growth in our transportation business, large deal wins and a recovery in our other key verticals.

I now open the floor for questions.

Moderator: Thank very much. We will now begin the question-and -answer session. Our first question is from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta : Thank you. So a couple of questions. Firstly, on the transportation vertical, we have seen very strong growth in the last 2 quarters. But when the environment has a lot of global OEMs cutting back on EV target and given your deal pipeline and the deals already closed, how should we think about the growth in this vertical over the next couple of quarters going ahead?

Manoj Raghavan : Yes. What do you say is true. In general, the automotive industry, we see a lot of news out there. So the good part for us is there are deals that we have built and there are deals that we have won that we have to execute and ramp up. So while there is a sort of slowdown or

softness in the automotive market in generally , I think as far as Tata Elxsi is concerned, because of some of the deal wins that we've had that we will ramp up and some of the deals that we have already bid for, we are still hopeful that we will have a decent growth in H2.

Bhavik Mehta : Okay. Got it. That's helpful. Secondly, on the health care side, are the headwinds from the U.S. client all behind now? And do we see growth coming back from 3Q? Or will it take some more time before this client comes back ?

Manoj Raghavan : I strongly believe that we have bottomed out. I mean, even in our Q1, we did indicate that we have this softness in the market. We believe we have bottomed out in Q2 and Q3, we should see a growth . Again, there are good conversations happening with customers and with the one - off customer , there are some delayed decisions and we hope that we will recover in Q3.

Bhavik Mehta : Okay. Got it. And just last margin walk for this quarter?

Manoj Raghavan : I will ask Gaurav to take that question.

Gaurav Bajaj : Hi Bhavik, so our operating margin expanded by 70 basis points sequentially compared to the quarter 1. The major ups and downs for the margin walk - I think we have a cross -currency benefit of 160 basis points. Most of the major currencies moved favourably for us in this quarter. Our other expenses came down substantially during this quarter compared to the last

Tata Elxsi Limited
October 10, 2024

Page 5 of 13

quarter. Last quarter, we had the one-time contribution. That has brought almost 130- basis - point uptick into the margins at the operating level.

We also mentioned last quarter that we would be doing the junior to mid-level salary hikes that we have done effective 1st July. That has an impact of 120 basis points. And our cost of other goods, which entails some of the lab setups, tools and other hardware that is required for some of the larger program starting during the quarter, that has an impact of 100 basis points. So that sums

up to 70- basis -point increase in our operating margin on a quarter -to-quarter basis.

Mod erator: Thank you. Our next question is from the line of Sukan t Garg from Equible Research Private Limited. Please go ahead.

Sukant Garg: Hi. So I have 2 questions here. One is related to the health care segment. Is there any loss of customer in case of our revenues in the health care segment?

Manoj Raghavan : No, there is no loss of customer. We have had a delay in the start of new programs with existing customers.

Sukant Garg: Okay. And my next question is with regards to the t ransportation sector. So as we see the last quarter, the transportation sector has been growing pretty well and this quarter as well, there is a good growth. So how do you see this sector in the H 2 or the next year FY '26. Is that the same level of growth that we're going to achieve or is it going to subside down?

Manoj Raghavan : It's very difficult to talk about FY '26, given the dynamics that is happening in the industry and the trends that we are seeing, right? But however, as I explained in the previous question, which Bhavik has asked, we are pretty confident for H2 because of the deals that we have already won and the ramp -ups that we have to do . And also some of the new deals that we have placed in the last quarter, and ongoing deals that we are chasing this quarter also. So we see a good deal pipeline. And I believe we can continue the growth in H2.

Sukant Garg: So do we also see a consolidation a t headcount level? Or is it going to be bottomed out now, and we're going to increase the head count from now on?

Manoj Raghavan : You're talking about headcount?

Sukant Garg: Yes.

Manoj Raghavan : So we will be very cautious in adding headcount. We will only add headcount where there is any specialized skills that we don't have to execute the projects that we have won . So having said that, we will add the freshers from the universities that we have hired for during the campus last year, they will start coming in during Q3 and Q4.

Sukant Garg: Is it majorly because of the consolidation of the projects that headcount has not been happening for their own existing projects that's been going on due to which the headcount is stagnant ?

Tata Elxsi Limited
October 10, 202 4

Page 6 of 13

Manoj Raghavan : No. So the headcount, we have seen a drop in the headcount because we have stopped aggressively hiring. We used to hire anywhere between 500, 600 resources every quarter. That has dropped now this quarter. So we have taken a very, very careful view of adding more headcount at this point in time, this is from a lateral point of view . Having said that, from a fresher h iring perspective, we will continue to hire fresher s in the H2.

Sukant Garg: No, I want to say that if we are adding new projects and if we are not adding the headcount, what you want to say is the headcount that we have is currently enough ?

Manoj Raghavan : Yes, yes. We have bil liability. We have a utilization of around 69.5%. So we have enough headroom to manage the new projects with the headcount that is already available internally. We will still go ahead and hire only certain critical resources that we need to execute very, very specific projects and so on.

Mod erator: Thank you. The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai : On the previous question, I want to kind of understand that a little better. The whole of last year or almost about 5 or 6 quarters now, we have added net headcount. And this quarter you are still cautious. So, is there any change in the way you're looking at the outlook for the last year's hiring pipeline as more than sufficient versus what growth expectations actually panned out? How should one see the change in view on headcount additions versus growth?

Manoj Raghavan : We have a healthy bench, at this poin

t in time. Our utilization is only about 69% to 69.5%. So

given the overall status that we have in two of our major businesses, media and communication as well as the healthcare and life sciences , we are a little cautious in adding more resources in those businesses. However, from a transportation and the industrial design business that we have, we are ramping up headcount and resources . So if you look at our overall level, you might see a flattening or you might even see a dip in the headcount, but that is also because the last

financial year, in Q2, we have added freshers. We started the fresher hiring in Q2 itself. This financial year, we have pushed that to Q3.

Salil Desai : And how would you like to comment on say how the overall supply side situation is? So if tomorrow in healthcare things change and if you were to ramp up, what chances that could be constrained on finding the right people?

Manoj Raghavan : I think at this point in time, people is not a big challenge for the industry. So I think that's not going to be an issue doing at this point in time. We can never know after two quarters what is the situation. But I think for the next two quarters, the supply side should not be an issue.

Salil Desai : Thank you.

Moderator: The next question is from the line of Moez Chandani from Ambit.

Tata Elxsi Limited

October 10, 2024

Page 7 of 13

Moez Chandani : My first question was , you previously said that you expected to close FY25 at a better growth rate than FY24. I want to check if that's still something that you expect to do for this financial year.

Manoj Raghavan : That's a very difficult question to answer at this point in time. If the Q2 performance was a notch better, we would have still been confident. Though we have a visibility and so on, the industry cycles are so unpredictable nowadays and the deals that we are going after that we hoped to close in 3 months is now getting pushed to 6 months . So that is a general slowness in the market. But having said that, we still hope to show superior growth in H2 to return back to the growth that used to happen maybe four quarters ago or six quarters ago. So at this point in time, I would say, our target is definitely to end the year with a double -digit constant currency growth. I know it is asking much and it is tough . But why I'm a little confident is the sort of deals that we are pursuing and the sort of pipeline that we are seeing. We definitely don't want to lower our goals , we still want to go after that double -digit growth, and we'll put all our best to see whether we can reach that.

Moez Chandani : How has growth been with our top client versus growth across the rest of the auto OEMs? And are we still seeing pressure on Tier 1 suppliers versus the auto OEMs that we have noted previously?

Manoj Raghavan : So yes, I think auto OEMs are definitely growing faster than the Tier 1s , which is positive. So not just the top OEM customer that we have, the other OEM customers have also shown growth in the quarter. Only a few Tier 1s are showing that growth. A lot of other Tier 1s are either remaining flat or there is some degrowth happening. But overall, at a portfolio level, the percentage of revenues from OEMs definitely has grown as compared to Tier 1s.

Moez Chandani : And just one last question on my side. Can I get a little more detail on the time lines for the large deal that we won this quarter? When do we start expecting it to contribute to revenues, and how long is the deal for?

Manoj Raghavan : It's a five -year deal, and the ramp -ups would start maybe middle of this quarter in a small way, but the major ramp -ups will start from January onwards.

Moez Chandani : Thank you so much and best of luck.

Moderator: The next question is from the line of Bhavik Mehta from JPMorgan.

Bhavik Mehta : Can you comment on the demand trends you're seeing in the media and telecommunications

side because this vertical has been weak for quite a long time now. Are there any signs of this bottoming out at all or do you think these headwinds can continue for the next couple of quarters as well?

Manoj Raghavan : Yes, frankly, media and telecommunications is a blood bath. You look at any company in this area, if you look at any competition, you look at overseas companies, all of us are seeing tightening of budgets, and huge amount of consolidations happening in this industry vertical, a lot of cost takeouts. The deals are primarily around cost takeouts and consolidations and so on.

Tata Elxsi Limited

October 10, 2024

Page 8 of 13

So, I think while we are still staying afloat, we have invested in a set of products and solutions and IPs. We are really pushing some of those forward and really going to customers and saying "Hey, we can do things in a lot more efficient manner. We can help you take costs out." So those are the value proportions that we are taking to customers.

I think, definitely, the confidence is there in terms of growing, but whether the growth will be significant or not, it's very difficult at this point in time because most of the deals comes with a huge amount of negotiations and cost takeout. We will grow, but will it be a significant growth or not, it is very difficult to say at this point in time over the next couple of quarters -H2.

Bhavik Mehta : Okay. Got it. And lastly, on the margin side, I think last time there was a target of maintaining the margins at FY24 level. So does that target still remain? Or will it come down given where Q2 has ended up?

Gaurav Bajaj : No. I think we continue to target our margin in the expected band that we had communicated earlier also. Of course, there would be one-off blips here and there. This quarter, there was a salary increase done for the junior to mid. But with H2, we expect it to be a better half compared to the H1. So we believe that we can improve on the margin from here on.

Moderator: Thank you. The next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila : So my first question is on the transportation vertical. So just wanted to understand the large SDV deal that we had won in Asia, which is providing some growth in this particular quarter, is this fully ramped up or it has tailwinds in the coming quarter as well?

Nitin Pai: Sulabh, I can take that. I think we have done a reasonable part of that ramp up, but we still have some room to go.

Sulabh Govila : And that would be fully done in 3Q or that will be an increasing momentum?

Nitin Pai: I think it will kind of peter out in about two quarters. So we should be done largely in Q3 with some amount of lift further in Q4.

Sulabh Govila : Okay. Understood. And with respect to the Healthcare vertical, I understood that we mentioned that it has sort of bottomed out. But I just wanted to understand, in this key customer where we were trying for renewals and new project starts, so do we now have the green light for these renewals and project starts or that is still pending?

Manoj Raghavan : We will have some partial restart this quarter. So to that extent, we have seen some visibility. And we hope by Q4, we'll be back to the full plan.

Sulabh Govila : Okay. So does that mean that whatever revenue decline we've seen in the past two quarters, that will fully come back in a couple of quarters?

Manoj Raghavan : That is the focus and that is the intent that we have.

Tata Elxsi Limited
October 10, 2024

Page 9 of 13

Sulabh Govila : Okay. Understood. And the last bit is on this media and telecom side, the new program that you launched on taking the capability from media site to telecom on this RDK Broadband implementation. So just wanted to understand how big you think this opportunity is for you and how big can this become as a percentage of revenue or of this

vertical as a whole? How should one think about that?

Nitin Pai: Yes. Maybe I can take that. I think we see it in two contexts. One is that telcos have typically stayed shy of broadband and so on. And the only options have been either certain open standards or very proprietary devices that come from incumbent device suppliers that telcos had to adopt. I think for the first time, this offers a clear path where it's an open standard that is global adoption and somebody like Qualcomm backing it up.

We are going to see significant movement of operators to adopt this kind of technology, but try to understand, this is all going to be capex linked. So to that extent, I think you will see it play out over the next two years, to be clear. I think the big opportunity for us is not only to support that adoption and I think the biggest gain for us would be really our entry into telcos using this bench. So in that sense, for us, it's a very strategic long-term play rather than anything that we see in the very short term.

Sulabh Govila : Okay. Understood. And is there a particular billing model or monetization in this, which is involved? How should one think about that?

Nitin Pai: No. At this time, it is still clear product engineering, right? So there is no fancy model that comes in.

Manoj Raghavan : It will be outcome-based or it would be time & material, it's a standard model.

Moderator: Thank you. The next question is from the line of Kamlesh Kumar, who is an Individual Investor. Please go ahead.

Kamlesh Kumar: First of all, I convey my condolence from Mr. Ratan Tata's demise, it is loss for not only Tata Elxsi or group companies but also the entire Indian population; such a great leader. Okay.

Coming back to the question. I was just going through the presentation; I saw that there's major revenue coming from Europe and US, which is close to 70%. And considering the job loss data, which is released today, the drop of claims that are released today, there is an increase of around 20,000. So do you foresee any impact due to any slowdown in Europe or America on Tata Elxsi outcomes in Q3 and Q4?

Nitin Pai: Maybe I can take that. If you understand our company profile, I think we excel in offshore delivery. So to that extent, we typically engage with customers with the promise of fantastic engineering delivered with talent that can scale from India. So our on-site revenues are fairly minimal, and they're predominantly driven to support projects that we already won because the

model of delivery also is a little bit of ownership driven. So to that extent, Europe and US job loss data does not have as much of a consequence. It should be a bit of a tailwind because that means that there are more jobs coming our way.

Tata Elxsi Limited
October 10, 2024

Page 10 of 13

Moderator: Thank you. The next question is from the line of Rajesh from Zenith. Please go ahead.

Rajesh: First of all congratulations for a good set of numbers in this challenging environment, and I must appreciate and thank all the management team over here for the continuous effort. My question would be, do you foresee any opportunities in the defence and semiconductor sector? And do we have the capabilities or are we trying to build any capabilities in that area?

Manoj Raghavan : Yes. I think both the defence and the semiconductor industry are of interest to us. So we've been working with the various DRDO labs, ISRO, and defence establishments on projects from time to time. Given the focus of the Indian government on a lot of new projects, especially in defence from India and India-based companies and so on. So we believe it's a good opportunity, especially with the capabilities that we have in imaging, in hardware designs, and in wireless technologies. Most of the defence electronics that come out are a combination of many of these technologies. So we are actively looking at

opportunities that

come this way. And I think that is definitely an area of focus for us.

Similarly, on the semiconductor side, there are a lot of investments coming in fabs and foundries and so that is another area we would definitely look at. Currently, we are engaged primarily in helping semiconductor companies more on the software application side. But having said that, that is an opportunity for us to really look at chip design.

For many years, we've had that semiconductor. We had a unit that that focused on chip design, and we've actually taped out chips SoCs for our customers, maybe 10 years ago. So definitely, we know the domain. We know the field. Definitely an opportunity for us to really get back

and see what sort of investments we should be making in rebuilding some of the capabilities that we've sort of let go right at that point in time. So yes, I think both of these are of interest.

Rajesh: Opportunity size is very huge, I think, as I understand.

Manoj Raghavan : Yes, it is. I mean each of these come with their own complications, right? These are really high-tech areas, right? They're not run-of-the-mill projects and so on. So we really need to have that capability to really enter the field and stay in the field. So that's something that we are evaluating from a future perspective.

Moderator : Thank you. Next question is from the line of Vinesh Vala from HDFC Securities. Please go ahead.

Vinesh Vala: You said that we are expecting to bottom out in Q3 for the health care vertical. Am I right?

Manoj Raghavan : Yes. That's correct.

Vinesh Vala: Okay. Sir, another question I had was regarding OEMs growing faster than Tier 1. So what would be the percentage of OEMs of the total transportation?

Manoj Raghavan : This quarter, we have touched 68% from an OEM perspective of our overall transportation revenue.

Tata Elxsi Limited
October 10, 2024

Page 11 of 13

Vinesh Vala: So it's 68%. And we expect that to increase going ahead?

Manoj Raghavan : Some of the large deals that we have won are all OEM deals. So yes, over a period of time, yes, next couple of quarters, we expect the OEM business to grow.

Nitin Pai: Vinesh - the bottoming out was referring to Q2, not Q3. Just to clarify for health care.

Moderator : Thank you. The next question is from the line of Niket from MO Asset Management Company. Please go ahead.

Niket : Thanks for the opportunity. I just had 2 questions. One, if you can just give some color on how the JLR ramp-up has been happening? And what do you expect for the H2 of this year?

Manoj Raghavan : JLR has been a steady customer of ours and a lot of new age capabilities that we built based on the work that we have been doing with JLR, including software-defined vehicles and the complete EV powertrain area - we have a very, very strong lock-in with JLR. So that's been a fantastic journey for us. Having said that, we all know JLR is also going through its own issues. Their sales are going down. So while JLR continues to be an important customer, we definitely have built other OEM customers. And the H2 growth for us will definitely come. Of course, JLR will continue to grow, but there will be faster growth in other OEMs.

Niket : Got it. And the second question was , if you look at the business model of Tata Elxsi, obviously, auto has been a consistent good driver for you, with a bit of volatility on Healthcare and Media and Entertainment. Do you think that while these are 3 major verticals that you continue to run, of which 2 continue to remain fairly volatile, you would need 1 or 2 new verticals to come and ensure that the growth is much more, I would say, structural rather than a bit cyclical at least on a couple of those segments that I mentioned about. So how would you look at newer verticals being added or any M&A kind of opportunity within the existing verticals to ensure that the growth is slight

ly higher than what you are currently?

Manoj Raghavan : No. I agree. It's not as if transportation was always firing, right? During COVID, if you look at it, transportation segment actually went down and it was the Media and Communications and Healthcare that actually grew at that point in time. So I think we are very much aware, but I think that is also the strength of this sort of 3 verticals that we have, right? It's sort of orthogonal and having said that, we are looking at newer areas, newer industry verticals to get in. There are many options that we have been evaluating. So yes, I think, hopefully, from our next financial year strategy perspective, definitely, there's a focus in building newer verticals. We will announce that at the appropriate time.

Niket : Got it. Perfect, thank you so much and I'll come back in queue.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : Hi, thank you for the opportunity . I actually wanted your inputs on a couple of things. Number one thing is we see headcount come off in the current quarter. If I recall correctly, last quarter

Tata Elxsi Limited
October 10, 2024

Page 12 of 13

while you've been talking about budget investments from a headcount standpoint this year, you have been talking about hiring pressures in the current quarter, and thereby expect the headcount to go up. If you could talk about the plan on that front?

And also, with regards to JLR, if I see your Annual Report, the approval that one has taken in terms of labour party transaction limit that suggests that JLR will essentially grow in excess of 50% this year. Are we on track with some of the challenges that you spoke about in case of

JLR in the near term? And also, how should we be thinking about the ramp up on the auto OEM deals given the way headcount actually has been trending?

Manoj Raghavan : Yes. So coming to your question regarding freshers , no, we have not added any freshers in this quarter and in Q2. The fresher addition will happen in Q3. So that is about the freshers. From a JLR perspective, what we have taken the omnibus approval that we have taken INR 1,000 crores . We looked at it from a 2 year perspective, so that we don't need to go again and again to the investors for approval. The intent was never to say that JLR will be INR 1,000 crores in this financial year. So I think JLR has been growing pretty well for us. But still there's a long way to go to achieve INR 1,000 crore s number that you're talking. That will be a good target for us eventually. Was there any other question?

Manik Taneja : Sir, my question was with regards to how should be thinking about the growth trajectory given the headcount has been coming off in the last couple of quarters? And the last question from

my end. You had spoken about FY '25 and how you expected to have better growth year than

FY '24. Clarification on that is, are we looking at this from a constant currency growth, rupee number or a dollar number ?

Because if I do some math , the ask rate for second half is

extremely high to be on constant currency?

Manoj Raghavan : So I think we've discussed that in a previous question as well. Yes, so when we looked at the end of Q1, we were pretty confident in terms of being able to better our growth in the last financial year. However, with H1 gone, while the intent is still there to see if we can get to a double -digit constant currency growth, I know the ask is huge. But the good part is that we have won certain deals, and we'll have to ramp up them over the next half year. On top of it, there are other deals that we are bidding for, that also gives us a good feel that, look it is possible. Having said that, I know it's an extremely difficult task. But we don't want to change our goals, short -term goals now. We will take a look at it at the end of Q3 and see where we stand.

d.

Manik Taneja : Manoj, I know I'm pushing you, but given the speed of news flow from global auto OEMs in the recent months, and each of them essentially are seeing their own specific volume -related challenges or uptick on the EV side, do you think given the tailwinds that this industry has enjoyed in the last 3 -4 years, we could probably go through a phase of slow decision making and reprioritization trend and there by some pressure for the auto R&D segment?

Manoj Raghavan : It is true. I think this question was also asked earlier. So it is true that the general auto industry is going through slowdown. EV sales are not picking up, all of that is true. But having said that, there are deals that we have already closed that ramp -ups are happening. So the

Tata Elxsi Limited
October 10, 2024

Page 13 of 13

confidence comes from the fact that, look there is a visibility that we have. And we are also looking at new deals, if I look at the pipeline that we have. And the good part is some of these deals are not necessarily from US or Europe OEMs, there are substantial deals in Asia and Japan and so on.

Where we see that some of these OEMs have been late to the party. And so they are in a hurry to catch up. So we would definitely see some of these deals closing. And again, we don't need 20 deals to close in our favour, right? All we need is 1 or 2 large deals every quarter. So I think we are there. We are seeing some of those deals. And even if the industry is going through a lot of turmoil and so on, all we need is those 1 or 2 deals that will really help us and keep us afloat.

Manik Taneja : Thank you and all the best to the team.

Manoj Raghavan : Thank you, Manik.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Manoj Raghavan : Wonderful. Thank you so much for all the questions. We will get back again end of Q3. And hopefully, we will have a better growth story at that point in time. And thank you so much, and good night. Good evening. Take care.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes today's conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2025

January 15, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir / Madam ,

Sub.: Transcripts of the Investors' Conference Call for the quarter and nine month s period ended
December 31 , 202 4

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors' Conference Call for the quarter and nine months period
ended December 31 , 202 4, held on January 09, 2025 .

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors> .

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above

"Tata Elxsi Limited
Q3 FY '24-'25 Earnings Conference Call "
January 09, 202 5

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
January 09, 202 5

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi Limited Q3 FY '24 -'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you Mr. Ganesh.

Shashank Ganesh: Thank you very much. Good evening to all the participants on this call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the businesses that would cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the Senior Manager of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the quarter by Mr. Raghavan followed by a Q&A session.

We would appreciate your cooperation and restricting yourself to 2 questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you Manoj.

Manoj Raghavan : Thank you, Shashank. Good evening, everyone. Thank you for joining us this evening for the Q3 Earnings Call, and I hope that you and everyone in your family are safe and healthy. I'm happy to report that we have delivered a steady third quarter in terms of top line in a seasonally weak quarter. Our revenues from operations were reported at INR939.2 crores. During the quarter, EBITDA margins stood at 26.3% and PBT margin was reported at 26.1%. This was the first quarter in which the full impact of salary increases for all our employees was

seen. Margins in the

quarter was also impacted by adverse currency movements in GBP, Euro and JPY.

It is important to mention here that our margins in the previous quarter were aided by onetime R&D incentives and tax credits from previous years. We continue to see positive outcomes of our strategic business focus on Japan, emerging markets and capitalizing on the India opportunity. During the quarter, our revenues from India has grown by 21.9% year-on-year, while Japan and emerging markets grew at 66.8% year-on-year.

This will serve us well over the next few quarters, even as we navigate geopolitical uncertainty, currency volatility and industry-specific challenges in Europe and US. Coming to our businesses. The automotive industry has seen significant business challenges in the past

Tata Elxsi Limited
January 09, 2025

Page 3 of 18

few months with OEMs, especially in the U.S. and Europe reporting sales and growth challenges in their major markets.

This has impacted new deal closures and the Tier 1 supplier spend. Amidst this business environment, Tata Elxsi continues to do well to win and execute on large deals won over this year and demonstrated differentiated value to customers to protect and grow our revenues in a difficult quarter for the entire automotive industry. During this quarter, our transportation business grew 0.5% quarter-on-quarter in constant currency terms.

In the last quarter, we announced an offshore development center for Suzuki Corporation, Japan, to support their global technology software and engineering development. Suzuki's

CTO, Kato-san, highlighted the importance of the center as a strategic and core component of Suzuki's innovation strategy, helping it accelerate software and virtual development across connected, autonomous and electric technologies. We are delighted to be launching our AVENIR Software-Defined Vehicle suite at the CES 2025 conference, which is happening this week in Las Vegas, the premier global showcase for technology and innovation.

AVENIR encompasses a cloud-native virtual development platform and a hybrid global validation platform and is powered by the Snapdragon digital chassis platform in partnership with Qualcomm. We offer a compelling proposition of a ready to adopt solution, coupled with deep digital and software expertise and scale talent base to help global OEM shift left and accelerate the SDV and future mobility road maps.

Our media and communication business reported a 0.4% quarter-on-quarter growth. We are positioned well to help customers in the media, entertainment and telecom industry on all 3 levels of growth, efficiency and innovation. We won a large multi-year deal with a U.S.

headquartered -operator to develop and manage their portfolio of applications and expect to ramp this up over the next few quarters. We are positioned well in some very large deals across the world with decisions and outcomes expected in the coming quarters and beyond. Our Healthcare and Life Sciences business reported a growth of 1.1% quarter -on-quarter. We continue to win new marquee healthcare customers and our Gen -AI-powered regulatory, digital engineering and sustainability offerings are seeing significant traction in the market. Our system integration business witnessed decision delays in some large projects that had a significant impact on revenues in the quarter. While we are aiming to win and execute them over this quarter and beyond, we continue to work on pivoting the business away from project -based to annuity and service -based revenue streams. In terms of our employee base, we continue to do well with attrition remaining low at 12.4% during the quarter on an annualized basis. During this quarter, we've added net of 85 employees into the system. We step into the fourth quarter of this financial year with confidence of large automotive deal wins in the year and quarter t

hat will see continued ramp -ups even as we navigate the current volatility in automotive market.

Tata Elxsi Limited
January 09, 2025

Page 4 of 18

The stability and return to growth in the healthcare and media and communication verticals and large strategic deals in the pipeline across all our key verticals. With this, we will open the session for Q&A.

Mod erator: Thank you. The first question comes from the line of Bhavik Mehta with JP Morgan. Please go ahead.

Bhavik Mehta : Thank you. Couple of questions. Firstly, Manoj, if you can talk about the outlook for the auto vertical in terms of when do you expect deal closure to normalize or deal ramp up s to normalize and by when we should go back to the kind of growth we saw in the first half? The second question is to Gaurav - if you can just give the margin walk for the quarter? And how should we think about the tax rate going forward because ta x rate has been quite low o ver the last couple of quarters? Thank you.

Manoj Raghavan : Yes. If I break the automotive market into 2 part s: Europe, in general, we see automotive market would take some time to recover. So, I would say a quarter or a couple of quarters is where we see continued pain in the European market. The U .S. market is seeing a little bit of traction. We are seeing some positive work happening, and that should recover maybe in a quarter or so. However, we're seeing a lot of good opportunities in Asia, in India as well as in Japan. We are hoping that business will continue to grow as we've seen in this quarter. We will accelerate the growth because we have won some good opportunities, some large deals, and we would definitely want to grow and focus on delivery excellence and really accelerate our revenues for Q4 and subsequently. So yes, Europe will be a little slow. APAC, India will definitely accelerate. U.S. will be steady. So that's the outlook for the automotive industry.

From a margin perspective, I would request Gaurav to take that.

Gaurav Bajaj : So, Bhavik, I think what we alluded, also Manoj mentioned that at constant currency basis we came flat. However, there has been adverse movement in some of the major currencies in which we operate, specifically Euro, Pound and JPY, which has led to almost 140 basis point impact on our margins. So, most of the differential margins that you see from the last quarter to this quarter on the operating EBIT basis is due to the currency impact.

This quarter also intakes the wage hikes that has been done by the company, which completes the wage hikes cycle for the company at overall employee base for this financial year. The wage hike impact was almost 100 basis points, but that was also compensated and mitigated through some of the other operating leverage and efficiency that we can bring in towards pyramid optimization, utilization improvement and also on -site salary cost due to the currency movement help ed in terms of the reduction in the cost. So, most of the wage hike has been compensated and mitigated through other means and leverages that we have on the operating front. Apart from that, there is a slight increase in the other expenses because of the third -party contractor that we have to in take in this quarter for some of the positions that require to be filled, where we don't have the required skill set . Probably over the period, we can roll over those third -party contracts with the internal workforce. Also, some increase has happened on

Tata Elxsi Limited
January 09, 2025

Page 5 of 18

the travel and the Visa front due to the renewals and some of the positions that were required to be fulfilled at the on-site.

This is an expense impact of 60 basis points. And apart from this, there is a reduction in the cost of goods sold towards the equipment and other parts to the related product revenue in the quarter and there's a dip in the depreciation and the fi

nance cost of another INR1.5 crores. So, both put together, cost of goods sold and depreciation, would give you 45 basis point kind of a benefit into the margin. So, in all total, there's an impact of about 150 basis points when you compare 25% EBIT last quarter to 23.5% this quarter.

I think your second question was on the tax benefit and the tax rate for the current period and for the full year. I think we stated at the start of the year that most of our SEZ unit has come out of the 100% benefit slab and it's moved to the 50%, and we believe that this year, our tax rate would be upwards of 25%.

As you know, last quarter, it was lower because of one -off income tax refunds that we received last quarter. This quarter also, tax rate was at the same level or slightly lower to the last quarter for 2 reasons. One, due to the differential in the deferred tax asset because of reduction in the depreciation and we didn't incur any additional capex during the year. There is also the end-to-end for the exchange-related profit that is not computed for the income tax purpose when we do the tax provisioning. So that has led to the income tax rate for the current quarter at 22.2%. With that, on a YTD basis, tax rate has been at 24.1%. We believe that quarter 4 will not have those one-time off unless there are some other favorable tax orders that we can receive. On a normalized basis, I believe that our tax rate would be upwards of 25%, probably 26%, but we may exit the full year at an effective tax rate of something between 24.5% to 25%.

Bhavik Mehta: Okay, that's very helpful. Thank you.

Moderator: Thank you. Next question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Yes, thank you for the opportunity. Sir, if you could help me with what was the mix of OEMs within our auto verticals for this particular quarter?

Manoj Raghavan: You're talking about the revenues from OEMs, right?

Vimal Gohil: Yes.

Manoj Raghavan: Revenues from OEMs has increased I think from 67% to 72% this quarter.

Vimal Gohil: Okay. So, the Tier 1 continues to be a source of a challenge for us. Would that assumption be right?

Manoj Raghavan: That is true. That is the industry trend that we are seeing, especially in the Western world, the large Tier 1s are not winning deals, as a result of which their outsourcing towards companies

Tata Elxsi Limited
January 09, 2025

Page 6 of 18

like us is also coming down. So, a lot of our revenues, we are focusing on the OEM side, yes, that's true.

Vimal Gohil: Right. And sir, in the auto vertical, most of your peers are also calling out a bit of softness. But are OEMs also relooking at their long-term spend on their EV architectures or their software architectures for, let's say, four years, five years out? Is that also being reconsidered or are some of the near term typically what we've seen in a soft auto market in EU or the U.S. is that the immediate capex on the existing platforms is cut, but in this particular down cycle of autos in the West, are you seeing some of the EV platforms or the software platforms being reconsidered upon?

Manoj Raghavan: It is the near-term projects that are being reconsidered because as you would have read, most companies are really looking to refocus back on ICE and hybrids, so that is where we see that some amount of reprioritization in their near-term EV R&D budgets. Long-term EV strategy continues, but it's just the near-term budgets that are being relooked at.

Vimal Gohil: And most of the projects that we are working on would be towards the long-term initiatives of these OEMs, right?

Manoj Raghavan: It's a mix. It's not that 100% of it is long term, but it's a mix of both near term and long term.

Vimal Gohil: Understood. Thank you so much. I'll come back in the queue.

Moderator: Thank you. Next

question comes from the line of Vijay Pandey with Nuvama. Please go ahead.

Vijay Pandey: Thank you for taking my questions. I have one question. I just wanted to understand like the electric vehicle services in Western market, particularly in the U.S. and Europe, are stagnated but how do you look at how the software-defined vehicle and ADAS levels? Is that also where you are showing seeing a slowdown, or is it continuing at the similar pace as what was

expected? My understanding is since that it has slowed down, if you can highlight what is the level of penetration you expect particularly by end of the decade, by FY 2030, auto?

Manoj Raghavan: If I understand your question right, you're asking how is the software-defined vehicle market outlook for Tata Elxsi?

Vijay Pandey: Software-defined and ADAS.

Manoj Raghavan: So yes, I think Tata Elxsi has been investing in building our own SDV framework. And we have announced it in the Consumer Electronics Show, CES, this week. It's AVENIR, which we have partnered with Qualcomm. It's built on a Snapdragon Qualcomm chassis. So, we are pretty confident that SDVs are here to stay. We have interest from many of our customers, not just the passenger car companies, but also commercial vehicles, because from a fleet management perspective, SDV makes a lot of sense.

So, we have ongoing customers where we are engaged on the SDV platform. Plus, we are also in discussions with a few OEMs, both passenger vehicles and commercial vehicle companies,

Tata Elxsi Limited
January 09, 2025

Page 7 of 18

to license the solution that we have and build over that so that we can give time-to-market benefits for our customers. So yes, I think SDV definitely has a lot of interest.

AD/ADAS, of course, it's another area that we have been investing for quite a few years now. We see continued interest in ADAS opportunities from the OEMs to bring in differentiated solutions to the market. There's a lot of opportunities also on the verification and validation side of AD/ADAS. So that's something we believe the spend will continue. So, if you ask me by 2030, what is the outlook? I would say, especially if EVs pick up, definitely there will be SDV play both in the passenger car vehicles as well as in adjacent markets of commercial or off-road and other areas as well. So, we continue to invest in SDV.

Moderator: Thank you. Next question comes from the line of Ritesh Poladia with Girik Capital. Please go ahead.

Ritesh Poladia: Thanks for the opportunity. My question is on the automotive segment. Sir, with China EV exports rising maybe 2025 might be flat here. How does that change the segment for us?

Manoj Raghavan: So, I think a lot of the reason today for I would say the softness in the automotive market, especially in the West, is due to the rapid growth of the Chinese OEMs, right? And actually, if you look at it, many of the auto OEMs, you look at the big three in Germany, look at the U.S. companies, they used to make a lot of money in China. And China market used to be pretty big for many of these customers.

With the Chinese OEMs now launching EVs that are at par or even better than some of the equivalent models available from the Western car companies, many Chinese consumers are buying Chinese cars, which automatically means the market share of the Western OEMs in China is coming down. And hence, the top line and bottom line for these companies are actually coming down because of the effect of impact of the successful ramp-up of the Chinese OEMs like BYD and others.

So I think, yes, that is also one of the reasons why the western market is in a state of reducing their budgets, they are not clear, they're talking of nontariff barriers, the local governments are talking about putting up barriers for the Chinese OEMs to come into their markets and so on. And of course, there's also a push towards

ICE and hybrid because in some sense, they believe that moving towards the EV is only going to strengthen the China ecosystem because most of the batteries and components, the motors, inverters, everything comes from China, even for the global OEMs, right? So, there's a little bit of competition, there is politics, there is everything intertwined there.

So yes, I think that is a challenge that the Western world is facing and it will be interesting to figure out how they will address it. And unfortunately, for us, our fortunes are also linked to how the OEMs are able to compete effectively with the Chinese car companies and grow their market share. So, it's a challenge. It's an opportunity for us to bring in solutions, bring in capabilities like the SDV platform that we have. We are investing in various other products, battery passport, BMS, and the number of things that we are doing.

Tata Elxsi Limited
January 09, 2025

Page 8 of 18

And we are hoping that whatever investments which we make will help the Western OEMs effectively compete with the Chinese OEMs and win back market share. So, I think it's very

difficult to give a precise commentary of what's going to happen, but these are all the various moving parts that are there in the market today.

Ritesh Poladia: Sir, just to extend on this, even that R&D is all inside the country, do n't you think that is a much bigger challenge for a company like us to compete with China?

Manoj Raghavan : When you say, you are talking of the R&D of Chinese companies, right?

Ritesh Poladia: Yes.

Manoj Raghavan : Yes. The only problem with the Chinese companies have is, in general is that Western companies, especially the large major car companies , are wary of using Chinese software . So, they'll will always be a reluctance to rely completely on Chinese vendors. So that is something that companies in India can really tap into and provide those capabilities to the other global car companies.

Ritesh Poladia: Great, that's all from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Vimal Jamnadas Gohil with Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Thank you, sir, once again. Since you're discussing China, a simple question arises : do we really sense an opportunity here? I mean, given the fact that there's so much happening there, do we really have a chance to tap into some of their software -defined architectures or BMS or whatever ?

Manoj Raghavan : No, so we are not ignoring the China market. While our customers, OEMs are competing with the Chinese companies , in some sense, they are also collaborating with them. We have heard of all those announcements in the market, right, where global OEMs are tying up with Chinese OEMs for the China market and so on, right? So, there are various collaborations that are happening.

So, through our customers, we are definitely engaged with both the Chinese OEMs and the Chinese suppliers. And so in some sense, we are aware of what is happening in the market . There is some amount of collaboration that is happening as we speak. So, I will not be able to give more details on it, but we are very much aware.

Whether we can directly enter China market and work for Chinese OEMs , I mean, we are looking into it, but I think it's a very, very difficult proposition at this point in time, because just the speed of the market and the culture, the language ; There are a lot of other challenges in the market that we need to address. But we are finding an indirect route by working via our customers.

Vimal Gohil: Understood. And sir, within our transportation vertical, I think a couple of years back or even more, we had spoken about some of the adjacencies; Is there any update over there? Has that

Tata Elxsi Limited
January 09, 202 5

Page 9 of 18

taken a bit of a back seat? How should we look at

that? I mean rail, maybe aerospace or something like that?

Manoj Raghavan : Yes. So, there are a few adjacencies that we continue to focus on . Primarily, I think one is the commercial vehicle space. That is something that I have also indicated that even from a software -defined vehicle perspective, that is something we are seeing a lot of interest. On the Connected car or the Connected Vehicle perspective, there is a lot of interest in that space. We are also winning deals in that space. So commercial vehicles definitely.

Rail, we have invested heavily , it's sort of plateaued. We grew well, but it's sort of plateaued, and we are trying to figure out how to increase that because the number of rail operators or the OEMs are very limited. It's not as if it's a pretty large market, but we have not given up there. We're really now focusing on three aspects: commercial vehicles, off -road and also the aero , avionics and defence. These are the 3 adjacencies from a transportation business that we are placing our bets on.

Vimal Gohil: Understood. Thank you so much, sir. All the best.

Manoj Raghavan: Thank you.

Moderator: Thank you. Next question comes from the line of Sulabh Govila with Morgan Stanley. Please go ahead.

Sulabh Govila : My first question is with respect to the growth in transportation vertical that we've seen this quarter? So , I just wanted to understand that, if you were to break down this growth that we've seen, let's say, compared to last two quarters, then is this lower growth more a function of the ramp -ups that were expected to happen but did not happen on time? Or on those ramp-ups, they were as per plan, but there were other project deferrals or cancellations that were ongoing?

Manoj Raghavan : So yes, I would say we definitely have taken a hit in the transportation business from our customers in Europe because of the market conditions and some of the projects being deferred.

The spend has reduced there. At the same time, we have won certain large deals, and those ramp-ups have happened, but those ramp-ups have not happened to the extent that we would have wanted. And customers are also a little careful in terms of how much they would want to spend.

Plus, there are newer customers that we have announced like Suzuki and so on. Those ramp-ups have happened to the extent that we would want to, right? And those are the three buckets that we have. So, any time, even the next quarter, we will look at it in these three buckets and really push forward on those customers that have money and the willingness to spend, and that's something that we'll really, really focus on.

And the remaining two buckets, especially on the deals that we have already won, there's a slight deferment in terms of full ramp-up. Ramp-ups are happening but not happening to the extent at which we had expected. So we'll definitely push to see to get back to that original

Tata Elxsi Limited
January 09, 2025

Page 10 of 18

ramp-up plan. And those customers where there's still a little bit of a hold in the budgets or pause in the budget, that is where we'll have to wait and monitor and see how it progresses.

Sulabh Govila : Okay. Understood. So just taking this forward. So, if you were to think about this particular quarter, 4Q, given where we are standing today, would you say that based on these multiple moving parts and the three buckets that you mentioned, a decent acceleration from the current levels is going to take some time because there are multiple moving parts here?

Manoj Raghavan : It's very difficult to sit here today and give an exact commentary. But from a management perspective, we definitely want to push all levers to really exit Q4 with a decent run rate. So that's something that we will be focusing as a management team.

Sulabh Govila : Okay. Understood. And then secondly, with respect to both the media and the healthcare

vertical, now that they are sort of stabilized, would you expect them to continue to be stable and steady for some quarters before you think that the growth can return in these verticals, where we are today?

Manoj Raghavan : Yes. So, we have seen some green shoots in both these verticals. We've also had some large deals in both the verticals, plus we also have some deals that we are working on as we speak in this quarter and the subsequent quarters. Closures will happen over a period of time.

So we're pretty confident that we can bring back the growth. But you're right, it could take one quarter or maybe a couple of quarters to really get back. But we are seeing those green shoots and we would be laser-sharp-focused to really extract that value as soon as possible. That's something that we will stay focused on.

Sulabh Govila : Okay. Understood. And then the last question is on margins. So, if you look at the past several quarters, we have gone down from EBIT margin levels of 27% to now 23.5%. And there are obviously multiple reasons for that, slower growth being one of them. So just wanted to understand, do you think that these are the new normal levels of margins? Or we can go back to those 27% margins in due course of time. Or the third thing would be that margin uptick will also happen with time, and it's slow in the near term because of the lack of growth or moderation in growth?

Manoj Raghavan : We are heavily focused on ensuring that we get back to our margin profiles that we had indicated earlier. As Gaurav discussed in the beginning, this quarter, margins are tag lower because of the full impact of the wage hike that we had given. I mean those are things that we can't push beyond a particular time frame. So that's already a committed expense. So, we were working on margin levers. As you rightly pointed out, the biggest lever for us is improving our billability and that stems from growing our top line. And along with growth, the margin performance also will improve. So, we are very cognizant of that, and we're keeping a sharp focus on our overall costs. And that's something that in the short term to medium term, we will be working to improve the margin profile.

Sulabh Govila: Understood, sir. Thanks for taking my question.

Tata Elxsi Limited
January 09, 2025

Page 11 of 18

Moderator: Thank you. Next question comes from the line of Nitesh, an individual investor.

Nitesh: Yes, thank you. Thanks for the opportunity. So, this is the first time I'm attending the conference call. So, I would like to know where do you see the growth coming, say, the coming quarter and also for the next financial year considering the various challenges what we are facing at the moment?

Manoj Raghavan : So, there are headwinds and challenges that I've discussed in detail . So, in each of the industry verticals, we are really looking at adjacencies and how we can bring in growth . In the medium to long term, definitely, our focus is on the adjacencies in the transportation business, for example, Aero and Defence and the commercial vehicle side is something that we are really pushing to see if that growth can come back.

At the same time, we've also built a suite of products. We talked about SDV, talked about battery passport . In the media and communication vertical also, we talked about a number of products and intellectual properties that we have already invested in. So , while the market has been weak and our billability has been low, we have been using the time to really invest and build products that we can license subsequently and earn returns and so on .

So, I think mid to long term, I think we definitely have levers that we can use to bring back growth. And that's something that we're fairly confident that given all these uncertainties and so on, right, once we have a clearer picture, we will be able to really get back to growth. The fundamentals

of the company are still strong.

Tata Elxsi is known for its design, digital capabilities. We still have a very good name with all our customers. Most of our projects are executed in a timely manner, there are green projects. Our customer satisfaction is almost at the rate of 4.75 out of 5. So , we are tracking all of those parameters and all of the parameters are green for us. It's just a question of latching on to the growth engines and delivering that value. I'm fairly confident that we'll be able to get there .

Nitesh: Okay. I just have one more follow -up question. So are you looking for any acquisition considering the cash we have on the books of around INR 1,000 crores. And the second is how much are we dependent on JLR ? So, from the OEM perspective, are we heavily concentrated on JLR?

Manoj Raghavan : JLR is definitely one of our significant customers, no doubt about it. But there are a number of other OEMs as well that we work with. So, I think over a period of time , we have sort of ensured that our dependence on JLR as an account has actually come down. I'm happy with the level at which we are operating with JLR today. And at the same time, I am happy with the growth in other OEM accounts, so I'm not overly concerned about that.

Regarding M&A and acquisition, yes, we continue to look out and scan for opportunities, especially in adjacencies and new areas that we want to invest in. Typically, we are looking for small -sized companies, we don't believe in big bang acquisition. So, we will be careful and there has to be a rationale why we acquired a company, and it has to result in positive business outlook. So, there are number of filters that we have. In general, we take a lot of time to really

Tata Elxsi Limited
January 09, 2025

Page 12 of 18

analyze and only take those cases where we believe it makes sense for us. So we are very, very selective when it comes to M&A. Let me put it that way.

Moderator: Next question comes from the line of Rishi Maheshwari with Aksa Capital .

Rishi Maheshwari : Sir, just got off a call from TCS who mentions that the current quarter gives them significant hope of quick deal wins , low deal cycles , improvement in discretionary spend. And categorically speaking about how CY '25 is going to be much better than what we've seen in CY '24. Now from your commentary, we're not gathering the same confidence so far. I may have not been able to understand it in the same vein. I understand, 50% is automotive , and that is still reeling under some form of pressure.

But having said that, you've also mentioned in your press release that the Japanese and emerging markets wins gives you enough confidence in the near term. So help us understand and reconcile that thought that this is one year where perhaps we're looking at single -digit growth itself. So what can accelerate this to a double-digit growth for, if not this year, at least the next year? Or what are you looking at? Are you sensing the same forms of market sense that TCS has been speaking of?

Manoj Raghavan : Yes, I've not heard the TCS presentation, so I can't comment on that. But definitely, as you said, 50% of our revenues come from the automotive segment. And the major markets there, which is Europe for us is definitely, we are seeing a slowdown. We will get a better clarity after a quarter or a couple of quarters ; at this point in time, it's very difficult.

And that is also the reason why I cannot categorically say that automotive markets will definitely do well, especially Europe. But however, as I said, Japan, India and the rest of the world and U.S. we see a lot more positive indications. And that is something that we believe will drive our growth in the transportation business for the next financial year. Now whether that growth will overcome any sort of slowness that we've seen in Europe is something that we have to wait and watch.

Rishi Maheshwari : Sure. And just at the cost of reiteration, aside of the automobile, you mentioned that whether it's healthcare, whether it's media and communication, in those verticals, you've seen a distinct turnaround versus what we've seen in Q3. Am I right?

Manoj Raghavan : Yes. So you have seen that at least there are green shoots, at least there are deal wins happening, revenues are growing. So those are all positive indications for us.

Rishi Maheshwari : And margins, you alluded to getting back to between 25%, 26% in the near term, barring the one-offs that you had spoken off in the earlier remarks of your call, you would expect now that the wage cycle is behind and to get somewhere in the vicinity of 25% plus. Is that a fair understanding?

Gaurav Bajaj : Yes, I think that is a fair understanding, and that is our plan to get back to those margins . I think Manoj also mentioned during the previous question that the priority for us is to improve our billability and utilization, and that will come from improving our top line. So there are

Tata Elxsi Limited
January 09, 2025

Page 13 of 18

enough margin levels available for us to get back to those band of margins in the short to midterm.

Moderator: Next question comes from the line of Vijay Pandey with Nuvama.

Vijay Pandey: I just wanted to understand about the U.S. market. So after the new government is in place, are you seeing any improvement in the automotive market? And any deals we think that is moving on that will come over the next quarter or coming quarters? Any update if there is a turnaround in the U.S. market.

Manoj Raghavan : Your voice was breaking. So, your question is whether we are seeing any turnaround in the U.S. market, right?

Vijay Pandey: Yes. Yes.

Manoj Raghavan : And with the new government of Trump coming in, what is that impact, right? So, I think for us, the U.S. market is important because all the 3 verticals, which is automotive, the media and communication and the healthcare, has a significant preference in that particular market for us. So both media and communication and healthcare, we also have a sizable customer base and large deals happening in the U.S. geography.

We're continuing to invest in the U.S. geography, in terms of enhancement of the sales team and a number of things that we are doing in the U.S. market to really ramp up our business . Regarding our transportation business, yes, I think there are a number of discussions that are happening with both OEMs and Tier 1 suppliers there.

We have recently announced a strategic partnership with Qualcomm, those are also positive for us that we will together go and collaborate with customers that use Qualcomm chipset for SDV. So these are various discussions that are happening. And I think those are reasons why I'm a little more confident that there will be some recovery in the U.S. market for us.

Moderator: Next question comes from the line of Jalaj with Swan Investment. Please go ahead.

Jalaj: Thanks for the opportunity. Sir, my first question was in this quarter or Q2. The growth has been predominantly driven by customers which are ex of top 10. So could you throw a little light on to that as in geography wise or maybe how do I match this with the growth coming from what sort of clients specifically ?

Manoj Raghavan : Yes, let me answer that before you go on. As I mentioned , a lot of the growth for us this quarter has come in from Asia Pacific region, in Japan and so on. So these are all set of new customers that we have added. And that is why they will not form the part of the top 10 account for us. And a lot of the top 10 accounts are auto companies that are based in Europe as well as U.S. , and so this sort of general economic situation there results in the dip in some of those accounts and that's causing that top 10 to drop.

Jalaj: Understood. And my second question was w

ith regards to the other verticals. So maybe first, I'll talk about transportation. So your discussions with clients, are they happening basically

Tata Elxsi Limited
January 09, 2025

Page 14 of 18

specifically to the European clients, has there been a steep cutting the budgets on the ER&D spend or there's a reprioritization of this then, how has the discussion particularly happening there? I'll tell you why I'm asking this is because under pressure, ideally, the company should be spending a lot more on trying to defend their market specifically?

Manoj Raghavan : No, that's a theoretical way of looking at it. That doesn't happen often - For example, if car

companies have been investing heavily on the EV side and suddenly they see that, look, Chinese companies are coming into their own home country and selling cars. So that is a little bit of a rethink on their overall strategy: Do they invest more on hybrids and ICE and then talk to the government about tariffs and ensuring that the Chinese car companies are not able to sell? So, there are a number of things that are happening in the market. So I would say the speed at which all of this is changing has taken some of the car companies by surprise and that is also resulting in this confusion about budgets and spend and so on. So I think over a period of time, we'll get a little more clarity .

Jalaj : Got it. And one last question, maybe, sir, for both media and telecom and health care, at least it looks like the rate of degrowth has bottomed out for both the verticals. What sort of discussions are you having in terms of what the deal wins ? The pickup to happen in these both verticals, would it take a little longer or should happen quickly?

Manoj Raghavan : We are hoping that in both these verticals, the pickup of business should start from the next quarter onwards, in some cases from Q1. We have won some large deals and those ramp -ups will happen next quarter and the subsequent quarters. And there are a lot of discussions that are happening as we speak. So all of those , depending on closures , will definitely bring in revenues in Q1 and so on.

Jalaj : Fine. Thanks a lot and best of luck.

Moderator: Thank you. Next question comes from the line of Abhishek Agarwal an Individual Investor. Please go ahead.

Abhishek Agarwal: So just wanted to understand in the auto segment. If I take, let's say, U.S. and Europe as one cluster and India and other emerging markets where we've seen good growth as another cluster. Just wanted to get an idea of the differences in these two clusters in terms of competitive intensity, pricing power from the perspective of Tata Elxsi and billability or price sensitivity in general?

Manoj Raghavan : Especially in Japan and so on, we don't see that much of an issue with respect to pricing. Of course, in the Indian market we definitely see pricing will be an issue. But we're managing it through our exposure towards different markets are also based on what sort of price realization we can achieve.

So we don't see too much of a difference between the Western world whether it's Japan or Europe or U.S. Of course, competition intensity is definitely higher in the Western world because the barriers to working are low . There is no language or culture barriers, but if you go to work with a company in Japan, you have a lot of other barriers.

Tata Elxsi Limited
January 09, 2025

Page 15 of 18

It's not an easy not easy to work with Japanese companies , unless you have a history of working with them and you understand their quality processes, expectations, language, culture and typically Japanese companies, once you start working with them , it's typically a long -term engagement. They never sign a deal for 1 year and so on. It's usually a 5-year sort of a large commitment that is there from one company to other. So that's the advantage of working with

companies in Japan. It takes time, but once you win a deal with them, it's usually for the long term.

Abhishek Agarwal: Understood. That's all from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Ajay Jain, an Individual investor. Please go ahead.

Ajay Jain : Thank you very much for taking my question. I have one question. There have been many collaborations with well-known companies in transportation, healthcare and media, including setting up centers of excellence for the last many quarters. Why are we not seeing any monetization of these? Can we see anything on these lines in future?

Manoj Raghavan : You are actually seeing monetization. And that is why , in spite of degrowth in a major market like Europe, we are still able to show growth in the transportation business. That is exactly because of the monetization of all the deals that we have won. So it's wrong for you to say that you're not seeing that. Yes, at the company level, you may not see that because of certain markets not performing the way it was performing. So that's the reason. If we had not done these partnerships or deals, then we would have seen a massive degrowth in our business.

Ajay Jain : Okay. But the growth itself is less than 1% or 2%?

Manoj Raghavan : Yes, Mr. Jain, it's a very difficult market out there in Europe and U.S. We have been able to show growth. This is a very credible performance, I would say.

Ajay Jain: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Sanjay Chawla with Renaissance Investment Managers . Please go ahead.

Sanjay Chawla: Good evening. Thank you for the opportunity. You talked about Western governments

responding or looking to respond to Chinese EV makers through tariffs and nontariff barriers. But specifically, do you see a situation of U.S. and Europe pivoting away from EV by cutting down the subsidies of credit and scaling back EV penetration targets. Because all feels you have done so far is to let China become dominant in autos and start getting the best of the Western automakers?

Manoj Raghavan : Yes. But with Trump coming to power and with Elon Musk by side, I really don't know what decisions they would take and there is definitely pressure from the German auto motive industry lobby because Germany as an economy depends heavily on automotive industry. And there is a lot of pain out there with job cuts and factory closures . So definitely, there's a lot of

Tata Elxsi Limited
January 09, 2025

Page 16 of 18

pressure on the government to take certain actions to ensure that the jobs are protected in those local geographies. So we will see some impact.

Sanjay Chawla: So you think the tariff and non-tariff barriers essentially seems to be a way to go as of now?

Manoj Raghavan : It doesn't matter what I think - I'm just saying that's what I'm looking at , what I'm reading and talking to people and so on. I'm not a politician who is deciding, but I'm just saying that is an opportunity. And I don't know whether it will happen or not.

Moderator: Thank you. Next question comes from the line of Shyam Ramakrishnan, an Individual Investor . Please go ahead.

Shyam Ramakrishnan: In the previous con call, it was mentioned that it was difficult to exit it might be difficult to exit FY '25 with a better growth rate than FY '24. So now that Q3 results are out, is there still any possibility that FY '25 could end better? Or is that a really optimistic view?

Manoj Raghavan : No. I think FY '25 will definitely be a soft year. We were hoping that these headwinds that we're seeing in automotive industry, we will still be able to find a way to recover. But with the Q3 performance, I think it will be very difficult for us to pull so much in Q4 to compensate for the flatness that we are seeing, right? So yes, it will be difficult, yes.

Shyam Ramakrishnan: And just one final question. Going for

ward, I think maybe next 2 years or 3 years, will the tax rate be upwards of 24%, 25%, is that the new normal?

Gaurav Bajaj : Yes, Shyam. I think the tax rate going forward would be upwards of 25%. As you know, there is no new approval happening on the increased rate units of India. So the remaining period for the tax holiday will continue for some time. So you can expect the tax rate to be upwards of 25%.

Shyam Ramakrishnan: Okay. Thank you. That's it from me end. Thank you.

Moderator: Thank you. Next question comes from the line of Kanchi Shah with MC Research . Please go ahead.

Kanchi Shah: So I had a question on automotive. So can you please guide us like how much does the U.S., Europe and Asia contribute to this market?

Manoj Raghavan : You're talking about geography contribution?

Kanchi Shah: In terms of revenue contribution, like how much are these geographies contributing to the automotive market, like since you have said that Europe is still expected to take time to recover. So Asia Pacific is doing great for you, so could you give us the break- up?

Gaurav Bajaj : We don't provide the numbers of the geo by business vertical. We provide typically the revenue mix from the geo at the company level, but we can give you a little bit qualitative answer – In the automotive world, most of the substantial part of the revenue comes from the Europe then followed by the U.S. and the APAC market.

Tata Elxsi Limited
January 09, 2025

Page 17 of 18

But of late, as Manoj mentioned, and we also mentioned in our Press Release, the automotive market and especially the Western OEM s are under certain pressure. At the same time, we see an uptick happening in the Japanese market and the APAC market. So there is some movement that is happening more towards the APAC and the Japanese market, which gets compensated from the slowdown in the European market. But still the European market is a significant part of the overall revenue mix within the automotive.

Moderator: Thank you. Next question comes from the line of Sanjay Shah with Pranishta . Please go ahead.

Sanjay Shah: Basically, I just wanted to try and understand what is this relationship or the collaboration that you have set up with CSIR National Aerospace, and how big can the opportunity be? If you could just elaborate on that? Is there a possibility for you to partner with many other such

enterprises within India or overseas for the UAVs and UAMs ?

Manoj Raghavan : Sure, absolutely. So, as I said, we are building our Avionics and Aerospace and Defence vertical. And the tie-up with NAL is one such tie-up that we have, of course, for access to technology as well as access to their infrastructure and labs, right, especially when you look at UAVs and drones, flight control systems and so on. Some of the labs are very, very expensive to set up and so on.

Various companies like NAL, HAL, and others already had those infrastructure that is available. The tie up is definitely to, when we bid for projects, there is a need to have both technology and infrastructure in place. And we are trying to build that through collaboration with some of these organizations.

Sanjay Shah: Do you have a sense on what kind of an opportunity it could be in a few years' time? Let me ask it slightly differently. Just given the headwinds that you're facing and some of the participants have spoken about it, you've spoken about it, with respect to the automobile industry and also your initiatives in some of the other areas - if you could just elaborate on how Tata Elxsi of 3 years later would be as compared to where Tata Elxsi is in terms of its business mix?

Manoj Raghavan : So definitely, we see Aerospace, Avionics and Defence going to be a big opportunity area for us, not just in India, but also overseas. We talked about UAVs, drones, electrical vertical take-off right, eVTOL these are all very, very significant

and opportunity areas for us 4 years to 5 years

down the line, when the technology matures. And so that is something that we are investing today. We have pretty ambitious plans there. I wouldn't want to put any number there. But if you ask me 4 years to 5 years from now, I think that piece of business will be a significant revenue earner for Tata Elxsi.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management of Tata Elxsi for closing comments.

Tata Elxsi Limited
January 09, 2025

Page 18 of 18

Manoj Raghavan : Thank you, everyone, for attending the Q3 conference. We look forward to really working hard on Q4 numbers and coming back to you with better news in Q4. Thank you so much for your time.

Moderator: Thank you. On behalf of Tata Elxsi, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2025

April 21, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s / Madam ,

Sub.: Transcripts of the Investors' Conference C all for the quarter and year ended March 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2025, held on April 17, 2025.

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Cauveri Sriram
Company Secretary & Compliance Officer

Encl: As above
"Tata Elxsi Limited
Q4 FY '25 Earnings Conference Call "
April 17, 2025

MANAGEMENT : M R. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKET ING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. CAUVERI SRIRAM – COMPANY SECRETARY –
TATA ELXSI LIMITED
MODERATOR : M R. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
April 17, 202 5

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Tata Elxsi Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you Mr. Ganesh.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're joining us from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors, therefore, must be viewed in conjunction with the business risk that could cause the result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take you through the results and answer your questions today, we have the senior

management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Cauveri Sriram, Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to take them forward.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. Good evening, and good morning to everybody who's joining us on this earnings call today. For the fourth quarter of FY '25, we reported an operating revenue of INR 908.3 crores and a PBT margin at 23.3%. We ended the financial year with a revenue of INR 3,729 crores and a PBT margin of 26.3%.

The Board of Directors have recommended a final dividend of 750%, that is INR 75 per equity share of par value of INR10 each for the financial year ending 31st March 2025, subject to approval by the shareholders.

Coming to the business. We reported a healthy quarter -on-quarter growth of 3.5% in constant currency terms in the quarter for Healthcare & Life Sciences segment.

We have established a strong foundation for continued growth in our Healthcare & Life Sciences business with addition of 13 new marquee customers in the year and expanded capabilities and platforms in new growth areas such as sustainability and AI -powered diagnostics and therapies. Our automotive business witnessed challenges in the quarter as some OEMs and suppliers paused new program starts in the face of geopolitical and market uncertainties and are focused

Tata Elxsi Limited
April 17, 2025

Page 3 of 18

on conserving cash. We also saw delays in ramp -ups planned for ongoing deals won in the previous quarters that we expect to resume starting Q1 '26.

We won a strategic EUR50 million multiyear SDV and software engineering deal with a Europe headquartered global car OEM. That will actually start ramping starting Q1 FY '26. We are transforming our customer base with a continued shift towards OEMs and SDV in automotive industry, providing us with a set of customers and a platform for our long-term growth.

Our Media and Communication business saw some customer -specific issues in the quarter due to M&As and business restructuring, while the overall industry continues to exercise caution in R&D spend and innovation. But I'm pleased to report a strategic multiyear product engineering consolidation deal of over USD100 million with a marquee operator in the media and communications vertical, which is the largest single deal in our company's history. We also won a strategic USD10 million consolidation deal with a global broadcaster for a streaming video platform engineering. Both these deals are with existing customers, and we won against some of the best global competition. This again lends a strong foundation for the coming year as we look to bring back growth in this segment.

Our system integration and support business is pivoting to value -added services and innovation-led products such as experience centers. It worked with our design team to deliver the design and technology implementation to the prestigious Bharat Pavilion at the World Expo 2025 in Osaka, Japan, that was inaugurated earlier this month.

I'm delighted with the international recognition for our design digital proportions, with two IF award wins for 2025. We won the UX award for GameSense, our experiential solution that brings together UX design, AI and digital technologies to deliver enhanced fan engagement and monetization for global sports and live events. We also won an IF award for product design with our next -generation racing simulator gear design for Turtle Beach, a leader in gaming technologies.

Our design -led revenues have grown at over 25% in the year, clearly underscoring the strength of our design digital proposition. We are expanding our vertical presence with the addition of aerospace and defense, addressing emerging opportunities for space, unmanned aerial vehicles, software -defined systems and indigenization in the sector. We are pleased to have been associated with HAL (Hindustan Aeronautics Limited) for the Combat Air Teaming System, (CATS) Warrior an unmanned autonomous combat air vehicle, which was displayed at the Aero Show in February 2025.

We have signed strategic partnerships with NAL and Garuda Aerospace and have been empanelled with 2 global aerospace majors and a new age eVTOL company. We continue to invest strongly in digital, AI, engineering technologies across the verticals targeting efficiency and quality in product engineering and novel applications of GenAI combined with domain and design expertise to solve complex business, product and engineering problems.

Over 70% of our talent base is now AI ready, and we have built a pool of over 500 specialists across domains and application areas. We enter the new financial year, the foundation for

Tata Elxsi Limited
April 17, 2025

Page 4 of 18

stability and long-term growth led by the large deal wins, the continued confidence of our customers across the world and a strong deal pipeline and a differentiated design-led proportion for innovation and product engineering.

So thank you, and let's start the Q&A session.

Moderator: Thank you very much. The first question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: So the first question is on the large deals that you've announced. Just wanted to check, especially on the consolidation deals. What's the net new component there in the media vertical?

Manoj Raghavan: It's a multiyear deal. It's a 3-year deal. So the net new component would be approximately 25% to 30%.

Sulabh Govila: Okay. Understood. And then with respect to the auto vertical, given that there have been changes globally with respect to tariff announcement, etcetera. Some of our clients, especially the top client, have made some certain announcements with respect to certain strategic changes that they are considering. So just wanted to understand how does that have any bearing on the business that we do with them?

Manoj Raghavan: Yes. So I think it's not just us, but I'm sure many other companies are facing the same challenges with our OEM customers, especially in automotive industry due to a

II these geopolitical issues

and the tariff issues. So actually, in this quarter, we have seen a number of projects that we are working on - especially with our top customer - witnessing pauses. We are hoping that over the next couple of quarters, we will have a lot more clarity on this.

At this point in time, it's too early for us to have that clarity. However, with the new large deal wins that we have announced today, we're really hopeful that those projects will ramp up and some of these weaknesses will get covered up. We are in discussions with our key customers to navigate this difficult scenario.

Sulabh Govila: Okay. Understood. Just a follow-up there, and this is maybe both for auto and the media vertical. And given that there are multiple moving parts here, with respect to the current quarter which we are currently in, how would you think about the visibility currently given that there were certain pauses which were there and some deals which will ramp up?

So on a net-net basis, how should we think about the visibility that we have? Do you think that we can improve from the fourth quarter that we had and get into the growth trajectory or that would be some time away?

Manoj Raghavan: The entire focus of the management team is to ensure that we grow back from Q4. I would say we have decent visibility and a lot of encouraging discussions with some of our key customers. We strongly believe that we will be able to grow back in Q1.

Tata Elxsi Limited
April 17, 2025

Page 5 of 18

Sulabh Govila: Understood. And just one last question on the margins bit. The other expenses, they fell very sharply on a Q-on-Q basis. So just wanted to understand what led to that? And what should be a sustainable number going forward?

Manoj Raghavan: Yes, I will have Gaurav respond to that.

Gaurav Bajaj: Sulabh, I think this is a soft quarter and difficult times with uncertainty. So we have been very disciplined in terms of some of the discretionary spend that we have been doing. Along with some of the other expenses, non-people costs, we have been very cautious in terms of how much is to be spent and where it is to be spent. And most of that saving is coming from some of the third-party contractors, consultants, the travels and the visas and the office consolidation. So most of those savings are coming from those discretionary spend, which we believe can be avoided for the time being until the time we see the better growth on the top line.

I think we put those measures into consideration and executions even before this quarter. So those started to give us some better results in the quarter, and we continue to measure those as we move forward in the next quarter and the next financial year.

Moderator: Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I actually wanted to clarify on a couple of things. Number 1 thing is that if I see your last 3 years' performance, you've had challenges in 2 of the 3 industry verticals, Automotive was the one

which is driving growth. With some of these deal wins that you've announced in the current quarter, do you think we begin to essentially reverse the course of declines that we've seen in the other 2 industry segments. That's question number one . The second question was with regards to margins. Once again, I would presume that some of the margin decline is on account of revenue weakness as you are now saying that we should probably be looking at stability to improvement in growth from Q4 levels. Does that mean that we should probably start to see an improvement in margins as well?

Manoj Raghavan: Yes, definitely, margins would improve with the growth in business . I think one of the key reasons for the margin decline has been the revenue degrowth. So very clearly, our focus is to bring back the revenue growth which will automatically bring back the margin growth.

Reg

arding in each of these industry verticals, we have announced large deal wins. Our healthcare business continues to grow, and we really expect that to continue to grow strongly over the next financial year. We won some very, very good logos in the last financial year. And for us, the focus would be really to go deeply and mine those logos that we have won in the last financial year.

In the case of Automotive and Media and Communication, the good part is because of the large deal wins, we will have stability in our long -term businesses. It is very important to really protect the sort of downside for us. And so these large deal wins gives us that confidence.

Tata Elxsi Limited
April 17, 2025

Page 6 of 18

Now we really need to go and see how we can mine these accounts and grow faster, right? So those are the activities that we will really focus. And so FY '26 will all be about growing back, getting that momentum back and really focusing on these key deal wins that we have and really scaling them and mining them faster and better.

Manik Taneja: Manoj, just a question with regards to whatever we've been hearing from some of your IT peers in the course of recent deals. Typically, you've seen first half being seasonally strong, second half because of the calendar effect and the usual seasonality tends to be weak. With the current backdrop, do you think you probably start slow and see an acceleration in sequential growth rates through the course of the year or do you think it is difficult to essentially building that kind of a trajectory at the current moment?

Manoj Raghavan: No, I think for us, these large deal wins would mean that we really need to start expanding the relationship right from Q1. Of course, Q1 and Q2 would be a bit slow because these are consolidation deals, we would need to take over from existing suppliers, and there will be some amount of investments that we would need to put in to really build that business.

But from Q2 onwards and subsequently, we expect the full value of the deal to come in play. So for us, we would really expect that, look, we will see an accelerated growth as we move into the financial year.

Manik Taneja: Sure. So the last clarification is, do we also envisage a change in our typical on -site offshore mix as we consolidate some of our competition as well as how should we be thinking about hiring now even we've been trying to essentially keep cost in control and then thereby through the course of this year, we've cut headcount.

Manoj Raghavan: Yes. From an on -site offshore mix, I don't think we will see too much of a change because some of these large consolidation deals have also been focused on servicing them from the best cost countries. Customers don't really want us to spend additional budgets by having people on site and so on.

So the signature of the deals that we see going forward are a lot more on to best -cost countries rather than high-cost countries. So that is the signature of the deals that we see, whatever deals that we are closing. So that aligns with our philosophy as well that we are traditionally strong at delivering offshore.

So we don't see a big change there in terms of either having a lot more resources on site and so on. There could be some temporary blip as we take over and transition work and so on. But in the midterm to long term, we will be at the sort of on -site offshore ratios that we see today.

Manik Taneja: Sure. And any questions or any response on the headcount metrics as to how should we see that play out, given you cut headcount in the course of the year focused on improving utilization, et cetera?

Manoj Raghavan: Yes. when I say cut headcount, we have natural attrition that we have not replaced because we have a very good quality bench that is available. And we have been very careful to add laterals.

Tata Elxsi Limited
April 17, 2025

Page 7 of 18

Of course, we do add laterals also on a need basis, but we have been very, very selective in the type of people that we bring in. So I think we would continue to be cautious over the next 2 quarters, I would say. Having said that, we will have a few freshers coming in this quarter and next quarter. But from a lateral perspective, we will definitely be a lot more cautious, and it will all be based on the business growth that we see.

Manik Taneja: And there is enough kind of bench strength to improve utilization and service the so-called improvement in demand that you foresee over the next 3-to -6 months?

Manoj Raghavan: Yes, absolutely.

Moderator: Next question is from line of Ashwini Singh from Statpro Fintech. Please go ahead.

Ashwini Singh : As you would be well aware that there's a huge capex currently underway for semiconductor fabrication and assembly plants in India. The largest being from Tata Electronics, which is a promoter group entity. So I'd like to understand if there's any opportunity for Tata Elxsi because I understand that Tata Elxsi is a leader in semiconductor space design such as VLSI design, etcetera. So whether you are in talks of some of the semiconductor companies which are coming up? And if you look at some opportunities over there.

Manoj Raghavan: Yes. So of course, yes, we are in discussion with the companies that are planning to set up fabs and so on. Right now, they are in the factory setup stage and so on. So there are discussions ongoing with these customers from a viewpoint of our design offerings. Also, our manufacturing and Industry 4.0 offerings. We are having discussions with them.

It's pretty early from a chip design side because the focus right now is not really building new chips and so on. But however, those are discussions that we are having, but these are still early stages, I would say. We would definitely be interested to see how we can support the India semiconductor ecosystem moving forward.

Ashwini Singh : Sir, can you quantify what kind of opportunity size you're looking at like in the coming few years in this space?

Manoj Raghavan: It's very, very early, I would say, to give what you say, a business value. However, we are in close discussions with a few of these customers to see how we can be relevant to their plans . I think it will take at least another couple of quarters before we can formally get back and say what sort of value proportion we have for these customers .

So however, today, we are engaging with them. We are supporting them where we have capabilities, especially from the design side and the manufacturing side. And those are areas that we are focused on. On the chip design side, we are on a wait and watch, right, to see what sort of opportunities evolve right for us.

Moderator: Next question is from the line of Has Mukh from Tata Mutual Fund. Please go ahead.

Tata Elxsi Limited
April 17, 2025

Page 8 of 18

Has Mukh: Just have one question around FY '26 growth. So I do understand that you don't provide guidance, but considering the weaker exit and acceleration of growth from Q1 onwards, would it be fair to assume that you will be growing better than FY '25 in FY '26?

Manoj Raghavan: That is the clear focus of the management team, and we are a little more confident because of some of the deal wins that we have had in the last quarter, and we have entire 4 quarters now really to scale up some of these deal wins. So we're really hoping that we will be able to deliver better performance than FY '25.

Has Mukh: Okay. Got it. But just one follow -up here. So these large deal wins, are you witnessing any delay in ramp -up or those are, let's say, getting started on time probably as per you?

Manoj Raghavan: We have been in discussions over the last 4 quarters and finally the announcements are happening. And we are happy that we are seeing light at the end of the tunnel. So to that extent,

I'm really happy that things are moving. So definitely, we really don't see too much of delays moving forward because the customers also have the need and the necessity to ramp up and move quickly. So this financial year, definitely, we will see a lot of revenue uptick coming in from these deals.

Moderator: Next question is from the line of Nitin from Green Capital. Please go ahead.

Nitin: My question pertains more as an investor. Now obviously, there are some risk mitigation strategies that the management would have liked to undergo in terms of trying to change the revenue mix, maybe reducing U.S. exposure and increasing exposure to rest of the world, China, Japan or increasing exposure to India or to EU?

Just wanted to get a sense of what the initial chats or feedback have been from some of your larger clients in terms of IT spending and some risk mitigation strategies towards that? Would love to hear the management thoughts?

Manoj Raghavan: Sure. I think as you would have seen this, the geopolitical situation with the tariffs and so on and with the war going on, of course, we are seeing Europe and U.S. two large geographies, really showing a slowdown across both automotive and media and communication. So consciously, if

you look at it, we have been really expanding beyond the 2 main markets. We're really looking at emerging markets, including India, Japan, the Middle East, Africa, LatAm and Southeast Asia. So we have consciously really expanded the bucket, expanded the markets that we would go into.

And I think we have had decent successes, I would say. Japan business grew pretty well for us in the financial year. Similarly, our India business really accelerated in the financial year. And I think that gives us a lot of confidence that there are a lot more companies based in India now who really appreciate the design digital offerings. And we have some wonderful successes in the Indian automotive industry.

We work with all the major players supporting them in a lot of the new product launches, a lot of the connectivity platforms that you see car companies launching in India have been powered

Tata Elxsi Limited
April 17, 2025

Page 9 of 18

by Tata Elxsi's Tether platform. So there are a lot of interesting stuff that we are doing with India and India-based customers as well.

Of course, GCCs are a strategic play for us and we've also seen an increase in the GCC business, in our Automotive as well as in Media and Communication and the Healthcare space. So I think for us, India and the emerging markets will continue to be an important market for us in the coming financial year as well.

Nitin: Yes. So the follow-up to that is like I do see over the year in terms of revenue mix and the U.S. exposure has reduced from approximately 38% to 31%. India exposure has increased from approximately 16% to 19%, and rest of the world exposure has increased about 5.6% to 8.3%.

So I'm sure that there has already been a movement within the company to hedge a lot of exposure away from U.S. and maybe reduce Europe and get more specifically into LatAm, as

you said, or Africa or Southeast Asia or more towards Japan or East Europe. So having said that, is it so easy for a company to change the revenue mix so quickly? Or does it take time?

And does it take like a quarter or two? Or will it be also clear with the situation maybe once the U.S. clients are clearer maybe after the quarter as to what specific tariffs and taxes are applying and how their spending is getting affected because not everyone will be painted with the same boat. Just some thoughts on that?

Manoj Raghavan: Yes. So these emerging markets that we talked about, it is not a 1-quarter play, right? We have been investing and actually building relationships, building local partnerships, building sales channels, over more than 4 to 6 quarters, I would say. And I think that is the derisking strategy that

we planned even the previous financial year has actually helped us now. I mean nobody could have predicted the current geopolitical situation and the tariff issue that we are seeing. But our strategy of expanding the universe of markets that we go after, right, has actually helped us in this particular situation. So it's not a knee jerk reaction only for the last one quarter. This has been planned out and it is that strategy of really looking out for newer markets has really helped us in this current difficult situation in both U.S. and Europe.

Nitin: Thanks, all the best of the management team go through this tough period, and I hope we come out of this much better as we go across the year.

Moderator: Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: So my question is related to the large deals in the Media and Communication verticals that you have announced. So if you can throw some more light in terms of what is the tenure of the deal? And in terms of margin, is the margin similar to the company average or generally the larger deals have a bit lower margins at the beginning. So is it similar to that? And is there any like rebadging also involved in this?

Manoj Raghavan: Yes. So this is an existing customer, as I talked about. It's a 3-year deal. Of course, since it's a consolidation deal, it is a deal that has been won over all the major global competition.

Tata Elxsi Limited
April 17, 2025

Page 10 of 18

I would say it's a very prestigious deal for us and the confidence that the customer has placed on us I think that is something that we really are very, very happy to see.

So yes, as I said, since it's a consolidation deal, we had to be competitive from a pricing perspective. So it definitely, I would say, comes at a competitive rate. But a good part for us is it gives us that stability over 3 years. It is up to us now to see how we can leverage this deal and extract the margins and there are a lot of things that opportunities are there, including AI, GenAI

and so on, how we will leverage this to improve our margins.

There is no rebadging in this particular deal. So to that extent, we don't take any unnecessary risk with local and on-site that we had to rebadge some high-cost resources and so on. So we don't have any of those challenges.

Gaurav Bajaj: And Amit, just to add to that point, I think large deals also come with a billable deployment opportunity for us. And with the quality of the bench available with us, that will definitely help us on our margins to move upwards from what we have seen in this quarter. That's what we said. I think the margin is a direct function of the top line growth. So our focus is to get the growth back and the margin, you will see automatically start to get back to the normal levels.

Amit Chandra: Okay. And also on the Auto OEM 50 million deal, So these 2 deals, we have won in an environment when there is a lot of uncertainty in the macros. So these we think that these 2 deals have been committed by the clients despite of the tariff scenario and despite of the ongoing challenge or these factors like did not impact or maybe these are committed much earlier than the uncertainty started?

Manoj Raghavan: No, as I discussed in an earlier question, right, these are not new deals that come up just in the last quarter. Both these deals have been worked on over multiple quarters. So it is whether the current geopolitical issues and tariffs had influenced this decision, I mean, I wouldn't say that.

The customers had to do a lot of internal negotiations to work around, there were worker council related issues. There are a lot of regulations that they have to be careful before they take these decisions because these decisions also involves moving a lot of work from high-cost locations to best-cost locations like India. So there are a lot of sensitivities involv

ed when a customer

announces such deals. So naturally it took a long time before they got all those internal approvals and so on. And that is a deal cycle nowadays, especially when you look at large deals.

Amit Chandra: Okay. And lastly, in terms of the deal to revenue conversion cycle. So anything has changed in the last 2 weeks in terms of the revenue conversion or everything is on track?

Manoj Raghavan: No, I would say everything is on track. We've not seen any undue or any negative things over the last 2 weeks to make us cautious.

Moderator: Next question is from of Debashish Mazumdar from Svan Investments. Please go ahead.

Debashish Mazumdar: So I have just only one question. If I remember the way you and some of your competition were describing the OEM situation last quarter and last-to-last quarter, it was like there was a lot of

Tata Elxsi Limited
April 17, 2025

Page 11 of 18

pressure in the OEM's own business, some of those pressures are structural like not shifting to the Chinese and putting pressure on European OEMs and stuff like that?

In this quarter discussion as of now, it is more seems to be related to tariff-related uncertainty and seems to be those OEM limited uncertainties are behind us. Is my understanding correct? Or is it that in your base already or new order wins or new deal wins are giving us this kind of confidence?

Nitin Pai: Yes. So Debashish if I may, and this is Nitin here. I think the points that we made earlier stay because there's nothing that has changed in terms of China still being a very, very credible threat to business. And China as a market is coming under pressure for a large part of the OEMs since global OEMs have traditionally have a large part of their revenues coming from that market, right? So that doesn't go away. That still stays true.

I think what tariffs have provided is an additional layer of complexity and uncertainty. And that is where we have seen even further delays in terms of either decision-making or pauses in terms of ramp-ups that we've seen in deals that we already won. So that is the pain. Why? Because we've built capacity, we have built bench, we have targeted it for the kind of business that we already won and seen. And that unfortunately has come under a pause simply because of this uncertainty and therefore customer-related indecisiveness on starts and stops.

The deal wins, I think, however, in response to the previous question, are made in good cognizance of all the uncertainties and the tariffs and so on. And therefore, we don't see an issue in those starting off ramping up and going according to plan. In fact, some of the older deals are also hopefully coming back for ramp-ups.

So just to address your point, again, tariffs bring another layer of complexity. It's not that the previous issues go away, they stay. But even as the OEMs are just starting to get their heads around those problems, I think tariffs have brought in another headache. So just look at it that way.

Debashish Mazumdar: So then are you saying that your FY '26 will be possibly better than FY '25? It is just because of the deal wins that you have done already or the pipeline that you are currently have a visibility. Is my understanding correct?

Nitin Pai: Debashish. In general, I would say, look at it this way; The fact that we have a fantastic customer base. We have been in this business for a long time. So customers continue. It's just a matter of

whether all business renews, extends and you have new project starts.

So on one hand, there are a set of customers like Tier 1s, where we continue to see pressure on their business. Over the last 2 years, we are very strongly and smartly pivoted to OEMs, and they are now 70-plus percent of our revenues. So that gives you one level of stability and foundation for growth.

Tata Elxsi Limited
April 17, 2025

Page 12 of 18

Two is we locked into

LTV programs with a large number of these customers. LTV programs by nature are long term. They are not projects, projects in that sense. So that gives you stability from an annuity perspective.

Third, I think the large deals provide additional layer of confidence, which is that even as some project ramp down, Tier 1s kind of slow down a little more, you have now these new OEM wins that are starting to layer on new revenue and growth. So that itself is not the answer to growth, but it provides confidence for growth.

Debashish Mazumdar: Okay. Okay. Understood. And one last question over the period of last 2 years, at least we have seen a significant pressure on our margin performance. Do you think that where we are standing today is this kind of bottom and is a very high possibility that we will turn back from here? Or in our model for the next 2 to 3 years should we built in a comparatively lower margin for Tata Elxsi as compared to what we have seen in the past?

Gaurav Bajaj: Debashish, this is Gaurav. I think we are very confident that in our operating model and all the operating KPIs that is there in the organization that we will bounce back on the margin. I think it is only the equation of the revenue and the growth coming back. We tend to believe that we will start to see the margin level start to improve as the growth comes back in the coming quarter. We don't see any significant change in the signature of how we have been doing our business, whether that's on -site offshore mix or T&M versus fixed price. So all those KPIs remains very robust. We have a good bench available. utilization today is slightly lower to 70%. So we have a good way forward to improve our utilization, and that automatically helps in terms of improving our margin without doing much of the hiring that would be required for some of the large deal that has been won.

And our SG&A is also quite controlled, and that will not go up linearly in terms of the revenue growth. So all those levers are available for the company to improve on margins. While I cannot comment in the short to midterm, whether we will get back to our normal margins, definitely, there is a path and there is a very focused approach from our side to get back to our normal levels of margins where we used to operate about 1.5 to 2 years back.

Debashish Mazumdar: So just a small follow -up. So when you are saying normal margin level, EBIT like 20% to 30% kind of margin is the normal margin in your mind? Or is there something...

Gaurav Bajaj: Since you brought the point of margins 2 years back, so I'm just circling it back to the margins level that we used to see about 1.5 to 2 years back.

Moderator: Next question is from the line of Mayur from Mahesh Kumar & Company. Please go ahead.

Mayur: This quarter, after a long time, we have seen a growth in the Healthcare vertical. So if you can throw some more light on it, how is the growth looking at and the deal pipeline that you see forward? Last 1 or 2 years were difficult for this segment, but now we have seen a pickup after a long time. So do you think that this kind of growth can be maintained in the times to come?

Tata Elxsi Limited
April 17, 2025

Page 13 of 18

Nitin Pai: Mayur, this is Nitin here. Maybe I'll take that question. If you look at what hurt us for the last 5, 6 quarters in our healthcare business, there are 2 fundamental causes. One was something called medical device regulations, which is a large part of what we were doing in our regulatory services for the health care business. So that was set for a certain timeline to complete that was supposed to be a big volume of work that would continue. That suddenly disappeared because the implementation timelines were relaxed by another 3, 4 years. So customers suddenly have a choice of saying, look, let's not do anything right now? Or maybe I will insource some of this. So I have the lu

xury of time and so on, right? So that kind of put us on a revenue cliff, which is not expected. So that is part number one. Part 2 was we had a very specific client issue, somewhere in the middle of the year, where the customer had a standard renewal coming up for a very large program that we were working on for them. This very prestigious, very next-gen program that was put on hold because of certain

signatures that they saw and that was not resumed. So we actually have climbed over 2 big holes that we have fallen into. One, a few quarters back, one a lot more recent in the last 2-3 quarters. I think the positive signs there are the fantastic addition of customers.

So that's the part number one, which is how do you derisk your customer base? Because remember, there's a small business, not too many customers in the portfolio, each customer being deeply mined, but also, of course, creating a risk of a single customer failure. I think we have de-risked to the largest extent.

Two is, I think our portfolio has shifted significantly in the year to core product engineering, innovation and AI. And that takes away the risk of regulatory. So I think in that sense, I would say, truly, as we stand today and as we look at the year ahead and the years ahead, the health care business is in good health.

Mayur: So we had an ambition of 20% of our revenues coming from this vertical. So when do you see that happening? Or do you have any visibility that maybe 2, 3 years down the line, that can be a possibility?

Nitin Pai: Yes. So I think that will be a good time frame because please note, we want the Media and Communication, Automotive businesses to grow too.

Mayur: Sure. And my next question pertains to the Automotive vertical. So we have been talking of large deals coming in Media vertical but what is the pipeline of large deals coming in the Automotive vertical as we have witnessed slowdown in Europe and all those markets. So there is after a certain time, there is companies always look for cost cutting. And do you see those opportunities coming to us for the next year or so where we can transform the company from a certain level to the next level in the Automotive vertical?

Nitin Pai: Yes. So maybe I can take that again, Mayur. Definitely, yes, because I think 2 or 3 things are very true. One is that, unfortunately, you cannot relax on innovation and innovation fundamentally depends on software and digital and AI. The fact that for these skills, there is no better place to come to than India simply because you do not have the talent base and the talent base is going to be very expensive anywhere else in the world.

Tata Elxsi Limited
April 17, 2025

Page 14 of 18

And if you're already under pressure on your revenues and your bottom line and yet you have to execute on your strategic R&D agenda and innovation agenda, we believe India is well placed and Tata Elxsi is best placed. And so that, I think, is the fundamental point that we're making about how we see long-term sustainability and growth in our business right?

Of course, we will see issues at times. There will be quarters where there'll be either customer-specific issues or structural issues like that is suddenly being announced that shape the world and cause them to pause for a bit. But in the medium and long term, we are very, very bullish on how we see automotive and our competitive advantage that we have in the automotive business.

Mayur: Okay. So earlier, we used to talk that the automotive verticals can grow up to 20% to 25% CAGR on a sustainable basis, but that has not happened. So what factors would contribute to that do you think? Because near term, I agree that there are a lot of challenges and all. But the 20% growth in the automotive vertical and with the kind of advantage that India has, that has not come to us. So some of our listed competitors have delivered a higher growth in the

automotive segment. So just wanted to have your view on that.

Nitin Pai: Yes. So Mayur, there would not be a black and white answer to that. I think there are 2 parts to this. One, you will see that a large part of competition growth would also have inorganic components. You have to note that we are very, very organic in the way we do business.

Two is, their margin profiles are substantially different. We'll have to understand that the quality of the business and the nature of the business is different. We are very clear that while we want growth, we also want margins, right? So therefore, we're not constraining ourselves, but we are ensuring that what we do is at a certain level of quality and a certain signature of business. So look at it as constraints, but you'll have to remember that both inorganic and the nature and quality of revenues are not options that we have exercised at this time.

Mayur: Okay. And last question, what is the timeline which we have because earlier we used to have a short duration deal? Has that changed over the last year or so? And last question is with regards to the payout. So we have a large cash balance on our books. So probably we can think to look at increasing the payouts in the times to come.

Manoj Raghavan: Sure. So our nature of deals, of course, moved to larger multiyear sort of deals especially with some of the deal announcements that we've made. I think those are all trended in a positive direction for us. Definitely, we'll take your point on payouts and so on. If you have noticed, we have increased the dividend payout from 700% to 750%. And so yes, we will take that note of that, Mayur.

Moderator: Next question is from the line of Apurva Prasad from Franklin Templeton. Please go ahead.

Apurva Prasad: Yes. Question that I have is on the automotive side. Actually, it's even beyond auto. How would the annuity mix have changed, let's say, over the past years and now across different verticals and generally, what is being done to increase the annuity mix.

Tata Elxsi Limited
April 17, 2025

Page 15 of 18

Manoj Raghavan: I think at least Apurva from the top 10 customers, if you look at it, a lot of the top 10 customers are I mean, we have moved from project -based engagements to an annuity -based engagement. While in ER&D, some of these net -based projects definitely will span multiple years, 18 months, 24 months and so on. But having said that, the current situation in the market and so on, sometimes customers also take decisions of cutting off some of the long -term deals and so on, right?

In general, though, the annuity profile has increased, but there's always a risk that we carry that, look, even though there is a confirmed business that we have for 2 years or 3 years, a lot of it is also dependent on the macroeconomic situation and the financial situation of our key customers, our key automotive customers, right? So in general, I would say, yes, the annuity business, I would say the component has definitely increased for us. But at the same time, it doesn't mean that, look, there are no risks.

Apurva Prasad: Where would that number be Manoj now?

Manoj Raghavan: We should be around, I would say, around 45% to 50%, Apurva.

Apurva Prasad: Also on the GEC support or the GCC support, broadly trying to understand how is the current mix business around services around that. And I mean, if more such deals happen, is there a margin implication over the medium term?

Manoj Raghavan: Yes. So I think we are very, very careful and strategic about the type of deals that we do even with GCCs and so on. Given the fact that we have a large bench, and we have resources that we can deploy, so at times, we do take those strategic calls, right, especially if you have a junior resource pool, we are not so focused on the margin profile in some of those deals. But having said that, we also limit the number of such deals that

we go after. If you look at our

India business, it's not only GCCs, right, we also work with some of the OEMs and other product companies that are based out of India. And I think the margin profiles are pretty good. To that extent I think we've managed the overall portfolio Apurva. We are not going completely into the low-cost sort of deals.

Apurva Prasad: Got that. And that said, how are you thinking of, let's say, medium -term sustainable growth levels for the company?

Manoj Raghavan: I think from a medium term, I think we are in a very, very good position, right? The short term, yes, we will continue to see some of these challenges and so on. But from a medium -term perspective, in all the 3 verticals I believe we represent the best of shoring or best cost destination for a lot of our customers, right? It is not just only best location for just manpower augmentation and so on.

The processes that we have put in place, the ability to take outcome-based deals, the internal processes that we have to deliver on the margins, they are all fantastic, I would say, capabilities that we have built in. So I think from the midterm to long term, we are very confident of our business model and the team that we have and the capabilities that we have built.

Tata Elxsi Limited
April 17, 2025

Page 16 of 18

Moderator: Next question is from line of Chirag from Ashika Group. Please go ahead.

Chirag: So my question is on pricing. As the environment is very uncertain and even our clients also know that the tariff incident is there and that cycle will remain challenging and it will just delay decision making. How the pricing dynamics working in such environment? Is it weaker than what we used to have in quarters back also?

Manoj Raghavan: I would say for the next gen sort of capabilities that we have, the digital skills, the GenAI skills and so on, I think we still are able to work on a pretty good pricing and really maintain our margins and so on. However, and as I said, in case of some large consolidation deals, whether there's immense competition 12, 15 companies bidding for a deal and so on.

Yes, there will be some amount of margin pressures. So I think that is something that we will manage. So overall, I think especially for the areas that we are focused on and the capabilities that we have built, I think we still are able to extract a good pricing for us.

Chirag: And if I look at your annual growth in CC terms, can you guys provide like what percentage of growth has come in because of the price increase or exchange also.

Gaurav Bajaj: This is Gaurav. In terms of the price increases, consolidation, it's a mix back over the year. I mean there are

cases where we have received the price increases also. But at the same time, there are new projects, large consolidation deals where we also need to pitch the competitive rate. So put up a number as a sub-segment of our constant currency growth over the year would be a difficult thing but there are good rate increases that we have received in some of the customers during the year.

While we cannot quote the numbers here, whenever we see an opportunity, we go back to the customer as for those rate differentiation and the premium pricing for those. This will depend upon the differentiated scale value propositions and the kind of the work we do with the customers going up the value chain.

Moderator: We take the next follow-up question from the line of Debashish Mazumdar from S van Investments. Please go ahead.

Debashish Mazumdar: Thanks for the follow-up opportunity. Sir, while we talked about the expectation of FY '26 being better than FY '25, which verticals would drive the growth here among media communication, and transportation, health care specifically. So what I'm trying to understand is as we sit right now, what sort of visibility in terms of the pipeline and the deals in hand, what would drive the growth

with in the next near term or the next year?

Manoj Raghavan: I think growth definitely will come in both from our Transportation and the Healthcare & Life Sciences business. Media and Communication business, of course, also would grow. But the confidence level is higher for me from the Transportation and Healthcare & Life Sciences business.

Tata Elxsi Limited
April 17, 2025

Page 17 of 18

Debashish Mazumdar: Understood. And one last question quickly. So in the investor deck, you have talked about a new vertical, which you are making investments that you are trying to scale up. Where are we in that investment cycle or the skill development, capability development on there? And when do you expect it to become a sizable part so that you start to report it separately, and it starts to add to the total number?

Manoj Raghavan: I think we have been building the aero and defense vertical, I would say, over the last couple of years now. We've built a very good technical team, capable team, so we would definitely hope that in this financial year, we will really be able to report revenues. The good part is we have had some empanelment already among some major customers, and we really hope to convert some of that into revenues and win some large deals and make those announcements in this financial year.

Moderator: Next question is from line of Ajaya Jain from Astute Investments. Please go ahead.

Ajaya Jain: I have one question. Is China a competitor in our international offerings?

Manoj Raghavan: No. I mean the Chinese companies are pretty strong in the domestic market. But given the current situation between China and U.S. and China and Europe and so on, at least in the major markets, we don't see them as competition. There used to be some amount of competition in the Japan market.

But again, because of geopolitical issues between them, we see a lot of Japanese companies also planning a move from China to India and so on. So I don't see them too much as a challenge in the international market. But definitely, in the Chinese local Chinese market, they are very, very competitive.

Ajaya Jain: And just a follow-up on that, will China start looking more at these kind of projects overseas because of tariffs that have come in?

Nitin Pai: Sorry, this is Nitin here Ajaya, could you clarify?

Ajaya Jain: No, because of these tariffs. Services are not subject to tariff, right? So will that change their approach to international business?

Manoj Raghavan: No, I don't think so.

Nitin Pai: Maybe I'll put aside differently. Services are never subject to tariffs.

Manoj Raghavan: Yes. Irrespective of that, they could have always competed with us in U.S. and Europe and in other countries. We really don't see too much of them in the market that we serve.

Moderator: I now hand the conference over to Mr. Manoj Raghavan for closing comments.

Manoj Raghavan: Yes. Thank you, Shashank, and it was wonderful to have you all in the call. Of course, the industry has been going through some tough situations. But I'm pretty confident with the deal

Tata Elxsi Limited
April 17, 2025

Page 18 of 18

wins that we have had I think for us, as an organization, we strongly believe that FY '26 will

definitely be a much better financial year as compared to FY '25.

I hope to continue to see you in the next meet in beginning of Q2. Hopefully, we will come with a good set of numbers. So thank you so much for the support once again. Look forward to talking to you again next quarter. Bye -bye.

Moderator: Thank you very much. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

July 14, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,

Sub.: Transcripts of the Investors' Conference Call for the quarter ended June 30, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter ended June 30, 2025, held on July 10, 2025.

The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: As above

Tata Elxsi Limited
Q1 FY 2025 -26 Earnings Conference Call
July 10, 2025

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA ELXSI
LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
July 10, 2025

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Q1 FY 2025 -'26 Earnings Conference Call hosted by Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode. Should you need assistance during this conference, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you, and over to you, Mr. Ganesh.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're joining us from the Western side.

Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further results performance or achievements that differ significantly from what is expressed or implied by such statements.

To take you through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to all of you, and thanks for joining us today for our Q1 FY '26 earnings call. I hope that you and everyone in your family is safe and healthy.

For the first quarter of FY '26, we reported an operating revenue of INR892.1 crores. EBITDA margin stood at 20.9% and PBT margin was reported at 21.1%. This quarter was challenging across key regions with geopolitical uncertainty and industry and customer-specific issues impacting R&D spend and deal closures across geographies. Our transportation business that represents over 50% of our overall revenues did well to exit flat in constant currency terms. Automotive industry is still in the state of flux with the China business and tariff-related uncertainties, casting a cloud on R&D strategy and spend, while the Tier 1 supplier business continues to be challenged. We had announced large deals in the previous quarter in SDV vehicle engineering for Mercedes-Benz, a European OEM and Suzuki. These are now ramping up, and we have the necessary capacity and capability to service them and grow over the next few quarters.

Tata Elxsi Limited
July 10, 2025

Page 3 of 17

Our largest customer is stabilizing in the ir outlook and revenues, and we expect to stay steady for the rest of the year. We are in discussions for some large strategic deals with OEMs, including some new logos in Japan, U.S. and Europe. I'm pleased to report our continued progress in the adjacency strategy, with two strategic deal wins from the off-highway segment in AD-ADAS and connected vehicles. We're confident of the continued recovery and growth of our transportation business through the rest of the year, backed by deals that we have won, a healthy pipeline of large deals and a new customer logo.

Media and Communication business reported a decline of 5.5% Q oQ in constant currency. The large consolidation deals we announced at the end of Q4 FY '25 will contribute to revenue growth in the upcoming quarters. The transition investments that a

re part of such consolidation

deals has largely contributed to this dip in this quarter. While the overall business environment in this industry continues to be subdued, we have been working on shaping some large deals, both for consolidation and existing clients and some strategic AI and automation led large deals with new logos. I'm also pleased to announce a strategic multimillion dollar design digital deal with the U.S. tech giant for next-generation AI and product feature development. We expect to bring back growth in this vertical in Q2 on the back of the deal ramp-ups and healthy deal pipeline. Our Healthcare & Life Sciences segment declined 6.7% quarter-on-quarter in constant currency primarily affected by tariff-related impact on medical devices with two key customers in the U.S., which is the primary market for this vertical. This has impacted R&D and discretionary spend in the short term, and we expect recovery in the service line in the second half of FY '26.

We are expanding our customer base across geos, and I'm pleased to report two key wins, including all pharma and biotech leader from Europe and a Medtech leader from Japan.

On the talent front, we'll continue to add to our talent base with over 400 fresh engineers planned in this quarter. We expect a steady improvement in bottom-line and margin even as our two largest businesses, transportation and media and communications, return to growth in Q2 FY '26 and beyond, and utilization improves on the back of ready capacity and capability we have invested in over the past few quarters.

Before I conclude, I'd like to announce the launch of our new reimagined website, which went live earlier this week. I encourage all of you to visit our new website that positions Tata Elxsi at

the forefront of an AI -first design -led proposition for brands and business es to deliver reimagined products and experiences, improve the efficiencies and time to market.

Thank you. And with this, I hand it over back for a Q&A session.

Moderator: Thank you very much. Our first question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. A couple of questions. Firstly, on the auto vertical, can you com ment in terms of how the demand pattern has changed over the last three months, both in terms of deal closures

Tata Elxsi Limited
July 10, 202 5

Page 4 of 17

as well as deal ramp -ups? Are the clients still in wait and watch mode given the tariff situation or are we seeing them restart their spend going forward?

And the second question is on healthcare. Can you give more color on the two client specific issues? Is this cancellation of projects? Or was something ramp ed down, which should come back in the second half?

Manoj Raghavan: Thanks, Bhavik , on the auto sector, we see deals coming through in Europe and the APAC region . And some of the deals that we have won in the previous quarters , the ramp ups were a little bit slow. That ramp up has started accelerating. So, in the last quarter, we did see good ramp ups of the deals that we had closed in the previous quarters, and we expect that trend to continue in the upcoming quarters as well.

So, our US market is still a little bit slow. But other markets, we see a much better visibility , deal closures as well as ramp ups happening . Regarding Healthcare, these are primarily US customers, 2 large customers of ours, wherein some of the new projects that we are expecting to ramp up in the quarter , that was put on pause primarily because of lack of clarity, given all the uncertainties in their own business and so on. However, we expect that to get started in the coming quarters.

So, we are expecting that some of this will get started immediately in Q2 itself. However, we also have a set of other new logos that we have opened in the Healthcare space. These are still small busi

nesses for us, but we expect a continued growth of that, and we expect in H2, we will be able to ramp up a much bigger business with some of the new logos that we've opened.

Moderator: Our next question come s from the line of Manik Taneja from Axis Capital.

Manik Taneja: Manoj , I basically had 2 questions. The first question was with regards to the business outlook within the top single customer, which has continued to do very well and given some of the annual report disclosure that appears , you expect further growth in this account in FY '26. So, if you could clarify on that front?

And the n second question was with regards to the way our margins have shaped up through the course of recent quarters. While I do understand there is some element of limited revenue growth at play, how should we be thinking about spare capacity in the context of the fact that over the course of four of the last five quarters, your cut headcount and still your margins have been down . Do you now really think our margins can claw back to what we used to report in FY '23 or '24, or we might probably to adjust to a new normal in terms of margins?

Manoj Raghavan: Sure, thanks Manik. The situation at JLR is a little fluid, right, given their own sales and other related issues that they have. However, from our perspective, I believe that, look, we will be able to maintain at the current level . We may not have aggressive growth there. But I think we have enough visibility to maintain our business and also have some incremental growth there.

Tata Elxsi Limited
July 10, 202 5

Page 5 of 17

Coming to the margins, of course, as you rightly said, a lot of the margin situation is because of the drop in the revenues. And definitely, as the revenues pick up, we are confident of getting back to the margin profile. We foresee that over the next 3 quarters, we will gradually be able to pull back the margins.

It's not going to happen all of a sudden. But all efforts are on to really look at all the levers that are available to us and to focus on margin improvements in the coming quarters . So yes, I think if you look at it, because of the Q1 current situation, maybe from a financial year perspective, we could end up with a margin which is lower than what we have performed in the last financial year. But I think we should be able to pull up the margin gradually over the next 3 quarters.

Manik Taneja: Manoj, my question was more for the medium term. You used to operate at about 29%, 30% EBITDA margins. Do you think that's the margin we should probably think about as the business improves not just in this year but beyond this year?

Manoj Raghavan: Yes, yes, that is exactly what we are aiming for. We definitely need to get back to those margin profiles. In the medium term, definitely, that's what our focus is.

Manik Taneja: Sure. And how should we be thinking about wage hikes for us, given typically you used to give wage hikes in Q2 for the junior folks? Any comments that you could share with regards to what you think about for this year?

Manoj Raghavan: Yes. So most probably, those hikes will happen from Q3 onwards, October timeframe.

Manik Taneja: Okay. But as of now, you're still planning for wage hikes?

Manoj Raghavan: Yes, yes.

Moderator: Our next question comes from the line of Muzzafar Shaikh, an Individual Investor.

Muzzafar Shaikh: I would like to ask about the government PLI scheme and factory, which is coming up in Gujarat. So where are we on that? And do we see it coming in the coming quarters?

Manoj Raghavan: Sorry, the semiconductor factory in Gujarat in Dholera is actually Tata Electronics, right? Tata Elxsi has nothing to do with that factory. Tata Electronics is a customer of ours, and we continue to support them in some of the projects that we're doing, but we are not really involved in the factory.

Moderator: Thank you. The next question is from the

line of Debashish Mazumdar from Svan Investments.

Please go ahead.

Debashish Mazumdar: One follow-up question, which Manik was earlier asking about margin. So, if I understand correctly, one of the reasons Tata Elxsi used to report a very strong set of margins because they are focused on offshore centric deals, but over the last 2 to 3 quarters, what we have seen is a consistent fall in margins. So, is it like we have shifted our focus more into on-site focused deals

Tata Elxsi Limited

July 10, 2025

Page 6 of 17

also, where margins are initially low and will be able to catch up later, or it is like a normal process of business which is impacting our margins?

Manoj Raghavan: No. So, our offshore-centric business continues, Debashish. There is no change in that. A majority of our business – more than 76% – continues to be offshore. So, there is no change. However, I think the margin is more to do with the top line degrowth that we are seeing. Once we get back to our growth, our margin profile will come back.

Of course, also the type of deals that are there, the consolidation deals, the large deals that we have signed up, a lot of it also puts a little bit of pressure on our margins. And that is something that we are working on to see how we can improve using operational efficiency.

Debashish Mazumdar: Okay. And of the last to last quarter, the deals that you have won, which is Asia specific. So, when those deals ramp up happening, we are seeing some margin pressure. So, is it like those deals are contours of those deals are such a way that it's a kind of lower-margin business for us?

Manoj Raghavan: It's not lower margin business, but in some cases, we need to take over and manage the transition in some of those cases. We may not get revenues in the initial period. However, the revenues will start ramping up once the steady state happens and so on. So, we have some of those deals work affecting us at this point in time. But however, as the deals ramp up and so on, and then we take overall control of it, the margins will definitely come back.

Debashish Mazumdar: Sure, sure. Understood. But you are confident of kind of operating at 29%, 30% kind of EBITDA margin in medium term?

Manoj Raghavan: In the medium term, yes.

Debashish Mazumdar: Okay. And one last question from my side. You normally provide a good color around Tier 1 OEMs and Tier 1s in transportation, and also of market and passenger vehicle. So, if you can give some idea around the different segments, how different segments are doing for us and as an industry overall?

Manoj Raghavan: Yes. As I said, automotive industry, I mean, if you look at our transportation business, in actual currencies, there's a strong growth. But in constant currencies, we have ended flat. I think that's a fantastic performance. Almost 72% to 75% of our revenues now come from OEM, which is the passenger car makers. The Tier 1s have sort of reduced which is in line with what we see in the industry, moving forward.

From an adjacency perspective, we continue to see deals closures happening. I think we have announced some of the deals also, both in off-road segment and commercial vehicle segment. Our investments in aerospace and defense, we continue to build teams. We've still not announced any large deals there, but I think those are all in works. And hopefully, in the subsequent quarters, we should be able to announce some large deal wins there as well.

Moderator: Thank you. The next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi, Manoj, while you partially alluded to the investments in defense and aerospace, could you help us understand the likely investments that we will make in terms of expanding our GTM in these segments? And will that probably create more headwinds in

the near term from a margin

stand point? Or these are limited investments and there you can manage other operating levers?

Manoj Raghavan: So, we have already ramped up almost 150 people team in this space. We have invested in building capabilities. We have, for example, we have built our own capabilities in drones. We have built capabilities in eVTOLs. If you actually come to our campus, you can see some of these actually flying. We have shown demos to global players. We have been working with HAL, NAL and some of the defense labs in Bangalore. There is a lot of interesting work actually happening. I wish we had a situation to really convert some of this into deals and bring in revenues. I think we're almost there, we should be able to hopefully announce some deals, some very, very good discussions happening with potential customers, both the large players in U.S. as well as defense labs and DRDO and ISRO in India.

By the nature of the business, these are all long lead time businesses, but the capability that we have built is fantastic. And why I'm saying that is because of the real interest that some of the folks that we have shown technologies, what we see from them, the interest that we see from them. So yes, I think we're not expanding the investment further. We really would want to close some deals into a revenue situation before we start investing again.

Manik Taneja: Okay. And any medium-term revenue targets that you would want to share with regards to these incubated towards segments?

Manoj Raghavan: I wouldn't want to put a number there. But I would say at least we would like to make a start this quarter, right? And what we're looking at is anywhere between INR50 crores of revenues this year, right, to get started. But in the subsequent a couple of years or 3 years from now, hopefully, we will be able to ramp up significant business, in this domain.

Manik Taneja: Sure. Thank you and all the best.

Manoj Raghavan: Thank you.

Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital. Please go ahead.

Moez Chandani: Good evening and thank you for taking my question. My question was on the media and communications segment. So there, you said that the industry has been subdued for several quarters now. But anything incremental that you've seen in Q1 versus what you were seeing a couple of quarters back?

And what needs to change for this segment to really revive in terms of growth? I know that you're expecting growth to come back in Q2. But really, where do you see the industry going in the medium-term? And you see a material acceleration in terms of growth there?

Manoj Raghavan: Yes. I think this industry globally has been very subdued. And it's not only for us. If you look at most players in the media and telecom market are reporting very, very muted numbers. There are successes in the industry as well, right? If you look at it, a lot of M&A is happening. During COVID, this industry grew very rapidly. But after COVID, all of a sudden, you see that most operators, whether it's media services operators or telecom operators globally have not been able to add net new subscribers. Subscriber numbers are actually coming down, the ARPUs are coming down. So, there's a little bit of an issue structurally in this industry.

A lot of the deals that we see at this point in time are about efficiency-driven deals and 'How can we do more with less' consolidation deals. And of course, we are starting to see AI and Gen AI led deal as well in this particular industry segment. We see M&A is happening. We see even large companies, whether it's Warner Brothers Disney or NBCU, taking decisions of hiving out the digital pieces as a separate company and the legacy pieces as a different company.

So, there are a lot of things happening in this particu

lar industry. From a telecom perspective, again, 5G investments have really not brought in new revenue streams for operators. We're now getting into the 6G era. So again, we see a lot of focus on using of open source, bring down the cost, automation, how to improve operational efficiencies. So, these are all the themes that are playing out. And we are trying to capitalize on some of these. For example, we have built our own product called NEURON, right, which really helps in the automation piece. How can we help customers automate their deployment, their operations using automation frameworks using Gen AI and so on, so that without adding manpower, they can still continue to deliver better operational efficiencies for their customers.

So, there are various things that are playing in this particular industry. Of course, we operate from a services perspective. At the same time, we also have certain products that we licensed to customers, that sort of acts like a differentiator as compared to a lot of our competition. So, they're trying different things to really open up the market and also to grab wallet share and so on. Efforts are on. But the market currently, I think, is in a very, very difficult situation. Having said that, I think we have reached the bottom from Tata Elxsi's perspective. And some of this has also been because of the large deals that we have won and the transition period and transition costs. And all of that is now behind us. So hopefully, from the coming quarter, we should be able to report better results in this particular vertical. Having said that, it's not an easy market at all. And most of the deals, large deals especially, are around efficiency themes here. Hope I answered your question?

Tata Elxsi Limited
July 10, 2025

Page 9 of 17

Moez Chandani: Yes, thank you for that. My next question was on your system integration and support segment. I've seen a very sharp decline on a quarter-on-quarter basis at nearly down 30%. So how should we think about that? Do we expect that this is going to continue to decline going forward?

Manoj Raghavan: No. So, I think that is all because of one deal that we won in the last quarter, which was a one-time deal, a large deal, I think almost INR13 crores, INR14 crores worth of deal. That's a small business for us, right? So, in percentage terms, you might say, there's a big drop. But actually, it's not that big of a drop. Okay. So don't go by the percentage.

What happened was last quarter, there was a large deal that is the Bharat Pavilion in Japan, in Osaka, where we delivered fantastic work last quarter. There were other similar, experience-design deals that we were bidding for in this quarter. However, closures did not happen on time. And that's the reason why there is a sharp dip in that business, if you look at it from a percentage term perspective.

However that is the nature of the business. You could get INR10 crores, INR15 crores, INR20 crores deals with a turnaround time of 3 months or 4 months. And then we really need to find replacement deals and so on. That's the nature of the business there. So, if you look at it, SI business will usually be around INR25 crores, INR30 crores a quarter for us.

Moez Chandani: All right, got it. Thank you for answering my questions.

Manoj Raghavan: Thank you.

Moderator: Thank you. We have our next question from the line of Bhavik Mehta from JP Morgan. Please go ahead.

Bhavik Mehta: Thank you for the follow up. Just one question on the Media and Telecom segment. Can you explain how does the large-scale transition cost impact the revenue? I understand there are upfront costs because of knowledge transfer, which might impact the margin. But how does it impact their revenues? Just curious about that?

Manoj Raghavan: Yes. So, I think, Bhavik, if you look at it, it's a large deal that we have won, right? So, what happens is that

deal comes at certain commercial terms, which is lower than the rates at which we have been working in the previous quarters. Now, if you look at it, when we get into that deal, so for example, this was the first quarter of that deal.

So, our entire portfolio of business in that particular customer, the rates have been reset to a lower per unit rate because of the commercial construct of that deal. So, if you look at it, volumes have not gone down, but because of the rate negotiation that has happened on the overall portfolio, the business has come down. There is a commitment, it's a 3-year commitment. So, we will be able to make up this over the next 3 years.

Tata Elxsi Limited
July 10, 2025

Page 10 of 17

Bhavik Mehta: So, is this reset already happened in 1Q? Or should we see this being a headwind to some extent going forward?

Manoj Raghavan: It has already happened in 1Q, the first quarter.

Bhavik Mehta: Okay. Got. Thank you.

Moderator: Our next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management . Please go ahead.

Vimal Gohil: Yes, thank you for the opportunity. Manoj, my question was on autos, given the fact that the entire sector is in a bit of a flux because of tariffs. And we've done good job of keeping our heads above water . But I want to understand the ramp-up of newer deals. And as to why will the ramp - up not get impacted because of the situation we are in ?

What leads to your confidence on the ramp-up of the large deals that you've won? And why will the existing deals not ramp up ? If the current ones that you've won in the previous few quarters are doing well, shouldn't the new deals do as well?

Manoj Raghavan: What is the confidence you asked, right? The confidence is because between the customer and us, we had to achieve certain ramp ups in Q1. And we have certain ramp up to happen in Q2 and beyond, right? So, I'm happy to tell you that the Q1 ramp up has happened as per expectation, right? So, we don't see any pullback. We don't see any slowdown that is happening from that ramp up perspective. Of course, given that the markets are not in a very favorable position and so on, the ramp ups have still happened.

And the sort of engagement that we have having with customers, the sort of reviews that we are having on a regular basis, gives us the confidence that this ramp -up, whatever deal that we have planned, is going as per original plan. We are not changing any of those deal terms .

And that is a commitment in Q2 as well that this is a ramp up that we will have, and we are progressing as per that schedule. There is no pullback. There's no budget cuts. The projects are coming in, engagements are happening with the customers. So, all of that is happening as per plan. So that's why we are pretty confident that those deals are going ahead as per plan.

Vimal Gohil: So, Manoj, again, it's encouraging to hear the new deal ramping up well. My follow -up then would be on the OEM business, which has done very well versus Tier 1 s sort of struggling. So why aren't our existing Tier 1 contracts showing the kind of growth that the newer deals are showing?

Manoj Raghavan: The Tier 1 business globally is very, very stressed. That is because the Tier 1s are also not winning large deals, right? Many of them are losing deals because OEMs are taking over that role. OEMs are becoming more like Tier 1, like OEMs are really wanting to own software. So, we see that happening across the globe that in the automotive industry, OEMs are taking that

Tata Elxsi Limited
July 10, 2025

Page 11 of 17

ownership. And even if there are Tier 1 opportunities, most of the Tier 1s have their own GCCs here. Whatever we've seen of the Tier 1s is a lot of the work is being done out of the GCCs. So, to that extent, our business from Tier 1s, we continue to see that decline. And whatever little business

that we are seeing is from the GCC s and our engagement with GCCs.

Vimal Gohil: And Manoj, what about OEMs? How will the existing businesses from OEMs pick up from Q2, Q3, when do you expect that to pick up , notwithstanding the newer deals?

Manoj Raghavan: We're already seeing more than 72% of our revenues today is coming from OEMs. I think maybe a couple of quarters ago, it was at 60%. So, we are seeing the gradual move that more and more of our business is coming from OEMs . Of course, the large deals we have on that is also helping. But across the globe, we continue to see deal momentum in OEMs. A lot of the deals whether it's in Japan or in APAC region and India, we see a lot of OEM movement there. Europe also , a lot the new deals that we are seeing are from OEM s. So that is also improving. U.S. is a little bit slow. Some of the OEM customers that we are engaged with in that geography, we have seen some amount of disruption. But we are not getting a clear idea as to when we will be able to restart some of those discussions with the U.S. OEMs. But minus U.S. OEMs, I think we're seeing a good recovery happening across the market.

Vimal Gohil: Fair enough Manoj. Wishing you all the very best for the rest of the year.

Moderator: Thank you. Our next question is from the line of Karan Uppal from Phillip Capital (India). Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity. So the ramp up which you are seeing in the auto business, could you clarify which areas you are seeing the demand? Is it EVs? Is it hybrid? Is that SDV poly engineering? Which are the areas in which you are seeing the demand?

Manoj Raghavan: We continue to see demand in AD -ADAS, in SDV as well as electrification. And some of our

older relationships we have, we still continue to see work on body chassis infotainment cockpit areas as well.

Karan Uppal: Okay. Also, just wanted to check all the Mercedes deal which you have announced, if you can provide the ballpark range, what was the deal size? And what is the scope of work given to Tata Elxsi? Is it around OS, middleware, cloud verification validation all these areas? If you can clarify that? And how is the pipeline for SDV -related work ?

Manoj Raghavan: Yes. So, I think we have whatever information on Mercedes , we have already issued a press release. So, we are not going to provide any further color other than what is already provided. But a lot of the business actually comes from the SDV area plus a little bit of powertrain as well out there.

Karan Uppal: And how are you seeing pipeline for SDV related deals, Manoj?

Tata Elxsi Limited
July 10, 2025

Page 12 of 17

Manoj Raghavan: A lot of the OEM deals that we are signing up and a lot of the conversations are around SDV.

Karan Uppal : Okay. And the last question from my head is on FY '26 growth. So, in terms of vertical mix, how do you see each of these verticals performing? You have mentioned some ramp-up visibilities there in auto segment. And in media also, you are a bit positive. So, from a full year perspective, how do you look at the vertical risk?

Manoj Raghavan: I think of course, for the financial year, I think our growth will be led by the transportation businesses. That would continue because on the back of the deals that we have signed and also on the traction that we see in the market, the growth for the company will be led definitely by the transportation business .

Media and communication business will recover and that's the plan that we are working on. So, we will see the growth from Q2 itself. Healthcare, I would be a little careful there. There's tariff -related issues and so on and the fact that it's a smaller business for us and we don't have a large list of customers. It's a select set of good customers that we have. So that will be a little volatile for us. We hope in H2, we will start seeing the growth in th

at particular business. We have done

a lot of investments there, including from a leadership perspective, from a sales perspective. We have done a lot of investments and we are hoping that from H2 onwards we will see an uptick in business there And this business is also a little bit of a long lead cycle business. So, we are working on some good opportunities and so on, but closure takes time in the healthcare business. So, yes, so that's how the three businesses would plan out.

Karan Uppal : Okay. Great. Thanks, and all the best.

Moderator: Thank you. The next question comes from line of Arvind Jadhav, an Individual Investor. Please go ahead.

Arvind Jadhav : Thank you for the opportunity. Sir I am looking on the headcount reduction in the quarter -on-quarter and year -on-year, also the attrition rate is also increasing like in quarter -on-quarter and year-on-year. It looks like the business environment is quite challenging right now. So, is there any strategy to bring back the past glory in the performance going forward?

Manoj Raghavan: No, of course, that's what we have been discussing all along. I mean, the business environment is definitely tough. We've discussed about how the three verticals. So, we also talked about how the growth will be led by the transportation vertical that we have and that's what we have been working. The media and communication also will come back to growth. Healthcare will take some more time. So, we are hopeful that whatever steps that we are taking, we will be able to grow our business. Yes, the head count has come down because we have not been aggressively hiring . We still have a decent bench that is available. And as the business grows, we'll be able to utilize the bench at the same time, improving our margin as well. So, we're very conscious about the situation, Arvind . And hopefully, you'll see the performance come back in the coming quarters.

Tata Elxsi Limited
July 10, 2025

Page 13 of 17

Arvind Jadhav : Okay. And any new strategy entering in the geography or any new verticals or any inorganic growth opportunity there?

Manoj Raghavan: We still would focus on the main geographies, right, which is U.S., Europe, Japan and India. Of course, we have entered into Middle East, Africa and Latin America and Southeast Asia. So,

these are new geographies that we have some business today, not a major business, I would say. But hopefully, we'll be able to ramp up our business there.

On M&A, yes, at any point of time, we have certain pursuits. But again, it will only be whatever we look would be a tuck-in sort of an acquisition, right? So yes, and regarding new verticals, we are looking at adjacencies for each of our 3 main verticals. We are currently focused on the aerospace and defense as a new vertical, and we are investing. I think I talked about it in one of the previous questions. So that is what we will be focusing on in this financial year.

Arvind Jadhav : Are you optimistic on margin in the aerospace and defense sector?

Manoj Raghavan: Sorry, what is the question?

Arvind Jadhav : Regarding margin in the aerospace and the defense business ? Are you optimistic on that?

Manoj Raghavan: Yes. We are taking a very differentiated position and a very different approach as compared to some of the traditional companies that operate in aerospace and defense, right? So, we believe we have an opportunity to win deals at decent margins there.

Arvind Jadhav : Yes. Sir, any guidance regarding FY '26 revenue and net profit. Any some idea?

Manoj Raghavan: No, we don't give guidance as a revenue or profitability.

Arvind Jadhav : Okay. And the last question from my side, sir. Is there any plan for the stock split or any bonus issue , for regarding the shareholders?

Manoj Raghavan: The question was addressed in our AGM by our Chairman. A lot of our shareholders have asked about it and we will be considering

that in the Board, and we'll get back at appropriate time to the shareholders.

Arvind Jadhav : Okay. Thank you, sir. That's it from my side.

Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila : Yes hi. Thanks for taking my question. My first question is with respect to the media vertical .

So just wanted to understand this large deal that we had one last quarter. So, by when do we expect this to fully ramp-up? Can you provide any color around that?

Manoj Raghavan: Full ramp -up should happen by H2 of this financial year.

Tata Elxsi Limited

July 10, 2025

Page 14 of 17

Sulabh Govila: Okay. So, you mean by the fourth quarter?

Manoj Raghavan: Yes. Between third quarter and fourth quarter, yes.

Sulabh Govila: Okay. Understood. And with respect to the mobility vertical, while you highlighted that there are certain deals which continue to ramp -up and there are more ramp -ups which are coming from 2Q onwards. Are there any potential areas of leakages that you still expect in the coming quarter, given that we mentioned that Tier 1 is continuing to be weak. And in JLR, we expect momentum to be maintained in the sense we don't expect an aggressive growth out there? And U.S. OEMs may also be weak. So, if I add all of that, so it's probably 3/4 of the portfolio. So just trying to understand if there is any area of potential leakage or weakness, which is there in the quarter?

Manoj Raghavan: Tier 1 portfolio would continue to be under stress , and that is purely because of the business issues that the Tier 1s are having. Our revenues from Tier 1s have come down. I think we have reached a stage where I don't really foresee too much of a drop in that portfolio. But the fact is that their businesses are challenged. So there could be a little bit more of degrowth in the Tier 1s. But it should not impact us so much because the growth that we are seeing from the OEM side will be much larger and faster as compared to the degrowth. So, we should be able to show positive growth is our expectation.

Sulabh Govila: Understood. And then just the last question on margins. If you could provide the margin walk for the quarter, given that the cost increase this quarter is quite sharp. So just trying to understand what's the sort of investment that has gone in this particular deal on the media side?

Manoj Raghavan: Sure. I will ask Gaurav to take you through that.

Gaurav Bajaj: Hey. Hi, Sulabh . Sulabh, if you see our overall total cost, that has not gone up significantly. I think it is almost flattish or slightly up from the last quarter just by INR4, INR5 odd crores . But that cost increase is mainly on account of currency impact on the on -site people salary cost and some of the VISAs that has been applied during the quarter. However, the margin was the major flow-through and dip in the margin is because of the revenue sequential decline. Otherwise, on the operating side, the cost doesn't have any significant change.

Sulabh Govila: Okay. Understood. Thank you.

Moderator: Thank you. The next question is from the line of Rohan Nagpal from Helios Capital India. Please go ahead.

Rohan Nagpal: Yes. So, just continuing on the ramp-up within the OEM business. So, if I look at the imp ulse to spend and invest more in R&D and the electrification in SUV programs, etc, that has been

constant for the last 2 or 3 quarters or maybe longer, actually. And if I look at the macroeconomic environment, it seems to be stable, if not deteriorated. I mean, TCS called out continued

Tata Elxsi Limited
July 10, 2025

Page 15 of 17

uncertainty and (inaudible) called out a demand contraction. So that is in contrast with what you are seeing in that, you are fairly confident of growth from the OEM side of the business for you. So, I'm just trying to understand qualitatively

, what is driving the growth? what has happened

now that the OEMs are finally ramping up their spending and there is increased momentum in the momentum in the enclosure?

Manoj Raghavan: I'm not talking about all the OEMs certainly deciding to spend and so on. I'm talking of the OEMs where we have engaged and OEMs where we have signed some of the large deals over the last couple of quarters, they are shown inclination to spend. So, I'm confident in the set of portfolio of accounts that Tata Elxsi has handling at this point in time, given that we had better objectives in Q1, and we don't see any of the customers going back on the deals that they have signed. We are confident that will continue. I'm not talking about the larger overall macro and what is happening to the larger overall spend in the market.

Rohan Nagpal: Fair enough. I was just asking because you said that there is there is a slowdown, so to speak, in North America, you're not quite sure when that'll come up, but you said Europe and Asia, you see that ramp. So okay, I guess it's within that subset for you.

But if you're looking at the pipeline, are you seeing if opportunities are increasing? Is the pipeline for follow-on work with your existing portfolio? Or are you seeing a slightly broader up in pipeline even for logos that you don't include you? Because I think you called out a new logos, right?

Manoj Raghavan: Yes. So, it is both, right? Existing customers of us. Also, we see an uptick in business in the subsequent quarters. And the new logos that we've signed on, we are seeing that whatever large deals that we signed on, from an execution perspective, we continue to execute as planned.

Rohan Nagpal: Okay. But all of this momentum is solely within your existing customers? Is it going to be difficult to expand to other logos within this year?

Manoj Raghavan: No, I'm not saying that. We do have pursuits from a new logo perspective and new customers, right? So that continues. In fact, as we speak, there are other opportunities and deals that are chasing proposal being made. So, the good part is we are seeing all those discussions happening. Conversations with new customers happening. So that is positive.

That gives me hope that moving forward, in the next 3 quarters, we will be able to grow our business in the transportation industry.

Rohan Nagpal: Okay. So, I just want to confirm that I'm understanding this correctly. So, it's not just an increase in the momentum of say, deal ramps within your customers, so there is an increase in the momentum or at least velocity of conversations with the broader automotive ecosystem with OEMs in Europe and in Asia. Is that correct?

Tata Elxsi Limited
July 10, 2025

Page 16 of 17

Manoj Raghavan: Yes, Europe and Asia. US continues to be slow for us.

Moderator: Thank you. The next question is from the line of Rajakumar Vaidyanathan from RK Investments. Please go ahead.

Rajakumar Vaidyanathan: Sir, so your revenue engines are not firing now. So, I just want to know if you have extensively invested in AI and GenAI, and whether you will be able to surpass performance in the past years with the benefit of AI and GenAI?

Gaurav Bajaj: I guess your question was that once the revenue and all the verticals started to fire, whether we would be able to get back to our historical margin using GenAI and AI. I think we answered that question previously that I think the focus is to steadily grow from here. And once the revenue gets back, I think we are very confident that we will get back to our historical levels of the margin, but that would be our big term aspirations to get to those levels of margin. But I think from here onwards, you will see there will be a gradual uptick in the margins. So, as we progress, steady revenue starts to build up on a quarter-to-quarter basis.

Rajakumar Vaidyanathan: Okay. Sir, just to labor on the same que

stion. So actually, what I want to know is what is the

impact of this AI on your head count? In other words, if you were using one head count earlier, has it brought down the number to 0.9 or 0.8, what is the number that you want to see?

Manoj Raghavan: No, of course, we are using AI and Gen AI. We are increasingly talking to customers and so on. But unlike IT or the BPO or some other industries, the impact of AI is not going to be very dramatic as we speak, right? There are a lot of legal issues, customers are talking of open-ended liabilities. There are a number of legal issues to be sorted off before you can see uptick of usage of AI in the engineering today.

So, you cannot assume that because AI and Gen AI is now available, you will be able to deploy lesser manpower and so on and so forth. Yes, for certain tasks, it is possible. For a certain type of projects, it is possible. But it is not generic for all projects. So, I'll be very guarded and not to mislead you in saying that, look, GenAI is a panacea for all issues that we're going to have.

That's not going to happen.

Rajakumar Vaidyanathan: Okay. Got it. And sir, the next question is I just wonder how big is the gaming segment for you folks? And any outlook there?

Manoj Raghavan: No, we don't operate in the gaming segment. We used to maybe 10 years ago, but we have sort of moved out of the segment.

Rajakumar Vaidyanathan: Okay, sir. And lastly on housekeeping questions. So, I see the tax rate has moved to almost 27% in this quarter. So, is that the guidance for the whole year?

Tata Elxsi Limited

July 10, 2025

Page 17 of 17

Gaurav Bajaj: 26% odd. I think we have been mentioning during the last few quarters that some of the benefit under the SEZ is coming to closure, and we have been moving from 100% tax bracket to 50%.

And hence, the tax will move towards north of 25%, that's what we are seeing now.

Last quarter was lower because there were certain tax order credit income tax difference orders were there. Otherwise, if you see our normalized tax rate for the last few quarters, it is now about 26-odd percentage.

Rajakumar Vaidyanathan: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the call over to the management at Tata Elxsi for closing comments.

Manoj Raghavan: Thank you once again for all investors for all the questions that you have. I look forward to seeing you again end of next quarter. And hopefully, we will come up with a much better performance that we anticipate in the coming quarter. Thank you so much and look forward to talking to you again soon. Bye -bye.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us, you may now disconnect your lines.

Call: Oct 2025

October 15, 2025

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and half -year ended
September 30, 202 5

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors' Conference Call for the quarter and half -year ended
September 30, 2025, held on October 09, 2025.
The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q2 FY 2025 -'26 Earnings Conference Call "
October 09, 202 5

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA ELXSI
LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
October 09, 202 5

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q2 FY '25, '26
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from E & Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you. Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could further result performance or achievements that differ significantly from what is expressed or implied by such forward-looking statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi, represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to

allow participants an opportunity to interact. If you have further questions, you may join the queue later and we will be happy to respond to them with time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to everybody who has joined us today for the Q2 FY '26 Investor Call. I hope all of you are doing fine. Before we begin today's investor call, I would like to take a moment to reflect on a profound loss that continues to be deeply felt across the Tata Elxsi family, the passing of Mr. Ratan Tata.

Today marks 1 year since we lost a visionary leader, whose legacy is woven into the very fabric

of our company. His values, vision and quite strength continue to inspire us every day.

As we move forward, we remain committed to honoring his legacy, not just in words, but through our work, our culture and our pursuit of excellence.

Coming to the Q2 performance. We reported an operating revenue of INR 918.1 crores with a growth of 2.9% in actual currencies and 1% in constant currencies quarter-on-quarter. During the quarter, we reported an EBITDA of INR 193.3 crores, corresponding to a margin of 21.1%. Our PBT stood at INR 214.7 crores at a margin of 22.2%. Our key markets continue to be volatile, but we delivered strong quarter-on-quarter growth across key overseas markets led by U.S. market, which grew 7.9% quarter-on-quarter.

Tata Elxsi Limited
October 09, 2025

Page 3 of 17

Our Media & Communication business reported a smart 6.8% sequential growth, strengthened by ramp-ups of large deals, which we announced in the previous quarters and new deal wins. I'm pleased to share that the launch of MBC Now, Saudi Arabia headquartered content super aggregator catering to audiences across Middle East and Africa, is powered by our in-house developed OTT platform TEPlay. However, the industry environment continues to be volatile with business restructuring and M&A across leading operators and broadcasters.

Our transportation business that accounts for over 53% of our revenues registered a growth of 0.7% in the quarter gone by. We are happy to report a robust pipeline momentum that is driven by global OEM SDV programs and other large deal wins. This quarter, we opened the second engineering center in a partnership with Suzuki that focuses on cloud hardware and loop simulation setup, enabling faster SDV transition.

Our adjacency strategy is also showing good progress with customer additions and deal wins.

In the Aerospace and Defense segment, we are happy to report a turnkey airport guidance systems development program from a U.S. headquartered aerospace supplier.

Our Healthcare and Life Sciences business reported a decline of 2.3% primarily due to the conclusion of some large regulatory and MDR programs. We are building a strong pipeline of new customers and large deals across key regions in the Healthcare and Life Sciences

business, and I'm confident of sustained growth in the coming quarters.

I'm pleased with the launch of the Dedicated Technology Center for Bayer devices and

Radiology. The center is designed to co-develop advanced radiology devices and technology that enable early and accurate diagnosis and treatment of critical illness.

Our system integration business recorded a growth of 20.5% over a previous quarter. We're also pleased to announce the award we won from Dell Technologies for the Best Infrastructure

Solutions Group supplier category. Enterprises are investing in on-prem infrastructure as a pivot to AI data centers and edge computing for their AI-powered enterprise applications and workloads.

This award recognizes our differentiated next-gen capabilities for infrastructure design

integration and run management as enterprises mainstream AI -led applications. We have delivered strong operational excellence and growth across customers, regions and industry verticals in this quarter, and we have created a strong foundation for sustainable growth. We look forward to carrying this momentum into the second half of the current financial year. With this, we would like to open the session for Q&A. Yes, Shashank, please go ahead. Moderator : Thank you very much. Our first question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: So 3 questions. Firstly, on the auto or the transportation side, how is the demand trending over the past couple of months given that trade days have been finalized, so the uncertainty has

Tata Elxsi Limited
October 09, 2025

Page 4 of 17
gone away

. But how are you thinking about R&D spend coming back from the OEM side given the headwinds are away now? How should we think about the demand or the growth trajectory from here on for the auto vertical?

Second question is on the cybersecurity incident that happened with one of your top clients in the auto segment. If you can quantify what kind of headwinds on the revenues and margin you saw in 2Q? And what should we expect in 3Q as well given that they're going to gradually start the operations?

And lastly, just on margins, we have seen margins come off a lot over the past few quarters. But going ahead with the confidence and growth coming back, how should we think about the trajectory of margins over the next few quarters? Thank you.

Manoj Raghavan: Sure. Thanks, Bhavik. So I'll try to answer these questions . So I think from an automotive customer landscape perspective as compared to maybe last couple of quarters, I think as we sit today, I feel a lot more confident about the spend coming back, right?

If you look at the deals that we're chasing, if you look at the funnel, if you look at the pipeline and also if you look at some of the deals that we closed and the ramp -ups that they're happening, I feel that H2 will be definitely much better than H1. And so I'm very positive on that from a trajectory perspective. If you divide it a little bit between the various regions, if you look at Europe, I think we'll definitely grow, we see good traction happening there. Japan is very positive for us. We continue to grow. We continue to win new deals. We continue to expand our existing

relationships with both the OEMs and suppliers.

India is also a pretty good market for us. We continue to do pretty well across all the customers that we have in India. U.S. is still a little muted for us, and that is something we hope that in

the next half year, we will have a lot more clarity, but for us, at least the coming quarter will be a muted quarter. But we are hoping that changes from an automotive perspective. But from an adjacency perspective from aero and rail and off -road and so on, we do see a good traction building in the U.S. market. So overall, I would say, if you look at our transportation business across geographies, we believe that H2 will be better than H1.

From the cybersecurity issue that you talked about, yes, of course, we had some impact in some of the projects that we were supposed to start in September that had to be pushed out. I mean, rather than giving you a number and quantifying and so on, I would say that if that incident had not happened, we would have definitely shown CC positive growth. And that would give you an idea that, look, that instance did affect us a little bit.

From a margin perspective, I think we are definitely seeing a recovery. It's a slow recovery. I think as the top line grows and as the utilization picks up , as the revenue grows, we would see that margin gradually coming back. Our target from a H2 perspective, we definitely want to do much better than H1.

Tata Elxsi Limited
October 09, 2025

Page 5 of 17

And I'm pretty confident that we will be able to achieve much better margins compared to H1.

So we wouldn't want to quantify it at this point in time, from a management perspective, we are pretty confident to get back over a period of time .

So yes, we have improved our utilization from about 66% to above 70% in the last quarter.

And we see an increasing trend of that. So, the first focus for us is to get to 75% utilization by the end of this financial year. And then next financial year to see how we can reach 80%.

That's a focus for us. And once we achieve those numbers, I'm pretty confident that our margins will get back to our earlier trajectory. So that's my answer to the three questions, Bhavik.

Moderator : Our next question comes from the line of Karan Uppal from Phillip Capital India.

Karan Uppal:

Just one clarification on the auto commentary which you mentioned. You said that H2 will be better than H1 in the overall transportation business. But it will be driven by the adjacencies, but not the core auto business. Is that what you said?

Manoj Raghavan: No, no. I said only about the U.S. market. All other markets, we see good traction in the automotive sector as well.

Karan Uppal: Okay, okay. Got it. The second question is within the auto business, which are the areas where OEMs are keen to spend on and where are they holding back right now? And also, are you benefiting from the increasingly offshoring trend which we are witnessing across players for the automotive business?

Manoj Raghavan: I'll answer the second question first. I mean Tata Elxsi is known for offshoring, right? If you look at the percentage of revenues that comes from offshoring and so on as compared to all the other competitors, our ratios are far, far higher than anybody else.

So yes, it goes without doubt that any trend in offshoring, looking at best -cost countries and so on, Tata Elxsi is a preferred vendor because of the capability, the experience, the process know-how and 30-plus years of experience of doing this. So yes, without a doubt, I think we would definitely benefit from the offshoring trend. Areas of offshoring/ demand that we see, The good part is, if you look at a lot of the large deals, new deals that we're talking about, it's all-around software -defined vehicles, the electrification side and so on EVs and so on. We do see a lot of interest in AD /ADAS as well as the infotainment and cockpit and all of those areas. Interestingly, we also see a revival in the traditional powertrain ICE -related areas as well. So I think we are well placed to really capture all the areas that we are seeing traction in.

Karan Uppal: Okay. Very clear. Another question is again on automotive. So beyond U.S. and Europe, I know that you have a good footprint in Japan. But are you looking at other markets like India,

Tata Elxsi Limited
October 09, 2025

Page 6 of 17

Korea, China as the growth markets? And one more clarification, how big is U.S. and Europe within automotive for you?

Manoj Raghavan: Our major markets are definitely Europe, U.S., Japan and India. China is also an important market for us, and we are really evaluating what we need to do there. Our business is relatively small there at this point in time. But definitely, we are looking at that market to see what we need to do. From a percentage or from a market share perspective, I would say Europe is number one and U.S. is number two. Of course, Japan and India also we get a significant business from these markets. So that's the pecking order.

Moderator: Our next question comes from the line of Manik Taneja from Axis Capital.

Manik Taneja: Manoj, the first question is once again on the automotive side. Given what you are seeing on the ground in terms of pipeline and your customer discussions, do you think we probably see a significant pickup in growth over the course of the next 4 to 6 quarters? And if you could give us some sense on when we can get back to the kind of growth that the industry, including you, enjoyed between FY '22 and '24?

That's question number one. The second question is related to our margins. Could you help us understand the different moving parts on margins given currency and the point that you highlighted about our high offshore revenue mix as to what were the moving parts on margins? And how should we be thinking about wage hikes for the year? Those are my questions.

Gaurav Bajaj: Manik, I will answer the margin walk first. We got 90 basis point gain from the favorable currency movement, which is net of the cross -currency impact on the cost side also due to the higher salary cost converted into the actual INR reported. The 90-basis point of exchange gain got offset by the

40 basis points of the higher employee costs, which is due to the campus onboarding that we have done; the last batch that was remaining has been onboarded during the quarter and also some strengthening has happened onto the sales side.

Another 30-basis point was compensated with other expenses, which is typically towards the partnerships and AI -related infrastructure that we are building. So that gives you 20 basis -point uptick from the last quarter on operating margin. And if you see at the PBT (net income before tax) we have higher other income, which was on account of hedging gains and also the R&D credit that we get in the U.K. that added another 90 basis points. Hence, at the PBT level, you have a 110 basis -point sequential increase from the last quarter.

Manoj Raghavan: From an automotive industry growth perspective over the next 4 to 6 quarters, what I would say is based on the discussions with customers and some of the ramp-ups that we are seeing in deals that we have closed and some of the large deals that we achieved, we believe that next year, we will be able to look at a double -digit growth from a transportation business

perspective.

From a wage hike perspective, yes, I mean, we have already indicated that there will be a part of the team will be given hikes in Q3. So that is something that we will consider. We definitely

Tata Elxsi Limited
October 09, 2025

Page 7 of 17

need to look at the impact that we talked about the cybersecurity incident. And we hear from our customer that the ir systems are up and everything is back to normal. So, we will wait till end of the month to take that decision. If things go well, yes, part of the teams will have a wage hike in October.

Manik Taneja: Sure. And with regards to this top customer where in you saw some delays in terms of projects during Q2. Are you beginning to see some normalcy emerge over there or probably this may remain some sort of near -term headwind?

Manoj Raghavan: We are definitely seeing a lot more positive conversations and at least people are coming back for discussions and so on. So we were prepared for the worst, but I think things are definitely looking much better now.

Manik Taneja: Sure. Thank you and all the best for the future.

Moderator : Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital.

Please go ahead.

Moez Chandani: Hi, good evening and thank you for taking my question. The first question was on the media and communications side. So we've seen that segment being challenged for quite a few quarters now. But there's a strong growth pick up this time around. So do you think that we've sort of bottomed out in this segment or was this just a large deal ramping up and do you think growth will moderate for the next few quarters in that segment?

Manoj Raghavan: I think it's true that we have the large deal that we've won, that ramp -ups have happened. So definitely, I believe that the growth will moderate in H2. This industry segment is still under a lot of stress with a lot of M&As and a lot of corporate action happening with our customers . So I believe we have to wait and watch, and we are not projecting a pretty large growth in the H2 for this business segment.

Moez Chandani: Got it. Understood. My second question was on your attrition levels. So that's gone up for the third quarter in a row now. Now given that your demand environment is weak across the sector, where exactly is the challenge in terms of attrition and then do you think that will also impact your wage hike if this continues going up?

Manoj Raghavan: I think attrition has gone up marginally. It's not very significant. We are aware of that. We're keeping a watch on it. I think it's also the fact that numbers in the denominator go down, so automatically the calculation goes up. So I think it's a factor of that. It's not a very significant th

ing for us. We will definitely be able to show much better numbers once the revenues pick up and I believe H2 will be better from an attrition point of view.

Moez Chandani: Okay. Perfect. Thank you for taking my questions.

Moderator : Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities.

Please go ahead.

Tata Elxsi Limited
October 09, 2025

Page 8 of 17

Amit Chandra: Hello. Thanks for the opportunity. My first question is on the transportation vertical. If you can elaborate more on the deal that we had with Suzuki , the SDV deal, what is the kind of revenue potential or what kind of efforts has been deployed on that deal? And in terms of the revenue potential when can we see the ramp -up happening there?

And are there other OEMs who are planning to set up similar SD V centers in India ? And an extension to that is how do you see the OEMs, the vendor consolidation deals, a lot of OEMs, large deals are coming up for renewals, so how are we placed in terms of winning some of the vendor consolidation and the large deals which are coming up for renewals in the OEM space that is on the transportation vertical, if you can answer that?

Manoj Raghavan: Sure. I think we've announced a deal with Suzuki last year based out of our center in Pune and that has ramped up pretty well for us. So the deal that we announced recently was a cloud - based hardware and simulation deal, which will be executed out of a center in Trivandrum. Both these deals are long -term , 5 to 10 years sort of deals.

The peak headcount will happen after six or eight quarters. So still, I would say, early days , and we would definitely see ramp -ups happening. And as is with many Japanese companies, they would really want to first try us and ensure that we deliver. They want to see success. They want to see actual outputs. I think we have crossed all that stage with Suzuki now and we

have had fantastic relationships with the customers. So we're pretty confident that this ramp-up will happen and will continue. And it's a multiyear, multimillion dollar deal for us. So we are very gung-ho and we are very committed to this customer. And we are also committed because

a lot of the work that we do will eventually hit Indian roads and it is Indian consumers that will benefit a lot from the activities that we do. So to that extent, we would be proud that some of the technology that we built are actually getting into cars that we launched in India. In fact, the new car that was launched - Victoris - had a lot of components that Tata Elxsi was involved in. I am very proud of the fact that we were involved in that launch.

So yes, coming to vendor consolidation. In the automotive industry, we don't see so much of vendor consolidation deals. So a lot of the OEMs are really looking for technology. And it's not as if there is some legacy stuff that they want to give to the cheapest vendor and so do vendor consolidation. Traditionally, Tata Elxsi, we've sort of not been very strong in those vendor consolidation deals and so on. So we do see a number of deals with OEMs today. We also announced the other deal with another Japanese OEM that's also ramping up pretty well. Of course, we have deals that we have announced with the European OEM that's also ramping up well.

We have announced deals with Mercedes-Benz that has been also ramping up pretty well. So I think there are a number of deals that we have announced and those are all working pretty good for us. So yes, I think we continue to have these deal pursuits. Even as we speak, there are a few deals that we are bidding for.

Tata Elxsi Limited
October 09, 2025

Page 9 of 17

So I think we're in a good position with respect to capability, with respect to business models, with respect to address the needs of the customer and meet, I mean, deliver that incremental value that they need at the price points

that the customer needs. So I think we're good.

Amit Chandra: Okay. And also within the transportation vertical, obviously, OEM is the part where we are seeing a lot of traction. Within transportation, there were some issues, or some drags that you were seeing from the Tier 1 supplier ecosystem. So if you can give some color, whether it has stabilized or are we seeing some more issues there or most of the incremental growth is coming from the OEM side? Will this continue or has the Tier 1 has stabilized and will start to grow again?

Manoj Raghavan: No. I would say in the last eight quarters, we have moved a lot of our business focus from the Tier 1s to the OEMs. So to that extent, definitely, the Tier 1 business has gone down. And that's the nature of the business, that's the industry. Tier 1s are definitely losing business with the OEMs. But for us, I think we still engage with some critical Tier 1s and we believe that those Tier 1s will continue to exist. So I think this quarter, we've stabilized with that maybe even slight growth in the Tier 1 business for us. So I think it's positive for us.

Amit Chandra: Okay. And sir, the last question is on the communications vertical. Obviously, we have seen strong growth ramp up in terms of deal wins, a ramp-up of the large deal wins. But last quarter, we had a pricing reset with some volume commitments in terms of incremental volumes. So has the overall volume commitment in terms of what has been committed has been achieved or can still we see some more volume growth there?

Manoj Raghavan: Yes. So I think the commitment - it's not that everything is fulfilled in one quarter, right? So whatever objectives we have said we have achieved. Of course, in the next half year also, we have to achieve certain volume commitments from our side. So we will work on that, right.

Moderator : Our next question comes from the line of Ankur Pant from IIFL.

Ankur Pant: So, my first question is on the automotive vertical. So, you've mentioned that Europe is holding up better. Europe, Asia is holding up better versus the U.S. So, what is the apprehension in terms of U.S. clients, which is holding them back, whereas the European clients are able to spend more. So, what are you hearing in terms of client conversations?

Nitin Pai: Yes. So, this is Nitin here, maybe I'll take that. First of all, I want to clarify that the U.S. is doing very well, and we believe we'll continue to do very well on the adjacency side where you're talking of off-road, commercial vehicles, aerospace and defense, where we're making some strategic forays.

On the OEM side, you remember, there are two sets there. One is a set of new age OEMs where there are a different set of challenges. And the traditional/ legacy OEMs where the challenges are little different. So, to that extent, I think the withdrawal of EV incentives, the fact that the whole emission norms have been completely relaxed are kind of providing reprieve as well as a window of opportunity to continue to stay with ICE vehicles to stay with

Tata Elxsi Limited
October 09, 2025

Page 10 of 17

limited EV conversion and so on and so forth. So that's causing a bit of a portfolio reset, both in terms of what you will engineer, what you will R&D, and what you will manufacture and deliver. So, to that extent, that is a prime consideration with the legacy OEMs in terms of portfolio reset and product portfolio considerations. With the new age OEMs, you have to remember that there are just one or two who are winners, well funded and continuing to maybe grow. The other OEMs are still on the horizon. Some of them are just getting into production. Some of them are still in development stage. And again, the fact that many of them targeted the U.S. as a key market, mid - to luxury kind of segments, the withdrawal of incentives, a little bit of color that's hanging and cloud is hanging over EVs as viable veh

icles for the U.S. market, I think is what is causing issues. So, to that extent, I think it's a little bit of a mixed bag, like I said. Ankur Pant: Sure. And in Europe, have they moved past the impact of tariffs that we're going to have, and profitability, competition from China? Have they moved past that and are ready to open their purses a lot more, or is that still lingering?

Manoj Raghavan: So, I think that issue is actually causing them to look at best cost locations and open up a lot more outsourcing, right? Because they have to do more with less.

Ankur Pant: Okay. And finally, a bookkeeping question. Your depreciation has been coming down over the last 3, 4 quarters, and the tax rate this quarter was significantly higher than what we generally see. So just wanted some clarity on the run rate for depreciation and the overall tax rate for the year? What should we assume?

Gaurav Bajaj: Ankur, this is Gaurav. Let me answer that question. First, on your depreciation one. I think there is declining depreciation in our books due to no new capex being added /significant capex that has been added. I think we are well managed capacity that we can live with it for at least some period or may be few more quarters before we have to do another layer of infrastructure development or capacity in addition to the required structure today.

So hence, you will continue to see depreciation keep coming down slightly on a quarter -to- quarter basis for at least two more quarters. On your effective tax rate, I think in the current quarter, it slightly went up just because of there was higher other income, which is not tax exempted and a little bit of low SEZ revenue. Otherwise, what we believe is that for the full year our effective tax rate would be anything that would hover around 26% to 26.5%.

Moderator : Our next question comes from Manik Taneja from Axis Capital.

Manik Taneja: Just wanted to get your sense with regards to what you spoke about achieving or hoping for double -digit growth in the automotive segment in FY '27? If you could also give us some sense on the other two industry segments because over the course of last 2 or 3 years, we've had some challenges in those verticals.

Tata Elxsi Limited
October 09, 2025

Page 11 of 17

Manoj Raghavan: Yes, Manik. So as I said, I'm pretty confident both healthcare and automotive, we will be aiming for double -digit growth in FY '27, right? And Media & Communication, as I said, is still a little bit wait and watch. We would ideally also want Media & Communication to aspire to grow double digits next financial year. But at this point in time, given the visibility and so on, it's difficult to commit that, that is something that we can achieve. But we will relook at it in maybe Q3 and Q4 time frame.

Manik Taneja: Sure. And if you could share some thoughts around how are we thinking about the customer concentration across our industry segments? Because that's also one of the challenges that we've faced historically.

Manoj Raghavan: Yes. So, I think both in automotive and health care, I think we have gone a long way. We have multiple now customers that are really touching that multimillion -dollar sort of mark. So I think next financial year, both in automotive and healthcare, we'll have a very, very good spread of revenues, especially with some of the new deals that we have won and ramp -ups happening and so on.

In the media and communication industry, definitely, we have a number of accounts, but we're not seeing that sort of growth happening. And that's why we're waiting and watching, right, before we commit that, we will be able to deliver.

Moderator : Our next question comes from Mihir Manohar from Trust Mutual Fund.

Mihir Manohar : Sir, you mentioned on the revival specifically European auto side. I just wanted to understand when we see the Germany car production data or exports data or the r

egistration data, that

number is not looking that encouraging. So, what is driving the revival in auto spend specifically in Europe? Is it a revival of the older programs which are already there or what is the status in development of the newer programs? Some color on that will be helpful.

Manoj Raghavan: Yes. So, we're not looking at current vehicle data or sales data and so on. While I understand that is important, these are all programs that will come out, I mean, in the next 2 years, next 3 years' time frame. And of course, all the German OEMs realize that, look, to compete with competition from China and elsewhere, they definitely need to up their game, build more features and compete aggressively with what the Chinese OEMs are able to bring in. But at the same time, with a much, much lower total cost of ownership. So, if they don't invest now, I think their future will be bleak. So that is why most of these companies have restarted those investments.

Mihir Manohar: Okay, understood. So, this is largely revival of the older programs which are there, right?

Manoj Raghavan: Both - not just older programs, even new programs.

Tata Elxsi Limited
October 09, 2025

Page 12 of 17

Mihir Manohar: Okay. Understood. And also, you can provide color on the industry side, I mean there were talks about the emission norms in Europe getting loosened, and so consequently, the new models getting pushed out. Some color around that will be helpful.

Manoj Raghavan: There has been some talk. Of course, we know in the U.S. that it has been relaxed and so on. But I think Europe - they are focused on the emission norms, right? I think a 55% reduction in carbon emission as compared to 1990 levels and so on, I think that is a norm that they have put in place by 2030 or so. So I think that continues. I don't think they have relaxed that.

Moderator: Our next question comes from Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal: Just one question on the Bayer deal, which we have announced. So if you can give some sense on the size of the deal, and would this provide some catalyst for the growth revival in the Medical Devices segment in coming quarters? And also, which players did we compete with to win this business?

Manoj Raghavan: No, absolutely. I think this is a marquee deal for us. It is, again, a start of a multi year relationship, at least a 5 -year relationship. We competed with the best of the companies in India, and they did evaluate seriously a number of our competition, and they've selected us. So this is definitely a multi- year deal and a multi -million dollar deal. This will give stability to our business definitely at least for the next 3 years, if not more.

Moderator: Our next question comes from Hitesh Sharma from Goldman Sachs. Please go ahead.

Hitesh Sharma: See, I see your main clients are from Europe and America and Japan and India, whereas the competition is coming up from China. Maximum EVs are being built like big, big giga factories are coming up in China. So how you are going to compete with the Chinese?

Manoj Raghavan: So we are not competing with the Chinese. Our customers are competing with the Chinese, right? So number one. And in most countries like Germany, for example, the auto industry is the backbone of the economy there. And I don't think the German government or anybody there will allow that industry to go down without aggressively pushing and giving enough incentives and benefits and really ensuring that the German companies are able to compete. So I think it's out of our remit to commit on who would win - would Chinese companies win or would European or U.S. companies, how they compete and so on, right? So as long as those companies exist and they need to compete with China, we would benefit.

Hitesh Sharma: But that will hold true for the similar companies in China supporting Chinese manufacturers. What is your

percentage of market share or business from China?

Manoj Raghavan: We don't do much. We have very miniscule presence in China. The China market is very, very different. And they definitely do a lot of collaboration internally. I've really not seen anybody from outside coming in and winning a large market share in China.

Moderator: Our next question comes from Tanmay Chaudhary from Ventura Securities. Please go ahead.

Tata Elxsi Limited
October 09, 2025

Page 13 of 17

Tanmay Chaudhary: My question was on the health care part only. Like in the last financial year, the most confidence that we have was in this particular sector. But going forward in the last 2 quarters, not performing well. So what the exact uncertainty playing out there? And are we still aspiring for those high double -digit revenue mix on this particular sector?

Manoj Raghavan: Yes. As I said, right, I think definitely next financial year, we would see those double -digit growth. In fact, we have won some new deals, new customers. And that gives us a lot of confidence that H2 will definitely be much better than H1. So yes, I think, yes, we have a few projects from customers that were rolling off, and there was not a continuity in some of those projects. There was some amount of uncertainty there. I think we are over all of that now, and we're really looking at new customers, new businesses, and that gives us confidence that H2 will be better. And next financial year definitely will be better. We want to strengthen the team, both from a delivery standpoint as well as from a sales standpoint.

There are a lot of things that we have worked on behind the scenes over the last couple of quarters, and that also gives us a lot of confidence that we are attacking the right problem. We are addressing the right challenges that the customer has. We are really looking at a holistic value proposition to the customer rather than point engagement. So a number of things that are different in the way we are addressing the market, and that gives us the confidence that next financial year will be different for us in the health care space.

Tanmay Chaudhary: Okay. Sir, are we also looking for other geographies like from US or in this particular sector?

Manoj Raghavan: This business is primarily US driven, right? And a little bit Europe, so US is the main geography for the Healthcare business.

Tanmay Chaudhary: Okay. Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Shivilala Khandelwal, an Individual Investor.

Shivilala Khandelwal: Are we now exploring anything regarding this semiconductor industry?

Nitin Pai: Yes. Hi, Shivilala. This is Nitin here. Not directly because we, of course, work with a whole set of semiconductor platforms and partners. We are largely focused on the software that needs to go on top of semiconductors in order to power applications. So you'll find key announcements that we made, whether it's with Infineon, whether it's with Qualcomm and so and so forth and across segments. On chip design itself, we do not have any significant presence and not an intent either.

Shivilala Khandelwal: But is it going to contribute significantly in future to our top line or something like that?

Nitin Pai: Software part, yes, it continues to. And we believe that much more than contributing directly to topline. It's a very, very important enabler because the work that you do, the partnerships that you carry with the folks like Qualcomm, I think, start to power some of the key

Tata Elxsi Limited
October 09, 2025

Page 14 of 17

engagements that you have with OEMs who are adopting these platforms. So, I think it's as much a joint go-to-market and enabler as much as it is a direct revenue.

Shivilala Khandelwal: Okay. Thanks a lot.

Nitin Pai: Thank you so much, Shivilala.

Moderator: Thank you. Our next question comes from Pritesh from PL Capital. Please go ahead.

Pritesh: Yeah. Thanks for the opportunity. Just on this quarter, automotive side of the growth, I just wanted to quantify the impact coming from the Jaguar top account. If you were to eliminate another cyber impact coming through that account, what has been the growth for automotive in Q2, if I were to evaluate it?

Manoj Raghavan: Yes. We already discussed about it, right? Instead of a negative or a flat or a 0.5% constant currency negative, we would have definitely gone into a positive zone.

Pritesh: Okay. Okay. And do you expect the growth to accelerate from here in quarter 3, quarter 4, given the kind of commentary that you made on automotive side ramping up on majority of deals and again, positive commentary about it on the automotive?

Manoj Raghavan: Yes, yes, absolutely.

Pritesh: And lastly, we saw a significant jump on the fixed price contract by 200 basis points. Anything to read there? Is it more to deal with the ramp-up that we see on the automotive side?

Manoj Raghavan: Yes, I don't think we need to read too much into it. We've had a few deals that had come our way, which were fixed bid engagements, including in our system integration business, which showed a good increase in revenue uptick. I think a few of those deals came through. And I think that helped us in the quarter. If you look at it from a next H2 perspective, we don't see a big change in the ratios.

Pritesh: Okay. Thank you so much.

Manoj Raghavan: Thank you.

Moderator: Thank you. Our next question comes from Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: Yeah, hi. Thanks for the opportunity. So, just wanted to get some sense for the coming quarters. Now obviously, on the positive side, you said that automotive and health care are going to see continued traction. But then on the other hand, the media vertical is going to see a slowdown, given that this quarter had higher growth because of one deal ramp up and then it is also a furlough quarter.

Tata Elxsi Limited
October 09, 2025

Page 15 of 17

So net-net, how should we think about the growth in the coming quarters at a company consolidated level?

Manoj Raghavan: I've talked about it earlier as well. We are definitely confident that our growth in H2 will be far better than the H1.

Rohit Jain: And how should we think about margins given that there is a tailwind from better growth, but then there are headwinds from maybe the V FX not being as supportive or not contributing as much as it did this quarter and then there is also a wage hike?

Manoj Raghavan: No. So, I think incrementally, right, as the revenues pick up, automatically, the margin profile will also pick up. Our utilization, as I said, we have touched 70%. The focus is to see how to get to 75% by end of the financial year. If we achieve that, right, those objectives, we will be able to manage the headwinds like wage hike and all of that, right, and still show margin recovery.

Rohit Jain: So, when you say still show margin recovery, that is versus H1 or that is versus the average of last year, the full last year margin?

Manoj Raghavan: Versus H1.

Rohit Jain: Versus H1. Okay. Thank you. Thanks a lot.

Moderator: Our next question comes from Karthik Vaidyanathan, an Investor. Please go ahead.

Karthik Vaidyanathan: Yeah, thanks for the opportunity. I have a couple of questions. I think first is I wanted to know if you are involved with any hyperscaler data centers. Do you work with companies like NVIDIA to integrate some of the AI-based solutions? Any light you can throw on that would be nice?

Nitin Pai: Yeah, maybe I can take that. Yes, we do. In fact, I'm not boasting about it, but we do have our own mini-NVIDIA data center that we set up ourselves for our own AI experimentation and workloads. If you look at the work that we're doing and the award that we announced with Dell, you'll automatically know that there it

has also to do with infrastructure that will go in to on-prem data centers and large part of them are targeting AI workloads. So, now the short answer is, yes.

Karthik Vaidyanathan: Okay. And what are those use cases? Is it on the ADAS side or the health care side? Basically there is about efficiency, reducing the headcount, because you are able to take up the task? Can throw light on that. Are there some new use cases that these AI services that are giving you that you're getting much more efficient? Any light on that those use cases would be useful. Just to understand the long-term vision here, right? That's the question on that.

Nitin Pai: Sure. So, Karthik, maybe I'll try and keep it simple. I think you're looking at it in two parts. One is how can we operate and deliver better, which is essentially to do with what gains does AI and GenAI provide for productivity, for quality and therefore resultant cost benefit.

Tata Elxsi Limited
October 09, 2025

Page 16 of 17

The other part is what does it do to innovation and features, right? So if you look at ADAS, if you look at the predictive analytical capabilities of radiology or MRI's and so on and so forth, they're always innovation of features because it is not doing what is already being done, it is actually driving something that has not existed before, right?

Karthik Vaidyanathan: Okay.

Nitin Pai: And not all of that is GenAI. Please note a lot of that is AI and not GenAI, that continues the journey that we strongly drive because ultimately, we are a product engineering company. And this is intimately connected to how products can function better and can deliver more features of value. I think this is a journey that we are taking very carefully in consultation and in conjunction with customers where you really get benefits of GenAI and productivity. And how much of that is clear of any infringement, liability and risk. So there, I think the journey is definite, but careful and calibrated. The first one, in innovation and features is all out, and that's a journey that we've been on for actually about 14, 15 years now given we announced our own autonomous journey starting 2014.

Karthik Vaidyanathan: Okay. Okay. Yeah, that adds. Thanks for adding more. Just one additional question related to what I just asked, right? Because you mentioned radiology, I just thought. There's also these use cases where breast cancers, whether they are benign or malignant. Those are health care-related stuff. Are you also working in those spaces? Because that is also AI not GenAI just regular AI, just looking at patterns and trying to identify on the health care side.

Nitin Pai: Absolutely.

Karthik Vaidyanathan: Because that's a very strong use case, right?

Nitin Pai: Correct.

Karthik Vaidyanathan: I just wanted to know, if you have excellent products where you can, you know, scan images just like that. And at least if you can identify these patterns that can go a long way in terms of studying them.

Nitin Pai: I think that's the direction health care is taking, which is how do you detect earlier, and how do you detect better. I think we are on both paths.

Karthik Vaidyanathan: Okay. Yeah. Very good to know. And good luck and wishing you all the best.

Nitin Pai: Yeah. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Raghavan: Yes. Thank you, Shashank, and thank you all for the patience and all the questions. We look forward to a much better H2 and look forward to talking to you again for the Q3 conference.

Thank you very much. Take care. Bye -bye.

Tata Elxsi Limited
October 09, 202 5

Page 17 of 17

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

January 20, 2026

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and nine-months ended
December 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors' Conference Call for the quarter and nine-months ended
December 31, 2025, held on January 13, 2026.
The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q3 FY '25 -'26 Earnings Conference Call "
January 13, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR
AND CHIEF OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER
– TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA
ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG
Tata Elxsi Limited
January 13, 2026
Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q3 FY '25-'26
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode
and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference, please signal an operator by pressing star

and then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you, Dorwin. Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to all of you joining today for the Q3 '26 investor call. At the outset, let me wish you all a healthy, happy and prosperous new year 2026. I'm happy to share with you that in the third quarter of FY '26, Tata Elxsi delivered a healthy performance, growing 3.2% on a constant currency basis over the previous quarter. This was largely volume-led, resulting in better utilization and operating margins.

Our

transportation business, which now accounts to more than 55% of our overall revenue, grew 7.7% quarter-on-quarter. This growth was led by accelerated ramp-ups in SDV-led OEM deals won earlier in the year, and also normalization of work streams and programs with a strategic OEM client that was impacted in the previous quarter.

Our Media and Communication business registered a marginal decline of 0.3% quarter-on-quarter. This was largely due to some seasonal furloughs in the last 1 to 2 weeks of December and delays in some deal awards and paperwork. We have continued ramp-up and a strong foundation with the large deals we won in the year for this business, tractions with our renewed offerings and a healthy deal pipeline.

Tata Elxsi Limited

January 13, 2026

Page 3 of 18

Our Healthcare and Life Sciences business has bottomed out in the quarter with the runoff from the end of some large regulatory programs. Our investments in future-powered, GenAI-powered regulatory workflows is seeing market success with multiyear deal wins during the quarter. We've also seen strong new customer additions throughout the quarter and year, and we're confident of bringing back growth in this business starting Q4 FY '26.

During this quarter, we performed well in key geographies of the U.S. and Europe with broad-based growth across key accounts and verticals, while India did see impact largely from the business from automotive suppliers. Our EBITDA margin improved by 220 basis points to 23.3% in the quarter, backed by operational excellence and improved utilization in line with business growth. Our PBT improved 200 basis points to 24.2%. This excludes a one-time exceptional item due to the new labour code.

Overall, I'm pleased with the performance and resilience in revenue, margins and customer additions throughout the quarter. We are entering the last quarter of the financial year with a commitment for growth and confidence in our design-led and AI-enabled engineering capabilities.

Thank you, and over to you, Shashank, for the questions.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. Our first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. A couple of questions. Firstly, on the auto vertical. Obviously, the growth was very strong this time mainly because of ramp-up of the previous won deals. But how should we think about the momentum sustaining going forward, based on the pipeline you see currently and the conversation that we are having with the OEM clients?

Manoj Raghavan: So Bhavik, yes, thanks. I think we've been working really hard on building the momentum in automotive industry. So the good part is a lot of things came together this quarter, and we were able to show the strong growth. It's not just automotive customers or automotive OEMs, we have been able to leverage on the large deals that we have won and really accelerate some of the deployments.

At the same time, we've also really opened up some off-road and adjacency businesses for us. That has also helped us in the quarter. So I think we definitely expect steady growth moving forward. We're really looking to see accelerated momentum in the next financial year for the

transportation business for us. I think we are working hard, and we're pretty confident that we will be able to have a sustainable growth for us in the coming financial year.

Bhavik Mehta : Okay. Got it. That's helpful. Secondly, just on the margins. Gaurav, can you just highlight what are the utilization levels we're operating at right now and where this can go with growth momentum sustained in auto as well as if growth comes back in telecom and healthcare? I'm trying to understand where can the margins go back to in the next few quarters?

Gaurav Bajaj : Sure, Bhavik. I think on this quarter, we got a 35 basis point kind of benefit from

the exchange. I think our operating leverage has been improving, including the utilization. We

Tata Elxsi Limited

January 13, 2026

Page 4 of 18

have been saying in the last few quarters that once the revenues start to go and demand comes back, the utilization will start to improve because we have the installed capacity, which we don't need to augment further. So that is coming into the play and helping us in our bottom line.

We get almost 200 basis point uplift from the operating leverage, including from utilization point. Other expenses also continues to be cautious, with our cost-discipline behaviour that we are driving within the organization leading to another 80- 85 basis points kind of margin upliftment.

If you add all the positives, it comes to almost 310 basis points. From that, we have done a wage hike for our junior domain staff during the quarter, which has a compensating impact of 110 basis points, which makes almost 200 to 210 basis points of a positive movement in the bottom line.

Having said that, I think we continue to drive the operating model in terms of how we used to do it in the past. We believe there is still scope and runway to improve our utilization further as we see the demand coming back in the subsequent quarter.

I cannot commit in the short to midterm, but we are very positive that we can go back to the margins that we used to operate at maybe by the exit of the next year. But I think everything seems to be positive. We are confident that we will be able to move back to that trajectory where Tata Elxsi used to operate.

Bhavik Mehta: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Debashish Mazumdar from Svan Investments. Please go ahead.

Debashish Mazumdar : Good evening to the management team and very good quarter, congrats on that. So I have a question on the transportation vertical. The 7.3% kind of growth that we are seeing quarter -on-quarter, can we get a qualitative breakup that how much is because of the anchor customer coming back and how much is because of the growth in the other customers? And what kind of growth you are seeing from the ramp-up of the incentive on deals?

Manoj Raghavan : Yes. So there are multiple factors, as I discussed in the earlier question. Of course, it is the ramp -up with large deals that we have won. Of course, as we reported in the last quarter, one of our customers had an issue. And in this quarter, we had some accelerated ramp -up of the deals that really were put off from the previous quarter. That actually has helped us. And apart from that, we have growth from our adjacency business. So I would say all 3 of that put together has really helped us to show this good growth for the automotive sector.

That's the confidence that we have look moving forward and moving to the next financial year; we believe we are on the right trajectory, and we should be able to leverage the capabilities that we have built, the teams that we have built, the sort of investments we have made in our platforms and products. I think all of this gives us the confidence that automotive should really help us accelerate our growth rate for the next financial year.

Tata Elxsi Limited

January 13, 2026

Page 5 of 18

Debashish Mazumdar : If I just connect your transportation growth and Europe growth and top 5 customer growth, it seems to be a large part of the delta in this quarter -on-quarter 7.3% growth is driven by the anchor customer. Is my understanding correct? Or it is equally distributed between the 3 segments that you have just explained?

Manoj Raghavan : If you look at the top 5 or the top 10 accounts and so on, what we've also been saying is that we have seen a lot more automotive customers come into that band, especially because of some of the large deals that we have won and how we have been accelerating. So yes, I think it's a combination of multipl

e of these large wins that are really accelerating our top 5 and top 10 customer base.

Debashish Mazumdar : Okay. And Y -o-Y, the transportation vertical is still not back to the previous levels. So is the anchor customer is back to the earlier trajectory or it is still like 1 or 2 quarters away?

Manoj Raghavan : No, we're still not up to the previous run rate. So still, as you rightly said, we have maybe a

quarter or so more catch -up to happen, quarter or 2. So I think that is also something that we are working on and seeing how we can accelerate that.

Debashish Mazumdar : Sure, sure. One last question, if I may. If you see the geographical performance between Europe and rest of the world, it seems to be the 2 new OEMs that you have - one is out of Europe and one is out of Japan. The Europe customer has kind of fired up; the Japan customer has still not fired up. Is my understanding correct? And if that is the case, can you give me some trajectories of these 2 new OEMs that you have won recently?

Manoj Raghavan : So you're right. I think the European customers, we have been able to ramp up. The Japan customers actually, we have ramped up the previous quarter, it's not as if that customer has not ramped up. We've already ramped up. And I think we are at a phase of consolidation, and eventually moving forward, there will be additional activities that we'll get involved in. So we can't look at it from a 1 quarter perspective.

Debashish Mazumdar : Sure, sure, understood. Thank you very much for answering my question.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Yes, thank you for the opportunity. And team, great comeback, especially in automotive vertical. I just wanted to get a sense, sir, you mentioned a lot of factors that have contributed to this revival. What's the sense on macros? Are we seeing receiving headwinds? Or has the performance been up to the mark despite the headwinds still being what they were in the past year that we've seen? Manoj Raghavan : Yes. So I think at a very, very high level, macro level, headwinds are still there, from an industry perspective. But to the good partners our value proposition stands out very strongly. Especially for the customers in Europe and U.S. and Japan to really look at Tata Elxsi providing the sort of best value from best cost country location and proven offshoring capabilities and our ability to execute large complex programs and so on.

Tata Elxsi Limited

January 13, 2026

Page 6 of 18

So I think all of that is really helping us navigate. Times are still tough out there in these markets. But I think that gives us the confidence and our customers are confident that this is the right step to take.

Vimal Gohil: Understood. And Manoj, on health care and media and comms, how should we look at these 2 verticals going forward? Your commentary suggests that growth might be on its way starting Q4/Q1. Should we look at a similar trajectory, what transportation has delivered? Or will it still take some time?

Manoj Raghavan : No. So we are working really hard on it. So 50% of our business is in a decently good shape, right? And the remaining 50% is something we are hoping that will come in good shape in a quarter or 2. Definitely, the Media and Communication business - some of the large deals have actually ramped up. We are in the process of bidding for a couple more large deals and outcomes will come out pretty soon in this quarter. So I'm pretty confident that in Q4, we should see some positive signs in our media business. And it's been a long, long journey. The teams have put in a lot of hard work. There is some light at the end of tunnel, I would say. And hopefully, Q4, we'll be able to show some good performance in the Media and Communications space as well.

Healthcare, again, healthcare

is something that we're really, really working hard. And I think we have bottomed out in this business in Q3. And hopefully, the turnaround will again happen from Q4 onwards. Definitely, from a next financial year perspective, we are definitely focusing on both of these business also to accelerate. So that's what we are working on. And I think we have a good, clear line of sight of where both of these businesses are heading to. And I think I'm pretty optimistic in the midterm that we will be able to turn around both of these businesses.

Vimal Gohil: Great to hear that, Manoj. Just one question on hiring. So in this particular quarter, Gaurav, if you can just quantify or maybe give a qualitative comment on how much of margin improvement has happened because of the headcount rationalization that we've seen?

And given the fact that we are now seeing growth ramping up, do we see hiring coming back into positive trajectory? And will that offset some of the gains that we've seen in terms of margin gains?

Gaurav Bajaj : Yes. So Vimal, I think I answered that in the previous question asked by Bhavik. I think this quarter, we have an operating leverage of about 200 basis points into our bottom line. And we still have a little bit more scope to improve our utilization from here on. And I think the future model itself should not have revenue tacked to the headcount. That would not be the proportionate or the linear way of looking the revenue to headcount ratio. I think that model is undergoing a change. And we are very cautious, and we are looking in terms of the productivity of whole, including the AI kind of productivity into our business model.

So I think that we'll continue to work on those models and see when the headcount will increase. I think we will approach where we need the people, the specific skill set are required

niche, expertise are required. We will do very calibrated hiring from here onwards.

Tata Elxsi Limited

January 13, 2026

Page 7 of 18

And depending on the demand, we will see how many people have to be brought in. But I think going forward, our methodology would be to calibrate the demand and the supply, and then what would be the most optimal model to continue to deliver towards 80% utilization.

Manoj Raghavan : Yes. So just to add there, I think we still have leverage from improving our utilization. So I think it's a quarter or 2 away before we'll start thinking of hiring and so on, and we would do it in low numbers, especially to meet certain specific customer requirements and so on. But large hiring, I think is still either a quarter or a couple of quarters away. And we will want to leverage on improving our utilization in the short term, right? So that's where our focus is.

Vimal Gohil: Perfect. Gentlemen, congratulations once again and best wishes for the quarter start. Thank you.

Manoj Raghavan : Thank you.

Moderator: Thank you. Our next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Yes sir, thanks for the opportunity. So my question is on the transportation vertical. Obviously, we have seen very healthy recovery. But in this recovery, have all the deals that we have won fully ramped up? Or we can see some there more ramp -up in the coming quarters?

And also in terms of the top OEMs in the Europe and the U.S. region, how are you seeing the spending patterns in terms of recovery, in terms of their discretionary spends and in terms of decision -making? And if you can provide some colour on that, how this has changed from maybe a quarter back?

Manoj Raghavan : Yes. I think some of the large deals that we've been talking of, I think we have had significant ramp -ups happening towards maybe the later part of Q2 and of course in Q3. So those ramp-ups - we have reached a steady state. Of course, there is still opportunity to grow further, again, depending on some new opportu-

nities that we're talking to customers and so on.

But I think we have managed to really match the customer expectation in terms of ramp -ups to meet their specific needs and so on. So having said that, as I said, there are a few adjacency businesses, off -road businesses and so on that we have entered recently. And that is an opportunity once again to scale and so on in the coming quarters. So yes, it's a work in progress in some sense. But I think a good part of the ramp-ups have been baked in during the last quarter.

Amit Chandra : In terms of the OEM commentaries and the spend s in these specific areas, and in terms of the decision -making how are you seeing in this quarter versus what it has been 6 months back?

Manoj Raghavan : Yes. See, decision -making times are still a little bit slow. Of course, customers are making decision s but they are making very careful calculated additions. So to that extent, I think it all depends on the value proportion and what you've stand for; what sort of problems at the customer end are you going to address based on your business model. So that's the key. And that's something that we have been sharpening over a few quarters. And I think we have a very,

Tata Elxsi Limited

January 13, 2026

Page 8 of 18

very good value proposition for our customers. Yes, decision -making will still take some time, but customers are definitely willing to spend based on the value proportion that we are putting on the table.

Amit Chandra : Okay. And sir, in terms of the operating leverage, obviously, we have seen some good operating leverage coming out in this quarter. Till what level of growth we have funded in terms of capacity, where we don't need to add more, if you can give some colour on that? So what is the kind of margin expansion we can expect?

Manoj Raghavan : I think we have addressed that question in the previous question as well. So we are operating at around 75% today. And we can go all the way up to 85%, right? So we are targeting to look at least moving around to 80%, before we start adding capacity and so on. So I think we do have operating leverage from a bench perspective.

Gaurav Bajaj : It is not that we are not hiring at the moment. We are hiring, but I think we are hiring selectively where we have those positions required to be fulfilled. But as we mentioned, the large-scale hiring probably can be seen after maybe a couple of quarters from now.

Amit Chandra : Okay sir thank you and all the best.

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant: Yes, thank you for taking my questions. Congratulations on a good set of results. My first question is on the transportation vertical. So would you put down this performance mostly to an anticipated ramp -up that we were expecting from 1H itself? Or would you also attribute it to some extent to an improvement in the demand environment? Do you see that? And in a similar vein, now having registered a strong growth in 3Q, it sets up a high base as we head

into 4Q. So would we be able to see growth on this number? How do you look at it?

Manoj Raghavan : I didn't get the first question clearly. But okay, from a second question, perspective, yes, of course. I think based on the order book that we see and based on the sort of funnel that we're looking at, I'm pretty confident that we will be able to grow over the number that we have delivered. So that's, of course, what the teams are focusing on. What was the first question about? Was it demand environment?

Ankur Pant : Yes. My question was that the growth was primarily driven by the ramp-up that you were already anticipating? Or did you also see an easing in the demand environment to some extent?

Manoj Raghavan : It's both - I think of course, we were able to successfully ramp up some of the deals that we have closed, and as you know, we had an issue in one of

of our customers, and there was a lot of

pent-up demand which was really pulled in during the last quarter, and that also helped us to really accelerate in the quarter. And regarding new demand and so on, yes, of course, there are deals that we have won, and we've talked about, especially in the adjacency space that they're looking at. So those are all new deals that will add revenue streams again in the subsequent quarters.

Tata Elxsi Limited

January 13, 2026

Page 9 of 18

Ankur Pant : And my other question is on utilization. Now it's an important margin lever going forward. But given that we work in three different verticals with - I mean, there's not a lot of fungibility between employees, you ideally would need even the Media and Communication growth to pick up before you can actually move utilization to north of 80%. So is it possible to move it upwards to 80%, 85% without a proper recovery in the Media and Communication vertical?

Manoj Raghavan : That's what we talked about, right? We are hoping that both Media and Communication and Healthcare, which contributes to 45%, 50% of our revenue, is something that we are very confident should be able to recover. And we have been working on that over the past few quarters, I would say, in terms of new customer outreaches and some large opportunities that we have placed our bets. And we strongly believe that some of that will turn around in this quarter, in Q4. And that will also help us improve our utilization. So it's not necessarily only automotive business. It is both Media and Communication and Healthcare, which is going to help us achieve a better utilization. So definitely agreed there.

Ankur Pant : And my final question is in 1Q, you had aspirations of double-digit growth in both transportation and Healthcare vertical heading into FY '27. Does that remain intact and for the overall organization?

Manoj Raghavan : Yes. So that is the aspiration from our next financial year perspective, if I understood your question right. So that is what our internal planning says and that's what we are aiming for.

And we believe that if we can get a strong momentum in Q4, right, and leading into quarter 1 of next year, I think we should be able to achieve those objectives.

Ankur Pant: Thank you. Perfect. All the best.

Moderator: Our next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar : Yes, thanks for the opportunity. And congratulations on a great quarter. The first question is on the Media business. If I heard correctly, did you mention that part of 50% of the business has recovered and you're hoping for the recovery in the balance? Is that comment related to one of the larger accounts? And if yes, any status in terms of bottoming out of challenges in that account. That's first. And the second to Gaurav, sir, you mentioned the wage hike impact for juniors in this quarter. Can you also quantify the impact that could come in the fourth quarter for the wage hikes for the remaining? Thank you for taking my question.

Manoj Raghavan : Yes. So if I understood your question correctly, you're talking of the Media and Communication business and you're talking of the challenges in the top account, right? I don't think we have any challenges there in that account. In fact, that has been growing pretty well.

So the confidence is from a number of other customer outreaches or a number of other bids that we are placing. We strongly believe that a few of them will come to a closure in this

quarter, and that will sort of start the sort of recovery for our Media and Communication business. Healthcare business as well, we have a similar sort of a situation. And we definitely want to get both of these businesses also on a growth path as we enter the next financial year.

So that's what we're focusing on.

Tata Elxsi Limited

January 13, 2026

Page 10 of 18

Gaurav Ba

jaj : Yes. Abhishek, on your second question, hike for our junior to mid staff, which covers almost two-thirds of the organization, will happen in Q4. So you can expect the impact for that would be lower compared to what we have in Q3, maybe probably 60-70% of that.

Abhishek Shindadkar : That is helpful. And just a follow-up on the answer. Sir, if we look at the increase in the revenue by contract mix side and also see the recovery in utilization and the recovery in the top account, is it fair to assume that in many large accounts of each of the three verticals, our mix is primarily towards time and material?

Manoj Raghavan : No, it's a combination. It's not that all the large accounts are time and material. A lot of them are fixed bid and outcome-based projects as well. So it's a combination.

Abhishek Shindadkar: Perfect. Thank you for taking my question and best wishes for the rest of the year.

Moderator: Thank you. Our next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Yes, thanks for the opportunity. Just a few questions on the transportation vertical. Sir, you mentioned about normalization of spends going ahead. Just wanted to pick your brain around the areas which you are seeing good traction in, be it hybrids, EVs, ADAS, connected, if you can share some thoughts there? And in the pipeline, are you seeing large programs on the SDV front?

Manoj Raghavan : So a lot of the growth that we've seen is primarily coming from our SDV, the closures that we've had on the SDV side. So of course, as you know, we also have our own SDV suite called AVENIR and that is also bringing in a lot of traction for us. Apart from that, of course, electrification is another large play that we see in both BEVs and hybrid platforms. So new platform development is something definitely we are seeing. AD-ADAS, of course, continues to have traction. So, yes. So these are the top 3 areas that really are pushing our automotive growth. Of course, the connected car platform and the applications around it is also another area that we see a lot of traction going forward.

Karan Uppal : Okay. Second thing is for the outlook for this automotive business, is it broad-based across your, let's say, of 10 to 15 accounts? Or is it more concentrated between, let's say, 2 to 5 accounts where you are seeing deal ramp-ups?

Manoj Raghavan : I would say it's more on the top 5 to 10 accounts, right? That's what we are seeing a ramp-up. And these are happening across the geographies. It's not limited to any one geography. So that is positive for us because we are derisking from geography dependent situation as well.

Karan Uppal : Perfect. Thanks a lot, and all the best.

Moderator: Thank you. Our next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Okay. My question was with Tata Elxsi focus on design-led technology and recent partnerships in automotive and media, how do you see client conversion evolving? Are they

Tata Elxsi Limited

January 13, 2026

Page 11 of 18

shifting from cost efficiency to co-innovation module? What should the stakeholders expect as the defining theme from your leadership in this space?

Nitin Pai: Yes. I think just to clarify, I think the two are not exclusive in the sense that they tend to run together. I think in both industries, there has been extremely strong pressure on bottom line, especially because the top line are not going too well. Market share is not going to be climbing given the competition, for example, in the auto space for the Chinese and so on. So there's a clear mandate that look, whatever you do, you will have excel in technology, but at the same time, we'll have to deliver on cost.

So I think in that sense, Media and Communication vertical has seen that pressure on the top line for quite some time now and therefore,

the cost takeout and the bottom line improvement

has been a focus for some time now. I think you're finding this need to find right partners delivering from best cost countries, but delivering outcomes and results rather than just delivering headcount. I believe that is really what will carry us forward.

Sucrit D. Patil: Okay. My second question is to Mr. Bajaj. On the financial side, speaking beyond margins, how are you thinking about capital allocation in this phase like balancing dividends or investments in automotive innovation centres or any digital partnerships down the line? Do you see scope for a shift in capital deployment over the next 1 to 2 years?

Gaurav Bajaj : I think we have been discussing internally within the organization management and also along with the Board. Of course, there are certain plants that has been put into the place, and we have been tracking on those plants. At an appropriate time, I think we will let you know in terms of any outcome or change in the capital allocation approach from our side.

Probably, we announced during the quarter 4 year-end during our AGM in terms of what would be the distribution that we do. But there are some strategy internally that has been discussed. So probably, I think we may not be able to disclose at this moment of time. But at

the appropriate time, we will get to know what kind of plans and what are we thinking of that.

Sucrit D. Patil: Fair enough. Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Moderator: Thank you. Our next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes, thanks for taking my questions . And can you name a commercially successful idea that initially looked unbillable or irrational, but it became commercially successful thereafter?

Manoj Raghavan : Sorry, we couldn't get the context of your question?

Sajal Kapoor: So the context of the question is I just need an example - preferably in Healthcare, but even automotive or otherwise - of a commercially successful IP , idea that you have in the organization today, but initially, that was deemed kind of irrational or unbillable?

Tata Elxsi Limited

January 13, 2026

Page 12 of 18

Nitin Pai: As an engineering company, we are quite rational. So to that extent, there's very little that we do that is irrational. But having said that, if you look at it, most of the bets that we have taken in products and platforms are future looking because ultimately, we are tracking standards, tracking technology conversion and we are taking bets in advance.

And that is why you tend to have mixed success with products and platforms, not because they are not right, but because many times, we are simply ahead of time. A good example is the investment that we made in NEURON, which is a network automation and orchestration platform. We believe it's ahead of its time simply because that's the most elegant way to reduce cost in network management. And while telcos have been going after cost takeout simply by throwing larger and larger deals for lower and lower cost, we believe the smarter way to go around it is to actually start investing and automating and orchestrating your network with technology and with automation rather than with people. But we also know that ahead of its time. Why? Because telcos are not going to be so keen to throw themselves on another platform. Unfortunately, they have seen enough in life. So that's where I feel most of the time, we are ahead of time rather than irrational.

Sajal Kapoor : That's very helpful and a great response. Thank you for that. And my second and last question is, you know, there is always some sort of a tension between creativity and delivery discipline.

So when creativity conflicts with delivery discipline, which one loses and why?

Nitin Pai: So I think this is, in many ways two sides of the

coin. The tension between creativity and discipline or engineering, I think it is a good tension to have. And I can tell you this from my own experience as a designer. We obviously used to have this debate when we are young as to which designers are better. Were the ones that came from IDC IIT Bombay better because they had an engineering degree first or was it the folks who came from NID because they were pure creativity ? They were not schooled in engineering. Opinion is divided, but I still believe that when you're schooled in engineering, the concept that you come out with are a lot more manufacturable, feasible, productizable. Pure creativity at times is great for the heart but doesn't work for the mind.

Sajal Kapoor : Yes. Engineering, the practicalities and the scale-up and the actual commercial viability is far more important than just having plain on paper kind of creativity, if I understood it correctly?

Nitin Pai: Absolutely, anytime because that's the whole basis of the manufacturing world, but it has to be realizable. Otherwise, it just becomes luxury art.

Sajal Kapoor : Absolutely, it does. Thank you so much for all these responses. Wish you all the very best. Thank you.

Moderator: Thank you. Our next question is from the line of Rishi Modi from RDM Advisory LLP . Please go ahead.

Rishi Modi: On the healthcare front, we had seen a disruption in the past on the regulatory extension being given in Europe, which, if I'm correct, it ends in 2026. So do you expect any sort of a pent -up demand on that regulatory front coming for you in the coming year?

Tata Elxsi Limited

January 13, 2026

Page 13 of 18

Manoj Raghavan : No, I don't think there is a pent -up demand. In fact, the regulatory piece of our business is over a period of time, really gradually coming down. In fact, what is happening is we are moving the manual regulatory effort to more AI -based digital sort of focus. And I think we have been able to successfully move there. So I don't think there will be a pent -up demand per se, but we are hoping that using AI, Gen AI and so on will really help capture a larger piece of work that otherwise would have to be done manually . So there could be some sort of acceleration based on the digital technologies that we bring in, but it's not due to the runoff in 2026 and so on .

Rishi Modi: Okay. Understood. Secondly, I wanted to understand our rationale on the defense business. In the past, you were a bit uncomfortable , I'm talking about 5 years , 6 years back when you said that there's a receivables issue in the industry plus some export issues to the U.S , so what has changed for us in maybe the industry or in our view or in our working, which is now making us commit to the defense aerospace industry?

Manoj Raghavan : Globally also, we see aerospace and defense as a great opportunity area primarily because of the spend that the industry is going through, so there are a lot of new technologies that are coming in. There is UAVs and drones and warfare is changing. There is also commercial

applications of many of this in air taxis and so on.

So what we see today is a lot more technologies like electrification coming in, in a big way.

So, of course, there are challenges with cycle times for the deals. And if you're doing defense sort of projects, especially in the U.S., you need to be ITAR compliant and so on. So there are still some of the challenges that we need to address.

But otherwise, I think a fantastic amount of opportunities exist, especially in India, with the sort of both DRDO and labs, and companies like HAL. And, of course, a lot of global companies, right, who have set up their capability centers in India, in Bangalore and so on. So that also opens up a lot of good opportunities for companies like us.

So I think, yes, I think we are doubling down our focus on the aerospace and defense segment. And we have done some fantas

tic work in this space. So credibility is there, capability is being built. Now really we need to see how to have some commercial success. So that's something that we're working on.

Rishi Modi: And Manoj, do you think this will be a ROCE accretive like will the margins compensate for the receivables cycle in the future?

Manoj Raghavan: It's still early days. I think if we look at the overseas market, I don't see any concerns on either profitability or payments and receivables. But yes, if you really only focus on the defense segment in India, then yes, we do have some tweaks in our business model that we need to take care of. Otherwise, I think it's a great business. And especially with the type of opportunities that we see in India, it's a great opportunity to build capabilities and then really explore the same globally. So I think it's a great opportunity for us.

Rishi Modi: That's great to hear. Finally, just a quick one on the non-PV transportation, which is the off-highway construction equipment railway that we had entered into. We'd guided for 20% of our Tata Elxsi Limited

January 13, 2026

Page 14 of 18

transportation revenue coming from this segment, I think we had guided for 3 years back then, but I think we've overshot. I just wanted to understand where are we in that journey? Are we still tracking that 20% and when can it be achieved?

Manoj Raghavan: Yes, we are still tracking that 20%. So I think today, we are about 7.5-8% is where we are today. So, I think there's an opportunity in the next couple of years or 3 years to really look at 20%. The difference this time is that we really had some good logos that we've opened up and good opportunity in this space. And the spend in this industry is also growing. So, I think that's positive for us.

Rishi Modi: So we are at that point where we have right to win that business, like we've gone through that phase when we've established ourselves. And do you think like this adds up to our revenue in the next couple of years and we get to that 20%, like an extra 5%, 10% of our revenue?

Manoj Raghavan: Yes. That's what we hope for. Of course, it's a smaller market as compared to the automotive market. So to that extent, we need to be a little careful. But I think the opportunity exists.

Rishi Modi: All right, all right. Great. That's good to hear. I'll come back in the queue for a more conceptual question, but if there are others, you all can go ahead.

Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Yes. Thanks for taking my question and congrats on a good set of results. I had a couple of questions. So first is with respect to growth in the near-term, I just want to check my understanding if that is correct. So, what we spoke about from a 4Q perspective, or a near-term perspective is that we are expecting a recovery in both Media and Healthcare verticals versus what we did in the third quarter.

And even in the transportation vertical, while the SDV deals are largely in the steady state, the top account still has to return to the peak run rate. And there are other deals in adjacencies, which are ramping up. So, shouldn't 4Q be similar to better than 3Q from a growth perspective? I mean I'm just trying to understand, is there anything we should keep in mind which can change that trajectory as we enter into 4Q?

Manoj Raghavan: No, we don't want to give any indicator at this point in time, we don't do that. But you have rightly paraphrased all what we talked about. So I think your analysis is perfect.

Sulabh Govila: Sure, sure. Thank you. And the second question is on the utilization bit. So in the past, we've always talked about reaching a peak utilization rate of 80% odd, while today, it may be the first time we ever spoke about potentially reaching 85% levels. So just trying to understand, is there a

nothing which has changed structurally for you in the delivery organization from a workflow automation perspective, which is changing this thought process on the utilization levels?

Nitin Pai: Sulabh, this is Nitin here. I think historically, we have hit 85%, 86% at the peak of our growth.

It's just that at that time; we did not have all the benefits that come from what you have now as Tata Elxsi Limited

January 13, 2026

Page 15 of 18

tools and technologies. So technically, at that time, we felt a little constrained that, look, 85%, 86% kind of stretches a little too much and we don't have enough room to maneuver.

I think given the context that we are in today and the kind of work that we're doing and the kind of investments we're making with the AI and Gen AI that stretch is not as tight as it was before. So 85% seems comfortable.

Sulabh Govila : Okay, sir. Understood. Thanks for taking my question.

Nitin Pai: Thank you.

Moderator: Thank you. Our next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: Yes. So, my question is on the anchor client. Now last to last quarter there was an issue, and then last quarter, it sort of came back. But given the issues ongoing there and the kind of debt situation that's developing, for the next year on a whole, do you expect the anchor client to grow from this year's level? Or do you expect it to be stable? How should we think about the trajectory on the anchor client side?

Manoj Raghavan : Yes. I think there are too many changes that are happening in the marketplace also . But if you ask me, our focus is to definitely ensure that all customers, including our anchor customer, at least the top 15, top 20 customers, right, we are a steady growth path. So that's definitely the focus. We don't have any indication at this point in time saying that we will have some difficulties or we'll have some surprises. So, we are hoping that we will be able to grow, you know, our top 5, top 10, top 20 customers. So we'll be optimistic there.

Rohit Jain: And just last question on that anchor client again. Are you sort of gaining share of the work being done there? Or is the share stable and the growth depends on the increase in tech spends by the anchor client?

Manoj Raghavan : So if you look at it over the last 5 years or even a little more, you know, our share in the overall spend of this customer has only increased. So I think, again, it all comes down to the value proportion, right, especially in a tough market situation. The value proportion that we bring in is very, very strong. So I don't think we have an issue on that front.

Rohit Jain: Okay. Thank you. Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Jalaj from Svan. Please go ahead.

Jalaj : Yes. Congrats on a good set of numbers. Sir, first question was with regards to this onetime adjustment for the labour law changes. So are we done for all the prior period adjustments or there is something which comes in the next quarter also? And second part to it was what would be the incremental impact of this as a going concern, in people cost or on the margins should we expect anything?

Gaurav Bajaj : Hi Jalaj, this is Gaurav. Let me answer your question. I think we have made a provision in line with our accounting norms and also assessed by our auditors for the new acts on the new

Tata Elxsi Limited

January 13, 2026

Page 16 of 18

labour code that got enacted during the quarter. We believe that onetime catch -up is already being done in this quarter. And hence, we have also called this out as an exceptional item because this is something not going to be a usual line item in our financials going forward. However, given the change in the labour code and the definition of the wages, on the going-forward basis, we expect this impact to not be more than 15, 20 basis points, but probabl

y that

will also get compensated with the other levers and the utilization factors that we still see there is a scope for the improvement over there.

So at large, we don't think there should be any impact for the new labour code going forward in the subsequent quarter. However, we continue to monitor. We continue to track in terms of more clarifications that probably would come around in this quarter or maybe the next quarter because the rules got republished, but those rules are still not notified and still not enacted. So once we have the little bit better clarity, rules get notified, then we have to assess if there are certain more changes or adjustment to be required. But we believe that the larger part of it is already baked into the numbers. And as such, we don't see anything potential or significant coming in the coming quarter.

Jalaj: Got it. That explains it. And my second question was with regards to the business side. So I wanted to understand on the transportation side. So we understand that the top client has come back and has come back strongly, and there were a few projects which were stalled. So if you could give us some flavour as to what proportion of these stalled projects have, they ramped up to the maximum or there is more to come from that? Just trying to understand on the sustainability of the growth.

Manoj Raghavan : Yes. So I think as we explained earlier, there definitely has been some catch -up in terms of pent-up demand that we have fulfilled in this quarter. A part of it will definitely continue as we speak into the subsequent quarters as well. But again, the focus is for us to really look at the larger basket of customers, our top five , top 10 customers and see how we can ensure growth across these customers as well . So I think that's where we are, over a period of time, constantly

trying to diversify our concentration risk, if you may, in some sense.

We are trying to diversify our geography risk, if you may, in some sense. And I think each of those strategies are working out for us. And especially when times are tough in, say, some geographies like U.S. or Europe, our focus on Japan and India has really helped us. So I think at this point in time, if you look at it, a basket of customers and the various geographies that we operate in.

And I think we are in a decent situation, good situation to be in, I would say. And we need not be overly dependent on a particular geography or a particular set of customers. So to that extent, I think we are de-risking and diversifying our overall portfolio, which in the midterm to

long term, I think will really help us.

Jalaj: Fair enough. Just a quick one on that. So the newer projects, what we alluded to, the newer ramp-ups in the newer clients, are the margins for these projects comparable to the peak margins we used to do historically or they are slightly at a lower price or a lower margins

Tata Elxsi Limited

January 13, 2026

Page 17 of 18

because of whatever has happened in the transportation vertical as such because of the tariffs and otherwise pressures? How should we understand that?

Manoj Raghavan : It's a basket of accounts, so there is no one answer there. Depending on criticality of a particular customer or the skills or capabilities that we need to bring in, we look at the margins accordingly, there's no set rule that, look, this is the only margin that we would operate on. At end of the day, it's our responsibility to really uplift the overall margins in the business. And that's what we are focused on. How we do it, we take a portfolio approach or how we do it is entirely dependent on what we see in the marketplace, what skills do we need to bring in, and then what value are we creating to those customers. Based on that, we would really price in the deal, and the margin movement will be according to that.

Jalaj: Understood. And then, sir, you alluded to that one o

f the reasons of the growth coming in transportation was the comparatively better macro or the comparatively better demand situation or discussions from the clients.

So how should we understand that over the past two, three quarters, has there been any improvement in demand scenario or discussions at least have the clients started to think about or talk about signing new deals or discussion? Because I understand newer launches or a complete portfolio was postponed by a few quarters to a few years for a lot of clients or OEMs?

Manoj Raghavan : No, I think from an automotive perspective, we've already indicated that, yes, there are discussions happening. There are new deals, new discussions, new customer additions and all of that is happening, right? We are hoping that both in both Media and Communication as well as Healthcare, we will be able to turn around that business.

And our focus is to really get back all the three businesses of ours to a growth situation, which will give us a lot of leverage from an investment perspective, from a growth perspective, from a utilization perspective, from a return to higher profitability perspective. So a number of things that we are really focused on. And I think in the next 2 quarters, you will see a trajectory or a trend, right, that will give you an indication in terms of where this is moving.

Jalaj: Got it. Thanks for the answer and best of luck.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Manoj Raghavan : Thank you to all the investors who dialled in today evening. We really look forward to having a more detailed conversation towards the end of the next quarter. We are really confident that, look, we have done a number of things right. We have done a number of investments right.

Now how do we leverage that and how do we move that into revenue growth and profitability growth, that is what the team is really focused on. Thank you so much and look forward to interacting with you again in the next Investor Call.

Tata Elxsi Limited

January 13, 2026

Page 18 of 18

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2026

January 20, 2026

DGM – Corporate Relations The Listing Department
BSE Ltd. National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Code: TATAELXSI

Dear Sir s/Madam ,
Sub: Transcripts of the Investors' Conference Call for the quarter and nine-months ended
December 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015,
please find enclosed the transcript of the Investors' Conference Call for the quarter and nine-months ended
December 31, 2025, held on January 13, 2026.
The transcript of the earnings conference call can be accessed on the Company's website at:
<https://www.tataelxsi.com/investors>

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer

Encl.: as above

"Tata Elxsi Limited
Q3 FY '25 -'26 Earnings Conference Call "
January 13, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR
AND CHIEF OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER
– TATA ELXSI LIMITED
MS. SNEHA V – COMPANY SECRETARY – TATA
ELXSI LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG
Tata Elxsi Limited
January 13, 2026
Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Elxsi Limited Q3 FY '25-'26
Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode
and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference, please signal an operator by pressing star

and then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from E&Y. Thank you, and over to you, sir.

Shashank Ganesh: Thank you, Dorwin. Good evening to all the participants on the call. Good morning if you're logging in from the Western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with the business risk that could cause further result performance or achievements that differ significantly from what is expressed or implied by such statements.

To take us through the results and answer your questions today, we have the senior management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO; Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer; Mr. Gaurav Bajaj, Chief Financial Officer; and Ms. Sneha V., Company Secretary.

We will start the call with a brief overview of the past quarter by Mr. Raghavan, followed by a Q&A session. We would appreciate your cooperation in restricting yourself to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue, and we will be happy to respond to them as time permits.

With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. A very good evening to all of you joining today for the Q3 '26 investor call. At the outset, let me wish you all a healthy, happy and prosperous new year 2026. I'm happy to share with you that in the third quarter of FY '26, Tata Elxsi delivered a healthy performance, growing 3.2% on a constant currency basis over the previous quarter. This was largely volume-led, resulting in better utilization and operating margins.

Our

transportation business, which now accounts to more than 55% of our overall revenue, grew 7.7% quarter-on-quarter. This growth was led by accelerated ramp-ups in SDV-led OEM deals won earlier in the year, and also normalization of work streams and programs with a strategic OEM client that was impacted in the previous quarter.

Our Media and Communication business registered a marginal decline of 0.3% quarter-on-quarter. This was largely due to some seasonal furloughs in the last 1 to 2 weeks of December and delays in some deal awards and paperwork. We have continued ramp-up and a strong foundation with the large deals we won in the year for this business, tractions with our renewed offerings and a healthy deal pipeline.

Tata Elxsi Limited

January 13, 2026

Page 3 of 18

Our Healthcare and Life Sciences business has bottomed out in the quarter with the runoff from the end of some large regulatory programs. Our investments in future-powered, GenAI-powered regulatory workflows is seeing market success with multiyear deal wins during the quarter. We've also seen strong new customer additions throughout the quarter and year, and we're confident of bringing back growth in this business starting Q4 FY '26.

During this quarter, we performed well in key geographies of the U.S. and Europe with broad-based growth across key accounts and verticals, while India did see impact largely from the business from automotive suppliers. Our EBITDA margin improved by 220 basis points to 23.3% in the quarter, backed by operational excellence and improved utilization in line with business growth. Our PBT improved 200 basis points to 24.2%. This excludes a one-time exceptional item due to the new labour code.

Overall, I'm pleased with the performance and resilience in revenue, margins and customer additions throughout the quarter. We are entering the last quarter of the financial year with a commitment for growth and confidence in our design-led and AI-enabled engineering capabilities.

Thank you, and over to you, Shashank, for the questions.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. Our first question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you. A couple of questions. Firstly, on the auto vertical. Obviously, the growth was very strong this time mainly because of ramp-up of the previous won deals. But how should we think about the momentum sustaining going forward, based on the pipeline you see currently and the conversation that we are having with the OEM clients?

Manoj Raghavan: So Bhavik, yes, thanks. I think we've been working really hard on building the momentum in automotive industry. So the good part is a lot of things came together this quarter, and we were able to show the strong growth. It's not just automotive customers or automotive OEMs, we have been able to leverage on the large deals that we have won and really accelerate some of the deployments.

At the same time, we've also really opened up some off-road and adjacency businesses for us. That has also helped us in the quarter. So I think we definitely expect steady growth moving forward. We're really looking to see accelerated momentum in the next financial year for the

transportation business for us. I think we are working hard, and we're pretty confident that we will be able to have a sustainable growth for us in the coming financial year.

Bhavik Mehta : Okay. Got it. That's helpful. Secondly, just on the margins. Gaurav, can you just highlight what are the utilization levels we're operating at right now and where this can go with growth momentum sustained in auto as well as if growth comes back in telecom and healthcare? I'm trying to understand where can the margins go back to in the next few quarters?

Gaurav Bajaj : Sure, Bhavik. I think on this quarter, we got a 35 basis point kind of benefit from

the exchange. I think our operating leverage has been improving, including the utilization. We

Tata Elxsi Limited

January 13, 2026

Page 4 of 18

have been saying in the last few quarters that once the revenues start to go and demand comes back, the utilization will start to improve because we have the installed capacity, which we don't need to augment further. So that is coming into the play and helping us in our bottom line.

We get almost 200 basis point uplift from the operating leverage, including from utilization point. Other expenses also continues to be cautious, with our cost-discipline behaviour that we are driving within the organization leading to another 80- 85 basis points kind of margin upliftment.

If you add all the positives, it comes to almost 310 basis points. From that, we have done a wage hike for our junior domain staff during the quarter, which has a compensating impact of 110 basis points, which makes almost 200 to 210 basis points of a positive movement in the bottom line.

Having said that, I think we continue to drive the operating model in terms of how we used to do it in the past. We believe there is still scope and runway to improve our utilization further as we see the demand coming back in the subsequent quarter.

I cannot commit in the short to midterm, but we are very positive that we can go back to the margins that we used to operate at maybe by the exit of the next year. But I think everything seems to be positive. We are confident that we will be able to move back to that trajectory where Tata Elxsi used to operate.

Bhavik Mehta: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Debashish Mazumdar from Svan Investments. Please go ahead.

Debashish Mazumdar : Good evening to the management team and very good quarter, congrats on that. So I have a question on the transportation vertical. The 7.3% kind of growth that we are seeing quarter -on-quarter, can we get a qualitative breakup that how much is because of the anchor customer coming back and how much is because of the growth in the other customers? And what kind of growth you are seeing from the ramp-up of the incentive on deals?

Manoj Raghavan : Yes. So there are multiple factors, as I discussed in the earlier question. Of course, it is the ramp -up with large deals that we have won. Of course, as we reported in the last quarter, one of our customers had an issue. And in this quarter, we had some accelerated ramp -up of the deals that really were put off from the previous quarter. That actually has helped us. And apart from that, we have growth from our adjacency business. So I would say all 3 of that put together has really helped us to show this good growth for the automotive sector.

That's the confidence that we have look moving forward and moving to the next financial year; we believe we are on the right trajectory, and we should be able to leverage the capabilities that we have built, the teams that we have built, the sort of investments we have made in our platforms and products. I think all of this gives us the confidence that automotive should really help us accelerate our growth rate for the next financial year.

Tata Elxsi Limited

January 13, 2026

Page 5 of 18

Debashish Mazumdar : If I just connect your transportation growth and Europe growth and top 5 customer growth, it seems to be a large part of the delta in this quarter -on-quarter 7.3% growth is driven by the anchor customer. Is my understanding correct? Or it is equally distributed between the 3 segments that you have just explained?

Manoj Raghavan : If you look at the top 5 or the top 10 accounts and so on, what we've also been saying is that we have seen a lot more automotive customers come into that band, especially because of some of the large deals that we have won and how we have been accelerating. So yes, I think it's a combination of multipl

e of these large wins that are really accelerating our top 5 and top 10 customer base.

Debashish Mazumdar : Okay. And Y -o-Y, the transportation vertical is still not back to the previous levels. So is the anchor customer is back to the earlier trajectory or it is still like 1 or 2 quarters away?

Manoj Raghavan : No, we're still not up to the previous run rate. So still, as you rightly said, we have maybe a

quarter or so more catch -up to happen, quarter or 2. So I think that is also something that we are working on and seeing how we can accelerate that.

Debashish Mazumdar : Sure, sure. One last question, if I may. If you see the geographical performance between Europe and rest of the world, it seems to be the 2 new OEMs that you have - one is out of Europe and one is out of Japan. The Europe customer has kind of fired up; the Japan customer has still not fired up. Is my understanding correct? And if that is the case, can you give me some trajectories of these 2 new OEMs that you have won recently?

Manoj Raghavan : So you're right. I think the European customers, we have been able to ramp up. The Japan customers actually, we have ramped up the previous quarter, it's not as if that customer has not ramped up. We've already ramped up. And I think we are at a phase of consolidation, and eventually moving forward, there will be additional activities that we'll get involved in. So we can't look at it from a 1 quarter perspective.

Debashish Mazumdar : Sure, sure, understood. Thank you very much for answering my question.

Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil : Yes, thank you for the opportunity. And team, great comeback, especially in automotive vertical. I just wanted to get a sense, sir, you mentioned a lot of factors that have contributed to this revival. What's the sense on macros? Are we seeing receiving headwinds? Or has the performance been up to the mark despite the headwinds still being what they were in the past year that we've seen? Manoj Raghavan : Yes. So I think at a very, very high level, macro level, headwinds are still there, from an industry perspective. But to the good partners our value proposition stands out very strongly. Especially for the customers in Europe and U.S. and Japan to really look at Tata Elxsi providing the sort of best value from best cost country location and proven offshoring capabilities and our ability to execute large complex programs and so on.

Tata Elxsi Limited

January 13, 2026

Page 6 of 18

So I think all of that is really helping us navigate. Times are still tough out there in these markets. But I think that gives us the confidence and our customers are confident that this is the right step to take.

Vimal Gohil: Understood. And Manoj, on health care and media and comms, how should we look at these 2 verticals going forward? Your commentary suggests that growth might be on its way starting Q4/Q1. Should we look at a similar trajectory, what transportation has delivered? Or will it still take some time?

Manoj Raghavan : No. So we are working really hard on it. So 50% of our business is in a decently good shape, right? And the remaining 50% is something we are hoping that will come in good shape in a quarter or 2. Definitely, the Media and Communication business - some of the large deals have actually ramped up. We are in the process of bidding for a couple more large deals and outcomes will come out pretty soon in this quarter. So I'm pretty confident that in Q4, we should see some positive signs in our media business. And it's been a long, long journey. The teams have put in a lot of hard work. There is some light at the end of tunnel, I would say. And hopefully, Q4, we'll be able to show some good performance in the Media and Communications space as well.

Healthcare, again, healthcare

is something that we're really, really working hard. And I think we have bottomed out in this business in Q3. And hopefully, the turnaround will again happen from Q4 onwards. Definitely, from a next financial year perspective, we are definitely focusing on both of these business also to accelerate. So that's what we are working on. And I think we have a good, clear line of sight of where both of these businesses are heading to. And I think I'm pretty optimistic in the midterm that we will be able to turn around both of these businesses.

Vimal Gohil: Great to hear that, Manoj. Just one question on hiring. So in this particular quarter, Gaurav, if you can just quantify or maybe give a qualitative comment on how much of margin improvement has happened because of the headcount rationalization that we've seen?

And given the fact that we are now seeing growth ramping up, do we see hiring coming back into positive trajectory? And will that offset some of the gains that we've seen in terms of margin gains?

Gaurav Bajaj : Yes. So Vimal, I think I answered that in the previous question asked by Bhavik. I think this quarter, we have an operating leverage of about 200 basis points into our bottom line. And we still have a little bit more scope to improve our utilization from here on. And I think the future model itself should not have revenue tacked to the headcount. That would not be the proportionate or the linear way of looking the revenue to headcount ratio. I think that model is undergoing a change. And we are very cautious, and we are looking in terms of the productivity of whole, including the AI kind of productivity into our business model.

So I think that we'll continue to work on those models and see when the headcount will increase. I think we will approach where we need the people, the specific skill set are required

niche, expertise are required. We will do very calibrated hiring from here onwards.

Tata Elxsi Limited

January 13, 2026

Page 7 of 18

And depending on the demand, we will see how many people have to be brought in. But I think going forward, our methodology would be to calibrate the demand and the supply, and then what would be the most optimal model to continue to deliver towards 80% utilization.

Manoj Raghavan : Yes. So just to add there, I think we still have leverage from improving our utilization. So I think it's a quarter or 2 away before we'll start thinking of hiring and so on, and we would do it in low numbers, especially to meet certain specific customer requirements and so on. But large hiring, I think is still either a quarter or a couple of quarters away. And we will want to leverage on improving our utilization in the short term, right? So that's where our focus is.

Vimal Gohil: Perfect. Gentlemen, congratulations once again and best wishes for the quarter start. Thank you.

Manoj Raghavan : Thank you.

Moderator: Thank you. Our next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Yes sir, thanks for the opportunity. So my question is on the transportation vertical. Obviously, we have seen very healthy recovery. But in this recovery, have all the deals that we have won fully ramped up? Or we can see some there more ramp -up in the coming quarters?

And also in terms of the top OEMs in the Europe and the U.S. region, how are you seeing the spending patterns in terms of recovery, in terms of their discretionary spends and in terms of decision -making? And if you can provide some colour on that, how this has changed from maybe a quarter back?

Manoj Raghavan : Yes. I think some of the large deals that we've been talking of, I think we have had significant ramp -ups happening towards maybe the later part of Q2 and of course in Q3. So those ramp-ups - we have reached a steady state. Of course, there is still opportunity to grow further, again, depending on some new opportu-

nities that we're talking to customers and so on.

But I think we have managed to really match the customer expectation in terms of ramp -ups to meet their specific needs and so on. So having said that, as I said, there are a few adjacency businesses, off -road businesses and so on that we have entered recently. And that is an opportunity once again to scale and so on in the coming quarters. So yes, it's a work in progress in some sense. But I think a good part of the ramp-ups have been baked in during the last quarter.

Amit Chandra : In terms of the OEM commentaries and the spend s in these specific areas, and in terms of the decision -making how are you seeing in this quarter versus what it has been 6 months back?

Manoj Raghavan : Yes. See, decision -making times are still a little bit slow. Of course, customers are making decision s but they are making very careful calculated additions. So to that extent, I think it all depends on the value proportion and what you've stand for; what sort of problems at the customer end are you going to address based on your business model. So that's the key. And that's something that we have been sharpening over a few quarters. And I think we have a very,

Tata Elxsi Limited

January 13, 2026

Page 8 of 18

very good value proposition for our customers. Yes, decision -making will still take some time, but customers are definitely willing to spend based on the value proportion that we are putting on the table.

Amit Chandra : Okay. And sir, in terms of the operating leverage, obviously, we have seen some good operating leverage coming out in this quarter. Till what level of growth we have funded in terms of capacity, where we don't need to add more, if you can give some colour on that? So what is the kind of margin expansion we can expect?

Manoj Raghavan : I think we have addressed that question in the previous question as well. So we are operating at around 75% today. And we can go all the way up to 85%, right? So we are targeting to look at least moving around to 80%, before we start adding capacity and so on. So I think we do have operating leverage from a bench perspective.

Gaurav Bajaj : It is not that we are not hiring at the moment. We are hiring, but I think we are hiring selectively where we have those positions required to be fulfilled. But as we mentioned, the large-scale hiring probably can be seen after maybe a couple of quarters from now.

Amit Chandra : Okay sir thank you and all the best.

Moderator: Thank you. The next question is from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant: Yes, thank you for taking my questions. Congratulations on a good set of results. My first question is on the transportation vertical. So would you put down this performance mostly to an anticipated ramp -up that we were expecting from 1H itself? Or would you also attribute it to some extent to an improvement in the demand environment? Do you see that? And in a similar vein, now having registered a strong growth in 3Q, it sets up a high base as we head

into 4Q. So would we be able to see growth on this number? How do you look at it?

Manoj Raghavan : I didn't get the first question clearly. But okay, from a second question, perspective, yes, of course. I think based on the order book that we see and based on the sort of funnel that we're looking at, I'm pretty confident that we will be able to grow over the number that we have delivered. So that's, of course, what the teams are focusing on. What was the first question about? Was it demand environment?

Ankur Pant : Yes. My question was that the growth was primarily driven by the ramp-up that you were already anticipating? Or did you also see an easing in the demand environment to some extent?

Manoj Raghavan : It's both - I think of course, we were able to successfully ramp up some of the deals that we have closed, and as you know, we had an issue in one of

of our customers, and there was a lot of

pent-up demand which was really pulled in during the last quarter, and that also helped us to really accelerate in the quarter. And regarding new demand and so on, yes, of course, there are deals that we have won, and we've talked about, especially in the adjacency space that they're looking at. So those are all new deals that will add revenue streams again in the subsequent quarters.

Tata Elxsi Limited

January 13, 2026

Page 9 of 18

Ankur Pant : And my other question is on utilization. Now it's an important margin lever going forward. But given that we work in three different verticals with - I mean, there's not a lot of fungibility between employees, you ideally would need even the Media and Communication growth to pick up before you can actually move utilization to north of 80%. So is it possible to move it upwards to 80%, 85% without a proper recovery in the Media and Communication vertical?

Manoj Raghavan : That's what we talked about, right? We are hoping that both Media and Communication and Healthcare, which contributes to 45%, 50% of our revenue, is something that we are very confident should be able to recover. And we have been working on that over the past few quarters, I would say, in terms of new customer outreaches and some large opportunities that we have placed our bets. And we strongly believe that some of that will turn around in this quarter, in Q4. And that will also help us improve our utilization. So it's not necessarily only automotive business. It is both Media and Communication and Healthcare, which is going to help us achieve a better utilization. So definitely agreed there.

Ankur Pant : And my final question is in 1Q, you had aspirations of double-digit growth in both transportation and Healthcare vertical heading into FY '27. Does that remain intact and for the overall organization?

Manoj Raghavan : Yes. So that is the aspiration from our next financial year perspective, if I understood your question right. So that is what our internal planning says and that's what we are aiming for.

And we believe that if we can get a strong momentum in Q4, right, and leading into quarter 1 of next year, I think we should be able to achieve those objectives.

Ankur Pant: Thank you. Perfect. All the best.

Moderator: Our next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar : Yes, thanks for the opportunity. And congratulations on a great quarter. The first question is on the Media business. If I heard correctly, did you mention that part of 50% of the business has recovered and you're hoping for the recovery in the balance? Is that comment related to one of the larger accounts? And if yes, any status in terms of bottoming out of challenges in that account. That's first. And the second to Gaurav, sir, you mentioned the wage hike impact for juniors in this quarter. Can you also quantify the impact that could come in the fourth quarter for the wage hikes for the remaining? Thank you for taking my question.

Manoj Raghavan : Yes. So if I understood your question correctly, you're talking of the Media and Communication business and you're talking of the challenges in the top account, right? I don't think we have any challenges there in that account. In fact, that has been growing pretty well.

So the confidence is from a number of other customer outreaches or a number of other bids that we are placing. We strongly believe that a few of them will come to a closure in this

quarter, and that will sort of start the sort of recovery for our Media and Communication business. Healthcare business as well, we have a similar sort of a situation. And we definitely want to get both of these businesses also on a growth path as we enter the next financial year.

So that's what we're focusing on.

Tata Elxsi Limited

January 13, 2026

Page 10 of 18

Gaurav Ba

jaj : Yes. Abhishek, on your second question, hike for our junior to mid staff, which covers almost two-thirds of the organization, will happen in Q4. So you can expect the impact for that would be lower compared to what we have in Q3, maybe probably 60-70% of that.

Abhishek Shindadkar : That is helpful. And just a follow-up on the answer. Sir, if we look at the increase in the revenue by contract mix side and also see the recovery in utilization and the recovery in the top account, is it fair to assume that in many large accounts of each of the three verticals, our mix is primarily towards time and material?

Manoj Raghavan : No, it's a combination. It's not that all the large accounts are time and material. A lot of them are fixed bid and outcome-based projects as well. So it's a combination.

Abhishek Shindadkar: Perfect. Thank you for taking my question and best wishes for the rest of the year.

Moderator: Thank you. Our next question is from the line of Karan Uppal from PhillipCapital India. Please go ahead.

Karan Uppal : Yes, thanks for the opportunity. Just a few questions on the transportation vertical. Sir, you mentioned about normalization of spends going ahead. Just wanted to pick your brain around the areas which you are seeing good traction in, be it hybrids, EVs, ADAS, connected, if you can share some thoughts there? And in the pipeline, are you seeing large programs on the SDV front?

Manoj Raghavan : So a lot of the growth that we've seen is primarily coming from our SDV, the closures that we've had on the SDV side. So of course, as you know, we also have our own SDV suite called AVENIR and that is also bringing in a lot of traction for us. Apart from that, of course, electrification is another large play that we see in both BEVs and hybrid platforms. So new platform development is something definitely we are seeing. AD-ADAS, of course, continues to have traction. So, yes. So these are the top 3 areas that really are pushing our automotive growth. Of course, the connected car platform and the applications around it is also another area that we see a lot of traction going forward.

Karan Uppal : Okay. Second thing is for the outlook for this automotive business, is it broad-based across your, let's say, of 10 to 15 accounts? Or is it more concentrated between, let's say, 2 to 5 accounts where you are seeing deal ramp-ups?

Manoj Raghavan : I would say it's more on the top 5 to 10 accounts, right? That's what we are seeing a ramp-up. And these are happening across the geographies. It's not limited to any one geography. So that is positive for us because we are derisking from geography dependent situation as well.

Karan Uppal : Perfect. Thanks a lot, and all the best.

Moderator: Thank you. Our next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D. Patil: Okay. My question was with Tata Elxsi focus on design-led technology and recent partnerships in automotive and media, how do you see client conversion evolving? Are they

Tata Elxsi Limited

January 13, 2026

Page 11 of 18

shifting from cost efficiency to co-innovation module? What should the stakeholders expect as the defining theme from your leadership in this space?

Nitin Pai: Yes. I think just to clarify, I think the two are not exclusive in the sense that they tend to run together. I think in both industries, there has been extremely strong pressure on bottom line, especially because the top line are not going too well. Market share is not going to be climbing given the competition, for example, in the auto space for the Chinese and so on. So there's a clear mandate that look, whatever you do, you will have excel in technology, but at the same time, we'll have to deliver on cost.

So I think in that sense, Media and Communication vertical has seen that pressure on the top line for quite some time now and therefore,

the cost takeout and the bottom line improvement

has been a focus for some time now. I think you're finding this need to find right partners delivering from best cost countries, but delivering outcomes and results rather than just delivering headcount. I believe that is really what will carry us forward.

Sucrit D. Patil: Okay. My second question is to Mr. Bajaj. On the financial side, speaking beyond margins, how are you thinking about capital allocation in this phase like balancing dividends or investments in automotive innovation centres or any digital partnerships down the line? Do you see scope for a shift in capital deployment over the next 1 to 2 years?

Gaurav Bajaj : I think we have been discussing internally within the organization management and also along with the Board. Of course, there are certain plants that has been put into the place, and we have been tracking on those plants. At an appropriate time, I think we will let you know in terms of any outcome or change in the capital allocation approach from our side.

Probably, we announced during the quarter 4 year-end during our AGM in terms of what would be the distribution that we do. But there are some strategy internally that has been discussed. So probably, I think we may not be able to disclose at this moment of time. But at

the appropriate time, we will get to know what kind of plans and what are we thinking of that.

Sucrit D. Patil: Fair enough. Thank you for the guidance and I wish the entire team best of luck for the next quarter.

Moderator: Thank you. Our next question is from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Yes, thanks for taking my questions . And can you name a commercially successful idea that initially looked unbillable or irrational, but it became commercially successful thereafter?

Manoj Raghavan : Sorry, we couldn't get the context of your question?

Sajal Kapoor: So the context of the question is I just need an example - preferably in Healthcare, but even automotive or otherwise - of a commercially successful IP , idea that you have in the organization today, but initially, that was deemed kind of irrational or unbillable?

Tata Elxsi Limited

January 13, 2026

Page 12 of 18

Nitin Pai: As an engineering company, we are quite rational. So to that extent, there's very little that we do that is irrational. But having said that, if you look at it, most of the bets that we have taken in products and platforms are future looking because ultimately, we are tracking standards, tracking technology conversion and we are taking bets in advance.

And that is why you tend to have mixed success with products and platforms, not because they are not right, but because many times, we are simply ahead of time. A good example is the investment that we made in NEURON, which is a network automation and orchestration platform. We believe it's ahead of its time simply because that's the most elegant way to reduce cost in network management. And while telcos have been going after cost takeout simply by throwing larger and larger deals for lower and lower cost, we believe the smarter way to go around it is to actually start investing and automating and orchestrating your network with technology and with automation rather than with people. But we also know that ahead of its time. Why? Because telcos are not going to be so keen to throw themselves on another platform. Unfortunately, they have seen enough in life. So that's where I feel most of the time, we are ahead of time rather than irrational.

Sajal Kapoor : That's very helpful and a great response. Thank you for that. And my second and last question is, you know, there is always some sort of a tension between creativity and delivery discipline.

So when creativity conflicts with delivery discipline, which one loses and why?

Nitin Pai: So I think this is, in many ways two sides of the

same coin. The tension between creativity and

discipline or engineering, I think it is a good tension to have. And I can tell you this from my own experience as a designer.

We obviously used to have this debate when we are young as to

which designers are better. Were the ones that came from IDC IIT Bombay better because they had an engineering degree first or was it the folks who came from NID because they were pure creativity ? They were not schooled in engineering. Opinion is divided, but I still believe that when you're schooled in engineering, the concept that you come out with are a lot more manufacturable, feasible, productizable. Pure creativity at times is great for the heart but doesn't work for the mind.

Sajal Kapoor : Yes. Engineering, the practicalities and the scale-up and the actual commercial viability is far more important than just having plain on paper kind of creativity, if I understood it correctly?

Nitin Pai: Absolutely, anytime because that's the whole basis of the manufacturing world, but it has to be realizable. Otherwise, it just becomes luxury art.

Sajal Kapoor : Absolutely, it does. Thank you so much for all these responses. Wish you all the very best. Thank you.

Moderator: Thank you. Our next question is from the line of Rishi Modi from RDM Advisory LLP . Please go ahead.

Rishi Modi: On the healthcare front, we had seen a disruption in the past on the regulatory extension being given in Europe, which, if I'm correct, it ends in 2026. So do you expect any sort of a pent -up demand on that regulatory front coming for you in the coming year?

Tata Elxsi Limited

January 13, 2026

Page 13 of 18

Manoj Raghavan : No, I don't think there is a pent -up demand. In fact, the regulatory piece of our business is over a period of time, really gradually coming down. In fact, what is happening is we are moving the manual regulatory effort to more AI -based digital sort of focus. And I think we have been able to successfully move there. So I don't think there will be a pent -up demand per se, but we are hoping that using AI, Gen AI and so on will really help capture a larger piece of work that otherwise would have to be done manually . So there could be some sort of acceleration based on the digital technologies that we bring in, but it's not due to the runoff in 2026 and so on .

Rishi Modi: Okay. Understood. Secondly, I wanted to understand our rationale on the defense business. In the past, you were a bit uncomfortable , I'm talking about 5 years , 6 years back when you said that there's a receivables issue in the industry plus some export issues to the U.S , so what has changed for us in maybe the industry or in our view or in our working, which is now making us commit to the defense aerospace industry?

Manoj Raghavan : Globally also, we see aerospace and defense as a great opportunity area primarily because of the spend that the industry is going through, so there are a lot of new technologies that are coming in. There is UAVs and drones and warfare is changing. There is also commercial

applications of many of this in air taxis and so on.

So what we see today is a lot more technologies like electrification coming in, in a big way.

So, of course, there are challenges with cycle times for the deals. And if you're doing defense sort of projects, especially in the U.S., you need to be ITAR compliant and so on. So there are still some of the challenges that we need to address.

But otherwise, I think a fantastic amount of opportunities exist, especially in India, with the sort of both DRDO and labs, and companies like HAL. And, of course, a lot of global companies, right, who have set up their capability centers in India, in Bangalore and so on. So that also opens up a lot of good opportunities for companies like us.

So I think, yes, I think we are doubling down our focus on the aerospace and defense segment. And we have done some fantas

tic work in this space. So credibility is there, capability is being built. Now really we need to see how to have some commercial success. So that's something that we're working on.

Rishi Modi: And Manoj, do you think this will be a ROCE accretive like will the margins compensate for the receivables cycle in the future?

Manoj Raghavan: It's still early days. I think if we look at the overseas market, I don't see any concerns on either profitability or payments and receivables. But yes, if you really only focus on the defense segment in India, then yes, we do have some tweaks in our business model that we need to take care of. Otherwise, I think it's a great business. And especially with the type of opportunities that we see in India, it's a great opportunity to build capabilities and then really explore the same globally. So I think it's a great opportunity for us.

Rishi Modi: That's great to hear. Finally, just a quick one on the non-PV transportation, which is the off-highway construction equipment railway that we had entered into. We'd guided for 20% of our Tata Elxsi Limited

January 13, 2026

Page 14 of 18

transportation revenue coming from this segment, I think we had guided for 3 years back then, but I think we've overshot. I just wanted to understand where are we in that journey? Are we still tracking that 20% and when can it be achieved?

Manoj Raghavan: Yes, we are still tracking that 20%. So I think today, we are about 7.5-8% is where we are today. So, I think there's an opportunity in the next couple of years or 3 years to really look at 20%. The difference this time is that we really had some good logos that we've opened up and good opportunity in this space. And the spend in this industry is also growing. So, I think that's positive for us.

Rishi Modi: So we are at that point where we have right to win that business, like we've gone through that phase when we've established ourselves. And do you think like this adds up to our revenue in the next couple of years and we get to that 20%, like an extra 5%, 10% of our revenue?

Manoj Raghavan: Yes. That's what we hope for. Of course, it's a smaller market as compared to the automotive market. So to that extent, we need to be a little careful. But I think the opportunity exists.

Rishi Modi: All right, all right. Great. That's good to hear. I'll come back in the queue for a more conceptual question, but if there are others, you all can go ahead.

Moderator: Thank you. Our next question is from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

Sulabh Govila: Yes. Thanks for taking my question and congrats on a good set of results. I had a couple of questions. So first is with respect to growth in the near-term, I just want to check my understanding if that is correct. So, what we spoke about from a 4Q perspective, or a near-term perspective is that we are expecting a recovery in both Media and Healthcare verticals versus what we did in the third quarter.

And even in the transportation vertical, while the SDV deals are largely in the steady state, the top account still has to return to the peak run rate. And there are other deals in adjacencies, which are ramping up. So, shouldn't 4Q be similar to better than 3Q from a growth perspective? I mean I'm just trying to understand, is there anything we should keep in mind which can change that trajectory as we enter into 4Q?

Manoj Raghavan: No, we don't want to give any indicator at this point in time, we don't do that. But you have rightly paraphrased all what we talked about. So I think your analysis is perfect.

Sulabh Govila: Sure, sure. Thank you. And the second question is on the utilization bit. So in the past, we've always talked about reaching a peak utilization rate of 80% odd, while today, it may be the first time we ever spoke about potentially reaching 85% levels. So just trying to understand, is there a

nothing which has changed structurally for you in the delivery organization from a workflow automation perspective, which is changing this thought process on the utilization levels?

Nitin Pai: Sulabh, this is Nitin here. I think historically, we have hit 85%, 86% at the peak of our growth.

It's just that at that time; we did not have all the benefits that come from what you have now as Tata Elxsi Limited

January 13, 2026

Page 15 of 18

tools and technologies. So technically, at that time, we felt a little constrained that, look, 85%, 86% kind of stretches a little too much and we don't have enough room to maneuver.

I think given the context that we are in today and the kind of work that we're doing and the kind of investments we're making with the AI and Gen AI that stretch is not as tight as it was before. So 85% seems comfortable.

Sulabh Govila : Okay, sir. Understood. Thanks for taking my question.

Nitin Pai: Thank you.

Moderator: Thank you. Our next question is from the line of Rohit Jain from Tara Capital Partners. Please go ahead.

Rohit Jain: Yes. So, my question is on the anchor client. Now last to last quarter there was an issue, and then last quarter, it sort of came back. But given the issues ongoing there and the kind of debt situation that's developing, for the next year on a whole, do you expect the anchor client to grow from this year's level? Or do you expect it to be stable? How should we think about the trajectory on the anchor client side?

Manoj Raghavan : Yes. I think there are too many changes that are happening in the marketplace also . But if you ask me, our focus is to definitely ensure that all customers, including our anchor customer, at least the top 15, top 20 customers, right, we are a steady growth path. So that's definitely the focus. We don't have any indication at this point in time saying that we will have some difficulties or we'll have some surprises. So, we are hoping that we will be able to grow, you know, our top 5, top 10, top 20 customers. So we'll be optimistic there.

Rohit Jain: And just last question on that anchor client again. Are you sort of gaining share of the work being done there? Or is the share stable and the growth depends on the increase in tech spends by the anchor client?

Manoj Raghavan : So if you look at it over the last 5 years or even a little more, you know, our share in the overall spend of this customer has only increased. So I think, again, it all comes down to the value proportion, right, especially in a tough market situation. The value proportion that we bring in is very, very strong. So I don't think we have an issue on that front.

Rohit Jain: Okay. Thank you. Thanks a lot.

Moderator: Thank you. Our next question comes from the line of Jalaj from Svan. Please go ahead.

Jalaj : Yes. Congrats on a good set of numbers. Sir, first question was with regards to this onetime adjustment for the labour law changes. So are we done for all the prior period adjustments or there is something which comes in the next quarter also? And second part to it was what would be the incremental impact of this as a going concern, in people cost or on the margins should we expect anything?

Gaurav Bajaj : Hi Jalaj, this is Gaurav. Let me answer your question. I think we have made a provision in line with our accounting norms and also assessed by our auditors for the new acts on the new

Tata Elxsi Limited

January 13, 2026

Page 16 of 18

labour code that got enacted during the quarter. We believe that onetime catch -up is already being done in this quarter. And hence, we have also called this out as an exceptional item because this is something not going to be a usual line item in our financials going forward. However, given the change in the labour code and the definition of the wages, on the going-forward basis, we expect this impact to not be more than 15, 20 basis points, but probabl

y that

will also get compensated with the other levers and the utilization factors that we still see there is a scope for the improvement over there.

So at large, we don't think there should be any impact for the new labour code going forward in the subsequent quarter. However, we continue to monitor. We continue to track in terms of more clarifications that probably would come around in this quarter or maybe the next quarter because the rules got republished, but those rules are still not notified and still not enacted. So once we have the little bit better clarity, rules get notified, then we have to assess if there are certain more changes or adjustment to be required. But we believe that the larger part of it is already baked into the numbers. And as such, we don't see anything potential or significant coming in the coming quarter.

Jalaj: Got it. That explains it. And my second question was with regards to the business side. So I wanted to understand on the transportation side. So we understand that the top client has come back and has come back strongly, and there were a few projects which were stalled. So if you could give us some flavour as to what proportion of these stalled projects have, they ramped up to the maximum or there is more to come from that? Just trying to understand on the sustainability of the growth.

Manoj Raghavan : Yes. So I think as we explained earlier, there definitely has been some catch -up in terms of pent-up demand that we have fulfilled in this quarter. A part of it will definitely continue as we speak into the subsequent quarters as well. But again, the focus is for us to really look at the larger basket of customers, our top five , top 10 customers and see how we can ensure growth across these customers as well . So I think that's where we are, over a period of time, constantly

trying to diversify our concentration risk, if you may, in some sense.

We are trying to diversify our geography risk, if you may, in some sense. And I think each of those strategies are working out for us. And especially when times are tough in, say, some geographies like U.S. or Europe, our focus on Japan and India has really helped us. So I think at this point in time, if you look at it, a basket of customers and the various geographies that we operate in.

And I think we are in a decent situation, good situation to be in, I would say. And we need not be overly dependent on a particular geography or a particular set of customers. So to that extent, I think we are de-risking and diversifying our overall portfolio, which in the midterm to long term, I think will really help us.

Jalaj: Fair enough. Just a quick one on that. So the newer projects, what we alluded to, the newer ramp-ups in the newer clients, are the margins for these projects comparable to the peak margins we used to do historically or they are slightly at a lower price or a lower margins

Tata Elxsi Limited

January 13, 2026

Page 17 of 18

because of whatever has happened in the transportation vertical as such because of the tariffs and otherwise pressures? How should we understand that?

Manoj Raghavan : It's a basket of accounts, so there is no one answer there. Depending on criticality of a particular customer or the skills or capabilities that we need to bring in, we look at the margins accordingly, there's no set rule that, look, this is the only margin that we would operate on. At end of the day, it's our responsibility to really uplift the overall margins in the business. And that's what we are focused on. How we do it, we take a portfolio approach or how we do it is entirely dependent on what we see in the marketplace, what skills do we need to bring in, and then what value are we creating to those customers. Based on that, we would really price in the deal, and the margin movement will be according to that.

Jalaj: Understood. And then, sir, you alluded to that one o

f the reasons of the growth coming in transportation was the comparatively better macro or the comparatively better demand situation or discussions from the clients.

So how should we understand that over the past two, three quarters, has there been any improvement in demand scenario or discussions at least have the clients started to think about or talk about signing new deals or discussion? Because I understand newer launches or a complete portfolio was postponed by a few quarters to a few years for a lot of clients or OEMs?

Manoj Raghavan : No, I think from an automotive perspective, we've already indicated that, yes, there are discussions happening. There are new deals, new discussions, new customer additions and all of that is happening, right? We are hoping that both in both Media and Communication as well as Healthcare, we will be able to turn around that business.

And our focus is to really get back all the three businesses of ours to a growth situation, which will give us a lot of leverage from an investment perspective, from a growth perspective, from a utilization perspective, from a return to higher profitability perspective. So a number of things that we are really focused on. And I think in the next 2 quarters, you will see a trajectory or a trend, right, that will give you an indication in terms of where this is moving.

Jalaj: Got it. Thanks for the answer and best of luck.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Manoj Raghavan : Thank you to all the investors who dialled in today evening. We really look forward to having a more detailed conversation towards the end of the next quarter. We are really confident that, look, we have done a number of things right. We have done a number of investments right.

Now how do we leverage that and how do we move that into revenue growth and profitability growth, that is what the team is really focused on. Thank you so much and look forward to interacting with you again in the next Investor Call.

Tata Elxsi Limited

January 13, 2026

Page 18 of 18

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2026

April 24, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Symbol : TATAELXSI

Dear Sir s/Madam,

Sub: Transcripts of the Investors' Conference Call for the quarter and year ended March 31, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2026, held on April 21, 2026.

The transcript of the earnings conference call will also be made available on the Company's website at www.tataelxsi.com.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer
Encl: As above

"Tata Elxsi Limited
Q4 FY '26 Earnings Conference Call "
April 21, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. NEHA V. – COMPANY SECRETARY – TATA ELXSI
LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
April 21, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Earnings Conference Call of

Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you and over to you, sir.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with business risk that could cause actual result performance or achievements that differ from what is expressed or implied by such statements. To take us through the results and answer your questions today, we have the Senior Management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Neha V. , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan , followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. Very good evening to everybody who has joined us today. Welcome to the Q4 - '26 investor call. I hope that you and everybody in your family is safe and healthy. I am pleased to announce that we have delivered a healthy revenue of INR993.8 crores for the quarter, growing 0.9% quarter -on-quarter in constant currency terms. In our transportation business, our revenues in Q4 FY '26 grew by 0.2% quarter -on-quarter in constant currency terms. We are delighted with two strategic wins, one in the APAC region from a new -age OEM and another

from a next -generation mobility services company in the US, paving the path for business growth in coming quarters. Our investment and efforts to pivot towards OEM business is delivering continued success, underscoring our strength in focused execution of chosen strategies. OEM customers now represent 77% of the revenue in this vertical. Our Healthcare and Life Sciences vertical grew by 13.1% quarter -on-quarter in constant currency terms, impacted by delays in deal awards that we were expecting and prepared for in the quarter.

Tata Elxsi Limited
April 21, 2026

Page 3 of 17

However, during the quarter, we opened an offshore development center for the Japanese MedTech leader Terumo Corporation. This center brings together the power of design, engineering and digital to innovate their cardiac and vascular solutions. I am happy to report that our Media and Communication business posted a 5.6% quarter -on-quarter revenue growth in constant currency terms. This growth was led by continued deal ramp -ups, a strategic deal for AdTech and a Tier 1 US Telco. In the quarter, we also won a multi-year large deal from a world -leading device OEM for its portfolio of video and broadband products.

For the quarter, our EBITDA margin stood at 24.6%, improving by 130 basis points sequentially. This reflects a continued focus on operational excellence and margin improvement. In FY '26, we significantly advanced our adoption of GenAI. This was supported by partnerships with AI companies, launch of our own automotive SDLC platform DevStudio.ai earlier in this quarter, curated tool stacks and agent inventory, investments in infrastructure, sandbox environments with IP protection and data privacy, and rigorous upskilling.

With these coordinated efforts, we are progressing steadily towards being an AI -native engineering organization, strengthening our differentiation and innovation quotient. I am pleased with our sustained and strong operational performance through segment -leading offshore delivery, continued transition to fixed- bid project ownerships, and the systematic and enterprise-wide adoption of AI -enabled efficiencies.

These levers strengthened execution discipline and productivity, driving consistent margin improvements throughout the year. As we enter the next financial year, we remain focused on scaling our differentiated design -led and AI -enabled offerings, strengthening operational leverage, and driving sustainable growth and healthy margins. Thank you and over to Shashank for the Q&A session.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Saj al Kapoor from Anti fragile Thinking. Please go ahead.

Sajal Kapoor: Yes, hi. Thanks for taking my questions. Sir, of the deals you have won recently, how much of the value is coming from existing customers expanding their engagements or wallet share versus entirely new logos, and how has this mix evolved over the last two or three years?

That's my first question. Thank you.

Manoj Raghavan: Yes, I think if you look at it in any quarter, the new customers would contribute maybe 2% to 2.5% of the revenue. So a large portion of the revenues come from existing customers and the deals that we win with them. However, we also see a good new set of customers that are coming in. For example, this quarter we have announced a deal with Terumo, that's a new customer that set up an ODC with us in the Healthcare and Life Sciences space. Similarly, the deal that we announced in the automotive segment with the APAC customer, that is also a new customer for us. The deal that we announced in the Media and Communication space, the

Tata Elxsi Limited
April 21, 2026

Page 4 of 17

multi-year deal, that's an existing customer of ours. So it's always a mix of existing as well as new customers.

Sajal Kapoor: Sure. And just to follow

up, I mean, is there a pattern where the new logos typically take X number of years to scale up or is there no such pattern? I mean, it depends from customer to customer?

Manoj Raghavan: It depends on business to business, I would say. Usually, even if you win a deal, for it to make a significant impact, it takes anywhere between 9 months to 12 months for ramp-ups to actually happen and start delivering.

Sajal Kapoor: Sure, that's helpful. And my second and last question is, you have highlighted AI-led productivity and a shift towards fixed-bid and platform-based delivery. Are these changes starting to alter pricing power and contract structures, or are they mainly improving internal efficiency so far?

Manoj Raghavan: It's both. Definitely, we are using a lot of that for internal efficiencies. However, there are customers that are demanding better efficiencies, productivity and so on, which automatically leads to, if you're able to deliver that performance and productivity, then a better pricing power. So it's a combination of both.

Sajal Kapoor: Okay. Thank you. I'll rejoin the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead.

Rishi Mody: Yes, hi. So my first question is pertaining to the quarterly result. So healthcare, we've declined 13% Q-o-Q on constant currency in our revenue. Last quarter, you called out that probably Q3 was the bottom. Just wanted to get your view that do we see Q4 as now the bottom or is there something which has changed over the past three months for us there?

Manoj Raghavan: Yes, I think we were very optimistic that the healthcare business has reached the bottom and we will turn around. We were pretty confident because there were a few deals that we were bidding for, and we were pretty confident that we will be able to close those deals.

Unfortunately for us, those deals have not closed, and that resulted in this situation that we've had. But, however, we still continue to carry those items in our high-probability funnel.

And in fact, a few of them actually we have closed in a couple of weeks in the new quarter, right? So I think I'm pretty hopeful that last quarter, Q4, was the bottom and we will be able to recover this. If we had closed these deals earlier in the quarter, then we would have had a fantastic exit to Q4 with all the three businesses really firing and so on. That is what we were all aiming for. But hopefully, it is just shifted by a quarter and we should be able to recover that position in Q1.

Rishi Mody: Got it. So say Q1 plus Q4 combined should have positive growth over Q2 and Q3 if that's how I have to look at it. Second, on the USA business, the media and communications industry, the

Tata Elxsi Limited
April 21, 2026

Page 5 of 17

consolidation seems to have happened. Are we now going to go back on the higher growth trajectory here, or is there something which needs to be recalibrated in USA and the media and communication both, sorry?

Manoj Raghavan: No, so the media and communication business has smartly grown, especially for us in the US. But overall, the US business has declined a little bit. That is primarily because of the healthcare piece, because healthcare for us is largely US-focused.

Rishi Mody: Okay, got it. Finally, more on a structural question. You'd mentioned in the past that now incrementally we are

doing fixed contracts, which may or may not be a trend that we are following, but also we are doing longer -tenure contracts, which are not as profitable in year 1

as, say, the earlier shorter -term contracts that we were doing.

But if you were to take, say, a two -year, three-year profitability combined, do we even out on our margins, or we'll take the hit on the margins, but we'll get higher absolute amounts? Is that the approach, or we have levers to get margins ramped up in year 2, year 3?

Manoj Raghavan: Yes, so obviously, when we look at a three -year or a five -year deal, right, the initial one year would have a lot of costs involved. There could be sometimes rebadging costs, there could be acquisition costs and all of that. But, however, when you look at a three -year or five -year, we definitely would be looking at seeing how we can improve our margins sequentially, quarter -on-quarter and year -on-year. That is the focus for us. So definitely, we would want to bring back, and especially now with using AI, GenAI and so on, we have many, many ways of really bringing out the margins in a positive way. So I think that's what we're focusing on.

Rishi Mody: All right. Finally, just a bookkeeping one, if I could get the utilization rate for the quarter?

Gaurav Bajaj: It is about 73%.

Rishi Mody: 73%. Got it. Thank you. That's it from my end.

Gaurav Bajaj: Thank you.

Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital.

Please go ahead.

Moez Chandani : Hi, good evening and thank you for taking my question. My first question was on the broader transportation segment. So last year's been turbulent for the entire segment, but looking at Q4, I think things were flattish. What's your outlook for the transportation segment going into FY27 ? And for the overall business, is the aspiration still double -digit growth for the financial year?

Manoj Raghavan: Yes, I think the good part for us is while, as you rightly said, the overall market outlook was sort of mixed throughout the last financial year, but we were still able to win some large deals and so on. In fact, even in Q4, we won some fantastic good opportunities for us, multimillion-dollar deals. So what we are confident is that , look, some of the new deals that we have won,

Tata Elxsi Limited

April 21, 2026

Page 6 of 17

we will be able to scale in the next 6 to 12 months ' time period. So that is what will help us really deliver growth in the automotive space.

Of course, on top of it, as we have been updating all the investors that we have been gradually moving to more and more of our business from the OEM side. I think today we are looking at about 77% of our revenues, 77% of the automotive revenues coming from OEM. So I think that pitch is also -- shift to OEM business is also helping us.

So I would say I'm still pretty optimistic about the overall automotive market. But , however, given the current geopolitical and all the war and all that, while we have the deals in hand and we will definitely look at ramping up and so on, there could be some amount of uncertainty.

We are still talking to customers on that. Having said that, I think maybe we would look at a high-single digit exit, may not get into a double -digit for automotive.

Moez Chandani: Understood. And the second question is on margins. Again, margins saw a very sharp improvement this quarter. What seems to be driving that , especially I think since utilization is still at about 73%, like you said ? And then in terms of sustainability for this margin improvement going forward, what would your comments be?

Gaurav Bajaj: Hi, this is Gaurav. Let me answer that question. I think we have been talking about the margin for the past few quarters and I think we have been mentioning that we are making constant effort to go back to our original margin band, which is about 27% to 28%. So I think the work has been happening towards that in terms of the operating model, operating efficiencies, and the leverage. It's not only about the utilization.

Of course, utilization was below 70% at one point of time. Now we are almost inching towards mid-70. So every 1% increase in utilization also helps at least 25 to 30 basis points on the margins. So that is helping, one.

Second, I think some of the fixed-price contracts, that increase that has happened, that is also comes sometimes with a better

margins because you are able to have a better optimized and rationalized pyramid on those deals if you are able to deliver and execute on those contracts, the way you have contracted for.

I think third is that pyramid in terms of managing the pyramid and the further hiring. So that is well calibrated in terms of the future requirements, supply -demand state. So that is giving me almost 65 basis points kind of improvement on a quarter -on-quarter basis. And yes, I think

there has been some currency tailwind, which is also helping margins for the current quarter. So if I have to put in terms of the margin walk, probably 150-155 basis points is coming from the currency movements against most of the cross-currencies has improved compared to the INR. 65 basis points would have come from the operating efficiencies across different levers that is into play.

And also, we have done the salary increase for the rest of the staff for in the organization effective 1st January. So that would be 90 basis points kind of impact on the quarter. So that

Tata Elxsi Limited

April 21, 2026

Page 7 of 17

sums up to almost 130 basis points improvement in the operating margin on a quarter-on-quarter basis.

Moez Chandani : Understood. And just one last question, if I can squeeze in. So media one of the concerns that were there last year in terms of consolidation, and again that a lot of deals were getting cut. So do you think that phase is behind us now? Or do you think looking at the very strong growth we've had in media, or do you think that the segment is still challenged from a growth perspective for the next few quarters?

Manoj Raghavan: I think, in general, I would say, we are still challenged, the entire media and telecom industry is challenged. But however what has happened for us over the last quarter and the financial year is we had won some large deals that, especially from some of the large customers, those ramp-ups have really started happening. And we've seen those ramp-ups happening in Q3 and Q4 as well.

On top of it, we won a large deal in Q4, which we would be literally taking over the engineering for one of our customers, all their legacy products, and so on. And that's a pretty significant deal for us. And that single deal actually also bumped up our overall growth in this segment.

Having said that, deals are still consolidation deals and cost-takeout deals that are there on the table. And we are still participating in those deals selectively. So overall, yes, I think we're still not out of the woods in this particular industry segment. However, because we have won a few good deals for us, we are able to show this growth.

Moez Chandani : Understood. Thank you so much for taking my questions.

Moderator: Thank you. Your next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Hi, thank you. So just wanted to understand on GenAI, how are the client conversations evolving? Are you seeing clients asking for productivity pass-throughs or pricing discounts if they want you to implement more of GenAI into the projects? Or is it still at a very nascent stage where it's not part of the conversation in a big way so far? And different for the three different industries you cater to?

Manoj Raghavan: Yes, so I think from a Generative AI perspective, I think we are seeing a lot of conversations happening in the media and telecom space, not so much in automotive and healthcare. Yes, there are conversations happening and so on. Those are more in terms of, for example, in the automotive space, there's a lot of interest from OEMs and customers in terms of how do you manage for example, cybersecurity and confidentiality requirements and so on and so forth, right?

So that's why we have built our own DevStudio.ai toolchain to address some of the concerns that customers keep asking us, right? So I think

ink in both in automotive and healthcare, there are

Tata Elxsi Limited

April 21, 2026

Page 8 of 17

those initial conversations happening. There is an interest to see how we can use some of these technologies for better efficiencies and so on.

Not so much conversations around cost and cost-takeout and so on at this point in time. But media and telecom, we see a lot more customers asking if can we use GenAI to overall what do you say, help in efficiencies at the same time also manage with their budget situation.

Bhavik Mehta: And any sense on what could drive this different customer behavior between, let's say, automotive and media? Is it because media is under more pressure right now and hence the clients are more desperate for cost efficiency versus the other two sectors?

Manoj Raghavan: Yes, I think automotive in some sense, it's still very regulated and automotive software development follows certain processes. And using a generic AI tool will not, it'll be very difficult for automotive companies to pass various regulatory requirements and so on, right?

And that is why you need to build custom tools for automotive. Healthcare is also the same, right? It's more a very regulated industry.

Whereas media and telecom that sort of very, very strong regulatory requirement is not there in terms of , that if you if you do something, it's not going to cause an accident or kill somebody and so on.

Nitin Pai: Yes, and maybe I can just add to that. I think in general, the telecom industry, especially telcos, are actually at the forefront of deploying data centers, building the infrastructure and the connectivity that you need to deliver AI and GenAI. So to that extent, in many ways, I would say they are ahead of the curve, at least between industries.

Nitin Pai: In terms of being ready, in terms of being comfortable and already having sorted out some of the key questions around how do you deliver.

Bhavik Mehta: Got it. And just lastly, Gaurav, how should we think about the trajectory of margins from here on? Because it's been increasing since the last three quarters, which is good to see. Should we continue to expect similar kind of expansion even next year or do you think it could slow down a bit, given that most of the levers have been utilized in FY '26?

Gaurav Bajaj: So Bhavik, I think we will have a sustained effort in terms of improvising our margins from here. Probably it will not have a huge uptick on a quarter -on-quarter basis. Probably it would be more gradual increase or the improvement that will happen on a quarter -on-quarter basis. And also, it needs to be tightly aligned with the top-line growth.

So focus would be on the top-line as well as the bottom -line. But you know, some of the margin will come back as we see some of the growth coming back and most of our verticals start to deliver on the top- line. Having said that, of course, there could be a quarter where the margin can have a left or right shift depending upon some of the one -timers and other events. For example, if whenever in the quarter we have to do salary hikes, there could be an impact in those quarters for the margins. But overall, if we have to see in the mid to long- term, probably

Tata Elxsi Limited
April 21, 2026

Page 9 of 17

I think the idea is that if we can exit the next financial year somewhere near to 27% kind of a margin , not for the full year, but maybe for the exit of this financial year Q4.

Bhavik Mehta: And just a clarification, is 27% at the EBITDA level or the PBT level?

Gaurav Bajaj: I mean at the PBT level.

Bhavik Mehta: Okay, got it. Thank you.

Moderator: Thank you. The next question comes from the line of Abhishek Shindadkar from InCred Equities. Please go ahead.

Abhishek Shindadkar: Hi, sir. Thanks for the opportunity and congrats on a good quarter. Sorry, this could be a repeat, I joined a little late. But just

wanted to understand the Healthcare & Life Sciences

traction. The anticipation was that the deals won earlier could help traction in terms of growth for the current quarter. Was the -- did Healthcare perform as anticipated at the start of the quarter, or was there any mid -quarter or late-quarter challenges in terms of delay in decision - makings, so on and so forth?

Manoj Raghavan: Yes, I think I discussed that earlier in a question that came up earlier. Yes , we were hoping on a couple of deals because we were very close to signing those deals, and those were large deals that could have really helped us with improving the numbers. Unfortunately, both those deals did not come through in the quarter, and they have been pushed to Q1.

So I think it is more a shift of some deals. At the same time, there have been a few projects that have also closed. So a combination of that has created this situation for us. But I think I'm very confident and hopeful that we will be able to recover in Q1.

Abhishek Shindadkar: Understood. Sir, just a clarification . So this planned out or this happen ed more in March or was it a phenomenon starting January itself? Just trying to understand the behavior of the clients in this context?

Manoj Raghavan: In fact, these deals started in October itself. It was more, we were hoping that it will definitely close, but it took 6 months. And that was the delay. We were not expecting that it would take so much of time to close these deals.

Abhishek Shindadkar: Understood, sir. That's very helpful. And the second question, again, maybe a repetition, I just wanted to get clarification. So when there was a question about margins, our answer suggested that we are okay to let go margins in the interim to win larger deals. Is the understanding right? Because what I'm trying to understand is, we are also talking of a 27% PBT number for next year. And at the same time, we also made a comment about leaving margins on the table for growth. So I'm just trying to put a context to both these commentaries.

Manoj Raghavan: No, the 27% we talked about was the exit margin in Q4 this financial year. It's not the margin for the year, okay? So that is very clearly, and that is where we were aiming for , right? I think

Tata Elxsi Limited

today, we are upwards of 25.6 in Q4 last financial year, we want to take it to 27 in Q4 FY '27, right? So that's the indication that Gaurav talked about.

I don't think we made a statement that we are leaving money on the table or we want to -- it's not a generic strategy that look, from now on, we will drop rates and go out. Yes, there could be certain specific deals which are from existing customers, which are large deals, and we feel that we would not want to let competition in or we want to vacate that space.

Sure, for those cases, we'll definitely look at seeing how we can be competitive. But as a generic strategy, we still definitely want to improve our margins and we have not given any guideline to our sales team or to our finance team that we can drop our margins.

Abhishek Shindadkar: Super helpful, sir.

Nitin Pai: Yes, if I may just add a line. Also note that even in those deals, there is a path to improving margins. It's not that you would win it and it would stay where it is, right? The understanding is there are some deals, they constitute a small percentage of your incremental revenues every quarter.

Some of those deals may need that investment period ranging from a quarter to more, but the expectation is over the longer-term, especially because you're going for longer-term

foundational revenue baselines, you would start to recover some of that margin back and hopefully you would improve well beyond too.

Abhishek Shindadkar: Perfectly understood, Nitin sir. Thank you for taking my questions and best wishes for the next year.

Nitin Pai: Thank you so much, Abhis

hek.

Moderator: Thank you. Your next question comes from the line of Prateek, an Individual Investor. Please go ahead.

Prateek: Yes. Can you please share the margin breakdown for this quarter once again in terms of what led to the 130 bps Q-o-Q increase?

Gaurav Bajaj: Sure, Prateek. I think I mentioned earlier also. But quickly, just to summarize, what we are saying is 155 basis points from the currency, 65 basis points from the operating leverage, and then we have a 90 basis points impact due to the salary hikes that have been done during the quarter. So that adds up to 130 basis points.

Prateek: Understood. That's it from my side. Thank you.

Moderator: Thank you. Your next follow-up question comes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead. Rishi sir, your line is unmuted. Please proceed with your question.

Rishi Mody: Hi, can you hear me?

Tata Elxsi Limited
April 21, 2026

Moderator: Yes, sir. We can hear you now.

Rishi Mody: Yes, hi. So, Manoj, one fundamental question on how the market is behaving. How is competition behaving in terms of pricing aggressiveness, especially with AI benefits being priced into, say, contracts? Are you seeing rationality or irrationality in the market currently and how are we tackling this?

Manoj Raghavan: No, I don't think we have seen irrationality in general, right? Because see, ER&D is still a very, very specialized -- it is not that we can use AI or GenAI across the board, right? So

having said that, yes, we have seen a few contracts where there has been competition that has priced very, very aggressively, and we are also a little bit surprised.

We don't know whether it is because that they have used GenAI or they have assumed that GenAI will lead to certain productivity. See, GenAI, I don't think we can use GenAI as -- you can cut and paste in all situations, right? That is a very wrong way of looking at GenAI. And there are -- I know that there are a few competition who are pretty aggressive in using some of this.

But even customers are very, very careful before they accept a complete GenAI-based solution and so on, right? So largely, I would say, we are not seeing irrationality that you indicated.

There are a few cases here and there, but we are not sure whether it is GenAI or some other factor that are playing.

Rishi Mody: Got it. And are we being conservative, moderate, or aggressive in pricing and in efficiencies from AI in our bids?

Manoj Raghavan: No, so we are definitely looking at AI, and we have in all the projects that we are bidding for, there is a component of it which we attribute to AI and we track it. And we want to see how we can use that to really improve

our efficiency, productivity, and ultimately, margins, right?

So those are things that we are definitely tracking internally. So I wouldn't say that we are aggressively going overboard. At the same time, we are not conservative at all.

Nitin Pai: Yes, so Rishi, if I may, I think much more than cost, I think we are double-clicking on value. I think what GenAI does, coupled with domain expertise, is that I think it allows you to move up the time to market and quality factors as much as cost. And I think in the ER&D space, that is invaluable. At times, it's much more valuable than simply cost, because engineering cost is a fraction of your overall product and product development cost. So, I think the opportunity is actually in enhancing value rather than reducing cost.

Rishi Mody: Understood. So bigger contracts should, or at least execution speed for existing contracts is more likely to be the outcome for us rather than, say, cost efficiencies, which might be for other traditional IT services. Is that understanding, correct?

Nitin Pai: Yes, although I don't want to generalize that again. But all I'm saying is that the simple factor of only cost is not the only consideration.

n.

Tata Elxsi Limited

April 21, 2026

Page 12 of 17

Rishi Mody: Got it. Thank you. This is helpful. That's it from my end. We can move on to the next one.

Nitin Pai: Thanks Rishi.

Moderator : Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Hi, thanks for the opportunity. My question is on the transportation vertical. Obviously, we have seen a good recovery there. And now it's stabilized also. And you mentioned in the PPT that 77% is from the OEMs. So, if you can share some more light in terms of how the Tier 1 portfolio has been doing and how most of the recovery is from the OEM portfolio, and how the Tier 1 portfolio has stabilized.

And also, in terms of the overall spending or the recovery that we have seen from transportation, is it only from the top client recovery and the ramp-up of deals that we have won, or is it higher spending across the OEMs, both in the US and the European geography?

So how is the mix, and what is the confidence that we move to a double-digit growth there in the transportation vertical?

Manoj Raghavan : Yes, so definitely recovery is broad-based, I would say. It's not just as you said; OEMs contribute more than 77% today. And these OEMs are primarily, of course, spread across, right? It's not just US and Europe that we are talking of. We are also talking about India; we are talking about Japan.

And we are also talking to some Chinese OEMs and so on, still early days. But I think those are the -- so essentially, for us, it's a global market and we are not really constrained to only

one geography. Tier 1 portfolio, I would say, continues to shrink. Tier 1s, I mean, if you look at it, are having a tough time given that OEMs are taking more and more responsibilities and so on. However, we are deeply entrenched with a few Tier 1s and that business definitely continues.

Yes, so deal sizes also with Tier 1s are smaller and so on, right? So, for us, growth will continue to come from the OEMs.

Amit Chandra : Okay. And as you mentioned from the AI side that the adoption of AI, especially in transportation OEMs, is less versus the other verticals, but are we also seeing -- in terms of the impact of renewals when the contracts come for renewals -- AI-led deflationary impact or higher discounts that the OEM clients are asking in terms of the AI benefits? Or obviously in terms of the higher spend related to AI, it's not seen, but are we seeing the impact on the cost side or in terms of higher discounts in terms of renewals?

Manoj Raghavan : I think it's very, very early days, right? So, it's not as if we have contract renewals coming every now and then and so on. At least those contracts that have come up for renewals, we have not seen the impact of AI.

Tata Elxsi Limited

April 21, 2026

Page 13 of 17

But having said that, I think it's very difficult to predict 6 months to 12 months down the line what will be the change in the buying behavior of OEMs. Today, I think AI or GenAI is not the most important thing that OEMs focus on.

Thing that OEMs focus on. It's more on value and how are we able to support them with the various projects that they have. And it's about the people that you have and how you are able to deliver value to them, right? So, that's the more focus, not so much on AI and GenAI at this point. But as I said, 6 months, 9 months, 12 months later, it's very difficult to predict what sort

of demands will come in.

Amit Chandra: Okay. And so, on the margins part, obviously, we have not been adding headcount and we have enough capacity. So, till what growth rate or till what kind of growth you think that the existing capacity is sufficient or we need to add capacity maybe in the next one or two quarters?

Manoj Raghavan : Yes, we are at 73% utilization. So, I think we can go all the way up to 80% or slightly more than 80%, right? It's

not that we're not adding people. We're adding people wherever we need

them. But we're not aggressively adding headcount, right? We are really metering the headcount additions and so on. Only when there is a real requirement do we go out and hire, right? So, yes , I think we can, once the utilization touches 80% or 82%, that is when I think we

will be looking at adding more in larger numbers, right?

Amit Chandra: Okay. Okay, sir. Thank you and all the best.

Moderator : Thank you. The next question comes from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant : Hi. Thank you for taking my question. My question is around the fact that last quarter for FY '27, we were aspiring for a double -digit growth for the business overall for FY '27 and led by transportation and healthcare verticals. Now, this quarter, healthcare has been a bit of a disappointment. And last quarter, if I remember correctly, we were expecting growth in transportation in Q4. We've come out at flattish. So, just comparing your expectations for FY '27, how was it last quarter? And what would be the aspiration as we start FY '27?

Manoj Raghavan : Yes, I think a lot of things have happened in the quarter, right? Geopolitical situation has changed. Customer spend when we started, when we last quarter, when we talked about it, we had high hopes that, of course, transportation would continue the growth momentum as well as, Healthcare and Life Sciences will be able to get back to growth. And I've explained the reasons why Healthcare and Life Sciences . I think automotive, we have governed the circumstances, governed the challenges and so on.

I think we have done reasonably well to exit, flat or, small growth, right? So, today, I mean, sitting today, looking at what is happening around the world and the conversations we are having with customers and so on. I think for us overall, we might be looking at a single digit,

higher single digit growth for the financial year. We may not look at a double -digit growth.

Ankur Pant: And that, and the verticals that would lead it would again be transportation now?

Tata Elxsi Limited

April 21, 2026

Page 14 of 17

Manoj Raghavan: Transportation, yes. I mean, we ideally would want all the three businesses to grow, right?

We've had a very difficult, I would say, 12 months where multiple businesses went into a downswing at different quarters and so on. But from now on, we are really hoping that all the three businesses will start showing growth.

Ankur Pant: Yes. And the other question is now, given the tough geopolitical issues that we have had in this quarter, did we see clients now pushing back on the signing of deals or decision -making cycles getting slightly elongated, which may again mean that the recovery that we were expecting may also get pushed back by a quarter or two? Are you seeing signs of that as well in this quarter?

Manoj Raghavan: We are seeing both sides, right? We have also announced deals that we have won in the quarter. We also know that there are cases where the deals have been pushed off. So, there is no one answer to your question, right? It is, both are happening.

Ankur Pant: Sure, but the expectation of recovery that you had, is that still, I mean, are you still hopeful of the same trajectory or does that get pushed off a little bit, seeing what is happening around?

Manoj Raghavan: Which is where we -- when we look, when we started -- when we came in the last quarter, we were hoping for a double -digit growth aspirations for the quarter. But looking at the situation today, maybe, I would be a little more conservative and say maybe a higher single digit is what we should look at.

This could change in the next three to six months, right, when we look at the deal momentum and so on. Sitting today, the visibility that we have, conversations that we are having and the deals we have closed and the deals that we are purs

uing, this is what we feel.

Moderator: Our next question comes from the line of Mayur Matani from Mahesh Kumar & Company.

Mayur Matani: My question is regarding, pertaining to the fixed- price contracts that we have. So, over a period of time, we have seen that our fixed -price contracts have now increased quite a lot. And I believe that fixed -price contracts have a better margin trajectory. So, with regards to signing more OEM deals, how do you see that trajectory going forward on a sustainable basis? Is there a further scope to increase the fixed -price contracts?

Manoj Raghavan: No. So, yes, some of the deals, large deals that we have closed are on fixed -price contracts.

The challenge is that if you do not execute on those fixed-price contracts correctly, then it could also lead to revenue leakages and profitability dip. So, it is not advisable that we continue to shift more and more of our business to fixed price.

So, I think that is a careful decision that we need to take because the entire processes in the organization, the SMEs that we have -- the architects that we have. Any deal that we pick, we also need to be able to execute it, deliver on time with the margins. Only then we can show the margins.

Tata Elxsi Limited

April 21, 2026

Page 15 of 17

So, it is in some sense a double-edged sword. So, we will be a little careful in terms of how this goes. It is not our objective suddenly to move to a 70% or an 80% fixed price. That will be putting too much of risk on us.

Mayur Matani: With regards to your transportation verticals, we have been talking that whenever there is a slowdown that structurally you see that some of the orders or some of the projects, new projects might get offshored. So, are you seeing that traction or there is indecisiveness from the customer's side currently?

Manoj Raghavan: No, we are seeing a lot of that. Especially when there is a need in the customer space that they have to continue their engineering activities and there's a slowdown. The only option for such customers is to see, hey, can they do more with less? With less of a budget, can they do more?

And that is where best-cost countries like us and companies like us come into play.

So yes, I think we continue to see such customers who are looking at which is the right organization that can deliver outcomes without too much of oversight. Because if you are doing offshore, it means a lot of the work the OEM has to hand over.

And they should have the confidence that Tata Elxsi is a company that can take up this complex work and deliver outcome remotely. And that is the track record that we have. And that is why customers trust us with a lot more offshore delivery.

Mayur Matani: We have been speaking about it quite a lot. But over the past one or two years, I think that has not reflected in the overall revenues. So when do you think that change might happen? Or is it due to the fact that the profitability of the legacy players are impacted? That is why we are not getting that kind of business?

Manoj Raghavan: So if you look at it, the industry went through massive -- what do you say, situation over the last I would say 12 to 18 months. So it is not as if such deals have not happened. Such deals are happening. Some of them are ramping up as per plan. Some of those ramp-ups are still slow. So it's a work in progress. So we are seeing the shift happening.

Mayur Matani: Okay. And last question with regards to the -- yes, sorry, please continue.

Nitin Pai: If I may just add, I'm just adding a little perspective. I think you have to remember all our revenues and growth or lack of it is organic. A lot of the growth that we have seen across many of the peers that we see in the industry has been actually coming from inorganic. Real organic growth has been lacking. If you ask me, not very different. I think what is different for us is the fact that you

will see that consistent offshore track delivery.

Nobody else carries that kind of an offshoring capability. Two is you are seeing that gradual but consistent shift to fixed price. Rightly, like Manoj said, the intent is not to simply improve margins; it is to make sure that we can continue to deliver greater and greater value. But the most important point I think everybody has to remember is ER&D is not very large deals locked in for five years and so on.

Tata Elxsi Limited

April 21, 2026

Page 16 of 17

It is a set of projects that continue to run off. So every quarter, you will lose 10% to 15% revenues; you have to make it up with new contracts. So that is the challenge. It is not the proposition or the value that we carry; it is the ability for you to continuously refill that funnel, right?

Mayur Matani: Right. Okay, thanks a lot. And last question is with regards to the media vertical. So we have been telling that media is still not out of the woods. So do you think that in the media vertical, if we are able to manage the revenues over a three-to-five-year horizon, do you see that trajectory changing? Or what circumstances may bring the revenue in the media and telecom vertical back?

Nitin Pai: Yes, so if I may, again, I think two, three things. One is that we have seen a plus, minus, plus,

minus. So there are some quarters of growth, there are some quarters of degrowth. So the media and telecom vertical for us has been very volatile. And overall, it has not delivered growth. And that is fundamentally reflecting the state of industry, which is whether it is the telecom operators or whether it is the large media streaming companies and content studios . They have all been under tremendous pressure for top-line growth. And therefore, a lot of the focus has been bottom line. And bottom line means then it's more of an efficiency and cost takeout game rather than an innovation game. So to that extent, I think what we have really done very, very well if you ask me over the last six quarters is the building of confidence both in ourselves as in customers that we can execute. We can win, and execute very, very well on large consolidation deals. So remember that we have typically not played that game too much. We've always been about do the new and less about consolidate. We will take over what you are doing, we'll make sure t hat efficiencies are delivered.

So it has been always less of that, more of do the new. I think that muscle that we have built, whether it is in automotive, whether it is in media and communications . I think is the biggest single factor that you are able to go there and win \$ 100 million deals that you are able to go there and win \$50 million deals.

I think that creates that muscle and discipline to say, look, can we build a foundation of revenues that even if there is some volatility, you can stay protected? And hopefully, there is growth in certain quarters, there is growth in certain areas. But the real big answer will be that innovation has to come back to the industry for true big upticks. And you will s ee moderate growth in our view.

Manoj Raghavan: And also, the industry is also going through a lot of mergers and acquisitions. M&A is happening. So that is also sort of what happens when two media companies come together -- there is duplication of engineering.

So there is a lot of resources available and there is no need to really depend on an external supplier to come in and support them and so on. So those things are also happening.

Mayur Matani: Right. Thanks, thanks a lot. And one last question, if I may. We were looking at some new verticals, so i f you can share something on it?

Tata Elxsi Limited
April 21, 202 6

Page 17 of 17

Manoj Raghavan : So I think we were focusing on, for example, the aerospace and defense is one vertical that we are looking at. And we have some very exciting thin

gs happening there. But it is very difficult to -- I mean, unless these result in some large revenues and so on, it is very difficult to practically tell you what is happening.

We are doing some very, very good work with the defense organizations in India, with HAL, with the Aeronautical Development Agency, some large deals that we are bidding for. We are also working with some global players there. So I think till we reach a size, I think we will continue to invest there.

We continue to build capabilities and also win those initial projects and trial projects and so on; we will keep you updated there. We have also started focusing on the battery energy storage. That is a big opportunity because of all the data centers that are being built, especially because of AI and GenAI, a lot of power is needed, right? And for that, battery energy storage is in huge demand i n the market.

And that is something that we have picked up and that is something that we would -- and of course, even for EV , you know, powering up EV in remote locations and so on, you need that battery energy storage. So that is something we have incubated, and I think the coming financial year, we hope that that will be a reasonably sized vertical for us.

So we will make those announcements at the appropriate time. We've also started focusing a little bit on the manufacturing side. We've built certain capabilities, we've won some initial customers. That is another area we continue to invest. Again, so all those three areas we continue to build that muscle, build that strength, do those initial projects, build those capabilities. And we are hoping that look, next four to six quarters at least one or two of these will start showing results.

Mayur Matani: Sure. Thanks. Thanks a lot.

Nitin Pai: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you. Thank you to all the investors for the call today. I think we are still optimistic that FY'27 will be a growth year for us. And as I said, the growth has to be led uniformly across the three verticals. And that would be the focus for us as we enter into the new financial year.

Thank you so much for your time today.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for

joining us. And you may now disconnect your lines.

Call: Apr 2026

April 24, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Plot No. C -1, Block G
Dalal Street
Mumbai – 400 001
Scrip Code: 500408 Bandra – Kurla Complex Bandra (East)
Mumbai – 400 051
Scrip Symbol : TATAELXSI

Dear Sir s/Madam,

Sub: Transcripts of the Investors' Conference Call for the quarter and year ended March 31, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed the transcript of the Investors' Conference Call for the quarter and year ended March 31, 2026, held on April 21, 2026.

The transcript of the earnings conference call will also be made available on the Company's website at www.tataelxsi.com.

This is for your information and records.

Thanking you,

Yours faithfully,
For Tata Elxsi Limited

Sneha V
Company Secretary & Compliance Officer
Encl: As above

"Tata Elxsi Limited
Q4 FY '26 Earnings Conference Call "
April 21, 2026

MANAGEMENT : MR. MANOJ RAGHAVAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA ELXSI LIMITED
MR. NITIN PAI – CHIEF MARKETING AND CHIEF
STRATEGY OFFICER – TATA ELXSI LIMITED
MR. GAURAV BAJAJ – CHIEF FINANCIAL OFFICER –
TATA ELXSI LIMITED
MS. NEHA V. – COMPANY SECRETARY – TATA ELXSI
LIMITED

MODERATOR : MR. SHASHANK GANESH – ERNST & YOUNG

Tata Elxsi Limited
April 21, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY '26 Earnings Conference Call of

Tata Elxsi Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shashank Ganesh from EY. Thank you and over to you, sir.

Shashank Ganesh: Thank you very much. Good evening to all the participants on the call. Good morning if you're logging in from the western side. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. Therefore, it must be viewed in conjunction with business risk that could cause actual result performance or achievements that differ from what is expressed or implied by such statements. To take us through the results and answer your questions today, we have the Senior Management of Tata Elxsi represented by Mr. Manoj Raghavan, Managing Director and CEO, Mr. Nitin Pai, Chief Marketing and Chief Strategy Officer, Mr. Gaurav Bajaj, Chief Financial Officer and Ms. Neha V. , Company Secretary. We will start the call with a brief overview of the past quarter by Mr. Raghavan , followed by a Q&A session. We would appreciate your cooperation in restricting yourselves to two questions to allow participants an opportunity to interact. If you have any further questions, you may join the queue and we will be happy to respond to them if time permits. With that, I would like to hand over the call to Mr. Manoj Raghavan. Over to you, Manoj.

Manoj Raghavan: Thank you, Shashank. Very good evening to everybody who has joined us today. Welcome to the Q4 - '26 investor call. I hope that you and everybody in your family is safe and healthy. I am pleased to announce that we have delivered a healthy revenue of INR993.8 crores for the quarter, growing 0.9% quarter -on-quarter in constant currency terms. In our transportation business, our revenues in Q4 FY '26 grew by 0.2% quarter -on-quarter in constant currency terms. We are delighted with two strategic wins, one in the APAC region from a new -age OEM and another

from a next -generation mobility services company in the US, paving the path for business growth in coming quarters. Our investment and efforts to pivot towards OEM business is delivering continued success, underscoring our strength in focused execution of chosen strategies. OEM customers now represent 77% of the revenue in this vertical. Our Healthcare and Life Sciences vertical grew by 13.1% quarter -on-quarter in constant currency terms, impacted by delays in deal awards that we were expecting and prepared for in the quarter.

Tata Elxsi Limited
April 21, 2026

Page 3 of 17

However, during the quarter, we opened an offshore development center for the Japanese MedTech leader Terumo Corporation. This center brings together the power of design, engineering and digital to innovate their cardiac and vascular solutions. I am happy to report that our Media and Communication business posted a 5.6% quarter -on-quarter revenue growth in constant currency terms. This growth was led by continued deal ramp -ups, a strategic deal for AdTech and a Tier 1 US Telco. In the quarter, we also won a multi-year large deal from a world -leading device OEM for its portfolio of video and broadband products.

For the quarter, our EBITDA margin stood at 24.6%, improving by 130 basis points sequentially. This reflects a continued focus on operational excellence and margin improvement. In FY '26, we significantly advanced our adoption of GenAI. This was supported by partnerships with AI companies, launch of our own automotive SDLC platform DevStudio.ai earlier in this quarter, curated tool stacks and agent inventory, investments in infrastructure, sandbox environments with IP protection and data privacy, and rigorous upskilling.

With these coordinated efforts, we are progressing steadily towards being an AI -native engineering organization, strengthening our differentiation and innovation quotient. I am pleased with our sustained and strong operational performance through segment -leading offshore delivery, continued transition to fixed- bid project ownerships, and the systematic and enterprise-wide adoption of AI -enabled efficiencies.

These levers strengthened execution discipline and productivity, driving consistent margin improvements throughout the year. As we enter the next financial year, we remain focused on scaling our differentiated design -led and AI -enabled offerings, strengthening operational leverage, and driving sustainable growth and healthy margins. Thank you and over to Shashank for the Q&A session.

Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Sajal Kapoor from Anti fragile Thinking. Please go ahead.

Sajal Kapoor: Yes, hi. Thanks for taking my questions. Sir, of the deals you have won recently, how much of the value is coming from existing customers expanding their engagements or wallet share versus entirely new logos, and how has this mix evolved over the last two or three years?

That's my first question. Thank you.

Manoj Raghavan: Yes, I think if you look at it in any quarter, the new customers would contribute maybe 2% to 2.5% of the revenue. So a large portion of the revenues come from existing customers and the deals that we win with them. However, we also see a good new set of customers that are coming in. For example, this quarter we have announced a deal with Terumo, that's a new customer that set up an ODC with us in the Healthcare and Life Sciences space. Similarly, the deal that we announced in the automotive segment with the APAC customer, that is also a new customer for us. The deal that we announced in the Media and Communication space, the

Tata Elxsi Limited
April 21, 2026

Page 4 of 17

multi-year deal, that's an existing customer of ours. So it's always a mix of existing as well as new customers.

Sajal Kapoor: Sure. And just to follow

up, I mean, is there a pattern where the new logos typically take X number of years to scale up or is there no such pattern? I mean, it depends from customer to customer?

Manoj Raghavan: It depends on business to business, I would say. Usually, even if you win a deal, for it to make a significant impact, it takes anywhere between 9 months to 12 months for ramp-ups to actually happen and start delivering.

Sajal Kapoor: Sure, that's helpful. And my second and last question is, you have highlighted AI-led productivity and a shift towards fixed-bid and platform-based delivery. Are these changes starting to alter pricing power and contract structures, or are they mainly improving internal efficiency so far?

Manoj Raghavan: It's both. Definitely, we are using a lot of that for internal efficiencies. However, there are customers that are demanding better efficiencies, productivity and so on, which automatically leads to, if you're able to deliver that performance and productivity, then a better pricing power. So it's a combination of both.

Sajal Kapoor: Okay. Thank you. I'll rejoin the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead.

Rishi Mody: Yes, hi. So my first question is pertaining to the quarterly result. So healthcare, we've declined 13% Q-o-Q on constant currency in our revenue. Last quarter, you called out that probably Q3 was the bottom. Just wanted to get your view that do we see Q4 as now the bottom or is there something which has changed over the past three months for us there?

Manoj Raghavan: Yes, I think we were very optimistic that the healthcare business has reached the bottom and we will turn around. We were pretty confident because there were a few deals that we were bidding for, and we were pretty confident that we will be able to close those deals.

Unfortunately for us, those deals have not closed, and that resulted in this situation that we've had. But, however, we still continue to carry those items in our high-probability funnel.

And in fact, a few of them actually we have closed in a couple of weeks in the new quarter, right? So I think I'm pretty hopeful that last quarter, Q4, was the bottom and we will be able to recover this. If we had closed those deals earlier in the quarter, then we would have had a fantastic exit to Q4 with all the three businesses really firing and so on. That is what we were all aiming for. But hopefully, it is just shifted by a quarter and we should be able to recover that position in Q1.

Rishi Mody: Got it. So say Q1 plus Q4 combined should have positive growth over Q2 and Q3 if that's how I have to look at it. Second, on the USA business, the media and communications industry, the

Tata Elxsi Limited
April 21, 2026

Page 5 of 17

consolidation seems to have happened. Are we now going to go back on the higher growth trajectory here, or is there something which needs to be recalibrated in USA and the media and communication both, sorry?

Manoj Raghavan: No, so the media and communication business has smartly grown, especially for us in the US. But overall, the US business has declined a little bit. That is primarily because of the healthcare piece, because healthcare for us is largely US-focused.

Rishi Mody: Okay, got it. Finally, more on a structural question. You'd mentioned in the past that now incrementally we are

doing fixed contracts, which may or may not be a trend that we are following, but also we are doing longer -tenure contracts, which are not as profitable in year 1

as, say, the earlier shorter -term contracts that we were doing.

But if you were to take, say, a two -year, three-year profitability combined, do we even out on our margins, or we'll take the hit on the margins, but we'll get higher absolute amounts? Is that the approach, or we have levers to get margins ramped up in year 2, year 3?

Manoj Raghavan: Yes, so obviously, when we look at a three -year or a five -year deal, right, the initial one year would have a lot of costs involved. There could be sometimes rebadging costs, there could be acquisition costs and all of that. But, however, when you look at a three -year or five -year, we definitely would be looking at seeing how we can improve our margins sequentially, quarter -on-quarter and year -on-year. That is the focus for us. So definitely, we would want to bring back, and especially now with using AI, GenAI and so on, we have many, many ways of really bringing out the margins in a positive way. So I think that's what we're focusing on.

Rishi Mody: All right. Finally, just a bookkeeping one, if I could get the utilization rate for the quarter?

Gaurav Bajaj: It is about 73%.

Rishi Mody: 73%. Got it. Thank you. That's it from my end.

Gaurav Bajaj: Thank you.

Moderator: Thank you. Our next question comes from the line of Moez Chandani from Ambit Capital.

Please go ahead.

Moez Chandani : Hi, good evening and thank you for taking my question. My first question was on the broader transportation segment. So last year's been turbulent for the entire segment, but looking at Q4, I think things were flattish. What's your outlook for the transportation segment going into FY27 ? And for the overall business, is the aspiration still double -digit growth for the financial year?

Manoj Raghavan: Yes, I think the good part for us is while, as you rightly said, the overall market outlook was sort of mixed throughout the last financial year, but we were still able to win some large deals and so on. In fact, even in Q4, we won some fantastic good opportunities for us, multimillion-dollar deals. So what we are confident is that , look, some of the new deals that we have won,

Tata Elxsi Limited

April 21, 2026

Page 6 of 17

we will be able to scale in the next 6 to 12 months ' time period. So that is what will help us really deliver growth in the automotive space.

Of course, on top of it, as we have been updating all the investors that we have been gradually moving to more and more of our business from the OEM side. I think today we are looking at about 77% of our revenues, 77% of the automotive revenues coming from OEM. So I think that pitch is also -- shift to OEM business is also helping us.

So I would say I'm still pretty optimistic about the overall automotive market. But , however, given the current geopolitical and all the war and all that, while we have the deals in hand and we will definitely look at ramping up and so on, there could be some amount of uncertainty.

We are still talking to customers on that. Having said that, I think maybe we would look at a high-single digit exit, may not get into a double -digit for automotive.

Moez Chandani: Understood. And the second question is on margins. Again, margins saw a very sharp improvement this quarter. What seems to be driving that , especially I think since utilization is still at about 73%, like you said ? And then in terms of sustainability for this margin improvement going forward, what would your comments be?

Gaurav Bajaj: Hi, this is Gaurav. Let me answer that question. I think we have been talking about the margin for the past few quarters and I think we have been mentioning that we are making constant effort to go back to our original margin band, which is about 27% to 28%. So I think the work has been happening towards that in terms of the operating model, operating efficiencies, and the leverage. It's not only about the utilization.

Of course, utilization was below 70% at one point of time. Now we are almost inching towards mid-70. So every 1% increase in utilization also helps at least 25 to 30 basis points on the margins. So that is helping, one.

Second, I think some of the fixed-price contracts, that increase that has happened, that is also comes sometimes with a better

margins because you are able to have a better optimized and rationalized pyramid on those deals if you are able to deliver and execute on those contracts, the way you have contracted for.

I think third is that pyramid in terms of managing the pyramid and the further hiring. So that is well calibrated in terms of the future requirements, supply -demand state. So that is giving me almost 65 basis points kind of improvement on a quarter -on-quarter basis. And yes, I think

there has been some currency tailwind, which is also helping margins for the current quarter. So if I have to put in terms of the margin walk, probably 150-155 basis points is coming from the currency movements against most of the cross-currencies has improved compared to the INR. 65 basis points would have come from the operating efficiencies across different levers that is into play.

And also, we have done the salary increase for the rest of the staff for in the organization effective 1st January. So that would be 90 basis points kind of impact on the quarter. So that

Tata Elxsi Limited

April 21, 2026

Page 7 of 17

sums up to almost 130 basis points improvement in the operating margin on a quarter-on-quarter basis.

Moez Chandani : Understood. And just one last question, if I can squeeze in. So media one of the concerns that were there last year in terms of consolidation, and again that a lot of deals were getting cut. So do you think that phase is behind us now? Or do you think looking at the very strong growth we've had in media, or do you think that the segment is still challenged from a growth perspective for the next few quarters?

Manoj Raghavan: I think, in general, I would say, we are still challenged, the entire media and telecom industry is challenged. But however what has happened for us over the last quarter and the financial year is we had won some large deals that, especially from some of the large customers, those ramp-ups have really started happening. And we've seen those ramp-ups happening in Q3 and Q4 as well.

On top of it, we won a large deal in Q4, which we would be literally taking over the engineering for one of our customers, all their legacy products, and so on. And that's a pretty significant deal for us. And that single deal actually also bumped up our overall growth in this segment.

Having said that, deals are still consolidation deals and cost-takeout deals that are there on the table. And we are still participating in those deals selectively. So overall, yes, I think we're still not out of the woods in this particular industry segment. However, because we have won a few good deals for us, we are able to show this growth.

Moez Chandani : Understood. Thank you so much for taking my questions.

Moderator: Thank you. Your next question comes from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Hi, thank you. So just wanted to understand on GenAI, how are the client conversations evolving? Are you seeing clients asking for productivity pass-throughs or pricing discounts if they want you to implement more of GenAI into the projects? Or is it still at a very nascent stage where it's not part of the conversation in a big way so far? And different for the three different industries you cater to?

Manoj Raghavan: Yes, so I think from a Generative AI perspective, I think we are seeing a lot of conversations happening in the media and telecom space, not so much in automotive and healthcare. Yes, there are conversations happening and so on. Those are more in terms of, for example, in the automotive space, there's a lot of interest from OEMs and customers in terms of how do you manage for example, cybersecurity and confidentiality requirements and so on and so forth, right?

So that's why we have built our own DevStudio.ai toolchain to address some of the concerns that customers keep asking us, right? So I think

ink in both in automotive and healthcare, there are

Tata Elxsi Limited

April 21, 2026

Page 8 of 17

those initial conversations happening. There is an interest to see how we can use some of these technologies for better efficiencies and so on.

Not so much conversations around cost and cost-takeout and so on at this point in time. But media and telecom, we see a lot more customers asking if can we use GenAI to overall what do you say, help in efficiencies at the same time also manage with their budget situation.

Bhavik Mehta: And any sense on what could drive this different customer behavior between, let's say, automotive and media? Is it because media is under more pressure right now and hence the clients are more desperate for cost efficiency versus the other two sectors?

Manoj Raghavan: Yes, I think automotive in some sense, it's still very regulated and automotive software development follows certain processes. And using a generic AI tool will not, it'll be very difficult for automotive companies to pass various regulatory requirements and so on, right?

And that is why you need to build custom tools for automotive. Healthcare is also the same, right? It's more a very regulated industry.

Whereas media and telecom that sort of very, very strong regulatory requirement is not there in terms of , that if you if you do something, it's not going to cause an accident or kill somebody and so on.

Nitin Pai: Yes, and maybe I can just add to that. I think in general, the telecom industry, especially telcos, are actually at the forefront of deploying data centers, building the infrastructure and the connectivity that you need to deliver AI and GenAI. So to that extent, in many ways, I would say they are ahead of the curve, at least between industries.

Nitin Pai: In terms of being ready, in terms of being comfortable and already having sorted out some of the key questions around how do you deliver.

Bhavik Mehta: Got it. And just lastly, Gaurav, how should we think about the trajectory of margins from here on? Because it's been increasing since the last three quarters, which is good to see. Should we continue to expect similar kind of expansion even next year or do you think it could slow down a bit, given that most of the levers have been utilized in FY '26?

Gaurav Bajaj: So Bhavik, I think we will have a sustained effort in terms of improvising our margins from here. Probably it will not have a huge uptick on a quarter -on-quarter basis. Probably it would be more gradual increase or the improvement that will happen on a quarter -on-quarter basis. And also, it needs to be tightly aligned with the top-line growth.

So focus would be on the top-line as well as the bottom -line. But you know, some of the margin will come back as we see some of the growth coming back and most of our verticals start to deliver on the top- line. Having said that, of course, there could be a quarter where the margin can have a left or right shift depending upon some of the one -timers and other events. For example, if whenever in the quarter we have to do salary hikes, there could be an impact in those quarters for the margins. But overall, if we have to see in the mid to long- term, probably

Tata Elxsi Limited
April 21, 2026

Page 9 of 17

I think the idea is that if we can exit the next financial year somewhere near to 27% kind of a margin , not for the full year, but maybe for the exit of this financial year Q4.

Bhavik Mehta: And just a clarification, is 27% at the EBITDA level or the PBT level?

Gaurav Bajaj: I mean at the PBT level.

Bhavik Mehta: Okay, got it. Thank you.

Moderator: Thank you. The next question comes from the line of Abhishek Shindadkar from InCred Equities. Please go ahead.

Abhishek Shindadkar: Hi, sir. Thanks for the opportunity and congrats on a good quarter. Sorry, this could be a repeat, I joined a little late. But just

wanted to understand the Healthcare & Life Sciences

traction. The anticipation was that the deals won earlier could help traction in terms of growth for the current quarter. Was the -- did Healthcare perform as anticipated at the start of the quarter, or was there any mid -quarter or late-quarter challenges in terms of delay in decision - makings, so on and so forth?

Manoj Raghavan: Yes, I think I discussed that earlier in a question that came up earlier. Yes , we were hoping on a couple of deals because we were very close to signing those deals, and those were large deals that could have really helped us with improving the numbers. Unfortunately, both those deals did not come through in the quarter, and they have been pushed to Q1.

So I think it is more a shift of some deals. At the same time, there have been a few projects that have also closed. So a combination of that has created this situation for us. But I think I'm very confident and hopeful that we will be able to recover in Q1.

Abhishek Shindadkar: Understood. Sir, just a clarification . So this planned out or this happen ed more in March or was it a phenomenon starting January itself? Just trying to understand the behavior of the clients in this context?

Manoj Raghavan: In fact, these deals started in October itself. It was more, we were hoping that it will definitely close, but it took 6 months. And that was the delay. We were not expecting that it would take so much of time to close these deals.

Abhishek Shindadkar: Understood, sir. That's very helpful. And the second question, again, maybe a repetition, I just wanted to get clarification. So when there was a question about margins, our answer suggested that we are okay to let go margins in the interim to win larger deals. Is the understanding right? Because what I'm trying to understand is, we are also talking of a 27% PBT number for next year. And at the same time, we also made a comment about leaving margins on the table for growth. So I'm just trying to put a context to both these commentaries.

Manoj Raghavan: No, the 27% we talked about was the exit margin in Q4 this financial year. It's not the margin for the year, okay? So that is very clearly, and that is where we were aiming for , right? I think

Tata Elxsi Limited

today, we are upwards of 25.6 in Q4 last financial year, we want to take it to 27 in Q4 FY '27, right? So that's the indication that Gaurav talked about.

I don't think we made a statement that we are leaving money on the table or we want to -- it's not a generic strategy that look, from now on, we will drop rates and go out. Yes, there could be certain specific deals which are from existing customers, which are large deals, and we feel that we would not want to let competition in or we want to vacate that space.

Sure, for those cases, we'll definitely look at seeing how we can be competitive. But as a generic strategy, we still definitely want to improve our margins and we have not given any guideline to our sales team or to our finance team that we can drop our margins.

Abhishek Shindadkar: Super helpful, sir.

Nitin Pai: Yes, if I may just add a line. Also note that even in those deals, there is a path to improving margins. It's not that you would win it and it would stay where it is, right? The understanding is there are some deals, they constitute a small percentage of your incremental revenues every quarter.

Some of those deals may need that investment period ranging from a quarter to more, but the expectation is over the longer-term, especially because you're going for longer-term

foundational revenue baselines, you would start to recover some of that margin back and hopefully you would improve well beyond too.

Abhishek Shindadkar: Perfectly understood, Nitin sir. Thank you for taking my questions and best wishes for the next year.

Nitin Pai: Thank you so much, Abhis

hek.

Moderator: Thank you. Your next question comes from the line of Prateek, an Individual Investor. Please go ahead.

Prateek: Yes. Can you please share the margin breakdown for this quarter once again in terms of what led to the 130 bps Q-o-Q increase?

Gaurav Bajaj: Sure, Prateek. I think I mentioned earlier also. But quickly, just to summarize, what we are saying is 155 basis points from the currency, 65 basis points from the operating leverage, and then we have a 90 basis points impact due to the salary hikes that have been done during the quarter. So that adds up to 130 basis points.

Prateek: Understood. That's it from my side. Thank you.

Moderator: Thank you. Your next follow-up question comes from the line of Rishi Mody from RDM Advisory LLP. Please go ahead. Rishi sir, your line is unmuted. Please proceed with your question.

Rishi Mody: Hi, can you hear me?

Tata Elxsi Limited
April 21, 2026

Moderator: Yes, sir. We can hear you now.

Rishi Mody: Yes, hi. So, Manoj, one fundamental question on how the market is behaving. How is competition behaving in terms of pricing aggressiveness, especially with AI benefits being priced into, say, contracts? Are you seeing rationality or irrationality in the market currently and how are we tackling this?

Manoj Raghavan: No, I don't think we have seen irrationality in general, right? Because see, ER&D is still a very, very specialized -- it is not that we can use AI or GenAI across the board, right? So

having said that, yes, we have seen a few contracts where there has been competition that has priced very, very aggressively, and we are also a little bit surprised.

We don't know whether it is because that they have used GenAI or they have assumed that GenAI will lead to certain productivity. See, GenAI, I don't think we can use GenAI as -- you can cut and paste in all situations, right? That is a very wrong way of looking at GenAI. And there are -- I know that there are a few competition who are pretty aggressive in using some of this.

But even customers are very, very careful before they accept a complete GenAI-based solution and so on, right? So largely, I would say, we are not seeing irrationality that you indicated.

There are a few cases here and there, but we are not sure whether it is GenAI or some other factor that are playing.

Rishi Mody: Got it. And are we being conservative, moderate, or aggressive in pricing and in efficiencies from AI in our bids?

Manoj Raghavan: No, so we are definitely looking at AI, and we have in all the projects that we are bidding for, there is a component of it which we attribute to AI and we track it. And we want to see how we can use that to really improve

our efficiency, productivity, and ultimately, margins, right?

So those are things that we are definitely tracking internally. So I wouldn't say that we are aggressively going overboard. At the same time, we are not conservative at all.

Nitin Pai: Yes, so Rishi, if I may, I think much more than cost, I think we are double-clicking on value. I think what GenAI does, coupled with domain expertise, is that I think it allows you to move up the time to market and quality factors as much as cost. And I think in the ER&D space, that is invaluable. At times, it's much more valuable than simply cost, because engineering cost is a fraction of your overall product and product development cost. So, I think the opportunity is actually in enhancing value rather than reducing cost.

Rishi Mody: Understood. So bigger contracts should, or at least execution speed for existing contracts is more likely to be the outcome for us rather than, say, cost efficiencies, which might be for other traditional IT services. Is that understanding, correct?

Nitin Pai: Yes, although I don't want to generalize that again. But all I'm saying is that the simple factor of only cost is not the only consideration.

n.

Tata Elxsi Limited

April 21, 2026

Page 12 of 17

Rishi Mody: Got it. Thank you. This is helpful. That's it from my end. We can move on to the next one.

Nitin Pai: Thanks Rishi.

Moderator: Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Hi, thanks for the opportunity. My question is on the transportation vertical. Obviously, we have seen a good recovery there. And now it's stabilized also. And you mentioned in the PPT that 77% is from the OEMs. So, if you can share some more light in terms of how the Tier 1 portfolio has been doing and how most of the recovery is from the OEM portfolio, and how the Tier 1 portfolio has stabilized.

And also, in terms of the overall spending or the recovery that we have seen from transportation, is it only from the top client recovery and the ramp-up of deals that we have won, or is it higher spending across the OEMs, both in the US and the European geography?

So how is the mix, and what is the confidence that we move to a double-digit growth there in the transportation vertical?

Manoj Raghavan: Yes, so definitely recovery is broad-based, I would say. It's not just as you said; OEMs contribute more than 77% today. And these OEMs are primarily, of course, spread across, right? It's not just US and Europe that we are talking of. We are also talking about India; we are talking about Japan.

And we are also talking to some Chinese OEMs and so on, still early days. But I think those are the -- so essentially, for us, it's a global market and we are not really constrained to only one geography. Tier 1 portfolio, I would say, continues to shrink. Tier 1s, I mean, if you look at it, are having a tough time given that OEMs are taking more and more responsibilities and so on. However, we are deeply entrenched with a few Tier 1s and that business definitely continues. Yes, so deal sizes also with Tier 1s are smaller and so on, right? So, for us, growth will continue to come from the OEMs.

Amit Chandra: Okay. And as you mentioned from the AI side that the adoption of AI, especially in transportation OEMs, is less versus the other verticals, but are we also seeing -- in terms of the impact of renewals when the contracts come for renewals -- AI-led deflationary impact or higher discounts that the OEM clients are asking in terms of the AI benefits? Or obviously in terms of the higher spend related to AI, it's not seen, but are we seeing the impact on the cost side or in terms of higher discounts in terms of renewals?

Manoj Raghavan: I think it's very, very early days, right? So, it's not as if we have contract renewals coming every now and then and so on. At least those contracts that have come up for renewals, we have not seen the impact of AI.

Tata Elxsi Limited

April 21, 2026

Page 13 of 17

But having said that, I think it's very difficult to predict 6 months to 12 months down the line what will be the change in the buying behavior of OEMs. Today, I think AI or GenAI is not the most important thing that OEMs focus on.

Thing that OEMs focus on. It's more on value and how are we able to support them with the various projects that they have. And it's about the people that you have and how you are able to deliver value to them, right? So, that's the more focus, not so much on AI and GenAI at this point. But as I said, 6 months, 9 months, 12 months later, it's very difficult to predict what sort

of demands will come in.

Amit Chandra: Okay. And so, on the margins part, obviously, we have not been adding headcount and we have enough capacity. So, till what growth rate or till what kind of growth you think that the existing capacity is sufficient or we need to add capacity maybe in the next one or two quarters?

Manoj Raghavan : Yes, we are at 73% utilization. So, I think we can go all the way up to 80% or slightly more than 80%, right? It's

not that we're not adding people. We're adding people wherever we need

them. But we're not aggressively adding headcount, right? We are really metering the headcount additions and so on. Only when there is a real requirement do we go out and hire, right? So, yes , I think we can, once the utilization touches 80% or 82%, that is when I think we

will be looking at adding more in larger numbers, right?

Amit Chandra: Okay. Okay, sir. Thank you and all the best.

Moderator : Thank you. The next question comes from the line of Ankur Pant from IIFL. Please go ahead.

Ankur Pant : Hi. Thank you for taking my question. My question is around the fact that last quarter for FY '27, we were aspiring for a double -digit growth for the business overall for FY '27 and led by transportation and healthcare verticals. Now, this quarter, healthcare has been a bit of a disappointment. And last quarter, if I remember correctly, we were expecting growth in transportation in Q4. We've come out at flattish. So, just comparing your expectations for FY '27, how was it last quarter? And what would be the aspiration as we start FY '27?

Manoj Raghavan : Yes, I think a lot of things have happened in the quarter, right? Geopolitical situation has changed. Customer spend when we started, when we last quarter, when we talked about it, we had high hopes that, of course, transportation would continue the growth momentum as well as, Healthcare and Life Sciences will be able to get back to growth. And I've explained the reasons why Healthcare and Life Sciences . I think automotive, we have governed the circumstances, governed the challenges and so on.

I think we have done reasonably well to exit, flat or, small growth, right? So, today, I mean, sitting today, looking at what is happening around the world and the conversations we are having with customers and so on. I think for us overall, we might be looking at a single digit, higher single digit growth for the financial year. We may not look at a double -digit growth.

Ankur Pant: And that, and the verticals that would lead it would again be transportation now?

Tata Elxsi Limited

April 21, 2026

Page 14 of 17

Manoj Raghavan: Transportation, yes. I mean, we ideally would want all the three businesses to grow, right?

We've had a very difficult, I would say, 12 months where multiple businesses went into a downswing at different quarters and so on. But from now on, we are really hoping that all the three businesses will start showing growth.

Ankur Pant: Yes. And the other question is now, given the tough geopolitical issues that we have had in this quarter, did we see clients now pushing back on the signing of deals or decision -making cycles getting slightly elongated, which may again mean that the recovery that we were expecting may also get pushed back by a quarter or two? Are you seeing signs of that as well in this quarter?

Manoj Raghavan: We are seeing both sides, right? We have also announced deals that we have won in the quarter. We also know that there are cases where the deals have been pushed off. So, there is no one answer to your question, right? It is, both are happening.

Ankur Pant: Sure, but the expectation of recovery that you had, is that still, I mean, are you still hopeful of the same trajectory or does that get pushed off a little bit, seeing what is happening around?

Manoj Raghavan: Which is where we -- when we look, when we started -- when we came in the last quarter, we were hoping for a double -digit growth aspirations for the quarter. But looking at the situation today, maybe, I would be a little more conservative and say maybe a higher single digit is what we should look at.

This could change in the next three to six months, right, when we look at the deal momentum and so on. Sitting today, the visibility that we have, conversations that we are having and the deals we have closed and the deals that we are purs

uing, this is what we feel.

Moderator: Our next question comes from the line of Mayur Matani from Mahesh Kumar & Company.

Mayur Matani: My question is regarding, pertaining to the fixed- price contracts that we have. So, over a period of time, we have seen that our fixed -price contracts have now increased quite a lot. And I believe that fixed -price contracts have a better margin trajectory. So, with regards to signing more OEM deals, how do you see that trajectory going forward on a sustainable basis? Is there a further scope to increase the fixed -price contracts?

Manoj Raghavan: No. So, yes, some of the deals, large deals that we have closed are on fixed -price contracts.

The challenge is that if you do not execute on those fixed-price contracts correctly, then it could also lead to revenue leakages and profitability dip. So, it is not advisable that we continue to shift more and more of our business to fixed price.

So, I think that is a careful decision that we need to take because the entire processes in the organization, the SMEs that we have -- the architects that we have. Any deal that we pick, we also need to be able to execute it, deliver on time with the margins. Only then we can show the margins.

Tata Elxsi Limited

April 21, 2026

Page 15 of 17

So, it is in some sense a double-edged sword. So, we will be a little careful in terms of how this goes. It is not our objective suddenly to move to a 70% or an 80% fixed price. That will be putting too much of risk on us.

Mayur Matani: With regards to your transportation verticals, we have been talking that whenever there is a slowdown that structurally you see that some of the orders or some of the projects, new projects might get offshored. So, are you seeing that traction or there is indecisiveness from the customer's side currently?

Manoj Raghavan: No, we are seeing a lot of that. Especially when there is a need in the customer space that they have to continue their engineering activities and there's a slowdown. The only option for such customers is to see, hey, can they do more with less? With less of a budget, can they do more?

And that is where best-cost countries like us and companies like us come into play.

So yes, I think we continue to see such customers who are looking at which is the right organization that can deliver outcomes without too much of oversight. Because if you are doing offshore, it means a lot of the work the OEM has to hand over.

And they should have the confidence that Tata Elxsi is a company that can take up this complex work and deliver outcome remotely. And that is the track record that we have. And that is why customers trust us with a lot more offshore delivery.

Mayur Matani: We have been speaking about it quite a lot. But over the past one or two years, I think that has not reflected in the overall revenues. So when do you think that change might happen? Or is it due to the fact that the profitability of the legacy players are impacted? That is why we are not getting that kind of business?

Manoj Raghavan: So if you look at it, the industry went through massive -- what do you say, situation over the last I would say 12 to 18 months. So it is not as if such deals have not happened. Such deals are happening. Some of them are ramping up as per plan. Some of those ramp-ups are still slow. So it's a work in progress. So we are seeing the shift happening.

Mayur Matani: Okay. And last question with regards to the -- yes, sorry, please continue.

Nitin Pai: If I may just add, I'm just adding a little perspective. I think you have to remember all our revenues and growth or lack of it is organic. A lot of the growth that we have seen across many of the peers that we see in the industry has been actually coming from inorganic. Real organic growth has been lacking. If you ask me, not very different. I think what is different for us is the fact that you

will see that consistent offshore track delivery.

Nobody else carries that kind of an offshoring capability. Two is you are seeing that gradual but consistent shift to fixed price. Rightly, like Manoj said, the intent is not to simply improve margins; it is to make sure that we can continue to deliver greater and greater value. But the most important point I think everybody has to remember is ER&D is not very large deals locked in for five years and so on.

Tata Elxsi Limited

April 21, 2026

Page 16 of 17

It is a set of projects that continue to run off. So every quarter, you will lose 10% to 15% revenues; you have to make it up with new contracts. So that is the challenge. It is not the proposition or the value that we carry; it is the ability for you to continuously refill that funnel, right?

Mayur Matani: Right. Okay, thanks a lot. And last question is with regards to the media vertical. So we have been telling that media is still not out of the woods. So do you think that in the media vertical, if we are able to manage the revenues over a three-to-five-year horizon, do you see that trajectory changing? Or what circumstances may bring the revenue in the media and telecom vertical back?

Nitin Pai: Yes, so if I may, again, I think two, three things. One is that we have seen a plus, minus, plus,

minus. So there are some quarters of growth, there are some quarters of degrowth. So the media and telecom vertical for us has been very volatile. And overall, it has not delivered growth. And that is fundamentally reflecting the state of industry, which is whether it is the telecom operators or whether it is the large media streaming companies and content studios. They have all been under tremendous pressure for top-line growth. And therefore, a lot of the focus has been bottom line. And bottom line means then it's more of an efficiency and cost takeout game rather than an innovation game. So to that extent, I think what we have really done very, very well if you ask me over the last six quarters is the building of confidence both in ourselves as in customers that we can execute. We can win, and execute very, very well on large consolidation deals. So remember that we have typically not played that game too much. We've always been about do the new and less about consolidate. We will take over what you are doing, we'll make sure that efficiencies are delivered.

So it has been always less of that, more of do the new. I think that muscle that we have built, whether it is in automotive, whether it is in media and communications. I think is the biggest single factor that you are able to go there and win \$ 100 million deals that you are able to go there and win \$50 million deals.

I think that creates that muscle and discipline to say, look, can we build a foundation of revenues that even if there is some volatility, you can stay protected? And hopefully, there is growth in certain quarters, there is growth in certain areas. But the real big answer will be that innovation has to come back to the industry for true big upticks. And you will see moderate growth in our view.

Manoj Raghavan: And also, the industry is also going through a lot of mergers and acquisitions. M&A is happening. So that is also sort of what happens when two media companies come together -- there is duplication of engineering.

So there is a lot of resources available and there is no need to really depend on an external supplier to come in and support them and so on. So those things are also happening.

Mayur Matani: Right. Thanks, thanks a lot. And one last question, if I may. We were looking at some new verticals, so if you can share something on it?

Tata Elxsi Limited
April 21, 2026

Page 17 of 17

Manoj Raghavan : So I think we were focusing on, for example, the aerospace and defense is one vertical that we are looking at. And we have some very exciting things

happening there. But it is very difficult

to -- I mean, unless these result in some large revenues and so on, it is very difficult to practically tell you what is happening.

We are doing some very, very good work with the defense organizations in India, with HAL, with the Aeronautical Development Agency, some large deals that we are bidding for. We are also working with some global players there. So I think till we reach a size, I think we will continue to invest there.

We continue to build capabilities and also win those initial projects and trial projects and so on; we will keep you updated there. We have also started focusing on the battery energy storage. That is a big opportunity because of all the data centers that are being built, especially because of AI and GenAI, a lot of power is needed, right? And for that, battery energy storage is in huge demand in the market.

And that is something that we have picked up and that is something that we would -- and of course, even for EV, you know, powering up EV in remote locations and so on, you need that battery energy storage. So that is something we have incubated, and I think the coming financial year, we hope that that will be a reasonably sized vertical for us.

So we will make those announcements at the appropriate time. We've also started focusing a little bit on the manufacturing side. We've built certain capabilities, we've won some initial customers. That is another area we continue to invest. Again, so all those three areas we continue to build that muscle, build that strength, do those initial projects, build those capabilities. And we are hoping that look, next four to six quarters at least one or two of these will start showing results.

Mayur Matani: Sure. Thanks. Thanks a lot.

Nitin Pai: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Manoj Raghavan: Thank you. Thank you to all the investors for the call today. I think we are still optimistic that FY'27 will be a growth year for us. And as I said, the growth has to be led uniformly across the three verticals. And that would be the focus for us as we enter into the new financial year.

Thank you so much for your time today.

Moderator: Thank you. On behalf of Tata Elxsi Limited, that concludes this conference. Thank you all for

joining us. And you may now disconnect your lines.